

CIE Automotive (CIEINDIA)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

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SEC/2022/96

25th July, 2022

BSE Limited

Corporate Relationship Department,

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Mumbai-400 001.

BSE Scrip Code: 532756

Dear Sir / Madam, Mahindra CIE Automotive Limited

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Sub: Transcript of Mahindra CIE Automotive Limited Q2 & H1 CY 22 Results Conference

Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 15th July, 2022 in respect of advance intimation for Q2 & H1CY22 Results Conference Call, please find enclosed herewith transcript of the said call held on 22nd July, 2022.

The same is being uploaded on the website of the Company i.e. www.mahindrachie.com .

Kindly acknowledge the receipt and take the same on the records

Thanking you

Yours faithfully,

Mahindra CIE Automotive Limited

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Company Secretary and Compliance Officer

Membership No.: A 29614

Encl: as above

Mahindra CIE Automotive Limited

CIN L27100MH1999PLC121285

Page 1 of 18

"Mahindra CIE Automotive Limited
Q2 & H1 CY2022 Results Conference Call "

July 22 , 2022

MANAGEMENT : MR. ANDER ARENAZA – CHIEF EXECUTIVE OFFICER -
MAHINDRA CIE AUTOMOTIVE LIMITED

MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER -
MAHINDRA CIE AUTOMOTIVE LIMITED
MR. VIKAS SINHA – SENIOR VICE PRESIDENT ,
STRATEGY , M&A AND INVESTOR RELATIONS -
MAHINDRA CIE AUTOMOTIVE LIMITED
MR. OROITZ LAFUENTE – CHIEF BUSINESS
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MR. SWAPNIL SOUDAGAR – DEPUTY GENERAL
MANAGER , STRATEGY , M&A , AND INVESTOR
RELATIONS - MAHINDRA CIE AUTOMOTIVE LIMITED
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Mahindra CIE Automotive Limited
July 22 , 2022

Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to Mahindra CIE Q2 & H1 CY2022 Results Conference call hosted by ICICI Securities Limited . On the call from the management team we have with us Mr. Ander Arenaza – CEO ; Mr. K. Jayaprakash – CFO; Mr. Vikas Sinha – Senior VP Strategy, M&A and Investor Relations, Mr. Mr. Oroitz Lafuente – Chief Business Controller , and Mr. Swapnil Soudagar DGM Strategy, M&A and Investor Relations . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the management . Thank you and over to you !

Vikas Sinha : Thanks . This is Vikas. Good evening everyone, it is a bit late today, our apologies, but there are constraints for us and we are grateful you could join. We start with an overview of the legal structure of MCIE on page #5 of our investor presentation that has been uploaded on the website. Here we see that in line with stated strategy CIE Automotive our parent continues to reaffirm its faith in MCIE by raising their stake from 60.75% equity to 63.44% during Q2 C2022.

Now let us look at the Q2 C2022 results for MCIE India on page #7. Sales have grown by 46% year -on-year compared to the same quarter last year Q2 C2021 and the sales figures in this quarter are 12794 million and this growth is much more than what our markets grew by. While uncertainties around the Indian economy arising

out of global factors remain the auto industry in India is expected to remain buoyant in the coming months. MCIE India EBITDA margin in Q2 C2022 was 14.9%, which is similar to 15.1% obtained in Q1 C2022 and higher than the 13.9% recorded in Q2 C2021. The EBIT and EBT are at 11.1% and 11.4% respectively in Q2 C2022 . Despite headwinds like steel price increase , inflation and other costs and semiconductor shortages, etc., we have maintained margins in India. On page #8, we have the Q2 C2022 results for MCIE Europe. We have seen a growth in year-on-year sales compared to Q2 C2021 the sales figures been 12816 million and this is despite the underlying market dropping. The market sentiment in Europe remains uncertain but we do expect a better second half that is H2 C2022 could be and hopefully would be better than H2 C2021 in terms of the market.

Margins in Europe have been hit in the last few quarters by steep increases in energy costs, rising steel price, and inflation in other costs like freight. We have been negotiating with our customers to pass through increases in energy costs and in many cases these pass throughs are being operationalized. Because of these efforts and the efficiency measures applied MCIE Europe's EBITDA margins which had fallen to 9.1% in Q4 C2021 rose to 10.2% in Q1 C2022 and has further increased to 11.6% in Q2 C2022. You can clearly see mahindra C/E Mahindra CIE Automotive Limited
July 22 , 2022

Page 3 of 18 an improvement across the quarters. MCIE Europe in Q2 C2022 had an EBIT of 8.5% and EBT of 7.9%,

Let us move to page #9 where we see the consolidated Q2 CY2022 results taking into account both India and Europe. Sales grew by 32% compared to Q2 C2021 and the sales numbers are 25609 million. The consolidated EBITDA for Q2 C2022 was 13.3%, EBIT 9.8%, EBT 9.7%. Q2 C2022 performance is the highest quarterly results ever that MCIE has achieved in terms of absolute sales and EBITDA.

Page #11, we have the half yearly C2022 results, H1 C2022 results for MCIE India, the sales has been Rs.24815 million maintaining the growth momentum from the semester before that is H2 C2021. The EBITDA is 15%, EBIT 11.1% and EBT at 11.2%.

On page #12, we have the H1 C2022 MCIE Europe results. Sales are 25238 million compared to H2 C2021. In this semester India has more sales than Europe. The EBITDA

margin in Europe is at 10.9%, EBIT at 7.8%, and EBT at 7.2% in H1 C2022.

On page #13, we present the consolidated H1 C2022 results for MCIE. MCIE sales are at 50054 million, again continuing the upward trend, consolidated EBITDA margins for H2 C2022 12.9%, EBIT 9.4%, and EBT 9.2%.

Let us move to page #15 where we have presented the balance sheet position as of June 30, 2022. The return on net assets is 13.8% and operational return on equity is 13.0%. MCIE's consolidated RONA has been improving it was 11.8% as on June 30, 2021, and 11% for CY2021 so clearly good improvement in this very key metric.

On page #16, we present the cash flow situation for H1 C2022. Operative cash flows have been robust despite having to carry more RM inventory due to uncertain steel availability in certain categories and this is required to maintain continuous production and no customer delivery disruptions. Net financial debt has increased slightly to Rs.8737 million as compared to the end of year 2021 although the net financial debt to EBITDA has been reduced to 0.67x. MCIE has also invested in growth capex, which caters to the organic growth requirements largely in India and Mexico and all backed by an order book. We continue to be optimistic about both our Indian and European operations despite the global economic uncertainties that we are facing. With that we can now proceed for Q&A.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

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July 22, 2022

Page 4 of 18 Jinesh Gandhi : Hi! Congrats on good numbers. Couple of questions from my side personally on the European business if you can share the revenue breakup with respect to on constant currency basis and also if you can share what was the benefit of RM cost on the revenue growth part?

Vikas Sinha : Revenue in euro terms and what was the effect of steel.

Ander Arenaza : The revenue in Euros was 7% higher than they reflected in INR as the exchange rate has changed from €1 Rs.88 to 81-82 so there is a 7% loss in IRS in sales and regarding the raw material impact is approximately 15% in the sales so 15% of the growth is coming from the raw material.

Jinesh Gandhi : If we actually adjust from these two factors then European growth was almost at about 14% would that be the right way to look at it?

Ander Arenaza: Yes. We could consider that about our real growth in let us say in constant raw material and constant exchange rate would be approximately 10%, in our case that was reducing and is affecting negatively due to the European situation.

Jinesh Gandhi : Second question pertains to the energy cost pass through we have indicated about the negotiations coming to an end so what kind of price increases that we got, is it for the entire energy cost inflation has that been entirely been observed by customer or they have asked you to take certain hit on that as well?

Ander Arenaza: We have had big negotiations and hard negotiations with all the customers. Let us say the agreements were different in each of the customers so there is not a pattern there, but with most of them we reached agreements where the energy costs were pass through partially not 100%, this was considered as a special situation in the market so we absorbed part of the cost and the rest was observed by the customer. So depending on the customers it would be around 60:40, 70:30 this is the ranch of the agreements we have reached with the customers.

Jinesh Gandhi : So 60% to 70% pass through and absorption 30% to 40%.

Ander Arenaza: That is right.

Jinesh Gandhi : Got it and the third question is on the European market demand side so we are hearing about some bit of slow evaluation of demand in the European market despite the supply is improving so what are you picking on that side from your customers?

Ander Arenaza: It is true that the POs from our customers let us say what we call ED is the electronic orders that we received in our systems are showing a relevant increase for the next month so our customers' expectations are quite strong and we see really a strong Q3 and Q4.

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July 22, 2022

Page 5 of 18 Nevertheless I would say that we are quite cautious and we have certain doubts of that these earnings will come real in the future because of the special situation in the European economy and especially in the euro politics the war in Ukraine and the potential shortage of gas in Northern Europe at the end of the year, so hopefully all these kind of things will resolve and I hope that the demand will match the orders that we are receiving from the customers, but you are right the trends at least the information we received from the customers is really a good news.

Jinesh Gandhi : Okay got it and last couple of clarification s, the question is to JP one is with respect to the other income in E U seems to be on the higher side what has led to that and secondly the interest cost for the Indian market India business was quite low so what has led to that ?

K. Jayaprakash : On the other income piece we have received some insurance claims in Europe the 240 million in th is quarter so that is one receipt and on the standalone interest reduction you can keep in control of the basically exchange rate positive impact .

Jinesh Gan

dhi : Just for the forex impact interest rate could be in that, if the interest cost will be in 120, 130 million per quarter range ?

K. Jayaprakash : Yes.

Jinesh Gandhi : Can you quantify the forex gain in this quarter ?

K. Jayaprakash : 50 million.

Jinesh Gandhi : Thanks, I will fall back in queue. Thank you.

Moderator : Thank you. The next question is from th e line of Siddhant Dand from Goodwill . Please go ahead.

Siddhant Dand : My question is what is the 225 Crores inter -corporate loan in the cash flow ?

K. Jayaprakash : 255.

Siddhant Dand : You are talking about the 2.25 Crores outflow in the cash flow s as you k now like our inter - corporate loan that you seem to have given.

K. Jayaprakash : This is basically Europe has seen a very good cash flow this first half and almost €28 to €30 million in cash flows and whatever surplus we get in paying it back within the grow th, so at an interest rate of about 1%, 1.5%.

Siddhant Dand : Is it within CIE the inter-corporate loan ? mahindra C/E

Mahindra CIE Automotive Limited

July 22 , 2022

Page 6 of 18 K. Jayaprakash : No, it is within CIE Automotive.

Siddhant Dand : Like any duration of this...

K. Jayaprakash : See this is basically cash pooli ng so like we explained in the last related party approval we are taking this is a loan given so we can call back anytime.

Siddhant Dand : Why do not we just pass it on to MCIE India or something just want to understand ?

K. Jayaprakash : MCIE India the only way we could get it here is through dividend loan which is not tax efficient and so really we are looking through and we have to see how much money we need there. So we will look at it how efficiently it can be used, but as it stands today we earn decent i nterest rate on it, so we have passed it.

Siddhant Dand : No, just keep it with ourselves instead of giving our inter -corporate loan to CIE.

K. Jayaprakash : Keep it with Galfor what you mean to say ?

Siddhant Dand : Yes.

K. Jayaprakash : Keep it with the ba nk you will get nothing.

Siddhant Dand : So you are giving loan to CIE and they are giving some interest rate on it ?

K. Jayaprakash : That is right we are earning 1.5% in Europe which I think is a decent interest rate to earn right.

Siddhant Dand : My next qu estion would be how much is Metalcastello benefiting from the fall in the Euro compared to the USD is that the primary growth driver there in earnings ?

Ander Arenaza: No I do not think that is the reason because the growth of Metalcastello was started seve ral months ago without exchange rate impact so the reason of Metalcastello doing well is coming from the recovery of higher growth components and let us say the infrastructure improvement in the USA so it is not related, the growth of Metalcastello is not related to the exchange rate. Of course we will be benefited by that and we hope that in the future, perhaps we could see even higher improvement.

Siddhant Dand : What percentage of total sales in Europe our exports ?

Vikas Sinha : Metalcastello exports ab out 30% a third of the Metalcastello revenues are exported to the US. mahindra C/E

Mahindra CIE Automotive Limited

July 22 , 2022

Page 7 of 18 Siddhant Dand : No overall Europe.

Vikas Sinha : No, Metalcastello has increased the exports revenue to 50% and Metalcastello is roughly about 15% to 20% of the European revenues.

Siddh ant Dand : We have show n interest in the plastic capex or its growth over there organic or inorganic any update over there ?

Vikas Sinha : No, we keep looking for it right now nothing in the plastic space that we have either organic or inorganic, no plans as yet.

Siddhant Dand : Just a Germany specific question this particular quarter was it profitable our business in Germany or the energy cost really hitting us over there ?

Ander Arenaza: Our German business is struggling because of the inflation plus the en ergy cost increase and

of course it was

difficult time before the crisis and the inflation came now the situation is also really, really tough. So let us say that the German business is trying to survive and we are working on the internal efficiencies and we are trying to pass through the customers the real impact that we are suffering in the business.

Siddhant Dand : We are not losing money right ?

Vikas S inha: We are not losing money but we are not making money either.

Siddhant Dand : Fair enough that was known and just my last question is any of the profitability been because there has been some fall in metal prices in India so has there been some lag in pass through because of that profitability is boosted or nothing like that ?

Vikas S inha: We have yet not experienced a drop in raw material prices in India we do expect it to happen but right now in this quarter there is no effect on that.

Siddhant Dand : Okay perfect thank you.

Moderator : Thank you. The next question is from the line of Nikhil Kale from Axis Capital . Please go ahead.

Nikhil Kale : Thanks for taking my question. My first question was on the operating income. So Europe if I see the operating income it has increased quite sharply so even in Euro terms if I look at it the operating income is almost double Y -o-Y so can you just talk about what is its share and what is driving this increase ?

Vikas S inha: When you say operating income you refer to EBIT ? mahindra C/E

Mahindra CIE Automotive Limited

July 22 , 2022

Page 8 of 18 Nikhil Kale : No, I am talking about the other operating revenue sorry.

Vikas S inha: So you are talking about slide #17 right ?

Nikhil Kale : Yes, that is correct.

Vikas S inha: Slide #17 we have Europe other operating revenue is 953 for H1 C2022 and 737 for Q2 C2022 right that is the number you are referring to.

Nikhil Kale : Correct.

Nikhil K ale: Sorry but the insurance claims are they sitting in other operating income or in other income.

K. Jayaprakash : It's in other income.

Nikhil Kale : So other operating revenue will be set effectively in this major part of the scrap sales ?

Oroitz Lafuente : Yes, in the other operating income the major amount is effectively through the scrap scales.

Nikhil Kale : Got it thanks. Secondly just wanted your thoughts on how are you looking at the demand situation in India, EVs in I think tractors is doing quite well here on the M &HCV side we are seeing good momentum but what is your view on the two -wheeler side what are you hearing from your customers and what is the outlook going forward here ?

Vikas S inha: Yes, two -wheelers has been struggling for some time we all know because of the total cost of acquisition has gone up for two -wheelers but we are seeing an uptick in the two -wheeler schedules as we see today it is still below say the 2018 levels much below the 2018 quarterly levels but there is certainly an uptick from a quarter -on-quarter basis . Yes the base is low but we are seeing some growth in the two -wheeler segment as of now. As I said everything is subject to no change happening due to the global economic factors.

Nikhil Kale : Just last question so specifically with our key customer M&M we are seeing three new launches that are coming up the Scorpio and X UV700 is doing really well just wanted to understand how was our content shaped up in these new models compared to say the content that we are doing in the past has the content gone up and would be benefit from the kind of response that we are seeing for these models ?

Vikas S inha: Yes, we will benefit from content wise I cannot give you an exact answer at this point of time I do not have an answer to that , but it is true all our business with M&M is growing in every vertical that deals with M&M so yes we will continue to benefit with the good performance of M&M models. mahindra C/E

Mahindra CIE Automotive Limited

July 22 , 2022

Page 9 of

18 Nikhil Kale : Okay got it. Thank you, I will get back in queue.

Moderator : Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead .

Bharat Sheth : Hi! Congratulations Ander and Vikas and JP on the good performance. My question for this Ander when you say that Q3, Q4 we are anticipating a much better demand and much better growth so this is Y -o-Y or we are talking of H1 to H2 ?

Ander Arenaza: It is H2 versus H1. We expect the second half to be better than the first half of the year and it is true that the demand and the EDIs let us say the order that we have there. The order book that we have in our shipments now shows a big increase and we are receiving those

orders in July, August, September, but what I told also is that perhaps these orders will not be executed and the reality will be milder than they are now planning so we are cautious of what can happen in the European market, we got there a lot of uncertainties in front of us but the message from our customers is from all of them it is a general view is quite optimistic so let us see.

Vikas Sinha: Bharat Bhai in terms of forecasts and since it is public we can tell you the IHS forecast for H2 is roughly 8.3 million units production compared to 7.6 in H1 so that is roughly a 9% increase over H1, but as Ander pointed out given the gas situation especially in Germany which is our main production area for the European light vehicles, the reality can be very different from any of these forecasts.

Bharat Sheth: And this is even after factoring that normally H2 there is a five months operating visibility...

Vikas Sinha: Yes, H2 is normally five months or even less than five months it is basically four months and three weeks even after that, that is the forecast as of now, but as Ander has repeatedly pointed out let us take it with a grain of salt not even a pinch of salt a grain of salt.

Bharat Sheth: Second on now Europe during our COVID-19 lockdown we had worked substantially and to bring down the breakeven level so which was around say 80 million per quarter run rate at PBT level breakeven now with this inflationary cost and increase in the energy cost so what level European business can breakeven at PBT level?

K. Jayaprakash: I think because of the energy price increase and all we will be around €100 to €105 million per quarter.

Bharat Sheth: PBT level breakeven, current quarter number is around 155 million Q2 in euro terms?

K. Jayaprakash: Yes around 150. mahindra C/E

Mahindra CIE Automotive Limited

July 22, 2022

Page 10 of 18 Bharat Sheth: Now second question is for Ander currently our CV part contributes around 10% of the India business is that fair understanding?

Vikas Sinha: Yes, roughly including light commercial vehicles.

Bharat Sheth: Sir do we have any plan to increase that business because that next two to three years that business looks much uptrend side so do we have any plan and how do we expect that revenue mix of CV to go up in couple of years?

Vikas Sinha: We do business with CVs in foundry and in stampings and if the CV volumes go up we will commensurately go up with that and if need be we can look at increasing our presence there but we will benefit out of growth in CVs if the question is that yes we will benefit.

Bharat Sheth: But is there any chance that revenue mix contribution from CV increasing?

Vikas Sinha: It may not increase drastically but that number 8%, 10%, can become more than that but it cannot become 20%.

Bharat Sheth: Last question for J P. In last year our working capital used to be remain negative and this time because of higher inventory as Vikas explained so how do we see now steel price stabilizing do we see that for second half our working capital again go back to negative level on cash flow, positive cash flow can be generated?

Vikas Sinha: Net working capital position

in India how can it become better.

Oroitz Lafuente: Yes, in the following months, we will see a reduction in our working capital, we expect that the steel price will remain constant but the revenue will go up we can pass, and as we will readapt our stocks to the sales level so we will at least see a small improvement in the working capital in India.

Bharat Sheth: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Nemish Shah from Emkay Investment Managers. Please go ahead.

Nemish Shah: Thanks for the opportunity and congratulations on good set of numbers. So I had a question on the Europe business so adjusting for the forex and the RM prices like Ander mentioned that we have seen a 10% growth and when we are looking at the production numbers in the Europe there has been a decline in this quarter and for the first half as well so just wanted to understand what is leading to this market share gain for us and do we anticipate this outperformance continue and what kind of then growth should we expect in the Europe business? mahindra C/E

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July 22, 2022

Page 11 of 18 Ander Arenaza: What we see is that our market share has increased interest on customers in some of our business, one of the increases is happening in Metalcastello as we explained because the business is growing importantly that is one of the reasons. Second reason is in our tractor business in Spain and our passenger vehicle forgings we are seeing also a certain increase in market share probably because some of our competitors are having more difficulties or let

us say the market is moving due to the difficult situation in European countries so that is what we see it and probably because of our product mix we have been benefited by that so we cannot see a single course for this improvement those are the main drivers.

Nemish Shah : Yes, that is it from my side . Thank you.

Moderator : Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services . Please go ahead.

Jinesh Gandhi : Hi! Couple of questions , one is on the India business any indication of what is the benefit of commodity cost inflation on the topline ?

Oroitz Lafuente : It is approximately 10%.

Jinesh Gandhi : Second question pertains to the sunroof systems which CIE Automotive has in their portfolio so is there plan to launch that in India through the listed entity or that will be through unlisted entity or it will come separately ?

Ander Arenaza : That is a different business that CIE bought to and is managing from a different country, and this is mainly directed from China so this business will be directed by CIE directly.

Jinesh Gandhi : Got it. Thanks and all the best.

Moderator : Thank you. The next question is from the line of Nikhil Kale from Axis Capital . Please go ahead.

Nikhil Kale : Thanks for taking my question again. So just taking forward the market share gain point that you talked about in Europe just wanted to understand for the products that we are present in Europe how is the competition like is there a decent enough chunk of the small players and is it fragmented , why I am saying that is because in this current kind of cost situation maybe some of the larger players are better placed and that is driving market share so do you see enough headroom for you to gain market share with all these small players kind of going up ?

Ander Arenaza : Yes, probably we will be benefited the stronger players will benefit from the consolidation of the market this is something that we are forecasting since several months so that is probably one of the reasons of our growth or our market share increase in the last quarter mahindra C/E Mahindra CIE Automotive Limited
July 22 , 2022

Page 12 of 18 and yes that is a reality probably this consolidation will happen especially if the

higher price

situation continues in this moment.

Nikhil Kale : Secondly given that power and energy cost has such a higher proportion or an important cost item for businesses that we are in again given the kind of cost increase that you have seen in Europe are there now increasing conversations with customers to do more of the production in India and then kind of exports which could kind of benefit our export business ?

Ander Arenaza : We do not see that trend in this moment there is also an additional problem that the transport costs are increasing tremendously , also the difficulty of the logistics in this moment there is a lack of enough logistic routes and ships to move the product and the material from India from China to Europe is also blocking that. Also our customers are afraid of all the geopolitical issues that are happening around the world, so in our opinion the local to local strategy will be reinforced and all these things that are happening in the world. So we do not see that move in this moment we probably see a certain strategy changes in our customers , but at this time I would say that probably the local to local will be the main strategy followed by the customer. We have certain customers that are referring to the CO2 emission coming from the transport so from the environmental point of view also their view is to localize as much as possible.

Nikhil Kale : Got it thank you.

K. Jayaprakash : This is for everybody Vikas. On slide #17 there was a question on other operating income.

Vikas Sinha : This is with respect to that question that was asked regarding the other operating revenue in Europe of 7 million in Q2 C2022 go ahead.

K. Jayaprakash : So with lot of apologies the Q2 number needs to be corrected the H1 number is correct. The Europe instead of 737 we should read it as 478 and Q2 total is 1463 of course it is under correction but for everybody just note.

Vikas Sinha : JP will you please repeat it ?

K. Jayaprakash : If you go to the slide #17 the Europe number 737 should get replaced with 478 and consolidated should be 1463. So it will more or less fall in line with what was in Q1 so there is no significant increase in other operating revenue.

Vikas Sinha : Okay fair enough other operating revenue that is right ?

K. Jayaprakash : Yes. So the only change is in other income not in other operating income. mahindra C/E Mahindra CIE Automotive Limited
July 22 , 2022

Page 13 of 18 Vikas Sinha : Okay so that is for everyone , apologies for this error.

Moderator : Thank you. The next question is from the line of Kirti Agarwal from ICICI Bank . Please go ahead.

Kirti Agarwal : I wanted to know is the EV industry is expanding can we get a number is what is the order book in hand for CY2023 and if we have seen a major development in the Tamil Nadu plant as the company has incorporated so how is the company planning for the capex of that plant ?

Vikas Sinha : Two questions you are asking if I may repeat one you are asking is what is the EV order book in India so we had indicated in our year ending call of C2021 that we were talking in the range of roughly 400 to 600 Crores in India at that time so if you refer to our transcripts of that period of that time. As of now we do not have a figure we will again come back with the same number towards the end of the year but what we can say is that our presence in the EV order book is we are quite comfortable with whatever is happening especially we have two businesses which have a significant two-wheeler presence, our aluminium business out of Aurangabad and Bill Forge business out of Bengaluru and both of them are doing well especially with the Bill Forge as far as the EV order book is concerned , details right now we do not have the details but that is something we can get. The second question you had was with respect to CIE Hosur I think the investment that we are making on

that what

specifically did you want to know ?

Kirti Agarwal : I wanted to know how are you planning for the funding of the capex as the company is planning for 5 billion capex I guess so ?

Vikas Sinha : What is the capex for CIE Hosur and when is it going to start production right ?

Kirti Agarwal : Yes, Sir.

Vikas Sinha : JP on CIE Hosur.

K. Jayaprakash : We have already invested something like 1.3 billion out of our internal accruals the commercial production has started towards the end of June so we have started dispatches. Now regarding your 5 billion that is only in MoU we spent over next five, six years and not immediate . We believe CIE Hosur should be able to generate a firm cash flow to make its capex maybe from a year or year -and-a-half from now it should be able to generate its own cash flows.

Kirti Agarwal : Okay Sir thanks a lot for answering the question. mahindra C/E

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July 22 , 2022

Page 14 of 18 Moderator : Thank you. Next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead .

Bharat Sheth : Thanks for the opportunity again . So all this capex what we are doing at Hosur and even Rajkot so can you give some color which are the product lines that we are expanding and in future also the larger capex will be on what kind of a product line ?

Vikas Sinha : This everything is in India . Hosur is whole set of products both for domestic and export customers, Rajkot again it is because of the expansion of our existing customers .

Bharat Sheth : Which are the major products in Rajkot ?

Vikas Sinha : Rajkot we have gears and shafts the same product line that exist today and then Aurangabad electricals again a new plant we are making again for our existing customers but non-Bajaj.

So there are other areas also we are making investment, we made investment for warm forgings in Chakan , forgings Chakan and we are making investments in our magnetics division so magnetics division will be new customers and forgings Chakan is also a new product because Chakan was not doing warm forgings so this is a kind of synergy between bill forge and forgings Chakan the warm forgings plant.

Bharat Sheth : This question is for Ande r. See we have good presence in hybrid EV side in the Europe , now Maruti has come up a very new product which is largely in India hybrid EV was very less so how do we see opportunity for ourselves in that hybrid EV and do we expect that, that will be a little longer than the ICE ?

Ander Arenaza: Let us say we see a big advantage to the hybrid because you have the internal combustion engine versus the electric motor so you can enter into the cities without polluting I think initial idea would help the OEMs and producers, but unfortunately there is a problem with the cost of the hybrid because you have to double the systems so most of the OEMs as far as we know are going directly to the electric cars so hybrid will be a temporary solution within four, five years until the infrastructure repair then they will go directly to the complete electrical, pure electric vehicles that is how we see in the future.

Bharat Sheth : Great thank you.

Moderator : Thank you. Next question is from the line of Hitesh Arora from Unifi Capital. Please go ahead .

Hitesh Arora : Just wanted to clarify which was asked earlier so from the India business on a sequential basis what is the benefit of the raw material increase in the sales ?

Ander Arenaza: On sequential it is negligible it is like 1%, 2%. mahindra C/E

Page 15 of 18 Hitesh Arora : On the capex that you mentioned what is the sort of incremental revenue that we can expect in the next calendar year ?

Vikas Sinha : Again we would not be able to give that exact number for the capex but we have an internal rule of meeting a minimum return on investments for every

capex so if the market situation

is right then we should definitely get good returns out of the new capex.

Hitesh Arora : We look at it in terms of asset turnovers as well ?

Vikas Sinha : No we look at it in terms of ROI of course asset turnover is an integral part of that so yes so there are various levels at which we look at starting from the growth number, profitability so there are whole host of things that we look at but the most important factor is the return on that particular project.

Hitesh Arora : When do most of these come on -stream your expansion plan...

Vikas Sinha : No there is of course a time period between getting the order and going live with that order it takes anywhere between 12 to 24 months before our capex can go live.

Hitesh Arora : At least 12 months from now ?

Vikas Sinha : Yes.

Hitesh Arora : Okay thank you.

Moderator : Thank you. The next question is from the line of Siddhant Dand from Goodwill Warehousing Pvt. Ltd. Please go ahead .

Siddhant Dand : I just wanted a followup to my previous question so how much is our loan to CIE total amount as of Q1 ended ?

K. Jayaprakash : €40 million.

Siddhant Dand : Have we taken any loan from them also some other company or something ?

K. Jayaprakash : Our Mexico loan is from them and in Germany also we have taken loan from them.

Siddhant Dand : How much money have we taken from them and how much do we owe them can you just give that number for 40 million and this side ?

K. Jayaprakash : This side it will be close to about both put together under 80 million taken from them. mahindra C/E Mahindra CIE Automotive Limited

July 22 , 2022

Page 16 of 18 Siddhant Dand : Secondly like we discussed that the German business is not doing well so is there any goodwill over there we could consider writing off or impairing ?

K. Jayaprakash : We have goodwill of course there but that is an annual check we do for accounting we go by that.

Siddhant Dand : Perfect, because it has been struggling for a while I am wondering why we have not impaired it ?

Oroitz Lafuente : We have one cash generating unit which is considered full part of Europe and also we can move parts and projects around our Spanish plants and German plants so again we will make the testing , for goodwill based on the cash generating unit and we keep doing this testing regularly and up till now we do not have any signal or any update after that we should make any kind of impairment so for the moment we do not see any risk on that part.

Siddhant Dand : Perfect I just wanted to just request if you could keep a gap between the earnings then the call so that we can actually go through the numbers properly next time.

Vikas Sinha : Yes, of course that is the normal practice that we have. We have certain constraints this time Siddhant so our apologies for that it is late I do understand but instead of waiting till Monday evening or Tuesday we thought it is better to do it right.

Siddhant Dand : Yes, of course.

Vikas Sinha : So our apologies but we do try to keep that in mind and we will keep that in mind Siddhant, and if there are any followup questions you can always call us .

Siddhant Dand : Yes, perfect thank you.

Moderator : Thank you. Next question is from the line of Hitesh Arora from Unifi Capital. Please go ahead .

Hitesh Arora : Thanks again. On the German business what are our plans sort of turning around the business or restructuring the business or bringing it to a part of sustained profitability if you could throw some light ?

Ander Arena za: You know that in our German plants we have been struggling since several years and we have been doing let us say all the restructuring activities and included that during the last year despite the negative environment with a very low sales and with cost increase we have been able to keep the company without losing money so that was the result of all these activities. Unfortunate

ly right now we are in front of additional difficulty coming from the energy plus the huge inflation that we are facing and we are attacking that once I am mahindra C/E

Page 17 of 18 looking for internal improvement in terms of efficiency gains plus they are passing through the cost to the customer and we cannot afford absorbing those additional costs that we are suffering so that is the evolution of the business. On the other hand we have a very strong order book in front of us so if the business comes our customers are planning and the energy prices and the material go down as it was expected for next year then we could survive probably that is our expectation.

Hitesh Arora : Sure. Thank you.

Moderator : Thank you. Next question is from the line of Anshul Mittal from Care Portfolio Managers.

Please go ahead .

Mohammed Patel : This is Mohammed Patel. My first question is what percentage of sales in Q1 FY2023 or only ICE related products ?

Vikas Sinha : No that would be a majority of that, 90% plus in Q1 2023 just think of it this way in India EVs I think in two-wheeler segment I think EV penetration in Q2 2022 was about 4% actually little less than 4%, 3.5%, 3.7% , in cars it was negligible maybe 0.5%, 0.6%, in three-wheelers which is a very small segment it was decent enough, and in Europe this number of battery electric vehicles we are not talking hybrids because as was explained earlier hybrid has both the power trains so pure battery electric vehicles in Europe is roughly about 8%, 9% in Q2 C2022 or Q1 F2023 that you said. So right now the basic numbers are very low so our revenues are also quite low , all that we are saying is among the new order book we are generating a lot of the new orders that we are getting lot of them pertain to EVs but then they will start making an impact on the P&L maybe towards late next calendar year or early 2024 calendar year.

Mohammed Patel : My second question is there is a difference in the sales that we report in SEBI and the investor presentations for example India in the SEBI results it is 1386 Crores in investor presentation it is 1279 Crores so what explains the difference ?

K. Jayaprakash : Basically , in SEBI it is all revenue so you need to add the other operating revenue to the sales numbers to get the SEBI number that is what we give on the slide #17.

Mohammed Patel : Understood. Thank you.

Moderator : Thank you. As there are no further questions, I now hand the conference over to the management for closing comments.

Ander Arenaza: As always thank you all of you for your participation and for the good questions well directed questions. I just wanted to say that in a very difficult market scenario what company has shown and has good results and shown its resiliency and we expect to mahindra C/E
Mahindra CIE Automotive Limited
July 22 , 2022

Page 18 of 18 continue improving our results in the next quarter. It is true that there are certain uncertainties coming from the volatility and the potential problems that could happen in Europe due to the war in Ukraine, but we are quite optimistic and we expect that the next quarter it will be much better. So I just want to thank you all the Mahindra CIE team for their good job and thank you to all of you until next quarter. Thank you very much.

Moderator : Thank you. On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This statement has been edited to ensure quality
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Call: Oct 2022

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BSE Limited
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NSE Scrip Code: MAHINDCIE

Dear Sir / Madam,

Sub: Transcript of Mahindra CIE Automotive Limited Q3 CY 22 Earnings Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 12th October, 2022 in respect of advance intimation for Q3 CY 22 Earnings Conference Call, please find enclosed herewith transcript of the said call held on 18th October, 2022.

The same is being uploaded on the website of the Company i.e. www.mahindrachie.com.

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,
For Mahindra CIE Automotive Limited

Pankaj Goyal Company Secretary and Compliance Officer
Membership No.: A 29614
Encl: as above

"Mahindra CIE Limited
Q3 CY 2022 Post Results Conference Call "

October 18, 2022

MANAGEMENT : MR. ANDER ALVAREZ , CEO, MAHINDRA CIE
MR. K. JAYAPRAKASH , CFO
MR. VIKAS SINHA , SENIOR VICE PRESIDENT ,
STRATEGY
MR. OROITZ LAFUENTE , BUSINESS CONTROLLER
MR. SWAPNIL SOUDAGAR , DGM STRATEGY

MODERATOR: MR. BASUDEB BANERJEE - ICICI SECURITIES

Mahindra CIE Limited
October 18, 2022

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Mahindra CIE Limited Q3 CY 2022 Post Results Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Basudeb Banerjee from ICICI Securities. Thank you, and over to you, sir.

Basudeb Banerjee : Thanks to Mahindra CIE management for giving us the opportunity to host the call. We have with us Mr. And er Alvarez, CEO of Mahindra CIE; Mr. K. Jayaprakash, CFO; Mr. Vikas Sinha, Senior Vice President, Strategy; Mr. Oroitz Lafuente, Business Controller; and Swapnil Soudagar, DGM Strategy. So over to you, Vikas, for your initial comments, and we'll take the c all ahead accordingly.

Vikas Sinha : Yes. Thanks, Basudeb. Good evening, everyone, and good afternoon to those who are joining from Europe. I welcome you all on this call as also our CEO, Ander. Thank you for attending the call despite a relatively late st arting time, especially for Asian investors. Sorry for the quick turnaround between results and call. We won't make this a practice.

We start with an overview of the legal structure of MCIE. We would like to point out that during this quarter, CIE has bou ght out some of M&M stake in MCIE. And consequent

ly, CIE's stake has gone up from 63.44% to 65.71% while that of M&M has come down to 9.25% as against 11.43% earlier. This move, again, reiterates CIE management's strong belief in the growth opportunities available in the Indian market and the fact that they look towards MCIE to continue outpacing the market.

Let us now move on to Q3 C22 results for MCIE, which is on Page 7 of our investor presentation. Q3 C 2022 sales for India were at INR14,294 million, which represents a 34% growth compared to Q3 C'21 and a 12% growth sequentially versus Q2 C'22. Like the last few quarters, the revenue growth rates are higher than the underlying market growth rates. MCIE India EBITDA margin in Q3 C'22 is 15% despite the adverse impact of commodity prices, RM prices, as also an increase in the cost of energy in Maharashtra, where many of our plants are located.

EBIT was at 11.4%, which is better than both year-on-year 10.8% and sequentially 11.1%. In India, the month of September has seen good sales across all segments, especially 4-wheelers, and we largely expect this trend to continue. The festival sales are also going well. However, historically, due to the cyclical nature in the tractor demand, we could see a slight slowdown after the festive period in this segment.

Mahindra CIE Limited
October 18, 2022

Page 3 of 18 On Page 8, we have the Q3 C'22 results for MCIE Europe. Sales were at INR11,632 million, plus 28% versus Q3 C'21 and a little lower versus Q2 C'22. But we have to remember that roughly 3/4 of August is closed in Europe. So about 20 days is not there in this quarter. And of course, in this quarter, there were headwinds on RM prices and unprecedented energy cost rise and of course, the effect of the usual August holidays that we talked about. And also, we would like to mention that in this quarter, there was a negative exchange rate translation impact of about 11%. So on a EUR basis, we have grown by 39% year-on-year.

The sales drop compared to Q2 C'22 was 9%, which is explained by all the factors that I talked about. The EBITDA margin in MCIE Europe in Q3 C'22 was 10%. This margin is lower sequentially than Q2 C'22. Of course, some of it is attributable to the seasonal drop in sales explained above and also the energy price increase.

We are confident that just like the energy impact in Q1 C'22, we will be partially able to get some of these increases through our customers in the coming quarters. On the demand side, even though the customer schedules have not decreased, it is very uncertain as to what impact energy prices will have in Q4 C'22 due to the Ukraine war situation. And now if we go to Page 9, we will see the consolidated Q3 C'22 results, which are a combination of the India and Europe results.

Q3 C'22 consolidated sales were INR25,927 million, plus 31% versus Q3 C'21 and plus 1% versus Q2 C'22. This quarter represents one of the highest ever quarterly sales that we have had. And the other aspect that we would like to point out that now India is much higher than the 50% mark that we are talking about in the total consolidated sales in this quarter.

Consolidated EBITDA margin in Q3 C'22 was 12.8%. Consolidated EBIT margin was 9.4%, and this consolidated EBIT margin is almost close to the 9.7% that we achieved in Q3 C'21 and 9.8% in Q2 C'22, in spite of all that is happening in Europe.

Consolidated EBT in Q3 C'22 was INR2,272 million at 8.8%, which is

higher in absolute terms than the INR1,790 million at 9% that we achieved in Q3 C'21. In fact, if you see, profits in absolute terms are increasing, Q3, C'22 consolidated EBT is 27% higher than the corresponding quarter last year, in spite of the margin changes. On Page 11, we have the 9-month C'22 results for MCIE India. Sale

S were INR39,109 million; EBITDA, 15%; EBIT 11.2%. Page 12, we have 9-month C'22 MCIE Europe results. Sales were INR36,871 million. Again, India is much higher than Europe. EBITDA at 10.6% and EBIT at 7.5%. Consolidated 9-month sales was almost INR76 billion. EBITDA at 12.9% and EBIT at 9.4% EBT.

So we have a solid company performance, despite the complicated scenario in Europe. We believe geographical diversification and an empowered management at local levels is helping us deliver these results. These two factors are some of the key features of CIE's strategic philosophy, and we'll continue to work along these lines. So with that, I'll close my remarks. We wish everyone on the call a very happy Diwali and a prosperous New Year in advance. May the festival spirit uplift our industry. And let's now proceed to Q&A.

Mahindra CIE Limited
October 18, 2022

Page 4 of 18 Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Jinesh Gandhi from Motilal Oswal Financial Services Limited. Please go ahead.

Jinesh Gandhi: Firstly, can you talk about the impact of energy prices in Europe in this quarter and what we expect in the coming quarter?

Vikas Sinha : Okay. Ander?

Ander Alvarez: Good afternoon, everybody. This is Ander Arenaza speaking. Okay. The energy prices during the third quarter this year were the highest energy prices we have ever seen, okay, even higher than the worst moment when the war in Ukraine started in end of February, beginning of March, okay.

At that time, the energy, electricity price, for example, went up to something like EUR300 per megawatt in March 2022. And in July, August, we have been hitting EUR400 per megawatt, okay. That has been the huge peak that we have been suffering in all the European countries. Different in each country, but average would be like that, okay. Even in Germany, we were touching EUR700 per megawatt in certain days.

This situation, of course, is not sustainable. And hopefully, the trend has been going down, and we have seen a pull-off of the energy prices during September and October, up to this EUR250, EUR300 per megawatt, where we are now, okay. We have been dealing with all the customers to pass through. I mean, we have reached agreements with all of them to pass through partially this impact, and that's how we are trying to manage this situation.

Of course, there is a delay in the application of these agreements. So you saw a certain impact on the Q3 margins, and we expect to recuperate, at least partially, in the next quarters. But that is the impact of the energy prices in Europe in all the industry. And I would say, in all economy, has been really, really terrible.

Jinesh Gandhi: Okay. But can you quantify impact in 3Q for the European operations? How much margins were impacted just because of the energy cost inflation?

Ander Alvarez: Okay, depending on each of the technologies, we have a different

impact. But generally, you can consider that the energy impact in certain products where we have the heat treatments, plus the heating of the forging operation could go up to more than 10% on the prices. This is the peak that we can have in certain products. But the real impact in our P&L after negotiating and after passing through can be approximately 1% to 2% on the results, on the markets.

Jinesh Gandhi: Okay. Got it. And do you also foresee a risk on continuity of operations because of availability of power or energy in fourth quarter? Or that is definitely not a concern cost is the only concern?

Ander Alvarez: Okay. In this moment, we don't see that risk or let's say that we are producing normally, we have availability of electric

ity and gas in all our operations in this moment. There's no signal of shortage of energy in our businesses. But it is true that there are some rumors and some comments in Europe, especially in the Northern Europe, I Mahindra CIE Limited
October 18, 2022

Page 5 of 18 mean Germany and Romania, let's say, all the Central Europe, where it could happen that there is a lack of gas available, so that the industry could be affected, okay. But in this moment, we don't see that.

From the order point of view and I think from the demand point of view from our customers, we are now quite satisfied because the demand is still strong. They keep fulfilling our order book. And the order book is really strong in this moment. So let's see what's going on with the gas situation and with the negotiations with the gas suppliers, mainly from Russia or from the States and also from the Middle East. And we are waiting for the outcome of those agreements, okay. My view is that probably there will be a certain slowdown on the economy until the final solution is reached. But in this moment, as I mentioned, all our operations are running smoothly with no problems. But, okay, the risk and the uncertainty is there.

Jinesh Gandhi: Got it. And you talked about the agreements have been reached for passing on this cost inflation. So would it be to a similar magnitude like in the recent past, where between 60% to 70% of cost inflation was passed through and balance was absorbed by us? Is the magnitude of past similar at this time as well?

Ander Alvarez: Yes. The magnitude is similar to those you mentioned, yes. In that range, that is the average in the market. Yes.

Jinesh Gandhi: Got it. And last question before I fall back in queue, is on the European demand side. So on one side, your OEM customers are indicating very strong demand. And on the other side of the outlook for light vehicle production, which we have given from IHS that talks of decline in CY'22 as well as a sub -3% CAGR over the next 3, 4 years. So clearly, there is a dichotomy between these two. What is your sense with respect to what kind of a group can we expect in Europe, going forward? I mean I presume the chip related issues are largely behind us, at least from 3Q onwards. So how do you see growth, going forward?

Ander Alvarez: Okay. The reality is that okay, for me, it's a very complex question to answer because the word that I used more frequently in the Board that we finished some hours ago, is that the uncertainty, okay. The real uncertainty that we have. On one hand, we see our customers. They are continuing pushing us to produce and to, let's say, to launch the raw material orders because they will need the products, they will need the parts in the next months. And our order books, our EBIs are full and the demand is really strong.

On the other hand, we also see that there is a market signs that, okay, there could be an energy shortage, so that could affect the industry. So there is a risk of that could happen. So that's where we are now trying to navigate, okay, in this uncertainty. My personal view is that the automotive industry in Europe in the last 3 years has been completely depressed, I mean, especially the European after the COVID when we were at approximately 15 million cars in Europe in the COVID year, in 2020.

The following year due to the semiconductors, we were also at 15 million cars. In this year, 2022, because of the war, because of the energy, whatever, we are again at 15 million cars. So we are in a depressed mode in this moment, okay. So I think we can only go up
Mahindra CIE Limited

October 18, 2022

Page 6 of 18 and I expect to have a recovery, as IHS said in the last report, of 7%, 8% of growth for 2023. So my expectation is that hopefully, the market will go up and will recuperate in the next years, yes.

Moderator: We have our next question from the line of Nikhil Kale from Axis Capital. Please go ahead.

Nikhil Kale: Can you help us, I think in the previous quarters, you had talked about constant revenue growth at constant RM. So can you just help us with the numbers for this quarter?

Ander Alvarez: Yes. Okay. In India, we had the raw material growth coming from the raw material with 6% approximately. And in Europe, 15%, okay. That's the figures that we had.

Nikhil Kale: There's a difference in RM impact? Positive impact?

Ander Alvarez: That's right. Those are positive impacts because of the higher raw material price. Year-on-year.

K. Jayaprakash: And that currency change impact also of 11% for Europe.

Ander Alvarez: Yes. And that's also additional impact, 11% difference. And we have 11% negative due to the currency in Europe, yes.

Nikhil Kale: But yes, very clearly, you are seeing really strong outperformance versus the industry. So just if you could just provide color, I mean, which segments are you seeing, especially in Europe, I mean, what would be the revenues of Metalcastello? I think there, we are running at full capacity. So maybe just some color on the PV forgings and also in the Truck?

Ander Alvarez: Yes. Metalcastello is working at full rate in this moment. As we mentioned in the previous call, Metalcastello is doing really well and most of our Metalcastello production goes to the U.S. The U.S. market is still pushing very, very hard and we are working 24 hours, 7 days, okay. And we are adding capacity to fulfill the demand. So in that sense, yes, in Europe, one of the winners is our Metalcastello company evolution. Regarding the passenger car forging, yes, also, the trend is also very strong, and we are selling at a very high rate in this summertime. You know that usually, in the summer, we have the summer holidays when our customers are stopped about 3 weeks completely. And this year, we were expecting probably a higher drop. But in fact, the demand was really strong. And you can see in the figures that we were about, in EUR, 39% above last year in Q3, okay. So, yes, the evolution is really, really strong. Part of this 39% of growth is coming from the raw material, as I stated before, approximately 15%. But we can consider that passenger car is doing also really well. And the commercial vehicle sector also grew and also show certain good performance. Probably it's more cyclical, and

we expect certain decline in the next quarters, we could foresee that. But overall, I think the market continues quite strong.

Nikhil Kale: Okay. But just coming to the CV forgings part, I think you're seeing really strong growth. But at the same time, we've been talking about scaling down that business over a medium to longer term. So how do both these things now kind of play out in your plans?

Mahindra CIE Limited
October 18, 2022

Page 7 of 18 Ander Alvarez : Yes. The point of this business, you know that at the CV forgings in Europe has the less profitable business that Mahindra CIE has worldwide. This business is poor profitability, is affected also negatively in really high inflation scenario and also with high raw material plus energy price increases. So the evolution of this business is more and more difficult, okay. So that's why we rather prefer to slow down rather than growing and having additional difficulty. So our strategy there is we continue trying to improve the business and trying to get the maximum efficiency, on

one hand. On the other hand, of course, we have no chance than passing through the cost increases to the customers. In this business, we cannot accept 60% or 70% of because then we would be in a negative point. So we have no chance and be more aggressive to pass through these cost increases, okay. So that is the reality of this business. So in the future, we will have to decide what will be the strategic growth for this business.

Nikhil Kale: For the time being, can we just assume maybe growth will be in line with how the CV industry in Europe kind of pans out, will continue to grow at similar levels?

Swapnil Soudagar : Growth in Germany?

Ander Alvarez : Yes.

Swapnil Soudagar : Will it be in line with CV industry growth?

Ander Alvarez : No, probably what we will see in Germany will be lower growth than the market growth, okay. We will probably reduce certain products where we are not profitable. So we will see a certain reduction in the turnover.

Moderator: We have our next question from the line of Abdullah Salmani from Metaverse Equity Funds. Please go ahead.

Abdullah Salmani: Actually, my question is related to war only. I mean, in the aftermath of the Ukraine war in China, how will your business strategy change prior to war and post?

Vikas Sinha : How has the Ukraine war changed our business strategy?

Ander Alvarez : Okay. In fact, we have not changed strongly our strategy because CIE's strategy has always been local-to-local supply, okay. We prefer to produce in America what we sell in America, produce in Europe what we sell in Europe and produce in Asia what we sell in Asia, okay. That's the strategy. So we keep this strategy. Now, also because of the environmental requirements and more stringent targets that we have, we are also trying to avoid unnecessary logistic cost and emissions. So in that sense, this local-to-local strategy is reinforced. Considering that we are a global company, and we have our let's say, we are positioned in all the automotive markets around the world, I think this is the proper approach. And that's exactly what we are now perceiving from our customers.

Our customers, they are now more and more looking for this strategy that I think is more sustainable and avoid logistic costs, currency exchange costs or risks, emissions and also geopolitical tensions that, okay, time to time happen. And we know that this can disrupt and/or break the supply chains around the world, okay. So I think that Mahindra CIE Limited
October 18, 2022

Page 8 of 18 is the strategy. So we will reinforce our presence in India to grow in locally and to produce locally what we sell here. And also, we will keep the European business and the Mexican business and the American business there, in order to supply locally to all the markets. That's the strategy. There is no big changes in our view because we have had this strategy from the beginning.

Moderator: We have our next question from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: Ander, earlier, we had moved one order from Metalcastello to India around 5 million. So how that has gone successfully? And are we seeing some of these U.S. business order to Metalcastello to transfer into Indian manufacturing? So what is the strategy over there?

Ander Alvarez : Yes. We have transferred part of the production from Metalcastello to India. And due to many different reasons, okay. First reason is that the final customer was located in India. So it makes sense as I told before, the local-to-local approach, I think it makes sense to produce those parts in India. And secondly, also because of the lack of capacity and the, let's say, the bottleneck that

we have in Metalcastello Italy. So that also make pressure to us to move this production to India. So we have done this, the transfer, the transfer was successful. And we are producing in India with normality to the final customer. So also, it's important to say that we have had during these years, we have done the technology transfer from Italy to India. And now we are producing really complex parts in India, and we have now the knowledge. We have the machinery to produce the same kind of products that we produce in Italy, we can produce them also in India. So this process is ongoing, and it's ongoing successfully. So both the Gears division in both regions is doing fantastically.

Bharat Sheth: So in future, do we expect, I mean, to get more Gear business because the way I mean capacity constraint, we are facing in Metalcastello to transferring into India? And how big is the opportunity?

Ander Alvarez : Okay. In this moment, also in India, we have, let's say, certain bottlenecks because of the capacity constraints. Not exactly in this moment because the tractor business is now quite low, and we produce a lot of gears in India for the tractor business. But once the tractor business come up, that will come for sure. Our capacities in India are also limited. So our plan is to continue investing and growing in India, and we have our plans to expand our Gear division in India. And also, we have plans to build new plants to continue our growth trend and take the opportunities that we have in the market in this moment, okay.

So not necessarily transferring from Metalcastello. Some of the products could be transferred from Italy to India if it makes sense. But the current market in India is giving us enough opportunities to continue our growth in India without the need of transferring production from Italy.

Bharat Sheth: And second question now, ICE to EV . So Europe and India, how are the things are playing out? And second thing, what we have been listening at some of the people, I mean power train manufacturers

are reducing crankshaft capacity, or transferring to other products.
Mahindra CIE Limited
October 18, 2022

Page 9 of 18 But ICE business, so how do we see gaining a market share in the ICE business over time?

Ander Alvarez : Okay. In Metalcastello, as we have already explained in previous calls, we got new businesses from electric vehicles, very large business that we have now, let's say, increased. I mean, we have been nominated for additional electric vehicle products. So we see the trend, clearly. And the new orders are now more and more coming from the EVs and the hybrid vehicles. So in that sense, in Metalcastello, the transition will be absolutely natural because the market is pushing us to that kind of components. And coming back to the internal, let's say, the rest of the forging, I mean our crankshaft business is not affected yet. I mean we are not affected until now because due to the mix of product that we have with a mix of customers, plus the market evolution, we don't see the reduction. But what we are now preparing ourselves is that in 4 or 5 years, we will probably see a decline on the demand of these kind of products, and we will prepare ourselves to change our product portfolio to others, as we mentioned also before, from chassis component and also aluminum forgings and all other kind of products that we are developing in this moment.

Bharat Sheth: So I believe that in Europe, we had started or we were to start about on aluminum forging factory. Where we are at this moment?

Ander Alvarez : Okay. We have had our first orders in the aluminum forgings, and we continue developing the technology plus the products, and we are working on it. I mean there is no additional

information that I can disclose, but we continue working on it.

Bharat Sheth: Okay. On India business, any addition of new clients or any addition of the new business in Q3 vis-a-vis earlier quarter? And how those new customers, which have been added over last 12 months, is performing?

Vikas Sinha : Any new big orders, no. But in terms of new capacity additions, I think capacity additions are ongoing in almost every vertical that as we have reiterated in the past. You have Magnetics, where there is an expansion program, which will substantially increase capacity. We have a new plant at Gears. A new plant is being set up at AEL. All these are ongoing programs. You have CIE Hosur, where most of the infrastructure has been set up.

And first order, we have started to generate revenue from that place, and it is now in the process of being ramped up. You had the warm forging plant, which has been partially set up at Chakan. We will put in more machines there. So the capacity addition is an ongoing process. In terms of order book, if there are any significant new orders, at this time, we don't have that, maybe we will talk about it in the year-end call. But we let you know about the order book or the new orders generated in this year during that period.

Bharat Sheth: So Vikas, my question was related to more on the new client acquisitions or increasing the content per vehicle from the existing clients? So if you can give a little more color on that side also.

Vikas Sinha : No, in terms of increasing our share or having more business from our existing clients, that's going on. Whether it is Mahindra, as you know, Mahindra is going through a lot of new model launches. So we
Mahindra CIE Limited
October 18, 2022

Page 10 of 18 are there in all of the new model launches as also the model launches next year in the EV space. Same case, as far as Maruti is concerned, and also, we have a very strong situation developing in Tata Motors also. So that is in the 4-wheeler segment. In the 2-wheeler segment, we have talked about how CIE Hosur, we have had new orders. CIE Hosur has the new setup for new orders that we have got, I think, from PSA and Royal Enfield. So that is there. So we have like, for example, Ander talked about how he is bullish about the tractor segment, which will have an impact on our plants at Rajkot and Zaheerabad. We are receiving from the new model launches by Mahindra in the tractor segment. A lot of them are slated in the coming few years, not necessarily in the next few quarters. But they have a strong pipeline of there, and we will be presenting all of them. So to that extent, we are quite comfortable in this area.

Moderator: We have our next question from the line of Enrique Yaguez from Bestinver Securities. Please go ahead.

Enrique Yaguez : I have very general questions. The first one is regarding the constraints that you have in India. Do you foresee the need to accelerate the CapEx allocation in India next year? Or with the ramp-up of the current investment, this will be enough to supply the market?

Ander Alvarez : Okay. It's true that we have in certain businesses, in certain verticals, we are limited and we cannot continue growing if we don't invest. But our investment plan is solid and it's done from, let's say, several years ago, okay. Even in the COVID year, 2020, last year, 2021 and this year, we are investing heavily to, let's say, prepare ourselves to cope with the demand that we foresee from the market, okay.

So this year, we are investing and I can give you the figure, that's close to, till now, INR4 billion on CapEx. Most of it is located in India, and we are adding capacity, and we are adding plants in almost all the verticals, okay. So we

continue our capacity expansion trend and because we needed to continue growing in the market. So we expect that during this year, we will have an important CapEx in India.

Next year, we will have again because we think that the Indian market will continue growing. And also, regarding the mix of customers that we have, we see that, okay, we are growing a lot with Mahindra as it is normal. I think Mahindra is doing really well, and with the new products they are launching, they are having a big success, and I think that will be a good opportunity for us to continue growing. Also with Tata, also with Maruti, I think that we are well located to continue our growth strategy, okay. So to your question, yes, we have had limitations, but we are now launching additional CapEx, aligned with our customers, to fulfill with the demand, okay. So our strategy is to continue our customers as much as we can.

Enrique Yaguez : Thank you. And the other two questions are regarding profitability in Europe. First one should be Q4. You mentioned that there has been some delays in the pass-through of energy inflation to some clients. So my question is, taking into consideration that is pending pass-through and the limited visibility that we have on market demand, should we expect a profitability improvement in Q4, taking into account our pending pass-through in Europe?

Mahindra CIE Limited
October 18, 2022

Page 11 of 18 Ander Alvarez : Okay. If the situation of the energy market is stabilized and the demand continues as it is now, yes, we should have this recovery, okay. Because we will be able to recuperate what we lost in the

previous quarter. The point is that we don't know what will happen with the market in the next quarter, and we don't know what will happen with the energy, okay. So that's why I cannot say total yes or a very solid yes to your question because it will depend on how the energy market plus the demand behaves. But in normality, yes. If you recall from the previous quarters, in the Q1, we were negatively affected because of the start of the war in Ukraine and in February, March, the energy went up and we had difficulties. So we lost certain margins. In the Q2, we recuperate, now in the Q3 as the energy is picking up again, we go down again. So that's the scenario we are suffering, very, very complex scenario. And yes, it's really, really tough situation to manage with this uncertainty. But yes, I agree that in a normality, we should be able to recuperate part of the margins that we have lost in this quarter.

Enrique Yaguez : Very clear. And the last question is around Q4. Next year, obviously, it's going to be a year in which the huge labor inflation in Europe would have to pass through to clients. How confident are you of being able to pass through the labor inflation in Europe, which will be the first time in the case we have interact this?

Ander Alvarez : It's very, very difficult question because my feeling is during the negotiations that we have had in this period with the customers, they refuse to apply any price increase due to the inflation, okay. They consider that they should pay the raw materials because this commodity is coming, and they pay the energy price. At the beginning they refused. But finally, they agreed, and this is generally agreed by all the OEMs because otherwise, they will destroy the supply chain. So this is clear. But the inflation, that is the complex thing to pass through because they consider that we should offset this with the efficiency gains and productivity gains internally. So if you want to know my request to all the teams in my businesses in Europe, what we have done is we have set an internal target to offset this inflation in labor, and we should

be able to offset that impact through the growth in the business that are growing or through, let's say, social plans or, let's say, firing people in order to increase our efficiency to be able to keep the margins, okay. So that's the strategy, there is no way than resisting and improving internally to offset those impacts on the inflation.

Moderator : We have our next question from the line of Nikhil Kale from Axis Capital. Please go ahead.

Nikhil Kale: So just wanted to understand, so again, going back to the Europe performance, have we seen any benefit because, say, some suppliers are based out of Ukraine or Russia have been impacted? So are we kind of gaining market share because of this kind of an impact? Any examples of this?

Ander Alvarez : No, not from Russia, from Ukraine. We have not seen this impact. We have not been benefited from production coming from Russia or Ukraine. It's not the case. What we have been benefited in some small businesses is from some small companies that are close to bankruptcy because of the special situation in the European market. So there is a consolidation there. So yes, we expect to see certain
Mahindra CIE Limited
October 18, 2022

Page 12 of 18 consolidation in the market because of the bankruptcy, but from European suppliers, not the Russians or the Ukrainian suppliers.

Nikhil Kale: Okay. Got it. And just on the CapEx side, you, I think, mentioned that you're seeing really good demand in India, especially when you're looking at CapEx. So what is the churn I mean, the CapEx guidance for this year, you would need so close to the CapEx will be close to

INR5.5 billion for the full year on a consolidated basis?

Ander Alvarez : The CapEx in global, I think, would be about 5% of our total turnover. That's the figure that we manage, yes.

Nikhil Kale: That should continue, going ahead, for the next year as that would be a safe assumption?

Ander Alvarez : That's right. Yes.

Moderator: We have our next question from the line of Siddhant Dand from Goodwill.

Siddhant Dand : Yes. Could you give me the German PBT number of German operations for 3 months for the quarter and 9 months of Mahindra Forgings?

Vikas Sinha : Germany and for Mahindra. PBT in Germany. Okay . Wait a moment.

Vikas Sinha: No, I think we don't have it readily available, right? We will share this PBT numbers about the German business at the year end. But what we can tell you in terms of gross margin performance, it is more or less similar to what we have done in the earlier quarter in Q2.

Siddhant Dand : Okay. But EBITDA, is it at the PBT level, is it positive or negative?

Vikas Sinha: No, it is not negative. It will be around the 0 mark . Even last year, on a full year basis, it was something around that only, about PBT 0%, 0.5%. So it will be something like that only.

Siddhant Dand : And my second question is about the debt figure. So what would be the gross debt figure now? And is it in India and Europe ? And will interest rate have an impact over there?

K. Jayaprakash: Okay, sir, if you're asking about net financial debt, we are about INR7.5 billion. And yes, it will have an impact because the rates have gone up, both in Europe and India, about 2%. But I think overall, if you see in our scheme of things, finance cost is not really significant.

Siddhant Dand : Okay. So INR7.5 billion, that is around INR750 crore, right?

K. Jayaprakash: Yes, yes.

Siddhant Dand : And what's the rate in India, Europe about the debt?

K. Jayaprakash: India would be about INR1 billion.

Siddhant Dand : India would be about INR1 billion. So mostly, it is Europe debt?

K. Jayaprakash: Yes.

Mahindra CIE Limited

October 18, 2022

Page 13 of 18 Swapnil Soudagar: Okay. If you want gross numbers, it is actually issued if you're looking for interest cost impact.

K. Jayaprakash: Yes, okay, you can look at what we earn also. So that's yes.

Siddhant Dand : Okay. And my next question is, can India so what is the India's top line target by CY'25? And can the margins reach like 17%, 18%, like our current margin for the India business?

Vikas Sinha: Say, India, C'25.

Ander Alvarez: Yes, we have always had internally the target to have the same

margins in India than in the rest of CIE, okay. So that is clear, okay. We don't disclose long-term target in our company. But as a strategy or at least our risk in MCIE, yes, we would like to be there or above, okay. So what we see clearly is that the growth in India will be higher than the rest of CIE markets, and the margins should slowly but steadily should be able to recuperate and to grow, to reach or, let's say, surpass CIE margins, yes.

Siddhant Dand : And growth. And what are the growth targets for the India business? Around 15%?

Vikas Sinha: No, no, we don't have any such target that we have set for ourselves. What we normally say, normally work towards is whatever is the weighted average market growth, we will grow maybe higher by 10% than that. Earlier, we used to say 5% to 10%, now it will be closer to 10%, will be higher than the weighted average market segment. When I say weighted average market segment, we have a certain portfolio spread in India across 4-wheelers, 2-wheelers, tractors and trucks. So based on that weighted average, we want to beat the market by, say, by 10 percentage points as a general rule.

Siddhant Dand : Okay. And about the interest cost has gone up for us. And so what was the cash-pulling deal that we had with CIE? Is the interest cost still 1.5 over there?

K. Jayaprakash: It is for the time being .

Moderator: We have our next question from the line of Ankur from Quasar Capital. Please go ahead.

Ankur: Sir, I had a question on growth. So considering the interest rate hikes worldwide and the headwinds with the auto industry is going to face or is facing, how do we think about growth because obviously, our underlying business is linked to the automotive industry? So can you share some thoughts on how we will grow, whether it will be purely organic, inorganic because organic growth, it seems to be difficult to come by?

Vikas Sinha: No, Ankur. As far as organic growth is concerned, we don't think that at least in India, that would be the case that we would not grow. Ander also mentioned that we have a lot of medium - to long-term expectations from the Indian market, not just in MCIE, but also our parent CIE has that kind of expectations. So we do expect the Indian automobile market to grow. Of course, there are certain headwinds that we know around inflation and around the geopolitical scenario and expectation of recession in many places in many countries. But nevertheless, we do believe that the Indian automobile markets in all
Mahindra CIE Limited
October 18, 2022

Page 14 of 18 segments will keep growing. Why we say that? For example, the penetration ratios, both in 2-wheelers, tractors and 4-wheelers, is much lesser compared to the global average. In the case of 4-wheelers, it is only 28 per thousand, which is much lower than even other emerging countries.

In tractors, I also believe that the tractorization levels, there is a lot of scope for improvement in terms of horsepower per hectare. 2-wheelers, maybe only 50% of the households in India have 2-wheelers and 2-wheelers is a necessity

. So there is enough scope for growth. We also think that, yes, there will be headwinds, but income levels will keep growing. It could be at a reduced rate compared to what could have been if there was no such headwinds. But nevertheless, it will increase. And therefore, this combination of demand as well as income, we do think that the medium - to long -

term, in the Indian automobile market will be good.

To answer your question around Europe, I think Ander did mention that the European market has come down to very low levels. What used to be in the range of 20 million light vehicles per annum, today, this year is probably in the range of 15.2 million, 15.3 million. It was 15.5 million in the year before. It was around 16 million the year before that in 2020. So it is already at a very low level compared to what it used to be. And therefore, there will be some recovery at some stage, even in the European market because the base levels are very low. So we are not ruling out organic growth at all. We are quite hopeful, as far as the organic growth is concerned.

As far as your inorganic question, we have said that we will normally not want to do inorganic. We want to do any acquisition for the sake of growth. We want to do acquisition to fill up capability gaps in our portfolio, whether it will be, say, for example, any new technology or any new customer that we would like or any new segment that we could service. It would be largely for that and not necessarily to push growth that we would be doing an acquisition. So inorganic, we keep looking at it. And whenever we find something that really fits our bill, we will certainly go for it. But I don't think we are relying on inorganic strategy for growth.

We do believe organic will be there that from a market perspective. And overall, and as we explained in the question that Siddhant had asked and especially in India, we do think that given our order book scenario, given the fact that we have been able to improve our efficiencies and competitiveness in the recent past, we will be able to grow faster than the market. We talked about a 5% to 10% or closer to 10% kind of figure higher than the India market growth. So not only do we expect the market to grow, we also expect to grow faster than the market in India. So that is our thinking at this point of time.

Ankur: And sir, one more thing, like I heard about an interesting strategy with MCIE is following that localized manufacturing product and production. Like the context is that I was just thinking from a company operational perspective and the way inflation, the energy prices and all of it is hitting the manufacturing operations for each and every company. So considering that like aren't the customers, like the end OEMs, looking forward to a low-cost manufacturing base rather than just a localized base? Yes, maybe temporarily, till the time, there are logistical issues or any of those sort of issues, it is understandable. But let's say, in the medium term to long term, Mahindra CIE Limited
October 18, 2022

Page 15 of 18 wouldn't these big OEMs think about rationalizing their cost structures and shifting their supply chain, maybe a more diversified supply chain, but to a lower cost of plant like the base which we have in India? So like can you share some thoughts on that?

Vikas Sinha: When we say it is CIE's stated strategy, as far as local-for-local is concerned. By and large, it would continue like that. Yes, you are right. There will obviously be a quest to look for lower-cost sources of manufacturing. And this has to be balanced with all the logistical risks that companies have faced in the recent past, whether it was due to COVID or due to the semiconductor issues that people were facing

or even to the shipping cost situation that happened last year, like there was a container shortage so all these things have to be balanced together. So there is a need for low-cost manufacturing, and then there is a need for this balancing of supply chain.

So when it is centered local-for-local, it does not mean local means Maharashtra for Maharashtra or something or just only India for India.

By and large, that would be the case. But as low -cost markets, wherever we have opportunities to export, we will export. So it is not as or like whether this China Plus One strategy. Are we benefiting? Yes, in areas like Gears, in areas like Magnetics, we gain from this kind of situation. So both the things are correct. So what you are saying is also right. Wherever we see an opportunity, we'll take care of it. But by and large, OEMs now try to balance their supply chain risk, and that is the reason why CIE has that strategy.

Ankur: Okay. So can you just quantify the amount of exports from India, like a percentage of sales from India?

Vikas Sinha : Roughly about 12% to 13%. And we have said in the past that we would like to increase this. About 2 years back, I think if you go back to our transcripts, we had mentioned that we want to take it up to 20% but after that, there has been a very strong domestic demand. You heard like how we are increasing capacity in each of our verticals, a lot of it. And a large part of it is to service the demand from our customers in India. So to that extent, our first priority is definitely to service our existing customers. So yes, we do have at the back of the mind but back of our mind. But at this point of time, our first priority is to fulfill the demands of our order book essentially that we already have.

Ankur: Okay. Just one more like one more point, it is just coming from a perspective that there is one of the portfolio coming like, let's say, that of ZF commercial steering, okay. So let's say, this particular company, it is manufacturing certain parts in India, okay. And it is supplying to some of the supply chain worldwide. So like from a CIE perspective, is CIE looking at their supply chains from a synergy point of view that, let's say, there is a particular part which we are able to source it well from India in a better way or let's say, they are able to source it better from Italy unit in a better way. So like I just wanted to know that are we using the global platform base and the global manufacturing platform base to actually benefit from this benefit in terms of many things like cost and other things? So are we open to do that because the local -to-local, it seems like especially if I think from a medium - to long -term perspective, it seems pretty tough?

Mahindra CIE Limited
October 18, 2022

Page 16 of 18 Ander Alvarez: Okay. The local -to-local strategy is a general strategy, okay. It doesn't mean that the 100% of the production will be local to local. There will be a percentage that for sure, for cost reasons, for synergies, even for technological reasons, could make sense that we could concentrate in the production of one component in one region and then export from there, okay. And in that sense, India, of course, is well located because the cost base is much more competitive than the rest of the regions. So yes, we can see what you proposed or you mentioned, depending on each product. As a general rule, we prefer to go local -to-local but in certain cases, of course, we will produce in India, and we will export, okay. And especially, for example, in certain technologies that our level in CIE in India, we will produce for sure in India and deliver to the rest of the countries, okay.

So let's say that we have a very open mindset on it

this. We set our general strategies. And what is true is that Vikas explained before, saying that we were planning 2, 3 years ago that our export rate should grow importantly and pass from this 12% to 20%, even 25%. In this moment, we think that this is not the right strategy because first, the local market is demanding more than enough in India. So we are struggling to supply to the current customers here in India. So that is the good thing.

And secondly, the logistic cost has gone up dramatically. Also, not only the cost because of the availability in certain moments, we were not able to find ships to deliver our product. And also, there is a big pressure especially in the European and American customers to reduce the CO₂, the carbon footprint.

So let's say, considering all these things, I think we will focus our efforts on locating the production in each of the regions. And of course, if there is an opportunity and there is a need and there is a certain product that makes sense to produce an export, we will do it for sure.

Ankur: And sir, just the last question. Sir, I was just going through the annual report, and there was a very interesting data point, which I found that currently, the incremental vehicle sold are more of a hybrid vehicle than a pure battery-operated electric vehicle, okay. So can you just share your viewpoint on the trends and the way your customers are perceiving their strategies? Like are they perceiving like are they forcing their strategies from a very open perspective and they are letting the market discover or they are particularly saying that hybrid vehicles is going to take the lead? Can you just throw some points because this is important because it is also written in the annual report that if it is a hybrid vehicle, the content per vehicle for Mahindra CIE increases?

Vikas Sinha: You're talking about Europe, I guess?

Ankur: Yes, Europe.

Vikas Sinha: So Europe, that trend remains the same. Battery electric vehicles even in this quarter or YTD this year up till September are about 10% and hybrid at around 20%. Overall, between petrol and diesel, they are close to 50%, 55-odd percentage. Now, whether it is deliberate strategy or that is the way the market is evolving. So at this stage, it is very hard to say whether it is because the OEMs are pushing or the market is evolving. What we think based on last year's Mahindra CIE Limited
October 18, 2022

Page 17 of 18 aggressive plan that the European Union had announced on that 55% reduction in emissions, we do think that by 2030, about half of all the vehicles sold in Europe would be pure battery electric vehicles, but that's 2030. So that's the expectation, based on whatever like, for example, IHS is telling us based on this new revised guidelines that the European Union has issued.

Earlier, of course, this number was 30%, pure battery electric vehicles, by 2030. It has gone up to 50%. How between now and then how this mix changes, et cetera, we'll have to see whether it will be hybrid or only pure battery electric vehicles. It's based on many things. There is charging infrastructure. That is the way people drive long distance, short distance, the inflation considerations, the subsidies that the government give. So there are a lot of variables. So exactly between BEVs and hybrids, how is it going to be? We really don't know. But to your point, in the medium-term, do we perceive that it could be advantageous for MCIE? The answer is yes, not just from a hybrid point of view, but also from the traditional powertrain. The traditional powertrain is still a large part. As I said, almost 50%, even if it comes down to 30%, 30% of, say, a 16 million, 18 million market is a huge number.

And not much inve

stment is going in into the conventional or the traditional powertrain component manufacturing. So to that extent, opportunity lies there also. So in the medium-term, actually, there is a

lot of opportunity, not just risk, to look forward to in this transition. But to answer your original question, it is very hard to say whether the OEMs are pushing this or it is evolving. I guess I'll request Ander also to add his views on to this.

Ander Alvarez: No, I agree Vikas I mean I think the hybrid vehicles are, let's say, the best solution for Mahindra CIE because the amount of components is higher. So we have both electric components plus the internal combustion engine components.

But I see the hybrid solution as a temporary solution, okay. So it's the bridge. The hybrid will give the bridge to the electric vehicle, to the pure electric vehicle in the future. So I think it's a necessary step. It will be used and it will be probably massive in the next 4, 5 years. And then once all the charging infrastructure is already set, then there will be the smooth transition to the pure electric vehicles, okay. So that's my view. So I think there will be growth on the hybrids. And then the growth up from, let's say, 2030, 2032, then we will see a pure battery growth importantly.

Moderator: Thank you. I would now like to hand the conference over to the management team for closing comments. Over to you, sir.

Vikas Sinha: Yes. Thank you. Thanks for your time. I'll request Ander for the closing remarks.

Ander Alvarez: So thank you to all the participants for the well-directed and clever questions that you did. I hope that we answered properly and you have now the better knowledge of our company.

As always, I would like to say thank you to all Mahindra CIE team that has been working in a very hard and difficult conditions during all these months. And I thank you for the effort, their commitment and their work, okay. And finally, I just wanted to say to have a nice,
Mahindra CIE Limited
October 18, 2022

Page 18 of 18 Happy Diwali festival and enjoy with your families and rest because I think we will have after the festive season, we will have to fight again in this complex market. Thank you very much.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This statement has been edited to ensure quality

Call: Feb 2023

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SEC/2023/038

27th February, 2023

BSE Limited
Corporate Relationship Department,
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BSE Scrip Code: 532756
National Stock Exchange of India Limited
Corporate Relationship Department,
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051.

NSE Scrip Code: MAHINDCIE

Dear Sir / Madam,

Sub: Transcript of Mahindra CIE Automotive Limited Q 4 and Full Year CY 22 Earnings
Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the
Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements)
Regulations, 2015 and our letter dated 20th February, 2023 in respect of advance intimation
for Q 4 and full year CY 22 Earnings Conference Call, please find enclosed herewith
transcript of the said call held on 23rd February, 2023.

The same is being uploaded on the website of the Company i.e. www.mahindrachie.com.

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,
For Mahindra CIE Automotive Limited

Pankaj Goyal
Company Secretary and Compliance Officer
Membership No.: A 29614
Encl: as above

"Mahindra CIE Automotive Limited
Q4 and Full Year CY 2022 Earnings Conference Call"
February 23, 2023

MANAGEMENT : MR. ANDER ALVAREZ – CHIEF EXECUTIVE OFFICER –
MAHINDRA CIE AUTOMOTIVE LIMITED
MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER –
MAHINDRA CIE AUTOMOTIVE LIMITED
MR. VIKAS SINHA – SENIOR VICE PRESIDENT ,
STRATEGY – MAHINDRA CIE AUTOMOTIVE LIMITED
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MAHINDRA CIE AUTOMOTIVE LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

Mahindra CIE Automotive Limited
February 23, 2023

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to Mahindra CIE Q4 and Full Year CY 2022 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Basudeb Banerjee from ICICI Securities. Thank you and over to you sir.

Basudeb Banerjee: Thanks Lizann. Good morning, good afternoon, good evening to all the participants. Thanks to Mahindra CIE management for giving us opportunity to host the conference call. I'd like to introduce management, represented by Mr. Ander Alvarez, CEO; Mr. K. Jaya prakash, CFO; Mr. Vikas Sinha, Senior VP, Strategy; and Mr. Oroitz Lafuente, Business Controller. Without wasting any time, I'd like to hand over to the management for their initial comments, followed by Q&A.

Vikas Sinha: Yes. Thanks, Basudeb. Thanks everybody for your time for joining on this call. I welcome all of you as well as Ander, our CEO. I will present MCIE results for the quarter four C'22 and full-year C'22. We follow the calendar year, just as a reminder. I will refer to the presentation that we have uploaded yesterday evening.

So let me begin with some key developments in the year 2022, which are described on Page five of our investor presentation. Our principal shareholder and promoter CIE Automotive Group of Spain increased its stake to 65.7% in C'22, an increase of nearly 5%. The increase in shareholdings shows the confidence CIE has in our company. The Board of Directors of MCIE at its meeting in December 2022, approved the proposal to change the name from Mahindra CIE Automotive Limited to CIE Automotive India Limited. India is one of the major growth markets that CIE Group is focusing on as part of its global strategy and the name change reflects this. The name change will be executed once all regulatory approvals are in-place, and it may take a few months. The Board also took note of a proposal to actively look for a buyer for the Truck Forgings business in Germany. This will allow us to focus on the car forgings business out of Spain and Lithuania, especially managing the transition that we are seeing in the car business in Europe to electric vehicles.

Accordingly, the Truck Forgings business in Germany has been classified as held-for-sale. We are not presenting the details of the Truck Forgings business in the Q4 C'22 and full-year C'22 results. The details of the operations held-for-sale are presented separately. The name of the

German Truck Forgings business was also changed to CIE Forgings Germany and we call it, CFG in our presentation as well as in the stock.
Mahindra CIE Automotive Limited
February 23, 2023

Page 3 of 19

With these three key highlights, let me proceed to 2022. The year 2022 has been an excellent year for MCIE. Let us look at the results in detail. The quarter four C'22 results for MCIE India, we know that we operate largely in India and Europe. So, our results are along India and Europe. The Q4 C'22 results for MCIE India are on Page seven. While 4-wheeler and truck demand was good, 2-wheeler was very weak in Q4 C'22, and tractor suffered from a high base of last year. Sales in India in Q4 C'22 were INR 13.4 billion, which was 26% higher than the same quarter last year, but lower than Q3 C'22, about 6.5% lower sequentially. The sequential drop happened because the Diwali season this year was in the third week of October and large part of festival led production happened in September.

The India operations achieved an EBITDA percentage of 18.5

% in Q4 C'22 versus 12% in Q4

C'21 and 15% in Q3 C'22. Please note the Q4 C'22 EBITDA includes the positive impact of INR 378 million of profit on land sale. Without this, the recurring EBITDA margin in Q4 C'22 for India was 15.7%, still higher sequentially by 0.7%. Also note that Q4 C'21 EBITDA margin had a one-time VRS cost that lowered margin by 1.2%.

Even if we adjust for one-time effects in both the quarters, the Q4 C'22 margin is much higher year-on-year than Q4 C'21, 15.7% versus 13.2%. And this reflects the fact that the Indian operations continued the journey to match the global standards of the CIE Group. On Page eight, we have the results for MCIE Europe in Q4 C'22. These financials don't include the German Forgings business, CFG, which have been held for-sale.

The Q3 C'22 and Q4 C'22 numbers have been stated accordingly. Sales of INR 7.3 billion in Q4 C'22 which are 43% higher year-on-year versus Q4 C'21 and 7.5% higher than Q3 C'22 sequentially. We are clearly beating the market with European light-vehicle production growing year-on-year by 6.6% in this quarter. EBITDA margin in Q4 C'22 was a healthy 14.5% higher both year-on-year and sequentially, that is versus the 11.1% in Q4 C'21 and 13.5% in Q3 C'22. Margins improved as some of the increases in energy and inflation got passed through and the energy prices are starting to stabilize.

On Page nine, we see the consolidated MCIE Q4 C'22 results, which are a combination of the good results in India and Europe. Consolidated sales were INR 20.7 billion, 31% higher than Q4 C'21. EBITDA INR 3.55 billion, 92% higher year-on-year, EBIT INR 2.78 billion, 135% higher year-on-year and EBT INR 2.7 billion, 145% higher year-on-year. The full-year C'22 results for our Indian operations are on Page 11.

Sales increased by 29% versus C'21 to INR 52.5 billion. This was higher growth than the underlying market. As said earlier, the four-wheeler and truck markets did very well, while tractors were sluggish on a high base and two-wheelers, continued to be weak. This trend is going to continue. The EBITDA margin of 15.9%, EBIT margin of 12.0%, and EBT margin of 11.9%, are all much higher than C'21. This reflects strong sales and margin performance. Please note the effect of one-time cost on C'21 and C'22 results, as explained earlier. The PAT percentage in C'22 is 9.1% versus 3.9% the previous year. The C'21 PAT percentage was

Mahindra CIE Automotive Limited
February 23, 2023

Page 4 of 19

affected by the one-time negative impact of roughly, INR 1,426 million of deferred tax liability on Bill Forge goodwill. So please adjust for that.

Looking ahead, we expect the growth momentum to sustain in India for the next few quarters. Our order book in India is in line with these expectations and we have been adding capacities in almost all our verticals. In India, we are balancing order book requirements and investments in capacity, such that both growth and profitability objectives are met.

On Page 12, we have the full-year results of C'22 for our European operations. These are without CFG held for-sale with sales of INR 29.8 billion. There has been a 27% growth vis-a-vis full-year C'21, much higher than underlying market growth. EBITDA margin in C'22 was 14.5%, EBIT 11.4%, and EBT 10.9% all slightly lower than C'21, largely on account of the unprecedented increase in energy costs. C'22 PAT is negative, INR 6,159 million and that includes INR 8,475 million of losses coming from discontinued operations. In Europe, we expect the market to start recovering very gradually and are focused on improving our profitability.

On Page 13, we have the C'22 consolidated results of MCIE. Sales was INR 82.2 billion, which is a growth of 28% versus C'21. The EBITDA margin was 15.4% versus 15.2% in C'21, EBIT

11.8% versus 11%, and EBT 11.6% versus 10.4% all one-time effects have been explained earlier.
The co

nsolidated PAT is negative INR 1,362 million, which is minus 1.7% and includes, INR 8,475 million of losses coming from discontinued operations. About INR 2 billion of positive exchange rate impact on CFG goodwill and net assets is pending to be a lot allocated to the P&L account in 2023. This will be done once the CFG sale transaction is completed. The note explaining the impact of holding CFG for sale is shown on Page 14, separately. This note is also a part of the results statements submitted to the stock exchanges and SEBI. We have already explained the details earlier in the stock.
On Page 16, you will see our average consolidated balance sheet which shows the healthy state of MCIE. Return on net assets is 17.9% and return on equity without the goodwill, write-off is 15.3%. Net financial debt is INR 1,444 million that is roughly INR 145 crores.
The cash flows are shown on Page 17. The company generated operating cash flows to the extent of 73% of consolidated EBITDA, which is very good. Growth capex was INR 3.5 billion and this is without maintenance capex, and this was largely focused on projects in India, some of which are highlighted later on pages 20 and 21.
Overall capex was 5.6 percentage of sales, which is in line with our norms, while our consolidated PAT is negative on account of classifying CFG as held-for-sale. Our cash generation has been good in C'22. Taking this into account, the Board of the company commented that dividend payments be maintained. Accordingly, MCIE will pay a dividend of INR 2.5, that is INR 2.5 per share after the approval in the AGM scheduled later in the year. Pages 20 and 21 presents some operational and commercial highlights subsequent to some of the new photographs of the new plants added. Pages 22 and 23, give details of geographic and
Mahindra CIE Automotive Limited
February 23, 2023

Page 5 of 19

technology-wise breakups, market segments and key customers that we operate with. Page 24 provides details of our electric vehicles' portfolio; electrification of powertrain has seen rapid adoption in Europe. Market share of battery-electric vehicles has crossed 10% there. And it is getting to become more mainstream in India as well, especially in two- and three-wheelers. We have developed a good order book for EV parts and are working with major European and Indian OEMs in the EV space across segments.
Our EV order book covers aluminium and steel forgings, gears, stampings and composites parts for E-two-wheelers, E-three-wheelers, and E-four-wheelers. So, the photographs of some of the parts and there. Page 25, summarizes our overall strategy, which has remained unchanged from previous years. Our strategy is based on the global strategy of CIE Automotive Group the global strategy, which has a track record of success in four continents, Europe, North and South America and Asia.
Pages 27 and 28 provide a report card on the effectiveness of our strategy. On page 27, we have shown revenue and EBITDA margin trends for our Indian and European operations since calendar year 2016, which was the first full year of reporting results. Revenues from India have grown 3.2 times between C'16 and C'22 and this includes two acquisitions. Revenues in Europe in C'22 are 0.9 times of that in C'16, but this does not include CFG, which has been held-for-sale.
The share of India and consolidated revenue has grown from 33% in C'16 to 64% in C'22. EBITDA margin in India has grown from 11.5% in C'16 to 15.9% in C'22 and that in Europe from 10.9% to 14.5%. Page 28 shows similar trend for consolidated results. Consolidated revenue has grown 1.6x, EBITDA 2.2x and EBIT 3x between C'16 and C'22. EBITDA margin has increased by 430 basis points and RONA percentage that is return on net assets by 890 basis points in the same period.
Page 29 provides a snapshot of our stock market history since 1st January, 2015. The next fe

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pages talk about market statistics and forecasts from relevant sources, followed by the results submitted to SEBI in the prescribed format. The MCIE team is confident that it can utilize future opportunities and face future challenges with agility in order to meet the shareholders' expectation of sustainable growth and profitability.

With that, I would like to thank you and proceed to Q&A. Basudeb?

Moderator: The first question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services.

Jinesh Gandhi: Quickly, a couple of clarifications. One is with respect to the European business. Can you talk about the growth in euro terms, constant-currency growth?

Vikas Sinha: For the quarter or for the year?

Jinesh Gandhi: For the quarter and the year.

Vikas Sinha: Yes. So I think for the year, volume term growth would be about 11%. And for the quarter. Oroitz, can you help me with that?
Mahindra CIE Automotive Limited
February 23, 2023

Page 6 of 19

Oroitz Lafuente: Yes. For the quarter, the volume increase has been 40% there was negative exchange rate impact of 3%, but volume increase has been approximately 40%.

Vikas Sinha: Okay.

Jinesh Gandhi: Wonderful. 40%.

Vikas Sinha: Oroitz, is it 40% or 14%?

Oroitz Lafuente: 40%.

Vikas Sinha: 40%. 40 percentage .

Jinesh Gandhi: Okay. And this is a volume growth, tonnage growth?

Vikas Sinha: Yes, without exchange rate, without raw material.

Jinesh Gandhi: Second clarification was with respect to the India business financials given in the PPT. So in which line item would the revenue, the gain on -sale of land would be accounted for? Would it be in revenue or operating other income?

Vikas Sinha: Which one? Which plan?

Jinesh Gandhi: The gain on sale of land.

Vikas Sinha: JP, which line item in the SEBI result takes into account the gain because of land sale. Hello?

K. Jayaprakash: Sorry, Vikas. I was on mute, Vikas.

Vikas Sinha: Sorry, sorry. You heard the question?

K. Jayaprakash: Yes. I heard the question. Sorry, it is shown as an exceptional item, it is neither in sales, nor in other operating revenues.

Jinesh Gandhi: In the PPT. India financials, because I could not see any exceptional item there.

K. Jayaprakash: In the PPT it's part of EBITDA.

Jinesh Gandhi: EBITDA also the part of our revenues, right?

K. Jayaprakash: Not revenue, because revenues only, purely product sales.

Jinesh Gandhi: And in terms of the question which I have is regarding the business one. We have seen a very sharp improvement in profitability of EV forging business, which is held -for-sale. So anything structural which has changed there, or that there is any one -off there?

K. Jayaprakash: So can I take that Vikas?

Vikas Sinha: Yes, please. Yes, JP, go on please.

Mahindra CIE Automotive Limited

February 23, 2023

Page 7 of 19

K. Jayaprakash: Yes, so yes, we have exceptional write -back this quarter for the employee payouts that's been planned because of volume drop expected, but since contracts have been signed, those provisions are no more required.

Jinesh Gandhi: Okay.

K. Jayaprakash: Some settlement of prices from -- back dated. So they are exceptions, almost EUR 7 million of the EUR 10 million.

Jinesh Gandhi: And the last question pertains to what we've seen on the aluminium forging side. We have mentioned about, we have started supplies there. So can you talk about what kind of order wins we have? How has been the response from customers for this new product category for us? That will be my last question.

Vikas Sinha: So under the question is. What has been our experience with aluminium forgings so far.

Ander Alvarez: Okay. We have -- we are actively quoting several projects in the aluminium forgings field. We are developing this product commercially and we have got as you all know and we already informed,

we got already our third business and we are already producing the first products in this technology.

And we are, let's say, sure that in the next quarter, in the next month, we will be able to get additional projects and develop this business. Okay. So, we are planning to make this transition from our combustion engine components to this, let's say, new technology that we will prepare and we will manage to make this a smooth transition in the next year. Okay, so the process is going quite well. We have already started and the expectations are also optimistic.

Moderator: The next question is from the line of Siddhant from Goodwill.

Siddhant: Yes, hi. I just had one question regarding the dividend policy. My assumption was that there would be around the INR 200 crores payout or 25% of profit. Is it because of the write -off that you've chosen to give a lower dividend or could you give a future guidance on dividend policy?

Vikas Sinha: JP, will you take that?

Oroitz Lafuente: Yes. You can explain it JP.

K. Jayaprakash: Yes. You're right. We had -- we have a dividend policy where we say 25% of PAT. But since we have a negative PAT this year, we have chosen to continue with the last year's dividend that we had declared. Since we started only last year. But going forward, our policy is very clear on what we want to do.

Siddhant: Okay. So next year, we can expect 20%, 25%.

Vikas Sinha: Yes.

K. Jayaprakash: Yes, absolutely.

Mahindra CIE Automotive Limited

February 23, 2023

Page 8 of 19

Moderator: The next question is from the line of Pratik Kothari from Unique Portfolio Managers.

Pratik Kothari: Sir, my first question on the India business. I believe, in the last quarter call, we had -- so earlier our stated guidance or aspiration used to be that we'll outperform Indian markets by 5 percentage points, 10 percentage points. But then. I guess last quarter, we revised it at, we'll do at least 10 percentage of outperformance. And we have seen that happening here. If you can just highlight what is driving this outperformance or regaining market share, etcetera?

Vikas Sinha: Yes, I'll take that. Yes, thanks, Pratik. So if you look at the weighted -average for the year, full -year, I'm talking about the full -year. The weighted -average growth rate and you have the segment -wise breakup for India, about 49% is four -wheelers, 23% is two -wheelers, 20% tractors and construction equipment and so on, and roughly 8% is trucks. These are overall, rough numbers.

So if you do a weighted -average calculation based on these numbers, that would be 14%, against 14% we have done 29%. Some of it is of course raw materials, which this year would be lower.

Where are we getting it from, we have to understand. Lot of our anchor customers are growing M&M, Tata Motors, Maruti, they're growing. M&M both in light vehicles, as well as tractors.

We have been getting more orders in areas where we were earlier less present like Hyundai, Kia John Deere, even in Tata Motors. So we are increasing our presence and we have been adding new customers.

So all three parts are there. Large part of the growth -- and also exports, especially from AEL, Aurangabad Electricals. So these would be the drivers that has allowed us to grow much faster than the market. We expect some of these trends to continue. As we have pointed out, we are adding capacity in for the last one, two years and this year also. We will be adding capacity in almost all our verticals. And we are careful because we want to balance both growth and profitability objectives. So that is not really a problem for us at this point of time. So balancing investments and profitability is our key focus at this point.

Pratik Kothari: Sir, my second question on Europe. I believe in the middle of last year, our expectations, and I believe that was also the IHS forecast that second half could be better than first

irrespective of

holidays, energy prices, etcetera. But that hasn't panned out. So one, your comment on that and second outlook for next year in Europe especially.

Vikas Sinha: I'll give you the overall numbers and then I'll request Ander to comment on the European market. Of course, we have outgrown the market in Europe also, quite handsomely. You saw the volume growth numbers that Oroitz said, about 40%. In Q4, the growth numbers in the light -vehicle market was 6.6%, so it is much higher than that. A part of it is because of Metal Castello. Going forward, what is the forecast? I think this year we ended up in light vehicles at about 15.2 million units production. That is expected to go up to 16.1 million or 16.2 million, something like that. So that is the kind of growth, so some, okay, 6%, 7%, 8% growth is expected in Europe this year. So this is from a market perspective, but from a more business perspective, I'll request Ander to talk about how he looks at the European market.

Mahindra CIE Automotive Limited

February 23, 2023

Page 9 of 19

Ander Alvarez: Thanks. Okay. Yes, it is true that in global figures in calendar year '22, the market performance especially in the light vehicles was quite disappointing, because we were all expecting certain growth. But unfortunately, mainly because of the Ukrainian war, plus the semiconductor shortage that still remains, we were not able to -- we saw market going down a little bit in calendar year '22. Okay.

For calendar year '23, we expect the market to recover, at least as Vikas said, we can expect between 5% to 8% recovery that was expected. Of course, this is providing the Ukrainian war and let's say the restrictions with Russia will not create additional disturbances in the market. Okay. That is probably one risk factor that we all have in mind. But we see the economy

recovering, we had certain fears of recession in the economy in Europe, it seems that at this is not happening and also the inflation is going down.

And the most important point that I think is affecting our day-to-day business, is that the energy prices have also been stabilized and the electricity cost is approximately, now at EUR 140 per megawatt, when three months ago we were that above EUR 300 per megawatt. Okay. So, considering all this scenario, we think that 2023 will be a good year. We will see increase also in our activity both in metal Castello, CIE forgings.

We see a strong demand in this moment. We expect a good year also. And let's say that the '23 '24, this period, we will see the recovery that we didn't see in the last couple of years due to the semiconductors and Ukrainian war. So we are moderately optimistic for the next couple of years.

Pratik Kothari: And the outperformance in volume versus European market is outstanding, so hearty congratulations to the team there. Just on that part again. So this additional wallet share of the business that we have won against the industry, against the smaller peers. We were talking about consolidation earlier. So how sustainable, I mean, obviously, this doesn't happen every year, but whatever extra that we have gathered, I mean, how sustainable is this?

Vikas Sinha: Ander, so the question is, since we have grown much faster than the market in Q4, especially, means that we have gained from smaller suppliers. So, a bit of market consolidation is happening. How much of that is sustainable or we'll lose some of that going forward?

Ander Alvarez: Okay, let's say, that we think that this trend will continue in the next year, okay, I mean the perhaps was quite relevant or higher than even what we expected. But for the next year we think that this consolidation will continue. Okay. This growth especially in the let's say the automotive passenger forgings activity will continue and we will see certain improvement for that side, that's our expectation. Probably at a slower pace

than in the previous year. Okay. So that is also a reality.

And regarding the growth coming from Metal Castello, that was last year, we have the big jump on Metal Castello, the gears business that we mainly are exporting to the US. This market is doing really well also. And we expect to continue this growth trend, especially because we have been awarded with additional new programs. So, we are quite optimistic on that, okay. The key point here is that we are adding capacity to full and to cope with this additional demand, because in this moment, our capacities are almost full. Okay. So that is the comment that Vikas maybe Mahindra CIE Automotive Limited

February 23, 2023

Page 10 of 19

before regarding that we need to align our capacity to the demand, and we are taking care of that capacity increase in our verticals.

Pratik Kothari: Great. Good to know. Sir, last question just on the other operating revenue, that has doubled over the last two years and that I believe is largely scrap, seems. If you may just highlight what is the material number now?

Vikas Sinha: JP, other operating income has doubled in the last two years. Any comments on that? It is largely scrap. That's correct.

K. Jayaprakash: No, no, it is largely scrap, but the doubling is actually a reclassification of all the energy compensation that we are getting from customers, were credited to the power and fuel expense in other expenses line, because that was more a sharing of expenses in terms of concept with the customer. But from an accounting point-of-view, it had to be reclassified to other operating revenues, so you see increase in other expenses as well as increase in other operating revenue. Otherwise, the operating revenue will remain at the previous quarter level.

Pratik Kothari: Okay. Sure. Thank you and all the best sir.

Vikas Sinha: Yes. Thank you so much.

Moderator: Thank you. The next question is from the line of Nemish Shah from Emkay Investment Managers Limited. Please go ahead.

Nemish Shah: Yes. Thanks for this opportunity, and congratulations for a very good set of numbers. So, I had a question on the Europe business and specifically on the margin front. So if I compare our CY '21 margins ex of German business, so we did about 17.2% EBITDA margin in CY '21 and we have closed at about 14.5% in CY '22. Now, given that the inflationary trends are largely stabilizing and we expect some pickup going forward as well. And so do we anticipate us inching back to those CY '21 level margins in the coming financial year?

Ander Alvarez: Okay. Let's say that you are right that we had this margin reduction from calendar year '21 to calendar year '22, and there are two main reasons. Okay. One is the raw material growth, raw material prices inflation and that our pass through, almost 100% of the cost increase is passed - through to the customer, but without any margin. Okay. So that dilutes our margins, approximately 1% is coming from that effect, okay.

The second main effect is, as you know and as we have already mentioned is regarding the energy prices, energy price increases. I mean, electricity and gas prices went up dramatically

during calendar year '22. And this impact, we negotiated and translated, and transferred to the customer, only partially, okay. It was a big discussion on this passing through process and part of this was absorbed by our accounts.

Okay. So that's the second main impact that we had last year. Okay. So, regarding let's say, the evolution of these margins during calendar year '23, we think is that the raw material effect will continue, because it seems that in Europe, there will be a certain additional increase on steel prices, that is our main raw material in these verticals.

Mahindra CIE Automotive Limited

February 23, 2023

Page 11 of 19

So, we will have this disadvantage in margins in calendar year '23. But on the

other hand,

regarding the electricity, water and gas prices that are going down and stabilizing, as I mentioned before. So, I expect that we will recover certain margins coming from that concept. Okay. So, let's say that we expect certain recovery, but not all because of this raw material increase, that is continuing, going up.

Nemish Shah : Okay. Understood. Yes, that's it from my side. Thank you.

Vikas Sinha : Yes. Thanks, Nemish.

Moderator: Thank you. The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Thanks for opportunity, sir. My congratulations for good performance as well as for taking decision on selling of this German forging business, which is a very difficult decision for CIE, because our accord is always to turn on any difficult acquisition we make, but finally, we have taken this decision. So, my hearty congratulations for that.

Sir, my question is on this -- since last three, five years, I'm hearing from Mahindra CIE external some, speaker of some auto giants, automobile companies, auto parts that ICE engine parts will be a very big opportunity for companies like Mahindra CIE.

So, would like to understand that this opportunity has already arrived and that's why we are outperforming or you see much more opportunity from this internal combustion engines parts globally, because locally, they are doing really well, but outsourcing, exports, how big those opportunities and how prepared we are and how you see those happening now?

Vikas Sinha: Under the question is: as electrification happens in Europe, whatever ICE parts that are left, internal combustion engine parts are left. Will Europe transfer or outsource them to India and therefore there could be a big opportunity for Indian operations to export internal combustion engine parts to Europe say in the next five, seven years or whatever?

Ander Alvarez: Okay. We don't see this transfer of production from Europe to India. We see India internally, yes with the internal demand and the internal growth that we have seen in the local market in India. We think that we will have full opportunity to continue our growth strategy. Okay. So we don't expect moving production from Europe to India in at least in the next years. Okay, but of course, in eight, nine years later on, could make sense to concentrate all the internal combustion engine components in India, but not in the short term.

Based on the short-term, we think that there will be consolidation in the market in Europe, so some of the players will be eliminated. So there we will be certain winner that will consolidate the remaining market that is our aim. So that's the strategy, then also we are developing additional products for, let's say, with all the technology, as mentioned before, let's say, all these aluminium forgings, so we expect to do this a smooth transition.

Mahindra CIE Automotive Limited

February 23, 2023

Page 12 of 19

So that is probably the key point for our next European business evolution, the key points are the transition, consolidation plus transition, that will be the strategy, but movement from Europe to India is not, considering at this moment.

Sunil Kothari : Right. Sir, second question is our parent company has some goals and objective, by 2025 for some growth rate and having over 19% EBITDA margin. So, I understand Mahindra CIE also follow those type of goals, ambition and objectives, which are the hurdles or which are the challenges which you should overcome to achieve those type of numbers may not be 19%, but maybe 17%, 18%, 19% whatever? And what you are doing for that?

Ander Alvarez: Okay. We are working extremely hard in the improvement in our operations. Okay, you have listened to me in the previous calls, we always talk about our efficiency improvements and productivity improvements. Where we can be competitive and profitable in all

our verticals.

Okay.

During all these years, we have improved and we do you have same calendar year '22 results and we also expect to continue this improvement trend in the next year. So, as you also know, we want to be at the same EBITDA and profitability margins, our parent company. I mean, we need to be at that level, in this 17%, 18% EBITDA margins, those are our mid-term targets. So, we continue improving.

Yes. As an example, this calendar year '22 our added value per employee improved, about 15% improvement in this productivity ratio that is really important. So, for next year we even want to continue this improvement even further than this 15% that we got this calendar year. Okay.

So, the difficulties on the -- let's say the hurdles that we see in this process is that let's say that the mentality and the production style in our Indian verticals is less efficient than in Europe.

And we would like and we are trying and we are, let's say, making this transfer of technology and continue visits from our technicians and management to Europe to learn our strategies and how we manage our plants to transfer these best practices. And I think this is paying a lot of results. Okay. So, this trend will continue and we expect to continue improving our margins in India.

Sunil Kothari: Great, sir for a very detailed answer. Just last question is on this German operation, which we are planning to sell. What is the challenge to get the buyer or already we have found somebody? Throw some light.

Ander Alvarez: Okay. You know that we took this decision in the December's Board, in making of CIE. Since then, we have received several expressions of interest of certain several companies, and we are preparing the documentation. We are, let's say, exchanging information with these interested parties and we are developing this process, okay. Now there is no additional information to share, and during next months, when we advance in this process, we will inform accordingly.

Sunil Kothari: Great, sir. Wish you good luck and thanks a lot. Thank you very much.

Ander Alvarez: Thank you.

Mahindra CIE Automotive Limited

February 23, 2023

Page 13 of 19

Vikas Sinha: Thanks, Sunil.

Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Hello. Good afternoon sir. Yes. So Yes, I heard, the answer of...

Vikas Sinha: Rahil, you are very faint. Can you speak up a bit?

Rahil Shah: Hello, hello. Is it better now?

Vikas Sinha: Yes. Yes, much better, please.

Rahil Shah: Yes. So, I was just pointing back to the -- so that's -- previously about improving margins and the strategies you are following and how you continue to maintain a trend. So, on the similar lines, are we to expect as investors that from hereon, for CY '23, everything will be maintained, like on revenue front, on the EBITDA margins front? So you will be able to maintain the numbers, and it will only be upwards from here on?

Vikas Sinha: Rahul, you are asking a very difficult question, whether -- of course, we will try to maintain the trend as Ander pointed out. As he pointed out, our parent margin is higher, the previous question was that the parent is targeting 18% to 19% EBITDA margin. We are still some distance away. So our mid-term target as Ander pointed out, is to come as close as possible to CIE Global target of EBITDA margin. So that trend will continue.

Your second question around growth. Whether we'll be able to maintain the same growth rates is something that I will not comment on, but both -- but I'll talk about both the markets that we have. In India, we said that, our key challenge in India is really not order book, our key challenge in India is to balance order book requirements and investments. So, we are quite comfortable on the growth aspect. What we're focused on is to balance growth and profitability.

And

in Europe, Ander pointed out, there is a consolidation happening on ICE engine parts, and therefore, there are growth opportunities in Europe, beyond just market growth. So with these two factors, I would suggest that, yes, we'll continue on the growth trajectory, but whether it will be same, different or not, is a -- that is a question I will not answer, but yes, we will continue both on our margin improvement and growth trajectory. Is that sufficient or you would want some more clarification?

Rahil Shah: No, that will be all sir. Thank you and all the best to you.

Vikas Sinha: Thanks, Rahul. Thanks for your question.

Moderator: Thank you. The next question is from the line of Aman Agrawal from Carnelian Capital. Please go ahead.

Aman Agrawal: Good afternoon, sir, and thank you for the opportunity. A few questions from my side. Number one. It was on the German forging business, like this question is a continuation to the question

Have we set any internal timeline of -- by then, we basically want to dispose this business? That was my first question.

Vikas Sinha: Aha n, there is no such timeline that we are talking about. As our Board has noted that we need to do this -- we need to execute this strategy, and as Ander has pointed out, there have been several expressions of interest. So, it is our endeavour to execute this as quickly as possible and as and when some developments happen we'll keep you updated. But at this point of time, if like with your permission, this is the kind of update that we have.

Aman Agrawal: Understood, sir. The second question was on the India business, that we were talking about 5 percentage points to 10 percentage points higher than the industry growth, like that is our target for the India business. But if you can touch upon like with segment which we want to focus on, like we are present across the categories, forging, casting and all, like which specific segment are we more focused on and growing faster than the industry and which we want to grow more or less in line with industry. If you can touch upon it.

Vikas Sinha: Again, and I will take you back to the question, Rahul just asked, because he asked the same like whether the trend in growth will be maintained. Right now, the four-wheeler market is doing exceedingly well. As you know, it is perhaps the best year that we have had in a very long time, 2022, it's actually higher than 2018, which was the previous high.

And within the market itself, some of the customers that we work with more closely, M&M, Maruti -- M&M and Tata, especially and Maruti in the latter half of the year. They are also doing well. Plus, we are increasing our presence with Hyundai and Kia.

So, to that extent, four-wheeler market is one area that has been doing very well for us. Two-wheeler market. We have a strong presence but the two-wheeler market is just grew about 2% or 3% this year and therefore, and in the two-wheeler market, I think, Bajaj is our anchor customer, and because Bajaj very export-oriented, I think exports because of the currency crisis, especially in South America and Africa, Bajaj exports are little muted. So, to that extent, two-wheeler will continue maybe not very big growth for us.

Tractor market, again, has been doing very well. Even though tractor market in C'22 was some like maybe 2% lower than C'21, but the base is very high. I think the production in both C'21 and C'22 actually crossed 1 million, which is a very big number in tractors. So that base we think will continue in tractor. So, tractor is again a very good area for us.

Trucks, you know, the base has come down very strongly even though on a low base, trucks grew well. I think almost more than 20% and this year also,

all forecasts are suggesting at least

10% growth. So, truck market is growing, but on a low base. So, four-wheeler, yes is one area where we think we will benefit, largely, not only because the market is growing, but within the market some of our key anchor customers are growing, and within the anchor customers also, we have been doing well in terms of new orders that we're getting from them and we haven't talked about say whether it is M&M or Tata Motors, we have talked about it in the past.

So right now, that is the situation, why we think we are confident that to answer both you and Rahul's question earlier that we are confident that the growth trajectory will continue. Whether

at the same level, I think this year, we grew by about 28% or 29% in India. So, whether that kind of growth will -- trend will continue or not, is something we have to see, but the direction is, yes, we will benefit from growth in the market, as I've talked about segment-wise.

Aman Agrawal: Thanks for an elaborate answer sir. My question was mainly from the technology point of view, like we are present in forging, aluminium casting, iron casting, stamping, composites and all these segments. So within this like which are the main technologies we will be focusing on in terms of growth? And this was coming from the point of view that we want to increase our margins in the India business...

Moderator: Sorry to interrupt Mr. Agarwal. Sir, there's a lot of echo from your line.

Aman Agrawal: Is it better now?

Vikas Sinha: Yes, Yes, Aman. So, you are saying among forging, casting is that one area that we are focusing on. Sorry, I took it the other way, whether we are focusing on some segment. In fact, when it comes to technology segments, I think we are like, we are focused everywhere. So, it is not as if we are focused only on this or only on that. And let me just elaborate a bit, like forgings both in Bill Forge, as well as in -- as well as forging second plant, we have added capacity. Bill Forge,

we have talked about CIE Hosur in the past. In forgings, we have added presses. Like last year, we talked about in foundry. We had like refurbished our oldest and largest moulding line. Magnetics, we are increasing capacity. In gears, we have put up a new plant. In AEL, we have put up a new plant. In stampings, we have been doing a lot of robotic automation which will help provide value-added welded products. So, it is across the board. That is why I have given at least one example from each vertical to show that growth is happening across the board, it is not really restricted to any one vertical. So, we're really not focused on only one vertical. I talked about more market segments. So sorry for that.

Aman Agrawal: Got it sir. Just one final question from my side. Like in past con calls, like two, three years back, we have talked about merging the global forging businesses and also about acquiring a plastic business in India...

Moderator: Sorry to interrupt Mr. Aman Agrawal. Sir, your audio is not clear. We are not able to hear you clearly.

Vikas Sinha: I am able to hear, ma'am. So let me -- so his question is: few years back, we had talked about merging the Brazil, Mexico, China forging business of CIE. What has happened to that? Frankly, after the pandemic came, we have not pursued that proposal. So as of now, we are not pursuing that proposal. That's the answer to Brazil, China, Mexico, at this point of time. In fact, the priorities are different, there has been -- EV transition is happening, so all of us are focused around that and perhaps we will, I don't think we'll go ahead with that proposal.

And to your next question about M&A in plastics. Yes, plastic continues to be an area where we want to look for acquisitions. And we continue to look for it, if there is anything of interest, at the appropriate time, we'll let you know. So, that strategy continues. We haven't yet -- we have not been able to proceed on that.

Mahindra CIE Automotive Limited
February 23, 2023

Page 16 of 19

Aman Agrawal: Thank you, sir. That was really helpful, sir. Thank you for answering my questions.

Vikas Sinha: Yes, thanks, Aman.

Moderator: Thank you. The next question is from the line of Navin Matta from Mahindra Manulife. Please go ahead.

Navin Matta : Yes, thank you for the opportunity and congrats for the strong results. Just a question on the energy cost, you did comment that prices have come off from EUR 300 per megawatt to about EUR 140 currently. I just wanted to get a sense, the quarter four, what would have been our consumption off energy cost at? Would it be higher, and there could be some benefits that can flow through going forward?

Oroitz Lafuente : Yes, Vikas. Go on please.

Vikas Sinha: No, Navin, I was just asking if the question is, what percentage of our cost is or what percentage of sales is energy cost, is that what you're asking?

Navin Matta : No, sir. I was trying to understand what was our energy consumption cost in the fourth quarter, because I'm sure it's come down from EUR 300, to EUR 140 over the last quarter, but we would have consumed at a higher level. So, I'm just trying to understand what benefit can flow through as we get closer to this EUR 140 in our production cost?

Vikas Sinha: So absolute power cost in Q3 and absolute power cost in Q4 right?

Navin Matta : Yes, Yes, that's also fair.

Vikas Sinha: Yes, so Ander he is asking for total energy costs in Q3 versus Q4.

Ander Alvarez: I don't have the details in this moment, but the trend during the Q4 last year was, in October, we had something like EUR 300, to EUR 250 – EUR 300 per megawatt, then November was reducing and in December, we finished at approximately EUR 150 something like that. Okay, that is the average, you can that, could be around EUR 200 and EUR 250. Okay.

Then for this quarter, for this half of the year, in this moment we are at about EUR 140 per megawatt, that is the trend and is quite stable in the last weeks, so we can expect and this is positive because this will let's say reduce also the impact of the energy in our country, okay. So that was the effect that we expect to be positive in our margins through this effect.

Navin Matta : Got it. Thanks for that. And just one question on, our European operations again, we have showcased new products and we are gaining new orders. I'm just trying to understand over next two, three years, how should we think about our revenue mix between ICE and EVs? This is specifically for Europe.

Ander Alvarez: Okay. I think we will see the transition and a smooth transition from, let's say this calendar year '23, where the total electric vehicles' market share is approximately 10%. So what we expect to be above 60%, 70% in 2030. So, we will see this transition. What we are now -- we are getting

Mahindra CIE Automotive Limited
February 23, 2023

new orders from our customers and that for example, last year, approximately 30% of our new orders are from electric vehicles.

So what we expect is that there will be a transition, and our share of electric vehicle components will continue or will be increasing smoothly during this period, okay. It's difficult to give you a figure because the evolution of the market is unknown and the start of the new project is usually being delayed, especially when there are new technologies. And you can see the evolution of the new electric vehicle plants in Europe being delayed by the OEMs, mainly because of the technical reasons also the supply of the components, battery components and all these kind of things. Okay.

So my expectation is that we will have this smooth transition and increase on the share, and also the expectations are good or optimistic,

mainly because of the new order share on electric vehicles is becoming higher and higher every year.

Navin Matta : Understood. That's it from my side. Thank you so much.

Ander Alvarez: Thank you.

Moderator: Thank you. The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Basudeb Banerjee : Thanks. Couple of questions on my side. One question from the point which Navin was discussing. So at the steady state...

Moderator: Sorry to interrupt Mr. Banerjee, sir, can you use the handset mode while speaking.

Basudeb Banerjee : Yes, audible?

Moderator: Much better sir, thank you.

Basudeb Banerjee : Yes, so one question. Just wanted to know like before last one year, and this power price move to EUR 400 per megawatt-hour as you said. When it used to be at those steady levels, what was the energy cost as a percentage of revenue that time? And how much it moved up to at its peak?

Vikas Sinha: That is only for Europe or for consolidated?

Basudeb Banerjee : Only for Europe business, yes.

Vikas Sinha: So, Oroitz the question is, what was the power cost as percentage of European sales before the energy cost started going up? What was the max it went up to power cost as a percentage of sales and how much is it stabilizing at?

Oroitz Lafuente : Before it went up, it was approximately 5%, it increased for up to 8% more or less...

Basudeb Banerjee : Vikas, if you can repeat again, what Oroitz said.

Mahindra CIE Automotive Limited

February 23, 2023

Vikas Sinha: So it increased by about 5%. Oroitz, is that right? It increased by about 5% and now it is at around 8%, you are saying.

Basudeb Banerjee : So, it went from what level to what level? That 5% increase was from which level?

Vikas Sinha: So, Oroitz we couldn't hear you. When you say 5% increase. What was the level before the increase?

Oroitz Lafuente : More or less 3% it was 3%, over the sales, and now it has gone up to 8% over sales, more or less.

Vikas Sinha: So it was -- it has come back to 8% is what you are saying?

Oroitz Lafuente : Yes. The reference level before these energy increases went up, was around EUR 80 -- between EUR 60 to EUR 80 per megawatt, the previous energy price -- electricity price in Europe.

Vikas Sinha: So Basudeb we will clarify this a little later, because we are not able to hear Oroitz properly. So, we will clarify this later.

Basudeb Banerjee : And second question sir, like as you duly mentioned that because of the goodwill write-off of the Truck Forging, those one-off accounting aspects, dividend was limited to INR 2, INR 2.5 this year. And with normative free cash flow again starting to come back from next year, get enhanced along with some potential value sweeping in through selling off that asset.

So that extra cash flow on one side. And on the other side, in the December press release, you also mentioned that larger focus on European EV-led components speeds. So, if you can highlight any specific technology aspect or strategy aspect, how are you looking at European EVs, or in terms of acquisition? So, what's the way ahead other than what you are doing presently?

Vikas Sinha: No, no. Basudeb we will continue to do whatever we are doing. As Ander has pointed out, we do expect a smooth transition to EVs. As we have been saying the EV transition in Europe is being led by the same companies that we deal with. So to that extent that transition is a bit easier.

So what we're seeing is a twofold thing.

We are getting more and more new orders in the EV space. The new orders, as a percentage of overall orders that we get is increasing. And number two, we are also getting because of

consolidation a higher share in the ICE engine market. So both these factors will continue for some time and I think at this point of time, we don't require any special effort like doing an M&A or something, we ju

st have to manage this transi tion. Ander, would you like to add anything more to this?

Ander Alvarez: Nothing...

Basudeb Banerjee : Because exactly, that's what I was trying to understand to grow and expand European business through the EV route, you need some external capability additio n or organically, you can grow.

So that's what I was trying to understand.

Mahindra CIE Automotive Limited

February 23, 2023

Page 19 of 19

Vikas Sinha: No we can grow organically. No problem. The only new technology we're adding is aluminium forging and that is going on as Ander pointed out.

Basudeb Banerjee : But that is anyways a part of your 6% capex to sales outlook.

Vikas Sinha: Yes, exactly. There is not too much capex required in aluminium forging. I think in a previous call Ander had pointed out, it is largely the allied machines that are required, heat treatment and finishing and so on and so forth.

Basudeb Banerjee : One of your key competitor who has also entered the same field almost two years back is still grappling with capacity utilization and making EBITDA losses. So, how to look from that angle then?

Vikas Sinha: Yes, it's a journey for them and us for both. So that's okay. We have to manage this transition.

Basudeb Banerjee : Sure. Okay sir, thanks.

Vikas Sinha: Yes, thanks, Basudeb.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Vikas Sinha: Yes. Thanks and I'll hand you over to Ander for his closing remarks.

Ander Alvarez: Okay. So thank you all for your participation in this call and your all directed questions. I hope we answered appropriately and you felt the real performance and value of our company. And as always, I want to thank you all Mahindra CIE team for their commitment and fantastic job during a very complicated year. So thank you ve ry much everybody. Thank you.

Moderator: Thank you members of the management teams. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

[Edited for grammatical errors]

Call: Apr 2023

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SEC/2023/080

28th April, 2023

BSE Limited
Corporate Relationship Department,
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400 001.

BSE Scrip Code: 532756
National Stock Exchange of India Limited
Corporate Relationship Department,
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051.

NSE Scrip Code: MAHINDCIE

Dear Sir / Madam,

Sub: Transcript of Mahindra CIE Automotive Limited Q1 CY 23 Earnings
Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 21st April, 2023 in respect of advance intimation for Q1 CY 23 Earnings Conference Call, please find enclosed herewith transcript of the said call held on 26th April, 2023.

The same is being uploaded on the website of the Company i.e. www.mahindrachie.com .

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,
For Mahindra CIE Automotive Limited

Pankaj Goyal
Company Secretary and Compliance Officer
Membership No.: A 29614
Encl: as above

Page 1 of 18

"Mahindra CIE Limited

MANAGEMENT : MR. ANDER ALVAREZ – CHIEF EXECUTIVE OFFICER –
MAHINDRA CIE LIMITED
MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER –
MAHINDRA CIE LIMITED
MR. VIKAS SINHA – SENIOR VICE PRESIDENT ,
STRATEGY – MAHINDRA CIE LIMITED
MR. OROITZ LAFUENTE – BUSINESS CONTROLLER –
MAHINDRA CIE LIMITED
MR. SWAPNIL SOUDAGAR – DEPUTY GENERAL
MANAGER , STRATEGY – MAHINDRA CIE LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES
LIMITED

Mahindra CIE Limited
April 26, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to Mahindra CIE Q1 CY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Basudeb Banerjee from ICICI Securities. Thank you and over to you, Mr. Banerjee.

Basudeb Banerjee: Thanks, Nirav. Thanks to the senior management of Mahindra CIE Automotive Limited for giving us the opportunity to host the call. The management is represented by Mr. Ander Alvarez, CEO. Mr. K. Jayaprakash, CFO. Mr. Vikas Sinha, Senior VP Strategy. Mr. Oroitz Lafuente, Business Controller. And Mr. Swapnil Soudagar, DGM Strategy. So without wasting any time, I'd like to hand over the call to the senior management of Mahindra CIE, to take over. Thanks.

Vikas Sinha: Yes, thanks, Basudeb. Good afternoon, everyone, and good morning to those, who are joining from Europe. I welcome all of you. As also Ander, our CEO, we are going to talk about the MCIE results from January 2023 to March 2023, quarter 1 of calendar year '23, Q1 CY '23. At the outset, we would like to bring to your attention that, during this quarter, M&M has reduced its shareholding in MCIE from 9.25% to 3.19%.

We would also like to update on the name change. We have applied to the registrar of companies for changing our name from Mahindra CIE Automotive Limited to CIE Automotive India Limited. The approval is expected in the coming weeks. We now start with MCIE India results for Q1 CY '23, which are on page six. Sales grew to INR13,541 million from INR12,022 million in Q1 CY '22, which represents a 13% growth year-on-year.

In this quarter, our EBITDA was INR2,267 million, EBIT INR1,718 million, and EBT INR1,639 million in MCIE India. Thus, sales in MCIE India grew 13% year-on-year, EBITDA 25%, EBIT 28%, and EBT 24%. The EBITDA margin for India in Q1 CY '23, was 16.7% compared to 15.1%, in Q1 CY '22, and an operational EBITDA margin of 15.7% in Q4 CY '22. Please note that in Q4 CY '22, there was a one-time impact of EBITDA of INR378 million. That is on profit of land sale, due to which the reported EBITDA margin in Q4 CY '22 for MCIE India vertical, was 18.5%.

Now, the India business has grown on the backdrop of a mixed market scenario. The light vehicles market has grown at 9.5% year-on-year, in this quarter, but the two-wheeler market has fallen. We would also like to point out that Q1 seasonally, is normally a good quarter, it being the last quarter of the financial year. Now, we move to MCIE Europe results, for Q1 CY '23, which are on page seven. Sales grew to INR9,666 million from INR7,533 million in Q1 CY '22, which represents a 28% growth year-on-year. This increase in sales is helped by a 6.6% gain in forex and a 17% growth, in the light vehicle market year-on-year, in this quarter.

Please note, that the forecast for the subsequent quarters in the light vehicle market, show a much lower growth rate, on account of rising interest rates and uncertainties, in the economy. The Q1 CY '23 EBITDA, in Europe was INR1,699 million, EBIT INR1,423 million and EBT INR1,265 million. The sales grew 28% year-on-year, EBITDA 55%, EBIT 67% and EBT 52%, in Europe.

Mahindra CIE Limited
April 26, 2023

Page 3 of 18

EBITDA margin in Europe in Q1 CY '23 was 17.6% compared to 14.5% in Q1 CY '22 and 14.6% in Q4 CY '22. This improvement in margins was a combination of higher sales and lower energy costs. And now, if we go to page eight, we will see the consolidated results, which are a combination of the evolution, in both India

and in Europe.

In Q1 CY '23, MCI on a consolidated basis achieved sales of INR23,206 million and EBITDA of INR3,966 million, which is a margin of 17.5%, and EBIT of INR3,141 million, which is at a margin of 13.5%, and an EBT of INR2,904 at an EBIT margin of 12.5%. These margins are the highest margins, we have achieved in MCI history, and this aligns our results with CIE ratios globally. In closing, we would like to state that, we continue to focus on internal improvements and building, a stronger company, and with these, we will strive to take advantage of all the opportunities that, come our way. With that, we can proceed with Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment, while the question queue assembles.

The first question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta: Hi, sir. Thanks for the opportunity and congratulations, on a great set of numbers. Just one thing from my side, in Europe, we have posted very strong margins, during the quarter, you indicated, it's because of higher sales and lower energy costs. So, till what time or till how many quarters do you think, we will continue to get benefit of these lower energy costs?

Ander Alvarez: Hello, this is Ander Alvarez speaking. In Europe, you know that, during the last years, we have had a huge impact on the energy prices, especially, when the war in Ukraine started. Okay?

There was a huge peak on energy prices, both electricity and gas. During the complete past year, we suffered a lot on this, because the process of passing through to the customers was difficult and was delayed. And hopefully, by the beginning of the year, the energy prices, have gone down. Importantly, we are now at about, we can say an average of around EUR100, EUR120 per megawatt.

So, that is the impact on this energy cost, in our margin is coming to normality. Okay?

Considering that, we had already negotiated with the customers the pass-through processes, we have now recovered certain normality in our margins. So, this is one of the main reasons, to increase our margins in Europe.

Also, as Vikas explained in the presentation, the turnover, the volumes helped us also, because the market performed really well, in the first quarter. And what we see right now is that we can have certain uncertainties, on the volumes, but it seems that the energy prices, they continue in the range that, we are seeing now. Okay? This is something that, we cannot predict, but if the energy continues in the current range, both electricity and gas, because the gas is even below EUR50 per megawatt, when last year, we hit EUR180 in certain quarters, so now we are at

Mahindra CIE Limited
April 26, 2023

Page 4 of 18

EUR50 per megawatt, that is something a rationale. We will be able to keep current margins in the next quarters. Okay? So, everything will depend on geopolitical movements. What's going on with the war in Ukraine, what will be the balance on the energy prices between the different countries. That will affect, of course, to the energy prices. But our expectation is that the energy prices will continue more or less stable, at these figures, and if that is the case, we will be able to keep on, with the current margins.

Nikhil Rungta: Okay. Sir, just to continue on this particular question, say, if there is a status quo on the geopolitical scenario, then can we assume that the 17% to 18% margin in MCIE Europe, will be in a position to sustain that, say, over medium to long term as well?

Ander Alvarez: Yes. I would say, that considering this scenario

o and volume, let's say that the volumes are

fulfilled, the market continues running as it is now, yes, we should be in this range of margins.

Nikhil Rungta: Got it. And, sir, last question from my side. On MCI, India, I don't have anything to comment, continues to perform strongly. Just one thing on our discontinued operation during the quarter, we reported profit of approximately INR60 crores odd, INR70 crores odd, during the quarter?

So do you think, we will be in a position to get back basically, the goodwill or any impaired goodwill which we would have, which we would have written off, in the past quarter? Because given the book value of that discontinued operation now and the quarterly profitability, which it's reporting, do you think, we would be in a position to get a higher value, significantly higher value than that?

Ander Alvarez: Okay. In this, let's say, evolution of our German forging, we have had some one-offs, that are improving our accounts, in the last quarters, okay? Especially in this last quarter, we received the payment of several customers that, paid us the energy increase pass-through from the previous quarters, so it is because there are, in certain customers, we have delays in the application of the energy increases. So in this quarter, we recuperated these impacts. Also, we received a subsidy from the German government on energy.

So additionally, we have also one-off coming from, let's say, incident cost that we pass-through to our supplier. We had a quality issue coming from a supplier and we were able to pass-through this quality issue 100%, to the supplier. So these things made this really high results, in the first quarter. And what we see is that our selling process of the company continues, as we explained, in the last call. There is no any new information to share. We continue, the process is moving on. We have several interested parties and we are working with them.

We have prepared and exchanged several information with them. So, we continue with the process of the sale, of the company. So let's say that we are optimistic that, we will be able in the next quarters, we will be able to successfully close this operation.

Nikhil Rungta: Perfect, and sir, what would be our capacity expansion plan in Metalcastello given that, we were working at a high-capacity utilization there and we are getting good traction from big customers, both from Europe as well as from US?

Mahindra CIE Limited

April 26, 2023

Page 5 of 18

Ander Alvarez: In Metalcastello, in the last years, we have been adding capacity. We have been adding new machinery, state-of-the-art machinery, with several power scavenging machines. And these are the best-in-class machinery that, we are now using to produce gears in Metalcastello. The fact is that we have been also picking up to EUR75 million, EUR78 million, turnover in Metalcastello, that is the highest turnover that, we have ever had in the company.

Also the reality is that, in the next quarters, we are monitoring the American market because that approximately 70% of our sales in Metalcastello are shipped to USA and we see a certain decline in the demand in USA, for the next quarters. Because of the interest rate increase, it seems that, the economy will cool off a little bit. So, however, we continue investing in the critical and most important machines and we have launched also a couple of machines, in the recent days.

So we adapt our capacity in Metalcastello but we do it slowly and let's say, with firm steps because we are not sure that the expansion in the USA, will continue in the next quarters. Let's see, we will wait until, we see that the market is really booming but we have certain doubts, in this moment.

Moderator: Sir, the line for the participants has been dropped. We move on to the next participant. The next question is from the line of Nitin Arora from Axis Mutual Fund.

Ni

Nitin Arora: Hi, thanks for taking my question. The first question was, if you can talk about on the overseas PV forging business, with respect to the electric rather the customer acquisition on the electric side, if you can touch base, on that part?

Management: Under in CIE forging, on our acquisition of our EV business.

Ander Alvarez: Okay, so we continue very active in the EV business. Let's say, new project acquisition and we are working with several customers. Of course, we have already got a new business for electric vehicle to, let's say for battery packs in, for a truck manufacturer. I cannot disclose the name of the truck manufacturer but this is a reality. So yes, we are step by step getting new and more and more businesses for electric vehicles and we are planning the transition as commented.

It is complicated because the transition, how the transition will happen is not clear yet. It seems that in the next four year or five years, there will be a jump for electric vehicles. Till now, we are working with all the car makers and with all the truck manufacturers, on this transition and we are very active on that. Ok, you not, we are working for the, let's say, different components in the electric cars, especially in the battery pack that, they are using also steel forging components and we are working on the chassis components that, they are using forged aluminum components.

So we already got two or three new businesses. Now the fourth one, with the truck battery pack components. So the transition is there. We have the overall, we can say that approximately, 1/3 of all our new businesses, are coming from electric vehicles. So that's more or less the percentage that, we have in average. But and this percentage will continue growing for sure in the next years. But now that's, the information, I can share with you.

Mahindra CIE Limited
April 26, 2023

Page 6 of 18

Nitin Arora: That's helpful. Just going forward, let's say, on the same aspect of increasing the EV penetration in revenues and in order book for you and given our debt has come down a lot and I'm assuming next two years can be good in terms of your free cash flow. So does acquisition also come into the picture, where you can grow faster by acquiring something, in the electric side, let's say lightweight component companies or if you have something strategy, there in mind?

Ander Alvarez: We are quite active also in that field. Of course, we are interested in acquiring these kind of companies. Not so easy because the amount of companies working in this field are not many. Just two or three I would say. Okay, not all of them are ready to talk to us. But in principle, our strategy, my answer would be yes, we are interested in doing something, in that field. Also, we are especially in the Indian market, we are also very active looking, for different options to continue our inorganic growth trend okay.

The organic growth trend is moving, is being executed properly but the inorganic growth should come also. So we are trying to grow in both areas as, we already mentioned. We would like to grow 50% organic, 50% inorganic. That would be our strategy to grow faster than the market.

Nitin Arora: Thank you very much. I'll come back in the queue.

Ander Alvarez: Thank you.

Moderator: The next question is from the line of Prashant Kutty from Sundaram Mutual Fund.

Prashant Kutty: Yes, thank you for the opportunity. If you look at the European market, you seem to have grown much ahead of expectations and also much ahead of probably, the industry growth as well. While you just had about the EV part of it, are there any, is there a higher share of businesses which is actually also coming from the existing customers or any new customers have kind of gotten added, into this pack?

And just in addition to that, what's the outlook now, when you look at the Europe business?

Because I presume

, you always give a relatively lower outlook in terms of the Europe business.

Is the outlook changing now, as far as the Europe business growth is concerned?

Ander Alvarez: Okay, yes. The growth of our European business is coming from mainly, the increase of the market. Also, we had an increase in market share in certain customers. And that in our mix of customers, some of them are performing better than the others.

Okay, so we were lucky this time and our mix of customers did much better than the competitors.

Okay, so that's the main reason of having this outperformance over the market in this Q1. Okay, and regarding the future expectation for Europe, I would say that I'm not very optimistic regarding the continuing the growth. My view is probably, we will see a certain stabilization and a certain normalization of the market.

That's what, we see in our forecast and it seems that April, will be a little bit weaker and then in May and June, there is a recuperation. So let's say that we will see a European flat or a slight growth in Europe, in the next quarters.

Mahindra CIE Limited
April 26, 2023

Page 7 of 18

Prashant Kutty: The second point is that you spoke about the margin side of it. Obviously, a large part of the benefit, you highlighted is, that it's been coming from energy costs, the reversing and you passing on the customer, passing it on to the customers. How much of it is actually driven by efficiency?

Because like you said, you're working a lot of internal efficiencies and you actually want to kind of mirror CIE margins. So how much of it you should actually expect to be sustainable in the future? And like you said in the past, the CIE margins are typically in the range of 18 plus numbers. Do you feel that we can kind of reach that faster than expected?

Ander Alvarez: Yes, okay. These margins that, we already got in the first quarter, we think not only that they are sustainable, we think that we should continue improving them, in the next quarter. We have room for improvement, especially in India, where we are negatively affected by the two-wheeler business drop. Once the two-wheeler comes back up or bounce back, we will be able to improve our margins. That is also an important thing. And in Europe, what we think is that we have been

working very hard. Regarding your question of how much is coming from the internal efficiency? I would say that approximately one-third of this is coming from energy, one-third is coming from internal efficiency and one-third is coming from higher volume impact. So, the dilution of the fixed costs thanks to the higher volumes and bigger operations.

So my view, or at least my target, is to not only keep these margins but to continue improving them because as you saw that we are already at 17% EBITDA in the consolidated basis, but CIE target is 19%. So, I still have a lot of job to do, in order to reach this 19%. So that's our task, to make it a profitable business and sustainable business for the future.

Prashant Kutty: Last point over here, when you spoke about India, you said that you were largely impacted by two-wheelers. Is there any other impact, which is there or as far as the India margin is probably not being as high as your expectations, is there any other element which needs to be worked on because over there, like you said, the gap is far higher on the India business?

Ander Alvarez : I think, India business is performing really well. The main impact that we have is that we have three businesses affected by the two-wheelers, mainly aluminum AEL. We have a Bill Forge in Bangalore that is affected also by the two-wheeler and the magnet business that we have here in Pune is also affected. So these three businesses are negatively affected by the two-wheeler business performance.

Then of course, once the market comes, we all expect that there will be a recovery. We don't know when, but we expect

that this will happen. We will see this recovery and the improvement of these three businesses will give us the additional support to continue improving our margins.

Prashant Kutty: Thank you so much and all the very best to you.

Ander Alvarez : Thank you. Thank you very much.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.

Mahindra CIE Limited
April 26, 2023

Page 8 of 18

Jinesh Gandhi: Hi, sir. A couple of clarifications first. So, when we talk about M&A, this is largely for India, right? Or are we looking to acquire in Europe as well?

Ander Alvarez : Okay. No, yes, for M&A, what we are planning is mainly in India. Our target is clearly to focus on India. The thing that all our, even organic growth capex is also focused on India.

Jinesh Gandhi: Right. Secondly, for the European business, for the energy cost, the current quarter energy cost which we have accounted for is \$100 to \$220 per megawatt. And in coming quarters, if our spot price is trivial, then it will be at EUR50 per megawatt. Is that understanding, correct?

Ander Alvarez : I didn't catch the figures. Sorry, can you repeat them?

Jinesh Gandhi: One Q was at EUR100 to EUR120 per megawatt. And current is about EUR50 per megawatt.

Ander Alvarez : No, no, okay, we need to make a differentiation between the electricity and the gas, okay. In Electricity the previous we were at around EUR300 per megawatt last year in the third and beginning of the fourth quarter. And then now we are at EUR120, between EUR100 and EUR120 per megawatt. That is the reality in electricity. Okay.

And regarding the gas, the gas in the worst moments of the peak, we were at EUR180 per megawatt. That was also the third quarter of last year. And right now, we are about EUR50 per megawatt. And in the last month, it's quite stable. So, and the futures of the gas are also indicating that next year will be at around EUR50 per megawatt. So, that is the evolution of both electricity and gas.

Jinesh Gandhi: Okay, okay. So, if current spot prices prevail, then there would not be any material benefit coming to our margins in coming quarters?

Ander Alvarez : No, no. I think now, if the electricity and gas remains stable, we will remain also at the same level and stable and no impact not negative, not positive impact in our accounts in the future.

Jinesh Gandhi: Got it. And the third clarification was on MSP sale process. So you indicated we expected to complete it in next one or two quarters. Is that correct?

Ander Alvarez : Yes, yes. We continue the process. The process is quite active. And let's say that the market is showing a big interest in the company. So, we continue working hard and our interest is to do it as soon as possible. So, we expect that in one or two quarters, we will be able to give some feedback to the market. And of course, the strategy for our target is to close the operation before the end of the year.

Jinesh Gandhi: Got it. And on the EV exposure for our European operation, in the past we have talked about 20% to 25% of revenues coming from IC engines. Now with MSP exit, would that number still be same, or it will be on the higher side?

Ander Alvarez : I didn't catch. Vikas, can you take the question? I didn't understand.

Mahindra CIE Limited

Vikas Sinha: Yes, Jinesh, it will be higher because when we used to talk about dependence in Europe on IC engine parts, obviously a large part of our truck forging business was not in engines. It was largely in CIE forging. Germany was not on the engine side. So, obviously now the proportion of engine parts in our current portfolio in Europe is higher.

Jinesh Gandhi: And that would be roughly about 40% to 50%.

Vikas Sinha: We will have to do the calculations to see what our crankshaft dependence is. But yes, it will be higher than 25%.

Jinesh Gandhi: Okay, got it. And in terms of the EV components which we are getting in the European operation, you indicated that the battery pack is for the series is on steel forging. Is that understanding, correct?

Ander Alvarez : Yes.

Jinesh Gandhi: So, technically both steel forging and aluminum forging is finding acceptance on the EV component side and not just aluminum forging.

Ander Alvarez : In this case, it is development done with the final customer, with the OEM. And the best solution due to certain mechanical requirements of the components was the steel forge components for the truck market. In this case, we are talking about big batteries for class 8 trucks.

Jinesh Gandhi: Right, right. Got it. And lastly, this is a question on the consolidated interest cost. We have seen a substantial increase on a QoQ basis. Is it largely due to the market of European operations in terms of balance sheet or there is something else in that?

JP: No, Jinesh. It is the actual interest cost increase in Europe. Until December, we had that higher. But from January, the rates have hit 3% plus on the working capital.

Jinesh Gandhi: And this number is what it should sustain given where interest rates are.

JP: Yes.

Jinesh Gandhi: Got it. Thanks. I will fall back in the queue.

Vikas Sinha: Yes. Thanks

Moderator: Thank you. Next question is from the line of Priyaranjan from HDFC Asset Management. Please go ahead.

Priyaranjan: Yes, thanks. Two questions. One is on the European side. So now the gas cost has normalized. So, you have got the pass-through of all the gases for the higher cost. Do we also have to pass through for the reduction in gas cost because now it is normalized? So, if we have to reduce our pricing for the gas component.

Mahindra CIE Limited

April 26, 2023

And secondly, you have also talked about whether there is some subsidy etcetera. We have got from the German government for the gas pricing, etcetera. So, is there any impact of that in the numbers?

Ander Alvarez : Yes. Okay. Yes, regarding the energy pass-through, of course, if the energy, the gas goes up, we have an agreement to apply those increases with the customers. If the prices go down, of course, we reduce the prices for our customers. So, it's a pass-through system. So, it is working in both directions. Okay. So that's the first comment.

And second comment, on the German activity. In Germany last year, there was a big increase on energy prices. And the government took certain subsidies or decided to apply certain subsidies to the companies. And these subsidies came with certain delay and after big paperwork and certain bureaucracy. And we have got this impact. It's approximately EUR1million from Germany in the first quarter '23. So, this is one shot that there is, it will not be repeated. I mean, there is no further impact in subsidies expected yet. Okay. So, everything will depend on energy evolution and, of course, government decision on subsidizing or not the industries.

Priyaranjan: I understood. So, the current year, the current quarter pricing was based on the \$50 pricing? I mean, the \$50 per megawatt or EUR50 per megawatt price?

Ander Alvarez : Yes.

Priyaranjan: Okay. And coming back to India, so just on the, if the two-wheeler industry doesn't recover and remains where it is, like, say, 15 million, 16 million industries, so how soon or how easy we can repurpose our capacities to drive for, say, to newer segments like, say, passenger car or truck market or LCVs? Is it easy to do that or do we have to do substantial capex for that?

Ander Alvarez : Okay. We are quite active on new projects, and we are launching all the new projects that we hired last year. So, let's say that there are a lot of projects in the pipeline in this moment, okay? Rather than taking or getting new businesses that you know

that the lead time of these new

projects will take at least one and a half years, even two years, depending on the product. So, if we have to let it look for the short term, I think that our expectations are more in the projects that we have already launched in the pipeline, and we are waiting for the ramp-ups of our customers. So, I think that will be the proper approach to increase our sales.

And regarding the existing lines that are with lower load, mainly because of the two-wheeler market evolution, we are waiting until this market recovers, okay? So, we are not planning to refurbish the lines and eliminate this capacity because we strongly believe that this market will come back again, okay? Perhaps in three months or perhaps in six months, but we are now patiently waiting for this market to recover because we don't think that these low volumes will continue for long, okay?

Priyaranjan: And in terms of the capex, organic capex in, say, Europe, if we get some aluminum forging businesses, so are we ready to invest in capex in Europe as well, or we are more inclined towards capex in India?

Mahindra CIE Limited

April 26, 2023

Page 11 of 18

Ander Alvarez: No, for the aluminum, we will invest capex in Europe also, okay? Just for this strategic EV component, aluminum forging, we will invest, and we will prepare, let's say, state-of-the-art lines in order to compete in the market properly, okay? Those are probably the only projects, investment projects, that we will have in Europe. And the rest of the investment, let's say that 80% of the capex in our company will be in India for the different verticals where we expect to continue growing in the next years.

Priyaranjan: Okay, thank you. That's all from me.

Moderator: Thank you. Next question is from the line of Nishit Jalan from Axis Capital. Please go ahead.

Nishit Jalan: Yes, Hi. Congratulations on a good set of numbers. I have two questions. One more clarification.

So, in Europe, what you mentioned is there is a one-off benefit of subsidy which was about EUR1 million which came in Q1 which may not come going ahead. Are there any other one-off benefits that you got, let's say price hike from any of the customers pertaining to previous quarters which may not sustain going ahead? Just wanted to understand if there are any one-off benefits beyond the EUR1 million subsidy from German government?

And second question is on India business. If you can highlight any new order wins or any new breakthroughs with existing customers or new customers that you have made in the last six months, either on the passenger vehicle two-wheeler or the commercial vehicle side, that would be very helpful. Thank you so much.

Ander Alvarez: Okay. No, let's say that the subsidies that we got in Germany, it was one-off. In the current, the rest of the accounts, we don't expect to have additional one-offs in the future. So, if the energy prices remain stable, we will see the same level of margins in the future. So, we expect stability there. There is no additional impact expected right now.

And regarding the businesses, the new businesses, we are very active in the new project allocation, and we have been awarded for several businesses recently. And yes, we have got new business. Yesterday I was informed that we got one for rail business from a customer. I cannot disclose the customer, but this is a very important customer here in India that has already awarded us a new business. So, let's say that we continue developing all the verticals in the standard way and the amount of new projects that we are getting are in line with our budget. So, let's say that we are optimistic in this sense.

I cannot disclose the details because that certain customer, they don't like to use their names or the product names in this kind of calls because they prefer to keep certain, let's say, low level on this. But the evolution

of our company is solid. The new order allocation is also very interesting in this first quarter. And we continue with the same path that we had last year. So that's the evolution that we are having in this moment.

Nishit Jalan: Just one follow up here. I know you cannot mention the name of the product and customer but is there anything like an order book or let's say you have one order with X revenue potential annually that is still not translating into revenues and will come in the future. So basically what

Mahindra CIE Limited

April 26, 2023

Page 12 of 18

I'm trying to gather is how much faster can you grow compared to the industry production. So just wanted to, whatever numbers you can share, that would be helpful?

And then additional part here is there are a couple of domestic passenger vehicle OEMs also

which are launching EV models and they are your customers for different products. So are you getting any or have you got any or ders for EV components in India also from your, from some of your existing customers who are planning to launch EV SUVs in the next couple of years?

Ander Alvarez: Yes, we have got several components for the EVs, even for, especially from Mahindra and from Tata. Okay. Both of them we have been very active, and we have been awarded with several projects for electric vehicles. Okay. So yes, we are active on that. So that process is going on. Okay.

Yes. As a summary, last year, last calendar year, we got EUR10 billion per year of additional orders in, let's say, in the complete year. Okay. So, this year we expect to get additional, this, the same figure or just in that, in that range. So, we will continue adding more projects. Of course, from the moment that we are nominated, till the start of production and I'm going to the, let's say, at the peak volumes, it takes usually two years to three years.

So there is a delay in the, in the, in the launch of this, of this product. But as we have been, we have been getting new businesses during all these years, we will continue our growth, but of course, providing our customers are successful with all these products. Okay.

Also, and this is important to say that we are starting now also a certain electric vehicle components production in India to deliver to Europe and the SOP will be in the next couple of months. So this will also give us an additional jump on sales and also our percentage in electric vehicles will continue growing. So yes, there is an evolution. I think probably all the companies, in our market are perceiving this change in the portfolios and slowly, slowly the electrification is entering into our order books and probably we will see this transition happening in the next year. Okay.

But what is not clear yet is the speed of this transition, okay. Because probably in certain regions, the speed, the transition will be much faster than other regions like India, where we can expect a lower transition, but the transition will be there for sure.

Nishit Jalan: Okay. Thank you very much for the detailed answer.

Vikas Sinha: Just to add to what Ander said, you know, we have discussed in the past also that in India we are dealing with two -wheeler OEMs, about two -wheeler EV OEMs, five or six. Ander has talked about the main four -wheeler EV OEMs and we are also very active in the three -wheeler EV space, where again, Mahindra is a very big customer of ours in the three -wheeler EV market. So, we have a comprehensive outreach to EV OEMs

Every year we keep accruing orders in the EV space. And your question on the overall order book, of course, we don't talk about an order book number because, you know, that is based on the kind of volumes that will come in the future. What we normally tell you is that 25% of our

Mahindra CIE Limited
April 26, 2023

Page 13 of 18

sales in a year we target getting from new orders, which we have got in the previous years. And

the other thing that we have spoken about in the past is we want to beat overall market performance. If you look at the weighted average market performance, we want to beat that by 5% to 10% on a regular basis. So that's how we look at the scenario from on the sales perspective, okay?

Nishit Jalan: Thanks, Vikas. Maybe I will come back to you separately for more details. But thank you for the response both Ander and Vikas on the question. Thank you.

Vikas Sinha: Thank you to you.

Moderator: Thank you. The next question is from the line of Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale: Yes, thank you for taking the question. Congrats on a very good set of numbers. Just on the subsidy part that you mentioned, that is in Germany. So I would presume that it is in part of the discontinued operation, right? So the reported Europe EBITDA is completely clean with no subsidies and retrospective kind of cost or compensation to customers. Is that understanding correct?

Ander Alvarez: Yes, it is correct. Yes, it is discontinued operation. It is in the profit, not in the EBITDA.

Nikhil Kale: Got it Thank you. And the second question was related to, we are hearing a lot about employee cost inflation in Europe in this year. And probably OEMs would be reluctant to kind of compensate you for that. So how are you looking at that? If you could just throw some color on that.

Ander Alvarez: Yes. Okay. You know that usually the inflation in Europe in the last eight years, ten years was very-very low. Even in certain years we have been with deflation or very close to zero.

Unfortunately, in the last two years we have had a huge inflation. In 2021, in Spain, we had an inflation of 6.4%. In 2022, we had an inflation of 5.4% that is the impact.

So yes, the salary increases, the salary that we have negotiated with our unions are, of course, considering these increases. So we are negotiating with the customers to pass through the

inflation, at least partially with them. Of course, the discussions are there and, okay, it is becoming hard to get these pass-through, especially regarding the inflation, not with energy. Energy they already assume that it needs to be passed through and this is accepted. Also raw materials are accepted, but the inflation is more difficult.

So we are approaching in two ways. One is at least partial recovery from the customer and a certain, at least partial offset with internal efficiency improvements. Okay. That's the approach. What we have set as a target is that no, any loss, any sense of margin loss due to this. Okay. We need to be able either with the compensation plus the internal efficiency to compensate 100% of the inflation impact in our P&L.

Nikhil Kale: Okay. Got it. Thank you. That's my question.

Ander Alvarez: Thank you.

Mahindra CIE Limited
April 26, 2023

Page 14 of 18

Moderator: Thank you. The next question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead

Nikhil Rungta: Yes. Hi, sir. Thanks for giving me the follow-up chance. You indicated that you will continue to look for inorganic opportunities as well. So just wanted to check what would be the cutoff ROCE which we would be looking at in our incremental acquisitions?

Vikas Sinha: Nikhil, it's difficult. You know that our M&A activity is focused on India. In India we have, the valuations as what they are. From what we normally look for is in three years to five years' time, the marginal return from any acquisition should go back to 15%. So that's the simple way of looking at it, if you look at it. Whatever price we buy today in three to five years times that should be adding that business should be at a marginal RONA of 15%. That's all.

Nikhil Rungta: Okay. And, sir, just one more clarification. Like the state which is left with M&M, I said that last year CIE already reached to a cutoff range of

5% till September itself. So incrementally, if

M&M comes out with their remaining stake, CIE definitely might participate in the same, right?

Vikas Sinha: As, MCIE, we are not, like we cannot answer that question. But CIE has increased stake in MCIE in the past. So they will constructively look at the scenarios. But that is not something that is on the table as of now.

Nikhil Rungta: Got it. sir. Sure. That's all from my side. Thank you so much and all the best for the future.

Vikas Sinha: Thank you.

Moderator: The next question is from the line of Sunil Kothari from Unique Portfolio.

Sunil Kothari: Thanks for opportunity and very hearty congratulations to team. Vikas, my question is to you regarding this Indian growth, which we achieved roughly 13%. So, normally your objective is to grow 5% to 10% or maybe nearer to 10% than the industry growth. So if you can a little bit give detail about how industry separately has grown, which segment, like six tons or less than six tons or MHCV tractor, two-wheeler, and where we are in this objective?

Vikas Sinha: Of course, this quarter, if you look at, the less than six ton has grown by about 9%, 9.5% on a year basis.

Two wheelers, which is our next biggest, decreased, it reduced by minus 3%. Trucks reduced by 8.8% and tractors showed a healthy growth of roughly about, plus almost over 30%, on a year-on-year basis because Q1 last year was quite low, in the tractor business.

So, weighted average would be somewhere in the range of 8% to 9%. So you have and we were at 13%. A little bit of that was due to Bajaj, because Bajaj and Maruti, both of them were much lower than the market growth. So, Bajaj decreased by much larger than the market Maruti was also lesser, much lesser than the 9.5% growth. Because of these two, because they have almost a 25% weightage in our India business, you are seeing a bit of a skew as far as, the

Mahindra CIE Limited
April 26, 2023

Page 15 of 18

outperformance is concerned. So that, that is the reason that, it could have been better, if you ask us, that way.

Sunil Kothari: And Vikas, recently after the Bajaj auto results and call, they are giving some indication of bottoming out process of domestic demand and maybe interest also. Do you feel or would you like to comment on two-wheeler demand scenario locally or maybe exports?

Vikas Sinha: Boss, has already commented. He said that three months to six months, we do expect the two-wheeler market to be better. And that is correct. If you look at the retail data, which FADA puts out, you are seeing an increase on month-on-month. And also you see the inventory data that

they give out, that data is also coming down. So, both these factors, like we think, that at least, there is momentum, on the retail side. Of course, whether it will recover to previous highs is a different question. That may not happen. But, last three months, retail data is quite, I like, optimistic. So January, February, March, all three have shown growth.

So we think, as Ander pointed out, we do think that the two-wheeler market will be better for sure, going forward.

Sunil Kothari: Great Vikas, basically CIE is now benchmarking every best performance in terms of profitability and growth. So that's why our expectation is a little bit more than, what you may be or you are doing. But I'm sure, you'll be doing better and better. This is it for that. Thank you very much.

Vikas Sinha: Sunil, just to add to that, as, we have been pointing out, we will keep on focusing on improving our operations, bringing it as much in line with CIE global, performance requirements. Market will go up and down, but our focus remains on becoming more and more competitive. So in one quarter or the other, as we keep on saying, you will see, depending on the customer portfolio, just like in India, we pointed out that our customer portfolio, did not help us as much in Q1. But

the reverse is happening in Europe, as Ander pointed out. Our customer portfolio is actually helping us gain, sales growth in Europe in Q1.

So, because of the diversification, it is helping us. In India, the portfolio did not do as well, but in Europe, it did better. So, that will always be there. But the fact is, we will keep focusing on becoming more competitive, becoming more and more aligned with, CIE performance requirements globally. And as we keep repeating, if that happens, growth will follow.

Sunil Kothari: No doubt about that. Thank you. Thanks a lot.

Vikas Sinha: Yes. Thanks, Sunil.

Moderator: Thank you. Next question is from the line of Bharat Sheth, from Quest Investment Advisors. Please go ahead.

Bharat Sheth: Hi, Ander and the team. Congratulations. Vikas, you and JP also. My question for one, first is on the India business. Now, as we said that, this two-wheeler is expected to really do balance the, means full year, '23, '24, then the '22, '23. That is one.

Mahindra CIE Limited
April 26, 2023

Page 16 of 18

Second, sector is expected to get some kind of a slowdown. So, in that, with that background, as well as for the export from India is expected to start or improve for EV products. So, how do we see India business growth for current year as well as next couple of years and what kind of a capex, that we are planning?

Vikas Sinha: No, Bharat, as we as Ander pointed out, 80% of our organic growth capex is aimed at India. And we have pointed out in earlier calls and in earlier meetings also is that this capex is across verticals in India. It's not as if it is concentrated in one or two, two verticals. It is across the board. So, all verticals are growing in India.

To answer your question, how should you look at growth in India? I think we maintain whatever we have said before that, whatever be the weighted average market growth, we will grow higher than that, 5% to 10% closer to, on the higher side rather than on the lower side. So, that remains, that remains our objective.

The reason why, we are saying that is, as again, Ander pointed out previously on this call itself, there are a lot of capacities that, will come on board. When the question was on are we shifting two-wheeler capacities elsewhere, the answer was that a lot of new projects are expected to come ramp up in the coming few quarters and that should help our growth profile.

So, there is absolutely from a perspective of India growth, there is no change in, whatever we have been saying.

Bharat Sheth: Second question is, if Ander is there, how do we see export from India? What he stated that, we'll start from next couple of months, for the EV related product. So what, if you can give some kind of a color, more detail, which kind of a product are we looking to export from India for EV business in Europe and what could be the potential?

Ander Alvarez: Yes, we are now starting the export of certain forged and pre-machined steel components, okay, for electric vehicle applications, in Europe. And this trend will continue and we will, let's say, we will see, important growth in that range.

Some years ago, we decided to increase our export rate that was at about 13%, 12% to 13%, in our company. And we wanted to increase this export rate to 25%, as a target. Okay.

Bharat Sheth: Correct.

Ander Alvarez: Fortunately, during the last two years, especially because of this, let's say, turbulences in the geopolitical area in the world, we saw that the transport cost, all the freight and everything were going up, in terms of cost dramatically. Also lack of ships to deliver the materials. So let's say everybody and all the car makers and the OEMs, they were really, really frightened. So they

decided to go to the local -to-local strategies or at least to protect themselves better, than in the past.

So right now, when all the logistic issues have been already solved and

there is certain stability,

we don't know, what will happen, especially with the Ukrainian war situation. But it seems that,

Mahindra CIE Limited

April 26, 2023

Page 17 of 18

the situation is more stabilized and the logistic cost has come down again to a normal figure. So, it seems that the export will continue growing from India or China or Korea to Europe and the States.

Then there is a second important factor in this that, we are already internally debating because we have more and more pressure to calculate the CO2 footprint, of our products. And with this CO2 footprint reduction requirement, the long deliveries from overseas probably will be reduced or at least, it will be minimized in the future.

So, now we are trying to adapt to this new scenario. We will see what are the requirements from our customers. And as a company, as we are located in the different regions, we are proposing to go local for local as a main strategy. So, the export will continue growing, but it will not be a main strategy, mainly because of the two resources, I gave you. So, we see that the export rate will continue growing, but we need to see, what's going on in the market and with the geopolitical scenarios.

Bharat Sheth: And last question, if I, with your permission, in India business, we reported 16.7% and you say that, still there is room. So, what is our aspiration for India business margin, if you can give a little more color from two-year, three-year perspective?

Ander Alvarez: So we have this target to align our margins in India to CIE global margins. CIE global margins are around 18% and with a target to continue improving to 19%. So, I would say that, in the short term, our target would be to be at 18%. That is the short term. In the mid-term, we should hit CIE's targets, too.

Bharat Sheth: Thank you very much and all the best.

Ander Alvarez: Thank you.

Moderator: Thank you. The next question is from the line of Mahesh from LIC Mutual Fund. Please go ahead.

Mahesh: Hi, sir. My questions have been answered. Thank you so much.

Ander Alvarez: Okay. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we'll take that as the last question. I will now hand the conference over to the management for closing comments.

Mahindra CIE Limited

April 26, 2023

Page 18 of 18

Ander Alvarez: Okay. As usual, I would like to say thank you to all the participants for the well directed and well-prepared questions. We hope that we properly answered and logically answered, all to all their questions. If anything is needed, you can contact either Vikas or Swapnil to continue with the further details. And as always also, I would like to say thank you to the Mahindra CIE team, for their fantastic job and commitment during all this quarter. So, I hope to see you in the next quarter, with similar results or even better. Thank you very much.

Moderator : Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Note: This statement has been edited to ensure quality

Call: Jun 2023

CIE Automotive India Limited
(Formerly known as Mahindra CIE Automotive Limited)
CIN: L27100MH1999PLC121285
Corporate Office
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Tel: +91 22 62411031 | Fax: +91 22 62411030 | website : www.cie-india.com | Email: contact.investors@cie-india.com
SEC/2023/129
23rd June, 2023

BSE Limited
Corporate Relationship Department,
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400 001.

BSE Scrip Code: 532756 National Stock Exchange of India Limited
Corporate Relationship Department,
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051.

NSE Scrip Code: CIEINDIA

Sub: Transcript of 24th Annual General Meeting

Dear Sir/Madam,

In compliance with General Circular Nos. 10/2022 dated 28th December, 2022, 20/2020 dated 5th May, 2020, 02/2022 dated 5th May, 2022 and other relevant circulars issued by Ministry of Corporate Affairs and other applicable provisions of the Companies Act, 2013 and Rules made thereunder, the 24th Annual General Meeting of the Members of the Company was held on 9th June, 2023 through Video Conference/ Other Audio-Visual Means. The transcript of the 24th Annual General Meeting is enclosed herewith.

The same is also being uploaded on the website of the Company i.e., www.cie-india.com .

Kindly acknowledge the receipt and take the same on records.

Yours faithfully,
For CIE Automotive India Limited

Pankaj Goyal
Company Secretary and Compliance Officer
Membership No. A 29614
Encl: As above
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1

Transcript of 24th Annual General Meeting of CIE Automotive India Limited (formerly known as Mahindra CIE Automotive Limited) held on 9th June, 2023

Mr. Shriprakash Shukla : Good afternoon, ladies and gentlemen. Welcome to the 24th Annual General Meeting (AGM) of CIE Automotive India Limited (formerly known as Mahindra CIE Automotive Ltd.)

I would like to draw your attention to note no. 1 of the Notice of 24th AGM regarding the change in name

of the Company. On 31st May, 2023, the Company had received the 'fresh certificate of Incorporation' dated 15th May, 2023 with the new name of the Company; i.e. "CIE Automotive India Limited" issued by the Registrar of Companies, Mumbai. Accordingly, the procedure of change in name is complete and the name of the Company stands changed to CIE Automotive India Limited.

In compliance with General Circulars issued by the Ministry of Corporate Affairs and other applicable provisions of the Companies Act, 2013 (the Act) and Rules made thereunder this meeting is being conducted through Video Conferencing without the physical presence of the members at a common venue. The proceedings of the AGM are deemed to be conducted at the Registered Office of the Company which is the deemed Venue of this AGM.

It is now 3:30 P.M. (IST) and the requisite quorum is present, I, as the Chairman, call the 24th Annual General Meeting (AGM) of the Company to order.

Before we begin AGM proceedings, I would bring your attention to the common instructions already communicated to the members through email today and also displayed on your screen at login. I assume the same as read. Request the members to adhere to the same for smooth conduct of the Meeting.

I welcome the members of the Board at this AGM, who have participated through Video Conference from their respective locations. For benefit of members, I request the members of Board and Chairman of various Board Committees, as I call out, to identify themselves and the location from where they are participating.

g . I would begin with Mr. Alan D Silva.

Mr. Alan D'Silva : Thank you, Mr. Chairman. I am Alan Savio D Silva Picardo. I'm an Independent Director . And I'm also the chairman of the Audit Committee and the Stakeholders Relationship Committee . And I'm attending this meeting through my video conference from my residence in Madrid, Spain. Thank you.

Mr. Shriprakash Shukla : Thank you, Mr. Manoj Maheshwari. We cannot hear him. Mr. Manoj Menon.

Mr. Manoj Menon : Thank you, Chairman.

Mr. Manoj Maheshwari : Hi, I am Manoj Maheshwari . I'm an Independent Director of the company. I am the chairman of the nomination and remuneration committee, and I am attending this conference from my office in Mumbai.

Mr. Shriprakash Shukla : Thank you. Mr. Manoj Maheshwari .

2

Mr. Manoj Menon : Thank you, Chairman. Good afternoon. I'm Manoj Menon, the Executive Director and CEO of the business divisions. I'm also the Chairman of the CSR committee and the Risk Management Committee and a member of the Stakeholders Relationship Committee. I'm joining the AGM from the CIE office from Baner in Pune. Thank you.

Mr. Shriprakash Shukla : Thank you. Mr. Ander Arenaza.

Mr. Ander Arenaza : Yes, hello, everybody. This is Ander Arenaza. Good Afternoon. I am the CEO of CIE Automotive India Limited and I am attending the meeting from my office in Bilbao in Spain. Thank you.

Mr. Shriprakash Shukla : Thank you. Mr. Anil Haridas.

Mr. Anil Haridas : Good afternoon, everybody. This is Anil Haridas . I'm a Non -Executive Director on the board of the company. I'm attending this meeting from Lagos in Portugal. Thank you.

Mr. Shriprakash Shukla : Thank you. Mr. Dhananjay Mungale. I think he is outside. So Mr. Herrera .

Mr. Barandiaran : Okay, good afternoon, everyone. This is Jesus Maria Herrera , I am a Non -Executive Director and am attending the meeting from Spain in my office of CIE.

Mr. Shriprakash Shukla : Thank you. Mr. Herrera . Mr. Kadambi Narahari.

Mr. Kadambi Narahari : Good afternoon. I'm Kadambi Narahari and Independent Director of the

Company. I have logged in from my residence in Bangalore.

Mr. Shriprakash Shukla : Thank you. Mr. Nathani.

Mr. Suhail Nathani : Good afternoon everybody. This is Suhail Nathani, Independent Director attending this meeting from New York.

Mr. Shriprakash Shukla : Thank you, Mr. Nathani. Mrs. Roxana Meda.

Mrs. Roxana Meda : Good afternoon. This is Roxana Meda. I am the Independent Director of the Company, and I am attending the meeting from my residence in Bilbao in Spain.

Mr. Shriprakash Shukla : Thank you so much. So that was the Board of Director which along with me are presented the meeting today. Apart from the Directors, members of senior management team of the Company are also participating through video conferencing. Representatives of Messrs. B S R & Co. LLP, the Statutory Auditors, Representatives of M/s Dhananjay V. Joshi and Associates, the Cost Auditors and Mr. Sachin Bhagwat, the Secretarial Auditor of the Company are also present at this AGM.

Since, this AGM is being held through VC, the facility for appointment of proxies by the Members was not available for this AGM. The Register of Directors and Key Managerial Personnel and their shareholding maintained under section 170 of the Companies Act, 2013, the Register of Contracts or arrangements in which directors are interested maintained under section 189 of the Companies Act, 2013 and the Certificate of Secretarial Auditor on the implementation of Employee Stock Option Schemes

3

under SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 are available for inspection in electronic mode to every member who is

attending this meeting.

In Compliance with MCA Circulars, the Company had on 6th May, 2023 issued a notice by way of an advertisement in newspapers informing that the 24th Annual General Meeting shall be held through Video Conferencing and other matters relating thereto. The Notice of the AGM along with the Annual Report for financial year ended on 31st December 2022 were sent to the Members by e-mail on the e-mail addresses of the Members as registered with Depositories/ Registrar on 11th May, 2023 and the printed copies thereof were sent to those members who had requested for the same. The Notice and the Annual Report has also been uploaded on the website of the Company and the website of the Stock Exchanges and website of Company's Registrar and Transfer Agent KFin Technologies Limited. The Company had published another notice by way of advertisement in the newspapers on 18th May, 2023 providing information relating to the AGM, the remote e-voting and details of participation in the AGM through video conferencing and TDS on Dividend etc.

Thus, the Company has indeed made all efforts for enabling members to participate and vote on the items being considered in this AGM.

The Notice of the AGM setting out the Ordinary and Special Businesses to be transacted, the explanatory statement thereto along with the Annual Report of the Company for the financial year ended on 31st December, 2022 which inter-alia comprises the Standalone and Consolidated Financial Statements of the Company for the Financial Year ended 31st December, 2022 and Report of the Board of Directors and Auditors Report thereon, were circulated to the members in advance. I consider the same as read.

The Statutory Auditors' Report on the Annual Financial Statements of the Company for the Financial Year ended 31st December, 2022 and the Secretarial Audit report for the said period do not contain any qualifications, observations or comments on financial transactions or matters, which have adverse effect on the functioning of the Company, hence, the same need not be read at this Annual General Meeting.

I would like to inform you that, as per the provisions of Section 108 of the Companies Act, 2013 and rules made thereunder and Regulation 44 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 your Company had provided the facility of "remote e-voting" for ensuring wider participation of the Members and to enable them to cast their vote electronically. As per the timeline mentioned in the Notice of the AGM, the remote e-voting concluded at 5:00 p.m. yesterday.

Members attending the AGM who have not already cast their vote by remote e-Voting shall be able to cast their vote electronically during the meeting. E-Voting during the AGM is integrated with the VC platform and no separate login is required for the same. Members can cast their vote after the window for e-voting is activated and at the same time continue to participate in the proceedings of the Meeting.

Mr. Sachin Bhagwat, Practicing Company Secretary has been appointed as the Scrutinizer to scrutinize the process of remote e -voting and e -voting during the AGM in a fair and transparent manner .

I will first proceed with my Statement as is customary. Thereafter, I will move the item of Businesses to be transacted at this AGM and the window for e -voting shall also be activated. Thereafter, we will move to our discussions and Question & Answer session. The members who have registered as speaker shall

4

be able to express their views during this session. Now, I will go ahead with this flow of the AGM proceedings.

Mr. Shriprakash Shukla:

Ladies and gentlemen,

Welcome once again to the 24th Annual General Meeting of CIE Automotive India Ltd (formerly Mahindra CIE Automotive Ltd.)

At the outset, let me pay tribute to two of my colleagues on the board of directors, who are completing their terms of appointment as of today's AGM. Mr. Dhananjay Mungale provided outstanding leadership as Chairman of the Audit Committee for many years. Mr. Narahari Kadambi made great contribution as the Chairman of the Stakeholders Relationship Committee and Corporate Social Responsibility Committee. On behalf of the company, I express gratitude to them and wish them the best in the future.

Mr. Jairaj Purandare is being inducted as an independent director of the company w.e.f. 10th June 2023 and his appointment will be placed before the members within the stipulated timeframe.

Let me now enumerate some major changes that have happened in the last few months.

The shareholding pattern of your company has seen a change. Mahindra & Mahindra Ltd has completely divested its shareholding in the company. Starting last year, M&M has sold its stake partly to its co -promoter, CIE Automotive Ltd. and partly to reputed domestic and foreign institutional investors. Your company is grateful to M&M for being a co -promoter and an active member of the board since its inception.

The name of your company has changed from Mahindra CIE Automotive Ltd to CIE Automotive India Ltd. Please note that the annual report for the year CY22 was issued in the name of Mahindra CIE Automotive Ltd and not the new name. This was necessitated as the regulatory approvals for the name change were received later than we had anticipated, due to factors beyond our control.

The company has also decided to actively look for a buyer for its German truck forgings vertical which has been classified as held for sale. This decision strengthens the company's focus on the India market and helps it navigate the transition to electric mobility better, especially in Europe. With this change, the company's Indian business accounted for 63% of sales in 2022 while Europe contributed the rest.

The year gone by was a difficult year for the global economy, inflation and the war in Ukraine taking their toll. These headwinds continue to be a drag on the global economy. IMF in its April report opines that the world is looking at a rocky economic recovery and global growth is forecast to fall from 3.4% in 2022 to 2.8% in 2023, before settling at 3.0% in 2024. Global inflation is set to fall marginally as many central banks increase interest rates, but its return to target seems unlikely before 2025.

The Indian economy has shown resilience amidst external headwinds and a weakening global economic scenario. Capex spending by the government has steadily increased in the last few years. The private sector has also seen a capex revival, even as the balance sheets of both banks and corporates remain healthy. But the domestic consumption could moderate due to the combination of - slower global growth, lagged effect of interest rate hikes and dissipation of 'revenge' consumption, that followed the lifting up of restrictions during the covid pandemic. IMF estimates that growth in India is set to moderate from 6.8% in 2022 to 5.9% in 2023 before picking up to 6.3% in 2024. However

5

there has been a heartening news of Indian GDP growth being estimated at 7.2% for the Fiscal Year ending March 2023.

Europe has been greatly affected by the war in Ukraine. Demand dropped while sanctions on Russia led to

unprecedented increase in gas & power prices, fueling inflation. Central banks raised interest rates, and this further eroded demand. Power prices have moderated more than expected as Europe moved to replace Russian gas with other sources while optimizing electricity consumption. But inflation remains a concern. Growth in the euro area is projected by IMF to pick-up from 0.8% in 2023 to 1.4% in 2024.

In India, the light vehicles segment recorded highest production levels since 2018, though two wheelers and tractors were a bit sluggish. The company's Indian operations were able to grow faster than the market

(CY 22 growth of

29%) and despite raw material prices remaining elevated, they managed to maintain EBITDA levels of 15.9%, which is 1.8% higher than previous year. In the first quarter of CY23, the India business grew 13% year on year while achieving an EBITDA margin of 16.7%. Looking ahead, the demand situation in the Indian automotive market continues to be optimistic. The order book in India is in line with these expectations and the company has been adding capacities in almost all verticals. The focus is on balancing order book requirements and investments in capacity such that both growth and profitability objectives are met.

Light vehicles production in Europe fell for the third straight year. Nevertheless, your company's European operations (excluding the German forgings vertical) showed a healthy growth of 27% in CY22 versus the previous year. The unprecedented electricity price hikes in Europe put a strain on profitability. The management team in Europe worked very hard to have pain sharing agreements with key customers to pass through some of these large cost increases. Thus, they were able to minimize the impact on profitability, achieving an EBITDA margin of 14.5% in CY 22 (excluding the German forgings vertical). In the first quarter of CY23, the Europe business grew by 28% year on year at an EBITDA margin of 17.6%. In Europe the company will aim to reengineer products and processes to meet the twin challenges of rising costs in a flat market as well as a rapid transition to Battery Electric Vehicles (EVs).

The consolidated CY22 results reflect the impact of the above business drivers. In 2022, the company's consolidated sales (excluding the German forgings vertical) were INR 82,283 mn, 28% higher than 2021 and EBITDA margin was 15.4% vs 15.2% previous year. In the first quarter of CY23, the consolidated sales were INR 23,206 mn, 19% higher year on year at an EBITDA margin of 17.1%.

EVs continued to become more mainstream in both markets. Europe is experiencing a rapid increase in penetration levels (market share >10%) and EVs are picking up in India as well, especially in two and three wheelers. Your company has developed a good order book for EV parts and is working with major European & Indian OEMs in the EV space, across segments. The EV order book covers Aluminum & steel forgings, gears, stampings & composites parts for e2W, e3W and e4W.

Environmental, Social & Governance norms have become an imperative aspect of business and investors are paying attention to this along with the financial performance of the company. Your company understands that a holistic approach to ESG is important to have harmonious relations with all stakeholders – shareholders, employees, customers, suppliers, community. This will ensure the long-term stability of the company's business model.

I commend the entire team for navigating the uncertainties in the market to deliver these excellent results. On behalf of the team and myself, I place on record our appreciation for your company's board, for its counsel and support. Thank you for the trust reposed in us and for being invested in the company. Your company remains committed to generating superior returns for its shareholders through best in class execution of our strategic initiatives.

6

Thank you so much for your patience hearing .

Mr. Shriprakash Shukla: We will now move to the item of Businesses to be transacted at this AGM. Since, the remote e-voting is already concluded, and many members have cast their vote, there will be no proposer or seconder for the businesses as set out in the Notice of AGM. For the benefit of the members present, I will read out the Item on Agenda which are placed before this Meeting:

First Item on Agenda is consideration and adoption of the Audited Financial Statements (including Audited Consolidated Financial Statements) of the Company for

the Financial Year ended 31st December, 2022 and the Reports of the Board of Directors and Auditors thereon.

Second Item on Agenda is declaration of dividend of Rs. 2.50/- per ordinary Equity Shares of face value of Rs. 10/- each for the financial year ended 31st December, 2022 .

The Third Item on agenda is re-appointment of Mr. Jesus Maria Herrera Barandiaran, (DIN: 06705854), who retires by rotation and being eligible offers himself for re-appointment, as director of the Company

liable to retire by rotation.

The Fourth Item on agenda is re -appointment of Mr. Manoj Mullassery Menon, (DIN: 07642469), who retires by rotation and being eligible offers himself for re -appointment, as director of the Company liable to retire by rotation.

The Fifth item is the ratification of the remuneration payable to M/s. Dhananjay V. Joshi & Associates, Cost Accountants (Firm Registration Number 000030) as Cost Auditors of the Company.

The Sixth item on agenda is approval of material related party transactions of the Company with Mahindra and Mahindra Limited.

The Seventh item on agenda is approval of material related party transactions of CIE Galfor SA (a wholly -owned subsidiary of the Company) with CIE Automotive SA (ultimate holding Company of the Company).

All resolutions along -with objectives and implications of all the Agenda items are set out in the additional information and explanatory statement annexed to the Notice of AGM and the Annual Report. For the sake of brevity, I am not going to repeat them.

Before beginning with the question-and-answer session, I request the moderator to activate e -voting window to enable the members attending the AGM who have not already cast their vote by remote e - Voting to cast their vote electronically during this meeting. The window for electronic voting shall remain open till 15 minutes post conclusion of Question -and-Answer session, thereafter, the same shall be closed. Members may choose to vote now. For voting, please click on the 'Vote' as appearing on bottom at left side of your screen for voting . You will be re -directed to voting page while you continue to be part of the meeting.

7

We move on to our discussion and question answer session. Members were able to seek any clarifications or ask any questions relating to the Agenda before the AGM. All the questions received before the AGM and the questions which may be asked by member who have registered as 'Speaker' will be responded after all the speakers have completed expressing their views or asking their queries.

A list of speakers has already been placed before me. Before I call on those who wish to speak on the proposed Resolutions, I request you to be brief and avoid being repetitive. Also, in the interest of all present, I request you to strictly confine/restrict/ limit only to the points arising out of agenda items. I request the members to complete their views within 3 minutes to enable other speaker to express their views. We now take up all the registered speakers one by one, they have been registered in the order of their request being received by the company. The first registered speaker is Mr. Tushar D Sodha. Tushar please.

Mr. Tushar D. Sodha : Very Good evening, am I am audible and visible?

Mr. Shriprakash Shukla : Very much. Sir.

Mr. Tushar D. Sodha : Thank you so much, sir. Thank you so much for the confirmation. very respected chairman, sir. Esteemed board of directors and my fellow shareholders. My name is Tushar Sodha and I have joined our virtual AGM from Mumbai. Many congratulations for the highest ever 8,800 crores consolidated revenues. Our company has achieved this magnificent numbers. Despite of VUCA business world that is volatile, uncertain, complex and ambiguous, consolidated EPS which was only at rupees three in 2020 has multi

plied manifold to rupees 19 per share in just two years. Standalone net profits also are at all time high of 512 crores. We appreciate entire team CIE Automotive India limited for such robust financial results. We the shareholders have immensely benefited in last three years market price of CIE Automotive which was just rupees 60 in March 2020 During COVID has multiplied to 520 levels currently, almost 8.5 times in just three years. Thanks to our Chief Executive Officer, Mr. Ander Alvarez, there has been a speedy integration and better synergies with our current company CIE Automotive Spain. Mr. Ander has mentioned about challenges of rapid transition to electric mobility in Spain and Lithuania . I request you to kindly share details of the same and thank the Board of Directors for maintaining rupees 2.50 paisa dividend per share for the shareholders. I'm pretty sure that our company will enhance return of capital on a sustainable basis in the coming years. Russia Ukraine war has resulted in unprecedented rise in electricity prices in entire Europe. Please inform how prepared are we to face these huge, huge challenges. Are we able to pass on this large cost increases to our key customers. I

8

Mr. Gautam Tiwari : Okay, thank you very much. So, so nice to see you. First of all, although virtually, but I'm very, very much pleased. The way you have given in the starting I mean, introductory information about the companies operations, I'm very much impressed sir. In fact, honourable Chairman

sir Shriprakash Shukla, Ji, and all my eminent board of directors. Very, very good afternoon to you all along with the team of CIE Automotive India Limited. Dear sir. I'm Gautam Tiwari. And I'm participating at this AGM from Mumbai. Sir, I am very much impressed this year by the annual report, because every year the company is coming out with more and more informative annual report for which we are thankful to the concern team. Sir investor care and investor service of our secretarial department, especially Pankaj Ji and even our mandar is very, very good, very, very harmonious and cordial with all shareholders. And I can imagine the hard work that would have really gone into by our secretarial department, IR, and other departments in preparing such an elaborative annual report, especially this time, which I received a physical copy of, as I requested, so, thank you very much for paying rupees 2.50 paise per share dividend. Sir I'm a shareholder of all Mahindra Group of companies and they are all performing good. I have already voted in favor of all resolutions as usual. Sir, I would like to know one thing, sir why the name of Mahindra has been removed from our new name, we all are so much proud of being part of Mahindra right from Mr. Kesub Mahindra's time and we are really happy being part of Mahindra as a clan, like you. Sir, I mean very quickly, of course, I will go to ask my questions. Sir, I must mention that I appreciate the management CFO and all of the management team for the robust and strong performance and robust strong balance sheet. So very few queries which I have got Sir, when was the last bonus given. So, of course changing of the name I have asked you sir. So third question is how many shares and dividends have been transferred to Investor Education and Protection Fund

during the year

under consideration? So how much is our R&D and technology spend now and how much is the attrition rate of our employees of the company? Sir, I would like to know the roadmap for this year and the next year along with capex of the company. And sir What is the market capitalization and who are our major competitors and the most importantly, what was the impact on our business because of Russia, Ukraine war, and what is now our capacity utilization. Sir we have got total trust, confidence and total faith in the company's management. We are very sure we are there with you till our lifetime even after that also, sir, and we promise that we will always be supporting you strongly, as usual, and we wish you a very long happy, healthy, wealthy, safe and prosperous life along with the bright future of the company, Jai Hind. Jai Maharashtra. Thank you very much.

Mr. Shriprakash Shukla : Thank you so much Tiwari ji. I really respect your kind sentiments. And I will convey your observations on quality of annual report as well as other matters to the team who will much appreciate thank you so much. I'll come to the questions at the end of the session. I will now go to the next speaker Mr. Manjit Singh.

Mr. Manjit Singh : Am i audible sir.

Mr. Shriprakash Shukla : Yes, please. Very clear.

Mr. Manjit Singh : Ji sir, Good evening.

Mr. Shriprakash Shukla : Good evening.

Mr. Manjit Singh : Sir, Mahindra is a company, Chairman, Director shareholder mediator, company share market AGM time share market match market chairman sir market end time meeting chairman sir CIE meeting attend

Auto accessory business high GST company order book capacity plant unemployment order book pending expansion plant advantage India plant, India plant unemployment promoter group company

2017, 2018 expansion 2019, 2020 selling 2021 time 2022. 2023 2024 2025
 2026 6% stake 2027, 2028 mark et price 2029
 2030 11% 2031 2032 promoter 2033 2034 2035 2036, 2037 2038 2039 2040 2041 2042 2043 2044 2045 2046 2047 2048 2049
 2050 2051 24 2052 36 2053 2054 2055 2056 2057 2058 2059 2060 promoter 2061 2062 2063 2064 2065 2066
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Mr. Shriprakash Shukla : Manjit ji Thank you so much.

[illegible]

for all the compliments. Now I'll request Aspi Bhesania ji to please take up his questions.

Mr. Aspi Bhesania : Sir, Can you see me and hear me?

Mr. Shriprakash Shukla : Yes, I can hear you very clearly.

Mr. Aspi Bhesania : can you see me also

Mr. Shriprakash Shukla : Yes, Seeing is believing . Yes.

Mr. Aspi Bhesania : Chairman sir, I am from Bombay. At the outset I congratulate the management , they achieved very good results in spite of all possible constraints, including in Europe. Sir few queries, why not a physical AGM? When all the meetings are being held physical ly, why only AGMs are not held physical. Next even if MCA allows online meetings please hold a physical or a hybrid AGM ? then the results are very good, but I only have one question how much percentage of our income comes from electric vehicles especially in the first quarter of the current year, how much percentage of our income has come from electric vehicles? And second question is are we prepared for hydrogen? Because now Mukesh Bhai is going fully into hydrogen for the heavy vehicles. So, I would like to know whether we are prepared for that and who else will be competing with us in hydrogen sector? Sir thank you very much and all the best for the future.

[illegible]

Thank you for complimenting the performance. Now I will come to Anil Mehta ji. Mehta ji ■■ ■■■? perhaps not there so I will move to Mr. Praveen Kumar.

Mr. Praveen Kumar : Hello. I am audible sir.

Mr. Shriprakash Shukla : Yes, Kumar sahab, ■■ audible ■ ■■ .

Mr. Praveen Kumar : First of all a very, very good afternoon to my respective Chair person well decorated esteemed board of director and my co fellow shareholders in this meeting, myself Praveen Kumar joining from Delhi sir, I have few observations, which I love to share with the entire house. First of all, thank you very much respected chairperson for your detailed address to the shareholder. I think you cover almost everything in it. And my earliest speaker also asked so many healthy questions. So it was a very, very healthy session for all of us about the company. There are so many things which will be happening in the future in the past also, and selling off our you know, stake of Mahindra's and all that. But sir, under your leadership, I have great faith and the fantabulous results you and your entire team is bringing, I mean, that's a great, great,

great relief for us to put our hard earned money into the company, sir. I'm part of this organization for such a long time and no matter what the situation is. Our approach is to bring a lot of sustainable growth to the retail investor. So I salute you for that. Sir I support all the resolution which you moved from the Notice today and one thing which is very, very important for a retail investor like me, the corporate governance. Sir, under your leadership. It was truly remarkable corporate governance. I love to thank our company secretary Pankaj Goyal ji, Mandar ji. They are doing fantabulous job. They're very, very big asset for the company because I requested the hard copy of it. I'm very very thankful to them. Then enquired about me in the morning also that really shows, sir, that this company care for the retail investors. So, my earlier speaker asked about, you know, continuously selling stake by Mahindra's. So I don't know if it will be a negative impact necessarily on the stock market in the future. But the prospect our company has the technical know how our company has with a parent companies. I think that was fantabulous. And I just pray to the gods that he will enlighten you. So that no matter what the challenging time ahead with us, but our company is, you know, going leaps and bounds in the future. And I'm very, very thankful to the entire team for giving me this platform. And I'm very, very thankful for the entire team. I wish you all the luck in the world, sir. I wish you all the very, very best. Thank you very much for giving me this platform to share my views and express for so many years. Thank you, sir. Thank you very much.

Mr. Shriprakash Shukla : Thank you, Praveen ji. I will convey to secretary's department about your appreciation of their service. And I also thank you for all the compliments given to management team. I'm conveying to them. And the CEO is present here. I'm sure he's hearing your comments, but I thank on behalf of the management team. I will now go to next question. Surekha Shah ji, Are you there?

Mr. Surekha Shah : Hello, can you hear me sir..

Mr. Shriprakash Shukla : Yes sir, loud and clear.

Mr. Surekha Shah : Sir can you see me.

Mr. Shriprakash Shukla : clear.

Mr. Surekha Shah : Hello, hello.

Mr. Shriprakash Shukla : Yes, very clear. Please go ahead with your question.

Mr. Surekha Shah : Sir we are on the balance sheet. We have so, what we very good information about the company, but what I think you people have talked about what is happened in the last 3-4 year of this

12

company, when you are at work that many plants have improved, that is 22 years back and after that what I see the last page of the annual report. Sir, there are 11 plants. So, I don't know how these plants can you acquire or new started or when production is started? And how it's benefiting in last 24 years, which is totally missing in the balance sheet. Sir, which is quite how we my company has grown from last 24 years by year by year, which will give me a good idea another thing I have already given you a email about my point, but still I will talk about what is important points. Another thing sir I would like to hear the director shareholding is not given in the balance sheet I would like to know what is the shareholding of Mr. Renjhen again that is of input that I would like to know sir and another thing we know what is my pricing India this company's. So, I would like to ask you what is the our mark et price in Madrid stock exchange that is much better sir and another thing is watching my market share in auto ancillary in

India not in world that into and another thing that we are seeing . So, later we will going to drop Mahindra name from subsidiaries also, that's also I would like to know and another thing very one more important point. The balance sheet is excellent. But once you see page number 143 unit millions is not appearing , error should not be made in the balance sheet. Another thing what I found there are only 77 shareholder who holds 92.5% holding up this company, why not to have a buyback policy for balance 7.5% shares of 98,000 shareholder. Sir if the buyback is there the burden on the company will reduce totally sir that is what I will give as suggestion. Another thing our report particularly these last six years, this year, we have a very good job, we are in profit, our EPS is higher, but if you just see the previous 143 and 217 our, we have stand alone, yes and very good. But in case of consolidated, we are at a loss. And last year performance was much better than this year. So, what has happened, that we should make it clear, so that will be much better sir. Another thing is debt equity ratio, what is our plan? Because it is very small. And what is our plan to reduce it that I would like to know, and you say about German plan, but you're not indicated what amount of money we will get from selling German plan indicate that we will be very happy. And I'm very old share holder and absorbing whatever shares I was holding the same shares. There is no increase in the bonus or shares or anything but still I'm happy because that's 25 years the share price is the best, right? Another thing what I realized that companies will perform with

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Mr. Shriprakash Shukla : Thank you so much Bhatia ji. Much appreciate . suggestion. i will now go to Mr. Bala sundaram. Are you there?

Mr. Shriprakash Shukla : Yes, please. Thank you.

of these assets during the full year of operation 2022.

Mr. Shriprakash Shukla : Thank you Mr. Bala sundaram and thank you for those very meaningful questions. We will come back to you at the end of all the speakers have spoken. Now I will go to Mr. Bimal Kumar Agarwal.

Mr. Bimal Kumar Agarwal : Hello, can you hear me? Hello. Good afternoon to everyone. First of all, I thank the company secretary and his team and also the management. I again thank the company secretary in the morning he called me up. Are you joining us joining and I'll come to the question Mahindra CIE the company has reported strong revenue growth and margin improvement during FY 22. Please explain the factors that drive the growth. Please explain how the shift towards EV is impacting business of our company. Please provide insight into the performance of the company. International Business also provide the detail of Capex plan over the next three -year period. And nowadays, they are telling us to demat the shares, but sir we are having lots of problems all the shares until on a team for 2 3 time ■■■■■. ■■■■■ return ■■■■■ ■■■■■ ■■■■■ ■■■■■ ■■■■■ ■■■■■ ■■■■■ ■■■■■ ■■■■■ ■■■■■ share demat and they should give KYC number are in whichever

Mr. Shriprakash Shukla : Thank you so much. For your suggestion. I will check with the team on this. We now move to Mr. Chainani .

Mr. Shriprakash Shukla : Very much.

Mr. Chainani : Respected Chairman, CEO Mr. Ander Alvarez and highly eminent distinguished Board of Directors my fellow shareholders. My name is Rajesh Kumar Chainani and I'm speaking from Mumbai. So first of all, thanks to the secretarial department. I really thank them Mr. Pankaj ji and his

[illegible]

Now I will go to Celestine Mascarenhas Mascarenhas . Are you there?

Mrs. Celestine Mascarenhas : Yes, I am there very much.

Mr. Shriprakash Shukla : Good Evening Celestine . How are you?

Mrs. Celestine Mascarenhas : Sir, You can hear my voice.

Mr. Shriprakash Shukla : Of course, how can I not?

Mrs. Celestine Mascarenhas : Good, good, good. So I remember and I came physically for that the meeting. Now respected chairman, Mr. S. Shukla, other members of the board, my fellow shareholders in this virtual meet, I Ms. C. Mascarenhas and speaking for Mumbai. First of all, I thank the company secretary a great link, Mr. Pankaj V. Goyal, and especially his team Mandar ji for sending me annual report and registering me as a speaker also at my request, and also giving me this K-FinTech platform to speak. Now, I come to the annual report, it is a very well documented document and there are a lot of pictures of the ESG project , CSR projects, etc. And also at the same time self explanatory adhering to all the norms of corporate governance, I come to the actual working very good, therefore, very good income, total income up profit share up and dividend of rupees 2.50 per share is very good. And at the same time, very good market capitalization, it is a treat to see such a good capitalization now, and this being the 24th year next will be the 25th Silver Jubilee. So, we should be rewarded for waiting for some such time. I think sir, you will do something to reward the shareholders in whatever way the board will decide. Now, we are on this a number one question is we are on this a ESG endeavor, are we listed in any ESG platform? What is our rating score? And who is and could you name a rating agency? Number two how much margin we enjoy on our products and which of our products we get the highest margin. Number three is what is the CapEx for the next three years and the future roadmap for our business, EV is a very big business and how are we gearing any acquisition in organic growth. Als

o any brownfields projects ,
for the huge opportunity which is lying in front of us and especially in India. Now I have this is my personal problem, please help us to dema t our shares, lots of hassles, or please do the buyback of the physical since now government doesn't want the physical shares, I will request you to take the physical shares by cash or whatever, whatever guara ntees we'll give you. And three years from this at this age of 70. Plus we are struggling in the demat of the shares. Could you help us out? This would be a great, great favor on the occasion of the silver jubilee. With this, I wish you a very good health. I wish you the best and I wish. Moreover, I wish our company and its management the best to come in the future. Yes. Now Mr. Mascarenhas wants to say a few words. Appreciation. Respected chairman, sir, very distinguished members of the board and my fellow shareholders. Good evening to you all Aloysius Peter Mascarenhas have never missed a single meeting in the past and I would like to continue my presence in the meeting,

17

both virtual I would like in the hybrid meeting to be conducted in future so that even we can attend the meeting virtually. Now sir, my only question is, why have our name being changed? Is our management changed? I would like to know and going forward what are our future plans and endorse my wife's view and Many shareholders that we are facing tremendous problem with the RTA, the registr ar karvy especially now a new concept just sending us the shares back this is the fourth time with a stock transfer when there is demat we send the shares for transfer, the question of thought stands for doesn't arise. So please, educate karvy that to not to harass the senior persons sending the certificate back four times. And given the complaining all the requirements ISR1 ISR2 bank attestation and everything in original and photos and everything requiremen ts have been given , even then they're sent back I stopped transfer so kindly look into it. It is a mental torture. So please tell karvy not to harass senior citizens in future with this sir. I wish you personally all the board members and more importantly all the employees all the very best in the days and years to come. Thank you very much for patiently hear in Thank you God bless you and our company. Thank you.

Mr. Shriprakash Shukla : Thank you. Thank you so much Mr. Mascarenhas . I have heard with all the concern I will see and will see and will take up secretarial department will take up with the registrar as to what is the issue. Thank you for highlighting this now, can I go to Mr. Paliwa I Are you there please? Mr Paliwa I I think he's not there. Then I will move on to Vasudha Dakwe .

Moderator : No feedback received sir. I request you to proceed with the next speaker.

Mr. Shriprakash Shukla : Then I will come to Mr. Agarwal ji.

Ms. Vasudha : Hello.

[illegible]

they are coming from EV segment BEV (battery electric vehicle) segment, which is a good news. So that shows our dependence is coming down already. As we get more and more deeper into electric vehicle space. We believe forged Aluminum parts will constitute a large segment of our overall sales in next three to four years. Similarly, our other European market which is gears, they are making gears for offroad vehicles and farm vehicles. There we don't see any impact of electric vehicles coming. So, I would like to assure you that we are very well positioned to see the transition from IC engine space to electric vehicle space as it happens gradually all over the world. Your second question was Russia Ukraine war, electricity price increase? How are we handling it? Again, very good observation. The unprecedented electricity price hike in Europe has put a lot of strain on profitability. It goes without saying but the management team has worked very hard with the customers who understand that we are going through

such a tremendous price increase and therefore, pain sharing agreements have been agreed with our customers that allow cost of electricity price increase to be passed on that customer and that is how we have maintained our margins. So, well, your next question was benefits to our company on that decision to divest German truck forging operation. Sodha Sahab ■■■■■ ■■■■■ Simple ■■■■■ ■■■■■ what we have done, we would like to focus on other markets in Europe, which need attention during the time of transition to divesting truck forging business will free management time, management bandwidth to focus on the car segment, where we will be able to handle the transition to electric mobility very well. So, we are confident of that and that is how company will benefit overall by this. This is the reason management took a very calculated and thought through decision and I compliment the management for having seen through the process very well. How are we gearing up to challenges emerging from electric vehicles? Sodha Sahab this question has been answered in different ways at different forums, including you will find a detailed description in the MDA in the annual report. So I will be brief in covering this. Gradually EV will become

20

mainstream everywhere in the world. In Europe, it is faster than India. Already 10% share in Europe is of EV vehicles. In India they're picking up but first they have begun with two wheeler and three wheeler. Your company has developed a very good order book for EV parts and is working with major European and Indian OEMs in the EV space across all segments. We are focusing on aluminium and steel forgings, Gears stampings and composites for all EV vehicles, E-two wheeler, E-three wheeler and E-four wheeler. As a result, whether the vehicle is diesel petrol or electric, we are there to supply parts and components for that vehicle. As we proceed, EVs will have a greater emphasis on stamped plastic and aluminium parts as compared to forged, cast or machine parts. And accordingly, your company has invested in these technologies. So that we can continue to work with the manufacturers of vehicles be it Light vehicles we continue to work with them and ensure that our share of the market is always available. Last thing I would like to say and hopefully this will answer for some questions which came later from our esteemed shareholders. EV is a new space and all the EV manufacturers they are looking for suppliers who are of a good pedigree, proven history and technological capability. So all electric vehicle manufacturer

s, they

look for support from the suppliers they have been dealing with for many, many years like your company and therefore they first asked us can you do this for us and that is how we are ensuring that our presence in EV market remains as strong as it has been in the IC engine market. Your question is about win new business in existing segments and capacity utilization. Again, this has been covered in MDA and you will find more details in MDA of the annual report. But very briefly, I can say that our order book has been so good that we have had to incur capital expenditure across different verticals in calendar year 2022. We are investing in creating capacity as we run out of capacity, we have been doing just in time, because that is the trade off you make between investment and capacity available that combination allows you to maximize return for the shareholder if you invest too early, that is investment lying idle. And if you are late you miss out your company has done excellent management of optimizing its capacity utilization. So, that we are always investing just before the capacity runs out to have no worries, no concerns on that front. Any business conflict or conflict of interest with parent company, not at all there are no business conflict. But our company is very well integrated into global operations of the parent company CIE, please have no concerns on that score. We work together as a team to serve the global markets. A loss of 923 crores has been reported in consolidated financials. Again this point has been very well covered in the annual report. Very quickly, I will explain that on 14th December, 2022. Your board took note of the proposal which had been approved by the subsidiary of our company CIE Galfor, that it was launching an active program to locate a buyer for German forging operations. Once that happens, the assets and liabilities of the operation which is proposed to be sold, they become assets held on sale as a result in line with accounting practice comp any had recognized a one time loss on the fair valuation of assets held for sale this loss amount which you're referring to 923 crores it pertains to that only a one time, rest of the operations remain profitable. And all the accounts which you would have seen P&L You'd have seen they all remain profitable on standalone basis as well as on consolidated basis. This is only for assets held on sale. I hope I have been able to answer the question.

I will now answer the question asked by Lekha Shah ji, order book position, this has already been answered to Tushar ji. We have strong order book situation in all the verticals, we have had to incur capital expenditure to increase the capacity. So, your company's order book is very healthy. There are many verticals, there are many plants. Therefore, capacity utilization is a variable which changes quarter to quarter you get a new order and your utilization changes. So, it is a dynamic situation. And wherever we are nearing the capacity utilization, we add capacity. I'm only going to give one or two examples. I cannot read the whole list. We have so many plants in several countries. So for example, a new unit has been added at the gears plant in Pune to cater to EV parts. Rajkot plant is gearing up also for capacity increase. A new forging and machining line was installed by Bill Forge's division at Bangalore to cater to

21

EV transmission. CIE Hosur has commissioned a new fuel rail line, first time this technology is being used in India. Similarly, crankshaft machining capacity at our Chakan plant has been increased with the

addition of 4,000T Press. Now, there is a long list of capacity additions which are happening at different plants every quarter which is quite a dynamic activity. All I can assure is it is an ongoing process which goes on throughout the year. Ukraine war impact on Europe this question has been answered several times in MDA as well as in my own speech. It is a item of public debate and information is in wider media. All I would say is due to Ukraine war, there was a price increase in the energy prices , a lot of oil and gas used to come from one of the parties in the conflict. In energy price increase lead to widespread inflation and Europe. So there was increase in Europe of inflation. Whenever there is a increase in inflation to some extent, it makes markets flat. But more importantly, cost goes up of producing anything. As I answered earlier, your team has worked very hard to reach agreements with the customers for pain sharing so that some cost can be passed on to them and as a result we have been able to maintain our EBITDA margins very well in fact, improve them in several cases. One question is our CapEx. Capex is typically five to 6% of the sales every year as your sales grow, you incur capex in this 2% goes towards maintenance and remaining goes towards growth and that is how it works. Again, it varies from plant to plant, country to country. These are overall numbers and numbers will change year to year, but broad range will remain 5 to 6%.

I come to the question of Gautam Tiwari ji about the name change. CIE automotive Spain is the ultimate holding company for our company and India is one of the major areas of operation. Therefore, company gets his experience knowledge transfer and technology from the parent company. Indian automotive industry continues to grow. India is projected to be one of the fastest growing large economies in the world. And CIE automotives global strategy is to focus on India in a big way to reflect this strate gy. The name of the company has been rightly changed to call it CIE Automotive India Limited. When was the last bonus given your company so far has not given bonus , from last year we have started declaring dividends this year is the second year of declarin g dividends how many shares and dividends transferred to IEPF, no such transfer during last year . How much is spent on R&D? We are a process company not a product company we make parts and components for others. And therefore our R&D expense is not very significant. What is the attrition rate? It is not really different from industry. Depending upon the city attrition rate varies different cities have different attrition rate different technology different plants have different but we are in line with the industry. What is the roadmap of CapEx already answered in the range of 5 to 6% of the sales volume, what is the market capitalization? It is approximately 19,600 crores . impact of war on the company already explained energy cost went up. And we have reache d agreement with our customers to pass on energy price increase. So our EBITDA levels have been maintained.

Manjit Singh ji ka question ■■, what is the order book capacity for this year. So, I have answered this earlier also and it is very well covered in MDA in the Annual Report , order book is quite healthy and that is how we are adding capacity in all our verticals. It varies month to month quarter to quarter. And as capacity utilization keeps going up we keep adding capacity. As I mentioned earlier, new unit was added at the gears plant in Pune. similarly new forging machining line added

at Bill Forge division Bangalore

crankshaft machining capacity added in Rajkot, two compression moulding presses were added at composite units at Pune and so on. Other question is about one of the promoters selling the stake in company, we really can't comment on promoter having sold their shareholding all I can say in general terms, companies make inve stments across different sectors and they take their own call, where they want to continue holding their shares and where they want to sell perhaps use the money somewhere else. We are really not commenting on individual decisions of the companies to eithe r buy or sell our shares. Any chances of bonus share / split up? whenever such a thing is decided we'll be very happy to

22

share with you and announce the same . At this moment there is no such consideration in front of the board.

Now I come to question from Aspi Bhesania Ji. Why not physical AGM. Bhesania Ji. virtual meeting is in complete accordance with compliance with regulatory norms. Post COVID This has become standard practice because it allows more shareholders to participate even if they're not able to travel. Even if shareholders are in Bombay, many of them find it very difficult to travel two hours from one part of Bombay to another part of Bombay you know Bombay has 20 million population. Overwhelmingly, most shareholders have preferred this mode of AGM where they can participate, but your sugges tion is noted. We will definitely consider it debate it before the next year's AGM . How much percentage of income from electric vehicle in first quarter Well, this mirrors whatever is the share of electric vehicle in the market, if electric vehicles are 2%, our income from that segment is 2%. Because we supply parts and components to the manufacturers, whatever is their share in the market becomes our share in the market.

Are we prepared for hydrogen vehicles. It does not matter to us whether it's hydrogen vehicle or electric, we are going to supply parts and components. Therefore, we do not per se look at hydrogen technology. If a car company says that I'm going to make hydrogen vehicle we will work with that car company to supply parts and components for their hydrogen vehicle. How are our competitors in hydrogen segment competitors will change year to year ? As the technology evolves, we will deal with it when the time comes. But every vehicle manufacturer likes to deal with reputed established companies they have been dealing with. So if today's car company wants to get into hydrogen vehicle, you can rest assured they will contact us, we will contact them how can we supply parts and components for a hydrogen vehicle. So we are fully aware of the situation and your company will take all necessary steps to deal with it when the time comes.

Praveen Kumar ji ka question about a promoter exiting the company. Once again I would say every one takes their own decision . So there was sale of 3% shares by a particular company, Mahindra, it is their decision. Every company has its own strategy on investment. Where to keep their shares in which company we cannot comment on their decision. They have been a valuable, excellent partner for us and they continue to be a valuable anchor customer for us. Impact there is really no impact. All commercial partnerships are at arm's length. We are confident that we will continue to be an excellent supplier to the company whether or not they're a shareholder.

I will now come to questions of Sharda Kumar Shah ji. Share price ? CIE became a majority shareholder of this company in financial year 2013 -14, at

that time open offer had come in October 2013. At that time deal was done at rupees 81. So, October 2013 Open offer was at 81. Now, the share price is well above 500. Further, Shah Sahab wanted to know about CIE Automotive share price. CIE share price in Madrid is 28.24 euros and the market cap is 3.38 billion euros. On page 49 revenue from India Mr. Shah our apologies I think there was a typo these numbers 52% India and 48% Europe they refer to CY 21 and not CY 22. In fact, today the India share is even higher after the sale after the exit from this business in Germany, which is being now held for sale. Growth in India is much higher and therefore, share of India will continue to rise year on year as we go forward. Our market share in percentage and India market share is very difficult to do in this business. First of all it is b2b business and therefore, one does not get details of who is buying how much from whom . Second, it is a multi technology business multi location business and multi country business. In each technology you have different competitors different customers and our share of business will vary. Very broadly speaking if I am permitted to say I can say that in India, your company is amongst the top forged crankshaft manufacturers among the top cast crankshaft maker, one of the most profitable gear manufacturer, the top supplier of sheet metal

23

stampings to M&M , the top magnetics maker for automotive purpose and a key player in composite. In Europe, your company is one of the top crankshaft makers and top supplier of gears and shafts for off highway and construction industry as well. Then equity ratio is 0.03 and we plan to make it zero. Your company is expecting to have adequate cash flows and in future we will maintain that equity ratio at optimum level which will maximize returns to the shareholders. How many shares one particular director holds. You asked for a particular director he does not hold any shares in the company . How much CIE expect from German plants, we had indicated this number also in the consolidated 22 Balance Sheet value which we had taken at the time of preparation of balance sheet was euro 29 million . Last page shows 11 plants of CIE in India indicate year for each plant for startup production. Well as you know this company has had several acquisitions and therefore the plants came when we acquired the company. Acquisitions happened at different times . And the plants were built by those companies at different times. Continuously we are investing in operations. So that we are in line with global standards of CIE Spain . Not only modernization but at expansion happens , which happens with new machinery new equipment. As a result, irrespective of the date of the start of the plant, all our plants are in excellent condition and shape to meet the best standards of quality and deliveries . Page 82 7.5% shares held by 90,000 , the question is can there be buyback for these shares at the moment ; there is no such proposal. Thank you for the suggestion. We will definitely convey your suggestion for team to discuss . Whether subsidiary names also will be changed. At this moment there is no proposal to change the name of the subsidiaries . page 43 unit million is not mentioned. I'm very sorry for the typo, yes, you are right unit million is not mentioned thank you for pointing out then the loan in 22, done well and 21 consolidated 22 actually is not right comparison between 22 and 21. In 22, we have done well both standalone as well as consolidated in revenues as well as profits. In 22 there is one entry which of German for

ging operations

being held for sale and that is why accounting treatment necessitate s that any profit or loss on that asset which is being held for sale is accounted for. And that is why there is a one time entry from asset and liability being held for sale and it does not have anything to do with annual operations of the two years 21 and 22. In 22, we have done exceedingly better than 21. Please rest assured that your company is doing

I come to question from Dinesh Bhatia ji. Why loss on consolidated this has already been answered, It is a one time item because of German assets being held for sale otherwise, your company is doing well in 22 versus 21.

24

our levels of quality as well as delivery of parts and components and time. Out of 14 subsidiaries how many are underperforming, the major underperforming subsidiary was German unit, which is being now held for sale. When we see the remaining operations in one or two places, it will appear that performance is good, but it could be better. Special focus has been given to those subsidiaries, those verticals. It's a continuous process of improvement. Less employee benefit, in accounts, there could have been some regrouping. In addition, we continue to strive to improve efficiency and productivity through automation. So that is a continuous ongoing process. Production roadmap for next five years. We are in a happy situation that every year we land up spending five to 6% of the sales on capital expenditure that shows that our order book is good. Those decisions are taken on a quarterly basis wherever we see that order book will lead to running out of capacity more capacity is added.

wth of Indian economy. Furthermore, our team also endeavors to increase its mark et share among the increasing customers. We are quite confident that company will grow at a healthy pace. You also pointed out issues regarding demat of the shares. Though this is an activity handled outside the company. We will do our best to see how can we be helpful. I'm going to request company secretary to kindly look into this.

[illegible]

Celestine ji ■■■ question on bonus split share ESG rating score to fit. Bonus split share is already answered. ESG Are we listed on ESG platform and rating score , we have started our journey. Thank you for the suggestion, we will definitely look at how can we implement a solution given by you on listing on platforms , scores etc. But we undertake excellent projects in CSR and they have been well appreciated by the beneficiaries in the communities we operate. Capex already answered margins and higher margins. We are a proces s company not a product company, we aim to get similar margins across. Our

25

26

Now I come to question from Gautam Tiwari ji, who are our competitors? Well, Tiwari ji there are many many competitors in different segments. You we are a multi technology company operating in many countries. I will do my best to answer. In Europe. In passenger vehicle forgings will be competing with

Thyssen Krupp, Musashi, Hirsch Vogel, Sifcor, Farinaria

roup . In Italy we have gears operation. There we compete with Oerlikon Graziano, ItalGear, Merlo, CIMA . In India, if you look at forgings we compete with Bharat Forge, Ramakrishna, Roop Auto, MM forge, Happy Forgings and casting we compete with Nelcast, RICO, Brakes India, Sriram Foundries , In stampings, we compete with JBM, Mungi, Panse, Magna, Badve Group . In aluminium castings it is Endurance, Rico and Rockman , In Gears, it is Bharat Gears, RIJ, Hi Tech Gears, Dana Graziano , there are many competitors in different technologies and that is why, as I said earlier it's difficult to discuss capacity or market shares. What matters is year on year consolidated revenue growth, consolidated EBITDA growth and consolidated VAT growth, which is what is the concern finally matters to the shareholders. In composites we have many competitors again like Devi Polymers, Sintex, Tata Advanced Materials . I will stop here list is long many might have been might not have been mentioned. That brings me practically to the end of today's session of question answers. I have done my best to answer the questions asked by the shareholders many insightful questions some are strategic questions which are difficult to handle in few minutes. But I have done my best to answer in a overall fashion. Some have been suggestions which we have made a note most of the suggestions have been with reference to 25th AGM I will definitely convey this to the board and the team. Many compliments have come. Particularly for the secretarial department, I will definitely convey my appreciation to Pankaj as well as the team Mandar in particular that they have provided service which has met approval of the respective shareholders. That brings us practically to the end of today's question our session once again I thank you. If there are any things which I have not been able to answer, please feel free and secretarial department. In any case, we'll get back to those who sent written questions. While closing the question answer session, I now come to the next part of today's AGM.

The combined results of remote e voting as well as E voting during the AGM along with the scrutinize rs report shall be communicated to BSE limited and National Stock Exchange of India Limited where the shares of the company are listed. Results will also be placed on the company's website and on the website of KFin Technologies Limited within the statutory timeline. Now it is 5.55 p.m. I will request moderator to close and deactivate the E voting window in 15 minutes from now, which will be 10 minutes past six. When the proceedings of the 24th annual general meeting shall stand closed. All participants who have already completed their voting may kindly log off. I thank the members for their presence and active participation and support extended to the company.

Thank you so much. Have a nice evening.

Frequently asked questions

1. Mr. Ander has mentioned about challenges of rapid transition to electric mobility in Spain and Lithuania. I request you to kindly share details of the same.

In our European operations, a significant part of sales in the forgings vertical comes from manufacturing crankshafts for cars. Crankshafts are at risk due to the transition to EVs. We do not expect that there will be a large negative effect in the short term but in the midterm (from 2026 onwards), we expect crankshaft sales to decline progressively. Our mitigation plan is to start producing aluminum forged parts and steel suspension products for cars. Almost 40% of the new orders that the car forgings vertical acquired in CY22 were in the BEV space. Forged aluminum parts are

expected to constitute a significant part of car forgings sale by 2027. Our other European vertical which makes gears for off road and farm vehicles (Metalcastello), will not be much affected by electrification. But here too, we have acquired significant business for BEV transmission parts.

2. Russia Ukraine war has resulted in unprecedented rise in electricity prices in entire Europe. Please inform how prepared are we to face these huge challenges? Are we able to pass on these large cost increases to our key customers?

The unprecedented electricity price hikes in Europe put a lot of strain on profitability. The management team in Europe worked very hard to have pain sharing agreements with key customers to pass through some of these large cost increases. The power costs in Europe have stabilized and the Q1CY23 margins in the European business should sustain.

3. I request you to kindly discuss benefits to our Company on the decision to divest German Truck forgings operations.

Our car forgings business out of Spain & Lithuania, is facing the challenge of a rapid transition to electric mobility. We have decided to put up our German truck forgings vertical for sale to facilitate greater attention to managing this transition.

4. How are we gearing up to challenges emerging from Electric Vehicles.

EVs continued to become more mainstream in both Europe & India. Europe is experiencing a rapid increase in penetration levels (market share >10%) and EVs are picking up in India as well, especially in two and three wheelers. Your company has developed a good order book for EV parts and is working with major European & Indian OEMs in the EV space, across segments. The EV order book covers Aluminum & steel forgings, gears, stampings & composites parts for e2W, e3W and e4W. In CY22, almost 35% of the order book generated in India and 40% of the same in Europe was in the EV space. EVs will mean a greater emphasis on stamped, plastic and aluminum parts compared to forged, cast or machined parts. We are well placed to tackle this change as we have presence in multiple processes, especially in India. As the supplier ecosystem for EVs is at a nascent stage, EV OEMs are looking to partner with suppliers who have quality and pedigree. Therefore, the transition to EVs may be more of an opportunity rather than risk.

5. Please inform about our efforts to win new business in existing segments. Please share with us Management plans for increased capacity utilizations and kindly inform the approximate Order book for the next 3 years.

The order book situation is such that all the business verticals in India required capital expenditure for increasing capacity in CY22. The key focus remains on how to balance order book requirements and investments in capacity such that both growth and profitability objectives are met. The details of capacity additions in India are provided in the MDA section of the annual report. A new unit is being added at the gears plant in Pune to cater to EV parts while the Rajkot gears plant was also expanded during the year. A new forging & machining line was installed by Bill Forge at Bengaluru to cater to EV transmission parts. CIE Hosur commissioned a new fuel rail line, the first time this technology has been introduced in India. The crankshaft machining capacity at the forgings plant in Chakan, Pune was augmented and an additional 4000T press is being put up to enhance forgings capacity. Two compression moulding presses were added to the Composites unit in Pune to increase capacity to make components from the compounds produced. The new plant being built by the Aluminum vertical at Aurangabad was completed last year, it will cater to 4W EV parts, among others. The stampings plant at Kanhe continued adding more robotic welding capabilities to increase value add. There were also incremental growth capex at the magnetics

, foundry &

Mexico plants. Process reengineering, automation and digitization with a view to improve operations and match CIE's global standards of manufacturing excellence, went on as planned. Developing parts with greater value addition remains an important part of operational strategy.

6. do you foresee any business conflicts or conflict of interest globally with parent Company CIE Automotive Spain?

The operating teams of CIE India work seamlessly with their global counterparts and are fully integrated in the global CIE system. We have not come across any conflict.

7. Loss of 923 Crores has been reported in consolidated accounts for fair valuations from discontinued operations. Request you to kindly elaborate on the same.

The board, in its meeting held on 14th Dec 2022, took note of the proposal approved by CIE Galfor to launch an active program to locate a buyer for the German forgings operations. In accordance, all the assets and liabilities of these operations have been categorized as held for sale. The company has recognised a loss on fair valuation of these assets held for sale of INR 9,234 mn including INR 9,162 mn relating to goodwill. Consolidated loss is on account of this one time non cash loss. Without this, both the standalone & consolidated have shown good profits.

8. What kind of optimism and paradigm shift leadership thinks in automobile ind? How CIE is getting ready to tap those opportunities?

We expect the growth momentum to sustain in India for the next few quarters. Our order book in India is in line with these expectations and we have been adding capacities in almost all our verticals. We are balancing order book requirements and investments in capacity such that both growth and profitability objectives are met. In Europe, we expect the market to start recovering very gradually and are focused on improving our profitability. Electrification of powertrains has seen rapid adoption in Europe (market share >10%) and is picking up in India as well, especially in

two and three wheelers. We have developed a good order book for EV parts and are working with major European & Indian OEMs in the EV space, across segments. Our EV order book covers Aluminum & steel forgings, gears, stampings & composites parts for e2W, e3W and e4W.

9. Where do you see green mobility getting matured into - EV or Hydrogen or Hybrid or plant based solutions?

We are following the transition to electric mobility carefully. As a tier 2 component manufacturer, we are prepared to work with OEMs in whichever technology emerges. As of now Battery EVs and Hybrids are gaining significance.

10. Page 143 revenue increased by Rs. 1,200 cr but our expenditure also increased by Rs. 930, Why expenditures increase? Consolidated revenue increased by Rs. 2,000 cr & expenditure by Rs. 1,800 cr. Results: consolidated heavily in loss compared to 21.

The company has recognised a loss on fair valuation of German assets held for sale of INR 9,234 mn including INR 9162 mn relating to goodwill. Consolidated loss is on account of this one time non cash loss. Without this, both the standalone & consolidated have shown good profits. The expenditure in both the standalone & consolidated P&Ls has grown at a lower pace than the sales. Thus, EBITDA margins in both the standalone and consolidated P&Ls, without the one time non cash write-off, has increased.

11. Why is the name of Mahindra removed from new name of the Company?

CIE Automotive S.A., Spain is ultimate holding company of Company and have India as its major area of operations. The Company therefore draws from the experience of CIE to serve the evolving Indian automotive industry. India is projected to be one of the fastest growing large economies in the world and CIE Automotive's global strategy continues to focus on India as a key market. To reflect this strategy, the name

of the Company is changed to "CIE Automotive India Limited". Further, there is no change in management.

12. Page 49 : Revenue from India 52 % & Europe 48 %.

Our apologies. There was a typo in these figures refer to CY 21. After the German operations were held for sale in Dec 22, India accounted for 63% of consolidated sales in CY 22 with Europe contributing the rest. The Indian business is expected to grow much faster than its European counterpart in the next few years and the contribution of India to the consolidated sales of the company will only increase.

13. What is our market share in % in India as auto ancillary supplier?

CIE India is a multi-technology company with various technologies, and in the B2B space. Thus, it is very difficult to provide a definitive answer to this question. However, MCIE is a key player in the individual business areas in which they operate in. In India, your company is amongst the top crankshaft manufacturers, the top cast crankshaft maker, one of the more profitable gear manufacturers, the top supplier of sheet metal stampings to M & M, the top magnetics maker for automotive purposes, key player in composites. In Europe, the company is one of the top forged crankshaft makers and a top supplier of gears and shafts to the off highway and construction industry as well.

14. Who are the competitors of the Company

a. Europe

i. Passenger Vehicle Forgings could be competing with Thyssen Krupp, Musashi, Hirsch Vogel, Sifcor, Farinia group.

ii. Gears Italy – Oerlikon Graziano, ItalGear, Merlo, CIMA

b. India

i. Forgings - Bharat Forge, Ramakrishna, Roop Auto, MM forge, Happy Forgings

ii. Castings – Nelcast, RICO, Brakes India, Sriram Foundries

iii. Stampings – JBM, Mungi, Panse, Magna, Badve Group.

iv. Aluminium Castings – Endurance, Rico and Rockman

v. Gears – Bharat Gears, RIJ, Hi Tech Gears, Dana Graziano

vi. Magnets - Delta Magnets, Cosmo Ferrites, Bajaj Electricals, Fulham

vii. Composites – Devi Polymers, Sintex, Tata Advanced Materials

15. Have company registered any patent?

We are a process company and therefore we do not have any patents. However, Process reengineering, automation and digitization with a view to improve operations and match CIE's global standards of manufacturing excellence, are being implemented. Developing parts with greater value addition remains an important part of operational strategy. All these will help improve margins.

16. The Grand Alliance between Mahindra Group and CIE Automotive was signed on 15th June 2013. Ten years later, Mahindra Group does not hold any shares in CIE Automotive India Ltd. What is the future role envisaged for Mahindra Group other than a major customer?

Mahindra will continue as a strategic anchor customer of the company. There is no other thing envisaged.

17. As a shareholder, I welcome dividends. However, a look at the standalone cash flow for FY 2022 reveals cash flows from operations are just adequate for investing and financing activities including dividend payments. Dividends constitute 55 percent of the total financing activities. This means higher capex would have entailed more borrowings. As a shareholder, I would want dividend only from surplus cash and not at the cost ploughing back of profits in business. What are the Management views on the distribution of dividend?

The company is expected to have adequate cash flows for both capex and dividends. Capex is estimated to be 5 -6% of sales every year. As per policy, dividend payout will be 25% of consolidated PAT.

18. Why M&M exited the Company, what is the impact?

It is M&M's decision and we can't comment on the same. Your company is grateful to M&M for being a co -promoter and an active member of the board since its inception.

However, the company's commercial relationship with M&M has always been at arms length. Your company is a good

supplier to M&M. In turn, M&M is a strategic anchor customer for your company. There will be no impact of M&M's stake sale on this commercial relationship as long as CIE India continues to meet the requirements of M&M's sourcing teams.

19. Automotive Industry is open to cyclical fluctuations all over the Globe. Are there any special measures planned to mitigate this risk like for example diversification into other industries?

CIE India has presence across 3 geographies (India, Europe, Mexico), 7 technologies (forgings, castings etc.), 4 automotive end user segments (light vehicles, two wheelers, tractors & CVs) and 75+ customers of significant size. This level of diversification is a good hedge against industry cyclicality. As an example, the CY23 growth in India revenues was 13%, higher than the weighted average market growth of 9 -10% and this was achieved despite two of our strategic anchor customers not growing at all. Our diversified customer base helped us achieve this result.

20. Is CIE Automotive India Limited contemplating to become a business conglomerate in future on the lines of TATA, Mahindra, Reliance etc? If so, are there any expansion plans for forward (like electric vehicles) or backward integration (like steel)?

We are a tier 2 component manufacturer competing on operation excellence and superior execution. Forward integration into EVs or backward integration into steel require different requirements to succeed. We are therefore not contemplating entering those segments.

21. Glad to see the EV Product Portfolio for 4W, 3W as well as 2W vehicles. What is the % of Capacity Utilization represented by Revenue from standalone operations in CY 2022 of standalone Company viz Rs 43,978 Millions? If the capacity is not fully utilized, is it possible to cater to greater demand for EV Products from existing or new customers? Which vertical amongst Forgings, Castings, Gears, Composites and Stampings are nearer to full utilization of the Installed Capacity?

The order book situation is such that all the business verticals in India required capital expenditure

for increasing capacity in CY22. The key focus remains on how to balance order book requirements and investments in capacity such that both growth and profitability objectives are met. The details of capacity additions in India are provided in the MDA section of the annual report. A new unit is being added at the gears plant in Pune to cater to EV parts while the Rajkot gears plant was also expanded during the year. A new forging & machining line was installed by Bill Forge at Bengaluru to cater to EV transmission parts. CIE Hosur commissioned a new fuel rail line, the first time this technology has been introduced in India. The crankshaft machining capacity at the forgings plant in Chakan, Pune was augmented and an additional 4000T press is being put up to enhance forgings capacity. Two compression moulding presses were added to the Composites unit in Pune to increase capacity to make components from the compounds produced. The new plant being built by the Aluminium vertical at Aurangabad was completed last year, it will cater to 4W EV parts, among others. The stampings plant at Kanhe continued adding more robotic welding capabilities to increase value add. There was also incremental growth capex at the magnetics, foundry & Mexico plants.

22. Out of 14 how many companies are under performing, what is the strategy for the turnaround

The major underperforming subsidiary group was in Germany. There are a couple of subsidiaries who have to improve to reach the target returns on which we continue to work and are hopeful to bridge the gap soon.

23. We are shareholder since CIE acquire Amforge Pune plant. So, inform share price for last 24 years to know appreciation.

CIE became majority shareholders of the company in 2013-14. The open offer in Oct 2014 that accompanied this deal was done at Rs. 81.

24. CIE is listed in Madrid. Inform share price in Madrid.

CIE's share price at the Madrid stock exchange on 8th June 2023 was around 28.24 Euro per share with a market cap of Euro 3.38 bn.

25. Page no 57 : Debt equity ratio 0.03/ 0.18, Inform plan to make it zero.

The company is expected to have adequate cash flows in the future. The company will strive to maintain optimal debt level.

26. Page 64 187 265 : inform how many shares Mr. Puneet Renjhen holds in CIE ?

Mr. Puneet Renjhen does not hold any shares in the Company.

27. Page no. 253 : how much CIE expect from German Plant ?

The value that has been accounted in the CY22 Balance Sheet for the German operations is Euro 29 Mn.

28. Last page shows 11 plants of CIE in India. Indicate year for each plant for start of production.

Some plants have come via acquisition and some have been greenfield and brownfield projects. All plants. Process reengineering, automation and digitization with a view to improve operations and match CIE's global standards of manufacturing excellence, are being carried on in each plant.

29. Page no 82 7.5 % shares hold by 98015 shareholders i.e. 99.2 % shareholders. Which is upto 1lac shares maximum by individual Shareholder ? M & M was holding 3.19 % & opted out from CIE. Similarly have buyback for 7.5 % shares.

There is no such proposal.

30. Company changed name now. Whether subsidiaries name also will be changed?

Not as of now.

31. Page no. 143 unit million is not mentioned when Unit million appears on page no 207.

Sorry for the typo.

32. Please hold physical meeting/hybrid meeting.

The virtual meeting is in compliance with regulatory norms. Post Covid, virtual meetings have become acceptable in the financial community as it enables greater participation especially from shareholders who are unable to travel to attend the AGM. Request for Hybrid meeting will be reviewed.

33. When was the last bonus given?

No bonus shares were issued by the company.

34. How many shares and dividend is transferred to IEPF?

None during the last year.

35. How much is spent on R&D this year

We are a process company and not a product company and therefore R&D expenses is not significant.

36. What is the attrition rate?

Not very different than the market.

37. What is the market capitalisation of the Company?

It is Rs. 19,600 crore as of now

38. How much percentage of income from electric vehicles in first quarter

Mirrors the market penetration of EV's

39. Who are our competitors in hydrogen segment.

The universe of competitors keeps changing in this space. As explained earlier we are well equipped to deal with the evolving situation

40. Which are the countries to which the exports are made?

12 to 13% exports from India. We export largely to Europe and our Italian business exports to US.

41. Request for analyst meeting

Will review along with factory visit request.

42. What is the reason for less employee benefit exp.?

Apart from some regrouping, the company continues to improve efficiency and productivity through automation.

43. What are the factors driving the growth?

Indian growth will drive the future growth and the company will continue to add customers in all the segments.

44. Issues faced while dematting the shares.

While we have to follow all the regulations, we will see how we can be helpful.

45. Promoter holding is 68 %, 75 % is allowed, why not increase the same

No such proposal as of now.

46. What are the plans for 25th AGM, any bonus/spilt of shares?

No such plans as of now.

47. ESG, are we listed in ESG platform, ratings or score? Which are the agency?

We have started our journey. We will proceed to these issues in the coming years for sure.

48. What are the product margin

s and highest margins products?

We are process company and generally aim to get similar margins across. Goal being to reach CIE benchmarks margin levels.

49. EV is big business, are we planning any acquisition or any brownfield projects in pipeline.

We continue to evaluate acquisition opportunities. Currently, there is no opportunity at an advanced stage of discussion. Acquisitions will be made to fill strategic gaps identified by the Company.

50. Can we expect 10 K turnover in this FY 23

We would not want to make forward looking statement.

51. Are we doing any powder metallurgy products?

Yes our magnetic products division does. This is a growing business.

Call: Jul 2023

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(Formerly known as Mahindra CIE Automotive Limited)
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SEC/2023/151
21st July, 2023

Sub: Transcript of CIE Automotive India Limited Q2 CY 23 Earnings Conference Call
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 13th July, 2023 in respect of advance intimation for Q2 CY 23 Earnings Conference Call, please find enclosed herewith transcript of the said call held on 19th July, 2023.

The same is being uploaded on the website of the Company i.e. <https://www.cie-india.com>.

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj Goyal
Company Secretary and Compliance Officer
Membership No.: A 29614
Encl: as above
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NSE Scrip Code: CIEINDIA
Page 1 of 19

“CIE Automotive India Limited
Q2 CY 2023 Post-Result Conference Call”
July 19, 2023

MANAGEMENT : MR. ANDER ARENAZA – CHIEF EXECUTIVE OFFICER –
CIE AUTOMOTIVE INDIA LIMITED
MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER –
CIE AUTOMOTIVE INDIA LIMITED
MR. VIKAS SINHA – SENIOR VICE PRESIDENT
STRATEGY – CIE AUTOMOTIVE INDIA LIMITED
MR. OROITZ LAFUENTE – BUSINESS CONTROLLER –
CIE AUTOMOTIVE INDIA LIMITED
MR. SWAPNIL SOUDAGAR – DGM STRATEGY – CIE
AUTOMOTIVE INDIA LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

CIE Automotive India Limited

July 19, 2023

Page 2 of 19

Moderator: Ladies and gentlemen, good day and welcome to the CIE Automotive India Limited Q2 CY '23 Post-Result Conference Call, hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Basudeb Banerjee from ICICI Securities. Thank you, and over to you, sir.

Basudeb Banerjee: Thanks. A very good morning, good afternoon to all the participants and thanks to the management of CIE Automotive India Limited for giving us the opportunity to host the call. We have with us today in the call management represented by Mr. Ader Aderaza, CEO, Mr. K. Jayaprakash, Chief Financial Officer, Mr. Vikas Sinha, Senior VP Strategy, Mr. Oroitz Lafuente, Business Controller, and Swapnil Sodagar, DGM Strategy.

So, over to the management for the initial comments. Thanks.

Vikas Sinha: Yes, thanks, Basudeb. This is Vikas. I welcome all of you on this call, as also Ader Aderaza, our CEO. I will present CIE India results for Q2 C '23 and H1 C '23. Straight off the bat, let us appraise you of some of the key developments that we had highlighted in the last two quarters.

After the exit of Mahindra & Mahindra from the company's shareholding, the name of the company has changed to CIE Automotive India Limited in this quarter, after all regulatory approvals were received. We had also held a German truck forging company for sale and the project is progressing well and we should be able to share further details soon.

Let us now examine the Q2 C '23 and H1 C '23 results of CIE Automotive India Limited, formerly known as Mahindra CIE, and in this presentation, we refer to them as, to the company as CAIL. The Q2 C '23 results for the India operations of CAIL are on page 7. The markets behaved as per expectations of seasonality in Q2, which we had talked about in the last results call. The weighted average market growth across segments was flat, compared to the same quarter last year and marginally down, compared to the previous quarter sequentially.

Some good news was in the gradual recovery of two-wheeler production which grew 12% sequentially. The two-wheeler retail sales data reported by FADA, the dealers association, also shows gradually recovering sales month-on-month.

Going forward, the relatively patchy progress of the monsoons could affect growth in two-wheeler and tractors market, but we do expect growth in the four-wheeler segment to continue on the back of new model launches.

Now sales of the India operations, that is sales of the India operations of CAIL at INR13.4 billion was 5% higher versus same quarter last year and higher than the market growth too as we pointed out earlier, but marginally lower vis-a-vis Q1 C '23. The India operations continued to become more efficient and achieved an EBITDA margin of 16.8% in Q2 C '23 versus 14.9% in Q2 C '22 and 16.7% in Q1 C '23.

CIE Automotive India Limited

July 19, 2023

Page 3 of 19

The Indian operations continue their journey to match the global standards of the CIE group.

On page 8, we have the results for the European operations of CAIL in Q2 C '23. These financials don't include the German forging business CFG, which are held for sale. Sales of INR8.6 billion in Q2 C '23 are 6% higher year-on-year versus Q2 C '22, but lower than Q1 C '23 sequentially. The slackening in the growth trajectory in our European operations is partly due to the slowdown at Metalcastello, something that we have always expected and spoken about. EBITDA margin in Q2 C '23 was healthy 19.2% versus 15.3% in the same quarter last year and 17.6% in the last quarter sequentially. These margins are higher than normal due to the stock generation to cover the summer holidays coming up in August. The Q1 C '23 operational margins are being maintained on a run rate basis.

On page 9, we see the consolidated CAIL Q2 C '23 results. Consolidated sales were INR22 billion, 5% higher than Q2 C '22, EBITDA INR3.9%, 24% higher year-on-year. EBIT INR3.1 billion, which is 27% higher year-on-year. And EBT INR2.8 billion, which is 18% higher year-on-year.

The first half H1 C '23 results for our Indian operations are on page 11. Sales increased by 9% versus H1 C '22 to INR27 billion. This was higher growth than the underlying market. The four-

wheeler and tractors market grew in high single digits on a half yearly basis, while trucks and two-wheelers declined marginally. This uneven market performance across segments is expected to continue. The EBITDA margin of 16.8%, EBIT margin of 12.8%, EBT margin of 11.9% and PAT margin of 9% are all much higher than H1 C '22. This reflects good all-round performance and we expect this momentum to sustain.

On page 12, we have H1 C '23 results for our European operations. These are without the German forging operations CFG held for sale. With sales of INR18.2 billion, there has been a 17% growth vis-a-vis H1 C '22, slightly higher than the underlying market growth. EBITDA margin in H1 C '23 was 18.3%, EBIT margin 15.2% and EBT margin 13.4%, all much higher than H1 C '22, largely on account of stabilization in energy costs and operational improvements. H1 C '22 PAT is INR3.4 million and includes INR1.5 billion of profit from discontinued operations, that is CFG. This profit includes a one-time impact of approximately INR1.1 billion of insurance collection due to 2021 floodings in Europe. Overall, in Europe, we expect the market to have slow growth and are therefore focused on maintaining our profitability.

On page 13, we have the H1 C '23 consolidated results of CAIL. Sales was INR45.2 billion, which is a growth of 12% versus H1 C '22. The EBITDA margin was 17.4% versus 15% in H1 C '22. EBIT 13.7% versus 11.4% previous year, EBT 12.7% versus 11.3% previous year, and PAT 12.8% versus 8.7% previous year. Overall, we have had strong performance, both in terms of growth and margin on a half yearly basis, delivering a double digit EBT on continuous operations.

On page 15, you will see our enriched consolidated balance sheet, which shows the healthy state of CAIL. Return ratios have crossed 20%, return on net assets has increased to 21.7, and return on equity to 20.7%. Return on equity on continuing operations should be noted as 15.5%.

CIE Automotive India Limited

July 19, 2023

Page 4 of 19

The cash flows are shown on page 16. The company generated operating cash flows to the extent of 70% of consolidated EBITDA, which is good performance. Growth capex for the first half of the year was INR1.7 billion, largely focused on projects in India. Overall capex for H1 C '23 was 5.4% of sales, which is in line with our norms. Cash outflow due to dividends was INR948 million.

Before we end, a word on EV order portfolio. Electrification of power trains has seen rapid adoption in Europe, with market share of greater than 10%, and is picking up in India as well, especially in two-wheelers and three-wheelers. At our Spanish car forging plants, we have had orders for steel forging used in battery packs and aluminum forging parts for chassis. We have orders from a couple of US OEMs for EV transmission parts at our Italian plant. These orders should compensate for any potential drop in revenues due to EV penetration in the medium term. On the other hand, in India, EVs represent an opportunity, and our annual report features the extensive EV-specific portfolio that we are developing in the Indian market.

market.

To end, we are confident that we can utilize future opportunities and face future challenges with agility in order to meet the shareholders' expectations of sustainability -- of sustainable growth and profitability.

With that, we proceed to Q&A. So, Basudeb, back to you.

Moderator: Thank you very much. We will now begin the question-and-answer-session. Our first question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta: Yes. Hi, sir. Thank you for the opportunity. A couple of questions from my side. First is on the EBITDA margin side in Europe, we have reported 19.2 and you have highlighted that on operating basis we are at 17.6 basically, we have continued the 1Q thing. So in 3Q as well, do you think, we'll be in a position to maintain this 17.5%, 18% number or how we should we should look at the same?

Vikas Sinha: On an operational basis, yes. There might be some variations due to the stock because that's a holiday. Q2 has almost three weeks of holiday. So the stocks have been built-up in this quarter. So to that extent, there will be some variation. But on an operating basis, yes, the margins will remain the same.

Nikhil Rungta: And just to continue on Europe's side, if you can just throw some light on the Metalcastello division. You already highlighted one liner on that, but if you can just elaborate on that.

Vikas Sinha: So you're looking for, Metalcastello is a very high performing plant, but you're looking at the volume trajectory, is that what you have in mind?

Nikhil Rungta: Yes.

Ander Arenaza: What we saw in the last months in Metalcastello is that we are producing in Metalcastello a lot of gears and components for the highway -- off-highway vehicles, especially for our main customer, Caterpillar, in the USA. What we see in the American market is that due to the interest rate increase and let's say, the strategies of the Reserve Bank of US to control the inflation, there is a certain decline of the economy in the last months.

So we saw certain reduction in the orders. We think that this is a temporary effect, but in this last quarter and probably in the next quarter or perhaps two quarters, we will see this market to decline a little bit. Then we still think that in the medium term we will see the recovery again and we will come back to normal figures in six months approximately.

Nikhil Rungta: Okay. Sir, last question from my side, if you can just elaborate a bit on our discontinued operation. I mean, even the operations are discontinued, the numbers being thrown by that operations are quite significant. Is it just because of the insurance claim during the quarter or is it something else?

Ander Arenaza : No, the performance at CFG, why is it so good in the first half?

Oroitz Lafuente: It's mainly due to the seasonal item of the insurance that we have received during Q2. That has been the driver for this performance.

Vikas Sinha: The insurance is the main driver, Nikhil.

Nikhil Rungta: Okay. Perfect, sir.

Vikas Sinha: Mostly one time, mostly one time. You know, let's not get very excited about the performance.

Nikhil Rungta: Sure, sir. Perfect, sir. That's all from my side. Thank you so much.

Moderator: Thank you. Our next question is from the line of Prashant Kutty from Sundaram Mutual Fund. Please go ahead.

Prashant Kutty: Yes. Thank you for the opportunity. The first question is on the revenue side of it, especially on the domestic side of the business. While you've actually highlighted over a longer period of time that you would want to kind of grow much ahead of the industry growth rate, I think, you even tabled a number of about 8% to 10 percentage higher of the industry growth rate. We seem to have seen a slight bit of deviation in this particular quarter.

Jus

t want to highlight anything specific to highlight? And more so because in the passenger vehicles, we thought that passenger vehicles, especially the higher end, where our processes and products are used more, we actually haven't seen ample amount of growth coming over there. So just wanted to ask, is there anything to highlight over here?

Vikas Sinha: No, as far as the India growth is concerned, in Q2, of course, as I said, there were differential performance across segments. And there was differential performance customers also. So that has had an impact a little bit of that. But there is also impact on certain product mix changes. For example, there is more of the new Scorpio now in the product portfolio, which has had an impact. But to your original point, on the India revenue side, yes, we will, we are focused on going higher than the market.

And we have said, quarter-to-quarter, there might be deviations, but in the medium term, that is what we are planning to do. In fact, we have highlighted that our customer base has increased quite a bit, quite significantly in the last three years, four years. A lot of those customers are in the ramp-up mode. We are investing heavily in India. Even in this half year, you see the growth

capex, which is almost 90% in India, it's substantial. And most of this capex is backed up by commitments from our customers.

So, from the point of view of what we are trying to do on the revenue side in India, nothing has changed. But you know, these hiccups here and there, one quarter to another will remain, but that focus of growing 5% to 10% higher than the market, weighted average market growth in India is there. I think, it is backed up by the capex and the order commitments that we have.

Prashant Kutty: Sure, but generally, we are talking about, again, from the growth perspective, especially on the passenger vehicle side of it, if you look at it, the growth is obviously, like you said, a little divergent. So the larger, the UVs actually have done much better. And I presume that we would have probably got a higher share on account of that. So that's the reason for asking is that, is there any deviation from that perspective? Or is it just a timing effect and probably it will probably normalize as quarters go by?

Vikas Sinha: No, I don't think there is, because the growth is on the higher end vehicles or anything like that. You know, yes, customers have grown differentially within the customers, different platforms have grown, so you will have variations in product mix because of that. I don't think there is anything to worry about. Let me put it this way.

Prashant Kutty: Understood. Sure. And on the international operations, I think to what the earlier participant was asking, at an overall level, you still seem to be growing better in general. If I look at it, I think, I just want to ask, and this is also on the back of a relatively higher base of the last couple of years. So I just want to know, if this growth is expected to sustain, are we expecting acceleration? You did highlight about that there is a bit of slowdown in the Metalcastello operations. But in

general, at an overall level, are we in general, we believe that probably this number of -- a high single digit number or a mid-single digit number seems to be a reasonable target?

Ander Arenaza: Okay, yes, we mentioned about the Metalcastello evolution, mainly because of the US market slowdown. So we will expect that this trend will continue at least a couple of quarters. Then we also expect to have a rebound later. So let's say that we are optimistic because in Metalcastello, we have also some new customers for electric vehicles and we will start the production in the next quarter. So in that sense, we will see the recovery. Then regarding the rest of the business, you know that

the European market is kind of flat. I

mean, there is no growth expectations in the next year, according to the forecast from IHS. So what we expected to continue our trend and to continue, let's say, in a good shape. Till now, what we see is that our order book and the orders are well fulfilled, and we don't see any reason to reduce the volumes in the next quarters. So we expect to be at the same level of the market or even a little bit above the market in the next quarters. So we are also optimistic on that.

Prashant Kutty: Sure. And lastly, one point, last point is what is the proportion of the overall level of exposure to EV at this point of time, at an overall company level?

Ander Arenaza: Okay, the exposure is low because you know that the percentage in, let's say, the percentage of the electric vehicles in India are really, really low. I would say that it is not even 1%. We are selling certain components for the EV and especially to the three-wheelers in that sense, both in CIE Automotive India Limited

July 19, 2023

Page 7 of 19

composites or magnets and gears, in these division we are selling components for the EVs. The percentage in all Indian activity could be 1% approximately. I mean, it's not relevant. And in Europe also, the percentage is low because we are now adding the new products and we expect that all these products will be produced and industrialized in the next years. So right now, the percentage, I cannot give you the exact number, but it can be something like 3%, 4%, 5%.

Prashant Kutty: Sure. Thank you so much and all the very best to you.

Ander Arenaza: Thank you.

Vikas Sinha: Yes, thanks.

Moderator: Thank you. Our next question is from the line of Jeetendra Khatri from Tata Mutual Fund. Please go ahead.

Jeetendra Khatri: Yes, thank you. Sir, I wanted to know for your two quarters first half, your revenue composition by vehicle segment and also by product segment, your gears, stamping, components, et cetera?

Vikas Sinha: No, a vehicle segment is more or less the same as we indicated at the end of C '22 results. As far as around gears, et cetera, we will report that at the end of the year in our annual report and in our investor presentation. So, more or less, the growth is similar across, frankly, we have always been saying, whether it is margins or it is growth, it is more or less we try and have similar performance across segments. So, the segment wise is more or less the same as what we have reported at the end of C '22. Roughly, about 49% in India for four-wheelers, roughly, about 23% for two-wheelers, 20% for tractors and 8% for trucks, roughly. You know, that's the break up in India.

Jeetendra Khatri: Okay, and what would be the share of EV revenues in Europe and India?

Vikas Sinha: No, that is what Ander just said. In Europe, currently, at the current, we are not talking about the future. Currently, it would be 3% to 5% in Europe and anywhere between 1% to 3% in India.

Jeetendra Khatri: Okay, thank you.

Moderator: Thank you. Our next question is from the line of Vimal Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Yes, thank you for the opportunity, sir. Sorry, I just want to harp more on the growth that we've seen in the India business. You mentioned that there is a mixed change, plus there are some customer level changes as well. If you could just probably give us some more detail there. Is it that some of your top customers, we have seen slower growth and some of the newer customers that you've added, which are still ramping up are have probably grown faster which led to slower growth. If you can give us some more details there. That will be helpful.

Vikas Sinha: It is not as complicated as that. Very simple thing M&M has done very well but within M&M, we have the newer models of M&M doing better. On the newer models of M&M, the

older

models of M&M also had stampings, the external parts outsourced as far as stampings is concerned. On the newer models, you have less of that. So that, that is one aspect.

CIE Automotive India Limited

July 19, 2023

Page 8 of 19

The second aspect is, of course, within the two-wheeler market, Bajaj has underperformed a

little bit and we expect Bajaj to recover August onwards as their exports get back on track. Bajaj exports almost 50%. So these are one or two things that are happening. Of course, our newer customers are doing well. So it is basically, as I said, within the market, some customers doing better or worse, and within a customer, some platforms doing better or worse.

Vimal Gohil: And you can confirm that you haven't lost any share in any of the platforms?

Vikas Sinha: Normally, don't lose shares Q1 to Q2. That normally does not happen. Any loss of share will be reflected over a period of time. It's really not between Q1 and Q2 you will see that kind of change.

Ander Arenaza: We have not lost any market share in this period.

Vimal Gohil: And sir, the next two questions would be if you could just give us a capex for '23 and on the Galfor deal, do we expect some resolution by the end of this year? Yes, that would be my two follow-ups. Thank you.

Vikas Sinha: So capex, we have indicated in H1, our overall capex growth-plus maintenance is roughly in the range of 5.4%. So we always maintain 5% to 6% of sales would be our capex. So that is the thing that we'll continue for this year also. The full year also, you will see a very similar number anywhere between 5% to 6%.

As far as your second question, not Galfor, it is the CIE Forgings Germany deal, CFG deal that we are talking about. Yes, it is progressing well, and it should happen pretty sooner than later, let us put it this way.

Vimal Gohil: Understood, thank you so much and all the very best.

Vikas Sinha: Yes, thank you so much. Thank you.

Moderator: Thank you. Our next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora: Yes, hi. Thank you for the opportunity. First on the Europe side. You highlighted that in the Europe business, you have won orders for EV from EV OEMs. Can you just highlight what would be the quantum of that? And by when should we see the ramp-up of EV revenues happening for the OEMs?

Vikas Sinha: Now what we had referred to was at Metalcastello. I think Ander has talked about in May be two results, in the Q3 result call I think. You know, we had talked about two orders on transmission parts for Metalcastello, which overall would amount to say, somewhere between EUR 25 million to EUR 30 million per annum but that will be at the peak. So, all of it will not come at the same time and when it will start as Ander has indicated maybe in the next few quarters. I think, but more likely, you will start seeing the impact next calendar year on the Metalcastello revenues.

Rishi Vora: And nothing on the PV forging business on the EV side?

CIE Automotive India Limited

July 19, 2023

Page 9 of 19

Vikas Sinha: No, that is the other two things that we are talking about, steel forgings and aluminum forgings. Aluminum forgings, yes, orders have begun but in a very small way. We are talking about 3% to 5% sales that is part of it coming from aluminum forgings and also some steel forging parts in the battery system. I'll ask Ander to elaborate on it. Since you talked about PV forgings, the PV...

Ander Arenaza: We are getting, have already got several orders from German car makers for EVs. We are talking about differential grounds for EV applications. It's a very important business. And also, as Vikas mentioned, we are going to produce for battery plates for truck manufacturers also in Germany. So yes, these kind of products we are now getting from the market and we are indu

ustrializing

and during the next calendar year, during next exercises, we will see these products to ramp-up and to increase our share of electric vehicles.

In the previous calls last year or even during the last call, we mentioned that approximately more than one third of our new orders are now coming from EVs. So we will see this percentage of the EVs growing up slowly, slowly during the next quarters.

Rishi Vora: Understood. And on a Q-o-Q basis, how much would be the decline of Metalcastello business revenues?

Vikas Sinha: About 15%. Yes.

Rishi Vora: 15%. And Yes, this last one, follow-up on Europe business, you highlighted that, we would see some wage revisions in the coming quarter. So where are we on that? And when should we expect that coming through? The wage revisions in Europe.

Swapnil Soudagar: Wage revisions in Europe, when are they happening? Wage costs. Salary.

Ander Arenaza: Okay, it depends on the country, okay? In Europe the wage revision in Spain, for example, are done from 1st of January. So the wage revision has been already done. So we already applied from 1st of January. And for example, in Germany there are -- we had last year certain revision according to the IG Metall agreement and in August or September there is an additional increase already agreed. So we will see in the next couple of months, we will see this salary increase again.

Rishi Vora: Understood. Thank you. That's it from my end.

Ander Arenaza : Thank you.

Moderator: Thank you. Our next question is from the line of Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale: Thank you for taking my question. I just wanted to understand, there would be some impact of RM deflation as well, right? So would it be possible to highlight the growth in India and Europe on a kind of constant RM basis on a Y-o-Y numbers?

Vikas Sinha: On the RM side, I think, we'll have to look at that, but at least in India, it is not having a major impact. In Europe, it will have some impact.

CIE Automotive India Limited

July 19, 2023

Page 10 of 19

Oroitz Lafuente : There is not any relevant impact on the evolution.

Vikas Sinha: Yes, so I think in India, RM is now no longer that big a factor. Of course, there is some impact will happen if it moves up and down, but it's not a major thing.

Nikhil Kale: Got it. And I think on the slide, which talks about your cash flows, you mentioned that the excess cash is sitting in CFG, right, to intercompany loans. So just wanted to understand that arrangement, why that has been done?

Oroitz Lafuente : What we have been doing there is, as we are preparing the companies for the sale, we are taking out all the excess of cash that these companies have generated and it's not required for the day-to-day operation. So we are bringing that cash back to the holding company and leaving the German operation plans only with the required amount of cash to operate normally. So all the excess, we are taking it back to the holding company to buy it.

Nikhil Kale: Sorry, the voice was not clear. Vikas, can you just help me understand?

Vikas Sinha: Yes, JP, will you please explain? In terms of, like the company will be sold on a debt-free, cash-free basis. So any extra cash that we have generated so far has been transferred as a company loan to the holding company.

Nikhil Kale: Okay, so when that sale kind of happens, you'll be getting all that cash back?

Vikas Sinha: No, no, the cash, Yes, JP, explain please.

K. Jayaprakash: So Nikhil, the money that is cash which was there in German operations, we have left only cash that is required to run the operations. All the surplus money that has been received is paid to the holding company that is Galfo and is earning interest at their rate of about 4%-plus in the class for their doing.

Nikhil Kale: Got it. Thanks, that's it from my side.

Moderator: Thank you. Our next question is

from the line of Navin Matta from Mahindra Manulife. Please go ahead.

Navin Matta: Yes, hi. Thanks for the opportunity. Just one question. For the discontinued operations, just to get a color of how the underlying performance has been, can you give a sense of how was the revenue and EBITDA for the first half or the quarter, which has just gone by?

Vikas Sinha: CFG first half performance.

Ander Arenaza : Overall, the performance of the German operation has been quite good. We had above expectation sales mainly because of the strong performance of the truck market in Europe in the first half of the year. So from the sales point of view, we performed really well.

And regarding the operations point of view, also the margins, the recurrent margins are really, really nice and even above our expectations. Of course, we have this exceptional item because we recovered the money from the insurance, I mean from the floods that happened in Germany

CIE Automotive India Limited

July 19, 2023

Page 11 of 19

two years ago. But overall, let's say in the reference, we can say that the performance and the company is really balanced and performing well.

Navin Matta: Any quantification, if you can share some light, that will help? What would be the top line and the EBITDA?

Ander Arenaza : Yes, we can be between 9% to 10% EBITDA margins in a recurrent in this moment and also the important thing of let's say one of the main reasons is that we have a long-term contract agreed with our customers, with our main customers, with Daimler. So we see certain stability also for this activity in the near years, next years.

Vikas Sinha: Given that we are in a process, I think, Navin, I think, the EBITDA margin is roughly higher than what we used to do about 4%, 5%, it is definitely in the range of 8% to 10% I think, as of now, operational EBITDA over and above that you have had these insurance payment and other one-time issues, so numbers are definitely looking good, sales are higher than what we normally used to be. The run rate of this company used to be EUR 220 million. So on a yearly basis, it is higher than that, that run rate basis. So as since you know, this we are still talking about this with various parties, let's stick to this kind of explanation.

Navin Matta: Sure sir, perfect. Thank you. That's all from my side.

Moderator: Thank you. Our next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Hi, a couple of questions from my side. One is for the India operations, we do still expect about 5% to 10 % organic growth to be higher than the underlying industry growth, right?

Vikas Sinha: Yes, correct.

Jinesh Gandhi: And this is after building in for the EV orders which we have got, that will be over and above that for the India operations.

Vikas Sinha: You know, right now, of course, EV orders are not significant as you see, EV orders, whenever they become relevant, they become relevant, but this in general is what we are talking about, is what we are doing. In fact, if you look at the weighted average growth in this quarter, I think, the weighted average growth in this quarter was 0.4% , market growth. We grew roughly about 5%.

The sequentially, the weighted average sequential growth Q -on-Q was about negative minus 1 point something, 1.2 or something. So to that extent, yes, we have maintained that figure. Yes, we are a little bit on the lower side, probably around 5% and not higher than that. But yes, that gap is there. That 5% gap is there between the market growth and our performance. In general, yes, we would want this to be higher.

Jinesh Gandhi: Okay, and then we said 0.4% weighted average growth is for your customers, and factoring for volumes of your customers and not for the ..

CIE Automotive India Limited

July 19, 2023

Page 12 of 19

Vikas

Sinha: No, no, growth is for our segments. That is what we can track publicly, like, and those are the numbers that are best available. Within that, of course, different companies grow differently. So the data that we have presented on the, you know, like, if you look at the Q2 India growth, that page number is on page 7.

On page 7, if you look on the right hand side, it gives you the market data. There you apply the weights, a colleague earlier had asked a question of what the weights are. So less than six ton is 49%, two -wheelers are 23%, tractors are 20%, and trucks are 8%. So you apply those weights to those growth numbers, you will get that figure.

Now, there was another colleague who had asked, go one step lower and see what is happening on the customer side. That is not what we are saying. Of course, on the customer side, there are different things happening. You are seeing a few customers doing better, few are doing less, and within, say, for example, M&M, which is doing very well, some newer products are doing better than the older products.

We have more, given that there's more stampings business on the older product, obviously any transition from older M&M models to newer models will have a little bit effect on the volumes.

So that was the gist of the discussion we have had so far. But when you talk about weighted average market segment, it is the market segment level growth that we are talking about.

Jinesh Gandhi: Got it, got it. And secondly, coming to the European operations. So considering on a Y-o-Y basis, there would be a substantial benefit of the INR depreciation against euro. Any sense on how has been the euro terms revenue growth for this quarter on Y -o-Y basis , constant currency?

Oroitz Lafuente: More or less in a flat situation. The euro has had an appreciation of 6%, 7% more or less so flat evolution for us.

Vikas Sinha: It's flat more or less for us.

Jinesh Gandhi: Flat more or less. And okay, so this is as against industry, we should have seen some growth, which is what we have been indicating that we will be focused on margins in Europe as against growth in India.

Vikas Sinha: No and take into account about a 15% drop at Metalcastello . So that is a big factor in the Europe thing. You know, remember in the previous calls, Ander has talked about how the Metalcastello market is cyclical and therefore, we have been preparing with these two EV orders, the transmission parts, which are actually from a different segment. Because the current segment of Metalcastello is related to the off -road market, with Caterpillar being the biggest customer. And then, and this market is very cyclic al.

If you look at the 2020 figures, we were about 38 million in Metalcastello . Those numbers are publicly available. And last year, we had reached about 80 million, so that is the kind of cyclicity you are looking at. To offset some of the cyclicity at Metalcastello, we had talked about that, another colleague had asked, what is the size about EUR 25 million to EUR 30 million orders of EV parts, which is, a completely new part for Metalcastello that we have got .

CIE Automotive India Limited

July 19, 2023

Page 13 of 19

And we are hoping that this will offset any of the decline in that cyclical decline that Metalcastello will have. But of course, there will, the timing will always be a little different. It has come a little earlier than what we had expected because the EV orders will start ramping -up only say, Q4 onwards and you will see more impact on our P&L in the next calendar year. So that you have to take into account as far as Europe is concerned.

Jinesh Gandhi: Got it. And for the European business, the passenger vehicle business, you talked about a few orders on the EV side. So any sense on the size of the annual run rate of revenues of those orders?

Vikas Sinha: Right now, And er did mentio

n about 3% to 5% of European sales. You know, they are actually coming from all of those car forging orders only, because the Metalcastello orders have yet to start.

Jinesh Gandhi: Okay. So that's already commercialized and supplies have started.

Vikas Sinha: In a small way, we have talked about aluminum forging, those two new orders that And er talked about. It is on a small basis, but it is ramping -up.

Jinesh Gandhi: Got it. And lastly, any further update on aluminum forging? How are we going ahead with that segment? We had converted one line on aluminum forging. Any further progress on that?

Ander Arenaza: Yes, we already informed that we already got a couple of projects on aluminum forging and we are working, we continue working with several customers and we are trying to develop this business in our Spanish forging plants. So every thing, there is no news to add regarding our previous comments. So the orders are already there and some of them are we expect to come soon. So the development of this technology or this product is going on as expected.

Jinesh Gandhi: Okay, so we don't need to further invest in terms of capacity at least in the current phase?

Ander Arenaza: No, what we are doing is we are updating our current facilities to produce this kind of products. And of course we will add additional machinery, specific machinery for this aluminum products, mainly heat treatment ovens and certain finishing activities. But overall from the forging point of view, we will try to refurbish our existing capacities.

Jinesh Gandhi: Got it. Great. Thanks and all the best.

Moderator: Thank you. Our next question is from the line of Nishit Jalan from Axis Capital. Please go ahead.

Nishit Jalan: Hi. Thank you for the opportunity and congrats for good set of numbers. I have few clarifications first to start with. This loans to related party is outside of the listed entity CIE India it has been given to the CIE parent right the CISA is that correct understanding?

Vikas Sinha: JP?

K. Jayaprakash: Yes. It is given to the CIE parent entity.

CIE Automotive India Limited

July 19, 2023

Page 14 of 19

Nishit Jalan: So, just wanted to clarify, any reasons for that or why we are keeping cash there, that entity needs cash, can we not have, could we not have parked that cash in the listed entity in any of the subsidiaries or transferred to India, any tax implications or anything on that?

K. Jayaprakash: Transferring to India would mean tax losses, and if you were to do it on a loan basis, we would have exchange challenges. So we are earning a very good return in a very safe investment. So that's the idea. We've evaluated and we feel this interest rate that we can earn and keeping the money safe this would be in I mean, clearly, it scores over other options.

Nishit Jalan: Got it. And see hypothetically, if we do any acquisition in India, which we have stated in the past that we are looking out would we be able to use that cash that we have in European entity to do the acquisition or that it will not be able to do that or possible to do that?

K. Jayaprakash: As I said, moving it as dividend is clearly, we are evaluating those options, Nishit. I have no immediate answer on that. We are really looking at various options. As of now, there is no clear answer.

Nishit Jalan: Got it. Okay. Second question is on the Euro pe business. Metalcastello is well understood that there is some cyclical slowdown and hopefully new orders will compensate for that next year.

But if I look at the overall revenues, the Euro pe PV industry has grown by almost 14 %, 15% and I would assume that there is some underperformance in the PV forging business as well. Is this some lead lag impact or your customers are not doing well or something of that sort? Can you give some more clarity on that?

Ander Arenaza: Okay, there are several reasons for that. Certai

n impacts that are affecting to this, let's say, lower performance in our, let's say, forging activity in Europe. But mainly, you can consider that, yes, the product mix and the customer mix could have certain effect on that. Also, if you look at our Q1 results and sales, you saw that we over -performed and now we are, let's say, we are a little bit below the market. So probably, there will a certain stock transition from one side to another. Okay, so we will probably sell more in the first quarter and now we are selling this. So I don't think this is just an operational tactical thing from the customers, not any impact. And finally, also we have a certain impact on the -- you know, that our scrap surcharge is updated

every quarterly, and there has been a certain reduction in the scrap surcharge compared to the Q2 last year. Okay, so it is approximately EUR 100 per ton less, EUR 120 per ton less this year. So this is an additional impact that could happen. So, all in all, all together, its generating certain reduction effect, but I don't think it is relevant, and we expect that during the next quarter, we will come back to the normal evolution according to the market.

Nishit Jalan: Got it. Now, coming to the India business, right? If I look at two questions on that part, one on the new order wins, anything you can highlight on the new meaningful order wins without naming the customer also if possible, which should start, which would ramp -up in the next couple of two quarters, three quarters, which will help us grow ahead of the industry. That is one.

And number two is, if I look at an India business, your standalone margin, EBITDA margin has improved quite significantly, but looks like the subsidiary performance have been tied lower. So CIE Automotive India Limited

July 19, 2023

Page 15 of 19

I would assume it is because of Aurangabad Electricals. Anything to highlight here or anything if you can give more clarity? That's it from my side.

Vikas Sinha: No. First, I'll answer the second question on Aurangabad Electricals. I'll ask boss to talk about it a little bit. But as far as whether we have new orders or not, as I said, we have put in a capex growth, capex in India this year would be roughly in the range of INR140 crores in the first half itself. And it is happening across the board as we have been pointing out, all backed by order commitments from our key customers, from our customers.

There are many customers that we have highlighted that we have added, we have talked about Stellantis, for example, we have talked about Bosch, we have improved our business at Hyundai Kia, we are talking about Royal Enfield. So there are a lot of customers that we are speaking to in India. And I think, as I said, from our perspective, we are very confident of ramp -up in India.

So not just for the next two to three quarters. I think, we are confident for the next couple of years easily as far as the ramp -up in India is concerned. So that is your first question.

Second question, obviously you have highlighted it rightly. AEL is a little lesser than what we would expect it to be and we have put into place a program to improve the operations there. And we do expect to see good results in the, say, in the next half year or so. So that is the overall perspective, but I'll request Ander to talk a bit about AEL.

Ander Arenaza: What you said, Vikas, is correct. We expect to continue the improvement trend that we started a couple of years ago in AEL, so the margins of this company will continue growing as the efficiency and the operations are improving. Also we have been negatively affected due to the fact that AEL is a dependent company and during the last quarter, we have been in a very weak turnover situation. But this trend seems to change in the next quarters as we all expect that our customers export again soon as Vikas explained. So we are quite

optimistic on that.

On top of that, we are getting new programs and we have been appointed and we are launching new programs for EVs, for Tata, for example, and these programs are starting right now. So in the midterm, we will see recovery, growth, both in turnover and also in markets.

Then coming back to other business where we made a huge investment in the last year, our new plant in Hosur. This plant has been already launched and we started the production and the programs that we launched there are ramping -up and we will see a big jump in the next quarters in this factory. So we are also optimistic on the evolution, the big growth in CIE Hosur with the margin recovery and we will -- I think, that it will be a success story in the next quarters and you will see that in our next result, our next quarter results.

So overall, I think that the -- all the activities that we have done, we have deployed in terms of capex and investment in the last year will show results in the next quarter as we are now showing in this year. And my expectation is that, okay, we will see the market, we are affected by the market variations or market volatility, but in the midterm, we will see the consistent growth and the order book is relevant. And every month we are receiving new orders from the customers so we expect that the growth history will continue in CIE India.

CIE Automotive India Limited

July 19, 2023

Page 16 of 19

Nishit Jalan: Great to hear that. Just one follow -up if I may. Can you remind us what was the kind of capex that you have incurred in the new line in CIE Hosur and what could be the incremental revenue potential from there?

Ander Arenaza: Okay, the capex we had there was something like INR1.7 billion. That is the capex in building, machinery, everything that we already spent. And the sales that the turnover in this moment, we are at about approximately INR1 billion, at a rate of INR1 billion sales. And at least we should double that in a very short term. Okay, that is the, is probably after doubling it, probably we will

go further. But I would say that doubling the sales in Hosur should be the next step.

Nishit Jalan: Got it. Thank you for all the clarification and all the best.

Vikas Sinha: Yes, thanks Nishit.

Moderator: Thank you. Our next question is from the line of Aman Agrawal from Carnelian Capital. Please go ahead.

Aman Agrawal: Sir, thank you for the opportunity. My first question was on the Euro revenues. If I see on a Q-on-Q basis, our revenues have declined by around 11%. Even if I take that 15% decline for the Metalcastello business, that translates to around 3% to 4% overall decline in revenues, given it is 20%, 25% of our European business. So like, still we have like 7% to 8% kind of decline versus around 2% decline for the industry volume. So just wanted to understand why this underperformance was for the industry?

Vikas Sinha: Ander explained, there was this slab such as that he was talking about. There is a bit of that effect also there. But all these things will straighten out going forward. The Metalcastello decline is there definitely. So other than that it should be okay in line with the market going forward.

Aman Agrawal: Understood, sir. Second thing sir, on the Germany business sale, any timeline when we expect to finish it, complete this?

Vikas Sinha: I said that in my opening remark, I said, sooner than later. So beyond that, you know how all these M&A transactions are that saying about the cup and the lip and I don't want to jinx anything. So let's leave it at that. We are saying sooner than later.

Aman Agrawal: Understood, sir. Thank you for the opportunity. Thanks for that.

Vikas Sinha: Thanks, Aman.

Moderator: Thank you. Our next question is on the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari: Hi, good afternoon and thank you.

Vikas, my first question on India, I mean, in the past we have spoken about our productivity being lower or substantially lower than our counterpart operations in Europe, Spain, Germany, et cetera. So just if you can highlight what kind of measures are we taking to improve this, where are we on this journey of improvement?

Vikas Sinha: This is Ander's favourite topic, so I will leave it to him.

CIE Automotive India Limited

July 19, 2023

Page 17 of 19

Ander Arenaza: Okay. This is something that we are measuring month-by-month in all the verticals, okay, because yes, what we see is that India is a very competitive country, but a lot of this competitiveness is lost because of the lack of efficiency in the production. So we are continuously working on this, and all the verticals are performing, I would say, month-on-month to improve our efficiency. The kind of activities that we are doing are we are transferring technology in terms of let's say layout, how we produce the components with the new layouts that make the production more efficient.

We add certain automations. We also change certain cutting conditions or production conditions so we can improve the cycle times. Also, we reduce the labour and sometimes there are unnecessary operations that we avoid. So those are the kind of things that we do, and we transfer to the different plants in India so we are able to improve the efficiency. We make sure the added-value per employee in each of the vertical every month so we monitor this evolution.

This is something that we can see also in our EBITDA margins, where we were five years ago, six years ago, we were below 10% EBITDA. Now we are close to 17%. So this is a fact. Also we are growing and our customers are relying on us. That means that our reliability from the delivery and quality point of view has also improved. So because it is not only working on efficiency but also working in the reliability. So that's something that we are doing. In fact that is my main task in the organization to be sure that all this process is moving.

We have Indian engineers in Spain being trained. We have had Indian engineers in Mexico being trained. Then a lot of people coming from Europe to India to implement and to let's say, transfer the technology and to implement the improvements. So the people is trained and they are able to copy and paste all these improvements in the rest of the machines. So these are the kinds of things that we are doing every day.

Pratik Kothari: And I'm sure this will be a continuous journey and there's no end point, but given when you started this exercise, say four years, five years, six years back, would it be fair to say that a large portion of it we have already captured?

Ander Arenaza: No, I would say that we have done a good job but we still have a lot of things to do okay. I would say that we can be in the middle of the road. I think, we still have more than 50% of improvement ahead of us. So we will continue doing this. And this is, as you mentioned, this is a continuous improvement, a continuous journey. So we will continue improving. In fact, because we are also improving in Europe, we have low chance of improving in Europe. So, once we make the improvement in India, but we do also the improvement in Europe, the gap remains. So, we need to continue. This is a never-ending story. Yes.

Pratik Kothari : Correct. Very true. Sure. And last, if you can share the export numbers out of India and just what is the trend there?

Vikas Sinha: Export number roughly remains in the range of 13% to 15 %. You know, I think, of course, this, it is on a half yearly basis. I think , exports have grown a little faster than our other domestic revenue, but it would still be in the range of 13% to 15%. And overall, I think , it will increase going forward.

CIE Automotive India Limited

July 19, 2023

Page 18 of 1

9

Pratik Kothari: Okay, su re. Thank you and all the best.

Vikas Sinha: Yes, thank you so much.

Moderator: Thank you. Our next question is from the line of Basudeb Banerjee from ICI CI Securities. Please go ahead.

Basudeb Banerjee: Yes, thanks. Most of the questions have been already answered. Just wanted to understand. So like, PAT of almost INR220 crores a quarter, so annualized somewhere around INR850 crores, INR900 crore s-plus, INR300 crores -plus of depreciation. So INR1,200 crore s kind of number. So against that were 5 % to 6% capex to revenue. So still you are getting a de cent cash flow. So what's the timeline in terms of inorganic growth, either in the plastic part s business or say a sunroof or EV parts, at least in India, with growth being in single digit on the other side?

Vikas Sinha: Now on the roadmap on M&A, like of course , we keep trying for it, but we really can't give you a date, nor will we put pressure on ourselves by giving a date so that we end up doing whatever is available. So yes, it's on our mind, we are serious about it, but as I said, we'll do it when we have a g ood target that we come across.

Basudeb Banerjee: So like recently , there was an article, one another domestic component maker venturing into the sunroof space for passenger cars, which has been another area where CIE has been working in global market. And so what any outlook from that aspect where sunroof penetration is also increasing pretty well nowadays in India?

Vikas Sinha: No, that's a good point that you make. We have not, as you know, CIE is very strong in the roof systems space. On a worldwide basis, it is one of the major players. So we have yet not, or you know, not we, I think CIE has yet not decided on what the sunroof strategy in India is going to be. So at this stage, I don't think , we can answer that question, but yes, it's a question well taken, and we will try and get back with an answer in the coming months.

Basudeb Banerjee: Sure, okay, thanks.

Moderator: Thank you. Our next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: Hi, good afternoon and thanks for the opportunity. Ander, my question is when we are working on to improve productivity in India to global level, so in all I mean, holistically, how do we see our EBITDA margi n journey from here to next three years, if you can give some color on that, it will be really helpful ?

Ander Arenaza : Okay. It is quite a difficult question, but I will try to answer saying that one of our main targets in CIE India is to match the margins that our parent company CIE has worldwide. So, let's say , global margins that our CIE parent company has is between 18 % to 19%. So that ca n be our target for the future.

Bharat Sheth: Around 18% ?

Vikas Sinha: Well, he said , 18% to 19 %. So I will talk 18 %, he will talk 19 %.

CIE Automotive India Limited

July 19, 2023

Page 19 of 19

Ander Arenaza : But it will be, the strategy is t o match, our idea is to match the margins that CIE has, okay , so that is the proper answer.

Bharat Sheth: And overall growth also would be in high double digit or top line growth or say lo w double digit if you can give also will be required to achieve that kind of a mar gin trajectory?

Ander Arenaza : Yes. We are expecting to grow above the market, okay. That's the purpose we have to have the 5% above the market should be the target. But that will depend on also our new order allocation and also our performance and our competitiveness in the ma rket.

Bharat Sheth: And coming to Europe business last, the kind of slowdown that we have seen in Metalcastello , so do we expect that full year, I mean, o n the continued business, there will b e a, we were expecting some mid -single digit kind of a growth, so it will be a more or less flat tish kind of a thing in Europe.

Ander Arenaza :

Okay, it is difficult to say , because it's true that the Metalcastello business will continue depressed at least one or two quarters, that is our expectation. And regarding the rest of the

business, now we have the Q3 coming where this is the seasonal it is affecting because of the summer holidays so we will see week quarter and then we expect the market to recover. So what we think is that we will see , we still have a growth in Europe. Till now we are in 17% growth compared to the last year. And I think that we will end with certain growth, the complete calendar year.

Bharat Sheth: Okay. Thank you and all the best.

Ander Arenaza : Thank you very much.

Vikas Sinha: Thank you.

Moderator: Thank you. That was the last question of our question -and-answer -session. I would now like to hand the conference over to the management for closing comments.

Ander Arenaza : So as always, I would like to say , thank you to all the participants for the well -directed questions and very clever questions that you made. And also, I would like to say thank you to all CIE India team for their fantastic job. And I hope that I will be able to continue growing and improving the business in the next quarters. Thank you very much, everybody.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Note: This statement has been edited to ensure quality

Call: Oct 2023

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SEC/2023/209

20th October, 2023

Sub: Transcript of CIE Automotive India Limited Q3 & 9M CY2023 Post Result Conference Call Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 12th October, 2023 in respect of advance intimation in relation to Q3CY23 Results Conference Call, please find enclosed herewith transcripts of the said call held on 18th October, 2023.

The same is being uploaded on the website of the Company i.e. <https://www.cie-india.com>.

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj Goyal

Company Secretary and Compliance Officer

Membership No.: A 29614

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Page 1 of 21

"CIE Automotive India

Q3 & 9M CY202 3 Post Result Conference Call"

October 18 , 2023

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CIE Automotive India
October 18, 2023

Page 2 of 21 Moderat or: Ladies and gentlemen, good day and welcome to Q 3 & 9M CY2023 Post Result Conference Call of CIE Automotive India hosted by ICICI Securities . As a reminder , all participant line s will be in the listen -only mode and t here will be an opportunity for you to ask questio ns after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone . Please note that this conference is being recorded. I now hand the conference ov er to Mr. Basudeb Banerjee from ICICI Securities . Thank you and over to you Sir !
Basudeb Banerjee : Thank s Raghav . First of all thanks to C IE Automotive India Limited management for giving us the opportunity to host the call. We have with us the top managem ent repr esented by Mr . Ander Arenaza , CEO ; Mr. K Jayap rakash , CFO ; Mr. Vikas Sinha , Senior VP Strategy ; Mr. Oroitz Lafuente , Business Controller ; and Mr. Swapnil Soudagar DGM Strategy . Without wasting any time I would like to hand over to Vikas. Over to yo u!
Vikas Sin ha: Thank s Basudeb . I welcome all of you on this call a nd also Ander, our C EO. I will present the Q3 C2023 results of CI E Automotive India Limited which was formerly known as Mahindra CIE Automotive Limited . At the outset we would like to bring to your at tention that the sale of 100% stake held by CI E Forging Germany GmbH which we call C FG in its wholly owned subsidiaries is complete. It is to be noted that while the transaction has been completed this month the transfer of business to the selle r takes eff ect from July 1, 2023. As a consequence

we have restated the results of the European operations for Q3 and nine months for last year. So the Q3 C2022 and nine months C 2022 results for Europe have been restated in this presentation.

We now start with the r esults of the India operations for Q1 C2023 on page 7. Sales was Rs.14393 million, EBITDA Rs.2405 million, EBIT Rs.1862 m illion and EBT Rs.1746 million, t hus sales grew 1% year -on-year, EBITDA 12%, EBI T 15% and EBT 13%. EBITDA margin in Q3 C2023 was at 16. 7% compared to 15% in Q3 C2022 and 16.8% in Q2 C2023. The year -on-year sales growth of 1% was more or less in line with weighted average market growth across the market segments we operated. There are some mitigating factors to consider here. Th e impact of declining steel prices was significant in this quarter , also please note that Diwali was in October last year while it is in mid November this year , the festive effect was felt more in Q3 last year while it will have greater impact in Q4 this year. Then t here has been some delay in the ramp up of some of our orders and this has impacted sales growth, but that should be corrected in the coming quarters. Nevertheless, we are happy to note that P BT profit before tax grew by a healthy 13% in spite o f the anemi c growth this quarter in India. Our efforts to maintain our margin trends are bearing fruit. Overall we have positive expectations on growth and margins from all our verticals in India. The market situation in India continues to be optimistic wi th all the four market
CIE Automotive India
October 18, 2023

Page 3 of 21 segments showing good sequential growth especially heartening is the sequential growth in the two wheeler segment and the festive season is expected to give a good boost to this segment. Tractors will continue to be steady on a high base with r ural income showing recovery though the erratic monsoon this year could somewhat dampen the prospects a bit. Now we move to the results of our European operations for Q3 C2023 on page 8. Sales grew to Rs.7262 million from Rs.6806 million in Q3 C2022, wh ich represents a 7% growth year-on-year and is slightly better than th e market growth. The impact of f orex and steel price drop mostly cancel each other out in this quarter. The drop in sales sequentially between Q3 C2023 and Q2 C2023 was 15%, whi ch is in li ne with observed seasonality as August has almost a three -week holiday period . Q3 C2203 EBITDA in Europe was Rs.1249 million, EBIT Rs.1009 million and EB T Rs.813 million. EBITDA grew 36% year -on-year, EBIT 42% and EBT 19%. The slower growth in E BT compared to EBIT is due to the higher interest costs in Europe this year, which is because of higher interest rates as you know interest rates have gone up in Europe. EBITDA margin in Q3 C2023 was 17.2%

compared to 13.5% in Q3 C2022 and 19.2% in Q2 C2023. As explained in our last call the inflated margin in Q2 C2023 and the slightly depressed margin this quarter are due to the stock buildup in the month of July and are observed every year. Metal castello is also seeing the continuing impact of a cyclical slow down in its end used market. The market situation in the coming quarters is a bit uncertain with the continuing war in Ukraine and the tense situation in Israel, which are casting a shadow. The EV penetration in the European auto sales keeps increasing. Therefore, our attempt will be to be in step with the market while maintaining our margins.

Now if we go to page 9 we will see the consolidated results for Q3 C2023. Sales were Rs.21655 million, EBITDA Rs.3654 million, EBIT Rs.2871 million, and EBT Rs.2559 million. The consolidated EBITDA margin for the quarter was 16.9% versus the 14.5% in Q3 C2022 while sales grew by 3%; EBITDA grew by 19, EBIT 23% and EBT 15% respectively. The YTD September nine months results for the India operations are on page 11. Sales were Rs.41375 million, EBITDA 6

928 million, EBIT 5303 million and EBT 5045 million and PAT Rs.3685 million. Sales grew 6% compared to the corresponding period in C2022 higher than the YTD weighted average market growth. While sales grew 6% PAT grew by 15% year-on-year and this was achieved by expanding our EBITDA margins in India to 16.7% compared to 15% last year. The YTD nine month results for Europe are on page 12. Sales were Rs.25486 million a 14% increase over the corresponding period. Last year EBITDA was Rs.4592 million, EBIT Rs.3776 million, EBT Rs.3262 million and PAT Rs.5877 million. Margins have recovered to levels seen before the energy crisis as power costs have stabilized. Please note PAT includes 3356 million of profit from discontinued operations that is CFG. This profit includes a onetime impact of approximately Rs.1100 CIE Automotive India
October 18, 2023

Page 4 of 21 million of settled insurance claim and others. PAT also includes Rs.2090 million of foreign currency translation reserve which is non-cash credited to P&L on sale of German businesses. Normalized EBITDA over production value is at about 17%. The recurring PAT is Rs.2521 million while YTD sales grew 14%; recurring PAT in Europe which is taking out all onetime value grew by 26%. The consolidated YTD nine month results are on page 13. Sales were Rs.66861 million that is roughly 6700 Crores and 9% increase over last year. EBITDA was Rs.11520 million, 1152 Crores, EBIT Rs.9079 million, EBT Rs.8306 million, and PAT Rs.9562 million that is 956 Crores. As explained in the previous section PAT includes 3356 million of profits from the discontinued operations excluding that consolidated PAT for nine months YTD September 2023 was Rs.6206 million that is 620 Crores and we are on track to have the highest PAT in our history in C2023. It is to be noted that while YTD consolidated sales grew by 9% the recurring PAT grew by 20% recurring PAT which is without any onetime, nonrecurring profits from the discontinued operations, so therefore to conclude in spite of hiccups on the topline we are on course to deliver an impressive improvement in earnings per share without any onetime factors. So thank you very much. We can proceed to Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Hi. Quickly if you can share what was the impact of steel price decline or the commodity cost decline in the India business?

Oroitz Lafuente: It has been an impact of almost around 3% of decrease.

Jinesh Gandhi: For the European business it seems the euro revenues in euro terms have declined by about 5%, is that correct and is that largely because of steel price pass through impact?

Vikas Sinha: You are saying Europe revenues have..

Jinesh Gandhi: Euro revenues constant currency basis seems to have declined by about 5%.

Vikas Sinha: But there is also a steel impact there, so the forex impact and the steel impact are actually cancelling out in Europe in this quarter, so what you see is the rest of it, it is actually declining.

Jinesh Gandhi: Got it and the outlook for Europe business given that?

CIE Automotive India
October 18, 2023

Page 5 of 21 Ander Arenaza: In fact as the exchange rate impact and the raw material impact are canceling each other the reality is that our business in Europe grew more or less at the level of the market so our growth of 7% is in line with the market, but slightly below because we have the impact of Metal castello as Vikas explained in the script Metal castello is suffering a little more because we are selling big percentage to the US and the US market is going down because of the higher interest rate there. So the off highway market is negatively affected by this

impact but we think

that the recovery will come during 2024 so there is a certain decline and Metal castello will recover during 2024 that is our expectation.

Jinesh Gandhi : Got it and can you update us on the EV order wins in the European business , what is the salience of that now for us, EV in the European business order book?

Vikas Sin ha: Jinesh as we have explained we are looking four major orders two in Metal castello which are expected to start ramping up, some small bits have already started but they will start ramping up next year in Metal castello that we have talked about 28 to 30 million these are two orders and then we have orders both at CIE Forgings, steel plates, aluminum forgings like right now they are small but what is happening in Europe is that EV sales per model is very low at this point of time. So even though the penetration looks high the sales per model is small so the ramp up is a little slow, but we expect all these four orders or four or five orders to start ramping up from 2024 onwards and we will see good results there.

Ander Arenaza : So just as a summary of the new project allocation, the new orders that we are getting in Europe for example you can see that 74% of our new orders this year, everything that we got 74% of what we got this year are for electric vehicles, so you can see that the move and the launches in Europe are concentrated in EV so this is good news for us because we are in line with what the market is doing . In Metal castello all the businesses that we are getting from all these baskets 50% is also for electric vehicles so in this year so that means that we are also well aligned with the future and in India that you know that the electrification is coming but it is slower and at lower pace at a lower speed than in the rest of the regions . Approximately 10% of our new orders are for EVs. So let us say that our new order portfolio is perfectly aligned with the market evolution, so I think we can be comfortable with this transition to happen and of course the key thing for us will be how to manage this transition for example in this moment most of our EV programmes that we are waiting for to start are being delayed by the customers because of different reasons some lack of batteries or certain market difficulties that our customers have but they will come for sure. So during next month we will see these new players starting and ramping up okay so overall we can say that the evolution of the new orders is pretty exciting and also that we will see the new projects starting and ramping up soon as our customers promised us.

Jinesh Gandhi : What is the net debt at the end of quarter at consolidated level ?

CIE Automotive India

October 18, 2023

Page 6 of 21 Jayaprakash : It is Rs. 1.1 billion.

Jinesh Gandhi : This is after considering the cash at German operations, right?

Jayaprakash : Yes.

Oroitz Lafuente : The cash at German operations will be received during the month of October so in September the sale was not yet secured, it was secured in October so this is without including the German operation so that will be reduced by the amount that we will get from the German operation sale.

Jinesh Gandhi : Got it. So this will probably become net cash post this receipt. Last question from my side any thoughts on repaying debt at the European operation level given the sharp increase in interest cost considering we have cash in which is parked with the parent ?

Jayaprakash : Jinesh we are looking at our cost of borrowing and the income we get in the cash pooling so we have some arbitrage there so to the extent we have a positive arbitrage we will continue .

Until we have some real need in the business for the cash instead of netting it off.

Jinesh Gandhi : Got it. Great thanks and all the best. I will come back in queue.

Moderator : Thank you. The next question is from the line of N

itin Arora from Axis Mutual Fund.

Please go ahead.

Nitin Arora : Thank you for taking my question. Just on the Europe production side though when we look at your nine months production versus your sales, you are pretty much in line with what market production is, but just wanted to take a heads up from you when we look at Q-on-Q production have really declined very significantly in Europe can you throw some light is something transitory in nature or you think this pressure will continue on the production , if you can throw some light on that and then I will take up the second question ?

Vikas Sin ha: So you are talking about Europe sales in this quarter as to Rs.62 million versus the previous quarter, right ?

Nitin Arora : So basically when you give the market update in your presentation you talk about production, right which is down 17 -18% July to September versus April to June you have given in your presentation Europe results so I was just trying to understand is that because Q-on-Q optically will go down because of the summer season, but this time the fall is quite drastic. When we look at your nine months production data of Europe versus your sales it is pretty much in line 14% growth but we are trying to look that it is something you are

Page 7 of 21 looking more this production run rate to continue or there is some improvement is coming in Europe as far as production is concerned for your clients ?

Vikas Sinha: Q-on-Q that drop of 17 or 15%, the market has dropped 17 we have dropped 15 which is very much a factor of seasonality in August almost three weeks are off, so three weeks out of 12 weeks is of the like in a quarter so you see that kind of drop in the sales and in Q4 also please bear in mind in December one week is off so obviously in Europe H1 is always better than H2, in India it is the reverse because we have the festive season in the second half so this is very much in line with seasonality, the market is what it is, there is no panic in the market, there is no demand drop in the market this is pure seasonality.

Nitin Arora: Every year there is seasonality but we do not see that much drop it is fine I will take it offline that is fine. Second is when we look just on the India business especially on two wheelers because one of your large clients is still ramping up on exports which we are not seeing that much ramp up happening but generally on the two wheeler side you are seeing production ramp up happening that is one from your let us say large clients and few other clients and second in terms of margin improvement from here, we are seeing that few of the OEMs are clawing back margin, they are not giving easy margins out to the ancillaries and down the chain can you throw some light on that as well as far as margins are concerned just those two questions ?

Vikas Sinha: On the two wheeler side you are right, the exports has not recovered as much as we had thought. On the YTD basis two wheeler exports are down about 20% overall and you are right one of our strategic anchor customers Bajaj is very dependent on exports and of course we suffer accordingly but the point is that domestic market is certainly looking up. If you look at the retail sales data from the dealers association FADA you will see there is some good news there. Yes, it is slow growth but it is coming back. So on two wheelers we do think that the festive season will give a little bit boost to the two wheeler numbers in India. To your second question on margins from OEM that is the constant dialogue that we have with our OEMs. Yes the OEMs are always interested in optimizing their margins. We are obviously interested in optimizing our margins. We are partners and this dialogue continues.

Nitin Arora: My question was that is it something 16-17% is somewhat we will try to maintain or you

see further from synergies though you have articulated earlier also that maximum synergies have been taken in, but do you see further scope from here of improvement?

Ander Arenaza: That is a pretty good question. In fact what we think is that we still have room to improve our internal efficiencies that is our main fight in our operations. We have all the verticals doing great job to continue improving and we think that we will be able to continue this

Page 8 of 21 journey and the room for improvement is there and we have already identified the gaps. So my answer is clearly yes also this market growth that we expect and business growth that we allow for the next quarter will also support us on this margin improvement. We have a lot of projects in the pipeline that are delayed as I explained before and once these projects are ramping up, we will see certain improvements also. So overall I would say that the margin improvement is a never ending story. We need to continue improving. Always we said that the gap compared to our European or Mexican operations is still high in India. We think that we can do our production even better. So that is what we are doing trying to be really competitive in India and get the appropriate margins for the company. So my answer is very clear to you is just we need to improve the margins. We think that we can do it.

Nitin Arora: Great. Thank you so much team. All the best. Thank you.

Moderator: Thank you. The next question is from the line of Nitish Rege from ChrystCapital. Please go ahead.

Nitish Rege: Hi, thank you for the opportunity. I have a few questions. The first question being you have mentioned new project ramp up in the PPT could you please elaborate on those are these large projects and which segments are we targeting for this?

Vikas Sinha: To answer your question of course Ander will add to whatever I say and you have to understand in India we have been making growth capex of about 200 to 250 Crores, like 2000, 2500 million for the last two to three years so a substantial growth capex close to I would say if you take from the year 2021 to now and even one more year ahead if you look at it, we would be in the range, as I said average of 200 to 250 Crores every year. So all of this is against committed order so some of these orders have not ramped up to our satisfaction but they will ramp up because we know that there is growth in the market. When this ramp up you will see better growth results also not just margin results but better

growth results in India that was the point we were making . In terms of what are those for example we have a new plant at CIE Hosur , we have had expansion in the aluminium EV four wheeler space at our aluminum plant , we have made investments in Mahindra' s EVs new models which are in the course of ramp up , new tractor models are coming in from Mahindra s o there is a whole lot . As I said in India we have been investing across the board in almost every vertical . Every vertical we expect growth. Some of this has been delayed and therefore we are saying growth will come. We have been caught up in this quarter at a bad time other than that we do expect all of this to ramp up.

Nitish Rege : The next question being is there any update on the sunroof strategy for India business?

CIE Automotive India

October 18, 2023

Page 9 of 21 Company Speaker : No there is no news at this moment on this. The sunroof business in India is doing well, is growing and we will analyze internally and come back to the Board and of course then to the market.

Vikas Sinha: So right now we have not taken a decision. We have noted this. I think you know even in the past this has been asked, we have noted this. We will come back to you with an answer give us some time on this.

Nitish Rege : Just one more question the

last one. So as per my calculations we will be ending with

around 500 Crores of cash this year so any thoughts on M &A?

Vikas Sinha: M&A is an integral part of our day-to-day operation. We keep looking for stuff so we are looking for stuff . At this stage we are not at any advanced stage that we can talk about but yes we are looking for opportunities in India. We are not looking for opportunities outside India. We are looking for opportunities in the areas where adding customers, adding new ways of doing business, so different segments like aluminum, four wheelers . We are looking at our new customer base , etc. So we keep looking for it but one thing I must say that we will not do an M &A just because we have cash. We will do M &A if we think it is appropriate for us that is something like please bear that in mind.

Moderator : The next question is from the line of Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale : Thanks. My first question was on Metal castello. Can you just help us understand what was the decline in Metal castello revenues for Q3 and also for the nine month period ?

Ander Arenaza : In Metal castello we have a decline because of the market evolution in US of approximately from 15 to 20% in this Q3 and Q4 okay that is what we expect for the next quarter . Then what we are told is that in next calendar year there will be a recovery okay so the situation is that now we have this 15 to 20% drop and then we will see perhaps in Q2 -Q3 next year we will see the revamp again on this business. However, also we have the new programme for the electric vehicles in US that we are now launching and preparing everything. So the ramp up will start. So we will be able to compensate this drop anyway with this electric vehicle business.

Nikhil Kale : Just the number that you mentioned 28 to 30 million kind of order wins for Metal castello that will take a couple of years to kind of ramp up to peak revenues will that be correct ?

Ander Arenaza : Yes it will go ramping up gradually during next year. It will depend also on the introduction of these vehicles in the American market so the expectation is that we will see let us say a smooth growth during next year.

CIE Automotive India

October 18, 2023

Page 10 of 21 Nikhil Kale : Got it and just secondly I think IHS is kind of expecting production to be broadly flat for Europe car market next year but then given your commentary on the orders kind of ramping up fair to assume that you would outperform the end market production growth ?

Ander Arenaza : Okay that is our interest and our intention but it is true that IHS is saying that the European market will be flat in the next four or five years at around 17 million cars that is why together with the electrification, we will see a very challenging scenario in Europe. However let us say new project allocation that we have had in the electric vehicle field, I think we will be able to let us say overcome this situation and of course gain market share that is our interest, yes.

Nikhil Kale : Got it . Thanks. I will get back in the queue .

Moderator : Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil : Yes Sir. Thank you for the opportunity. Sir my question is on the India business you commented that you spent almost 500 to 750 Crores on growth capex with committed businesses from customers. Now just trying to think aloud as to why will the customer not go ahead despite the market seeing good signs of growth if you look at the new models, they are flying off the shelf right now so where exactly is the challenge the orders potentially should have come and why should there be a delay in the first place ?

Vikas Sin ha: They depend on specific projects Vimal. You are right, the markets are not doing badly

especially for four wheelers, two wheelers is not doing well, some of the models that I talked about are EVs, so we talked about the aluminum four wheeler EV production so there are specific areas. Of course in general the markets, especially for light vehicles, doing well no doubt about that so some of this is for exports. In specific areas the ramp up has not been as fast as we thought but it will happen so you are right. I am not saying there is a market problem and that is why this thing is happening. No, it is just a delay it will come, no issues.

Vimal Gohil : So what you are saying is these are newer models which are taking time to ramp up maybe the customer is focusing on the existing model is that understanding correct ?

Vikas Sin ha: Look at the EV models for example this year on four wheeler EVs there has been some slowdown in some model areas I am not saying customer is doing this or that this is general evolution of new models, sometimes it gets delayed, a project gets delayed by two, three months, four months, six months that is normal.

CIE Automotive India

October 18, 2023

Page 11 of 21 Vimal Gohil : The signs of revival are we already seeing it or is that a few months away still ?

Vikas Sin ha: Revival of what ?

Vimal Gohil : These projects ramping up?

Vikas Sin ha: Yes it will ramp up. Yes we are looking at it. In the next, next few months, yes.

Vimal Gohil : Right so as we speak, we are seeing signs of these orders coming back or ramping up.

Vikas Sin ha: No these orders have not gone away. It is just that those introductions are just taking more time that is all.

Vimal Gohil : Understood Sir and Metalcastello we have a very large exposure to off highway vehicles is that understanding correct and which is why we experiencing deep cyclicalilty ?

Vikas Sin ha: Yes that is right.

Vimal Gohil : Sir the revival should be sharp right because if the slowdown has been bad so the revival should be equally sharp has it played out similarly in history and can that we expect in the future as well ?

Ander Arenaza : Yes. We expect that yes we will see the revamping of this business in the next months okay probably not immediately, not in the Q4, not in the Q1 but next year we will see this recovery for sure and as I told you before we will have additionally all the entrance of the electric programs that we have got for US for another customer so with these two effects we will see that our sales in Metalcastello will come back to the normality and we will see growth again okay but yes we need to as we are now in the bottom side of the cycle we need to suffer this drop in the next one to three quarters that is our expectation but we are optimistic and we have everything prepared to go up and to ramp up again soon.

Vimal Gohil : Just one followup there the 28 to 30 million orders is in the passenger vehicle vertical for Metalcastello ?

Vikas Sin ha: That is right. For Metalcastello yes for the US market light trucks.

Vimal Gohil : Light trucks?

Vikas Sin ha: Yes.

Vimal Gohil : EV light trucks okay.

CIE Automotive India

October 18, 2023

Page 12 of 21 Ander Arenaza : That is right.

Vimal Gohil: Understood. Alright. Thank you so much and all the very best.

Moderator: Thank you. The next question is in the line of Harini from Sundaram Alternates. Please go ahead.

Harini: Good afternoon Sir. Sir just one clarification so always our goal was to grow in as far as the market grows we at least tend to or have a target of growing more than 5% to 6% higher than the industry growth line for the markets where we cater either in India or in Europe, at least from the past two quarters we have been seeing a bit of slowdown on that front so how do you see it coming forward in the next one to two years, do you see that expectations to be coming back in place?

Vikas Sin ha: Yes no that is

what we have said. Some of our ramp up has been delayed but yes you are right. Our aim in India is to grow 5% and plus higher than the weighted average market. We have different segments in which we operate. You have to take a weighted average. Yes in the medium term since you are asking a question over two to three years yes that is our intent. That is also our intent in Europe and as I just mentioned that Europe the market is flattening but even there we want to grow higher than the market through all these new

orders that we are looking at so over a two year period whatever we have said in the past holds. This quarter as I said it is a specific case of ramp up not having happened so let me put it simply. This quarter is not representative of what we are planning to do when it comes to growth numbers in India.

Harini: Understood Sir. Another portion if you could just give out so generally we have the new customer orders contributing to around 25% of the growth so are we in the same track going forward, how is the thing on the new customer additions, are we somewhere on track in that?

Vikas Sinha: No is the question madam is that are we making new customer additions is that the question?

Harini: Yes Sir.

Vikas Sinha: Just to put things in perspective. I think in India we have almost 50 customers with more than sales of 10 million per annum okay so out of this almost half would have been added in the last two to three years so customer addition is an important part of our strategy so it includes increasing our buying from our selling to our existing customers, trying to grow our middle customers and adding new customers. All three aspects we are looking at and CIE Automotive India

October 18, 2023

Page 13 of 21 we will continue to look at and that is what I am saying we now have 50 customers in India with more than 10 million sales per annum okay.

Harini: Understood okay Sir thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. You may please go ahead.

Pratik Kothari: Good afternoon and thank you. Vikas again on India growth sorry multiple questions have been asked but again in the first nine months we have grown at the 6%, industry volumes have grown at 6% but on a sales basis industry has grown at 15% to 20% Mahindra, Bajaj, Ashok Leyland, and Tata are major customers the major OEMs which have reported numbers and what is expected so I understand that new platforms are taking time to ramp up and this is incremental growth which needs to come in but for existing models and for existing products and existing industry which itself is growing at say 15% in this nine months or maybe Maruti has grown at 25% in the first nine months or is expected to grow at 25% in first nine months there our growth is only say 6% on a sales basis how do we reconcile this number?

Vikas Sinha: I do not think like if you look at the production numbers the weighted average production growth for YTD nine months is about 4% if you look at it and we had a very good Q1. If you remember Q2 and Q3 we have been like Q2 was around 5% for us and the weighted average market growth was 1% there are different numbers that are reported but if you look at the production numbers of various OEMs then you can clearly see the weighted average growth for YTD nine months is roughly around 4%.

Pratik Kothari: But then we are comparing industries volume growth to our sales number?

Vikas Sinha: We have to also take into account the steel impact which is not there. We did mention steel impact in this quarter was about 3% so if you take that steel impact 6 + 3 roughly is 9% versus a weighted average market growth of 4% so but like steel is you have to keep it aside because at the end of the day growth is what it is and to your specific question on different OEMs different OEMs have done differently.

Mahindra Auto continues to do exceedingly

well there is no doubt about that. Mahindra Tractors on a YTD basis may be a little lower than on a YTD basis. Maruti and Bajaj again maybe similar. Bajaj might be a little lower. If you look at the production numbers you have to understand Bajaj is 50% exports so that is the situation so we do track the market and this is our reading on a weighted average basis about 4% we have grown 6% without the steel impact. Steel impact has been substantial this year but as we have said in the past that is something which is part and parcel of the CIE Automotive India

October 18, 2023

Page 14 of 21 business so when you talk about the YTD results this is how we look at our results and going forward things will be better.

Pratik Kothari: Correct point taken but by only limited point was steel also impacts the OEMs when they sell right so OEMs are growing at 15% on a sales basis and our growth is like 6%?

Vikas Sinha: No we look at numbers the production numbers not like their sales numbers we do not track. We look at their production numbers and what we are talking about when we compare the market, we compare the production numbers. For us that is what is important whether how they pass on the sales, etc., we have not looked into that. We have not analyzed that for the OEMs but whenever we talk about the market we talk about production numbers not even sales domestic sales. Production numbers includes domestic

sales and exports and the effect of inventory, etc., that they have so that is how we look at the market .

Pratik Kothari: Sure fair enough sure and second on margins first of all a commendable job in margins we have come all the way to 17 , our aspirations are even higher so given your process engineering company it is commendable what we have done hearty congratulations on that just a question on that given we are not a product company and a process engineering company so how is it that our customers the OEM they also would be looking at our numbers the margins that we report how do they allow us to make this kind of margin and given our attempt to keep margins at such a high level and this might be one of the best in the industry in terms of competition, etc., does that not hamper us given the margins that we are changing ?

Vikas Sinha: No our customers are our partners so we are not in competition with our customers so as long as we meet the requirements and based on our efficiency level that is to us so when Ander speaks about margins he talks about efficiencies but that does not mean we will not meet the requirements of the customers whatever they are so as long as we meet the requirements it is okay and if they ask us for price reductions, etc., that of course we will have to work that out. That is a constant dialogue our customers are our partners. They are not in competition with us and I said earlier they optimize their margins and we optimize our margins. Our focus when it comes to margin improvement in India remains efficiency. In fact you had asked the question in the last call when Ander has given a long answer on what we are doing to improve margins . If you go back to that answer it has nothing to do with pricing, it has nothing to do with customer requirements, they are all internal. If you recall it was automation, it was production per person , input and output ratios, and layouts . These were the things that we talked about last time and that is the focus for us so therefore whenever we talk about efficiency improvement in India there is a long way to go on the engineering aspects itself. After that of course whatever the customers ask us we will try

CIE Automotive India
October 18, 2023

Page 15 of 21 and meet the requirements as far as possible. They are our partners. They are not our competitors, okay .

Pratik Kothari: C

correct so lastly the efforts that we make internally for improvement efficiency productivity largely is for us to keep and not that we have to share it with the customer ?

Vikas Sinha: No therefore we did the arrangements there . They might have their own requirements. All that I am saying is our margin improvements in India we do think that from an engineering aspect we still have room to improve . How much we share with our customers and what we share with our customers is different issue . All that we are saying is we do see lot of prospects for improvement on the engineering side in India still . That is where we are at this moment.

Pratik Kothari: Great . Thank you and all the best.

Moderator: Thank you . The next question is from the line of Priyaranjan from HDFC Asset Management Company. Please go ahead.

Priyaranjan: Thank you . So just one thing if I am not wrong I think because you have mentioned about 6% growth have a impact of say 9% of adverse impact of commodity so for a YTD basis is it fair to assume that the volume growth was 15% is this what you wanted to say ?

Vikas Sinha: No the weighted average volume growth of the market was 4% on a YTD basis in India.

Priyaranjan: Yes that I understood but for you because you had a 9% adverse impact of commodity of steel price so your volume growth was 15% ?

Vikas Sinha: Not 9% 3% of decrease .

Priyaranjan: So 3% for this Q3 for YTD?

Vikas Sinha: For YTD we have to work it out . We will have to work it out but you take this as representative that is what we were talking about.

Priyaranjan: So the volume growth probably will be three plus whatever YTD?

Vikas Sinha: It is not that we do not have growth. Yes the steel normally when the market is growing very high the steel impact does not matter as much but right now because of tractor growth and two wheeler growth which is a little like Bajaj, Mahindra Tractors and even Maruti is on a YTD basis 0, 0 so when you see this then the steel starts having an impact but having

CIE Automotive India

October 18, 2023

Page 16 of 21 said this that is part and parcel of our business. We cannot like keep talking about it so it is what it is but yes when our ramp up happens elsewhere I think you will see better growth numbers .

Priyaranjan: Understood and any thoughts on the two technology which we have been talking in the past particularly on the aluminum forging side as well as the plastic in India any thoughts on that

when can we start because aluminum I think because of the electrification in Europe we might have to put some plant or some whatever changes it might have to do in the plant so how soon or how fast we are in that process ?

Vikas Sinha: Aluminum forging is in Europe that is what we are doing. We have already started to do it in a small way. There have chassis parts and big parts that we have in Europe and where we have said same machines being used but the process is slightly different. You need to do heat treatment. Aluminum is a soft metal so some process parameters would be different so in Europe we have already started doing it. In India right now the need for aluminum forging is limited. Whenever it happens we can do it as I said we are doing it at Galfor so we can bring the knowhow to India on the process side not a problem at all. As far as plastic is concerned I think we have always said that we will go the M&A route for plastics. We already have composites which are doing very well by the way. Composites when we talk about EVs in India we normally do not talk about three wheeler EVs but three wheeler EVs in India is a success story. It is a very big success story especially Mahindra three wheeler EVs. It is that division of Mahindra is doing very well and we are big suppliers to them and our composites division is doing well so that will hopefully continue to do well. On the plastic

side otherwise we will do through an M&A what we have always said the inorganic route and that depends on opportunities. Right now we have nothing in the pipeline but yes we keep looking for it.

Priyaranjan: Understood and lastly on the strike in US so any impact potential impact in the 4Q numbers because of the strikes at various OEMs in US ?

Ander Arenaza : So till now the impact of the American workers strike in Ford, in Stellantis and in General Motors is very limited okay. In fact I am talking about impact for CIE was very limited in September and probably we can not have in those customers an impact of 10% till now in October so it is not relevant and coming back to CIE India we have only certain impact on our forging activity in Mexico where we supply to GM through Tier-1 and we are seeing certain minor impact there so till now the impact of this strike is not relevant. Okay we will see what is going on in the next weeks but till now the situation is completely under control.

Priyaranjan: Understood. Thank you.

CIE Automotive India

October 18, 2023

Page 17 of 21 Moderator: Thank you. The next question is from the line of Jigar Shah from Svan Investments. Please go ahead.

Vishal Shrivastav : Thank you team for taking my question. I am Vishal Shrivastav here from Svan Investments. I have few questions. Most of my questions have got answered. I have a few questions regarding European operations just wanted to know is there any trigger left in the margin improvement in the European operations from here on in CY 2024 and CY2025 and if yes where this improvement will come from, will it come from the mix of new orders which you have already bagged the kind of product mix improvement or value addition improvement through that can you throw some light on that please?

Ander Arenaza : Okay the margins in our European operations were negatively affected last year during 2021 and 2022. We were negatively affected because of the energy price increase and the steel price increase and also we have a third reason that is the big inflation that we have been suffering and during 2023 we have been able to first the reduction of the energy prices the energy electricity prices have gone down to stable levels at around €100 per megawatt that is where we are now so this reduction in cost has allowed us to recuperate certain margins. Also we have negotiated with the customers all the steel and energy update systems so most of our customers have accepted that these cost drivers need to be indexed so that has been done so we have recuperated the margin that we lost and finally we have the inflation where we are negotiating with the customers and okay that is much more difficult issue to discuss but overall what we have done is we have been able to recuperate the margins that we had before the crisis. Then for the future we expect to keep our margins, to keep our business profitable and it will be very complex in this flat scenario to continue improving okay so the businesses are really stretched and optimized and the further improvements are not easy to get, but overall I would say that our aim is to maintain our margins in the current situation once we have recuperated them from the last year drop.

Vishal Shrivastav : Fair Sir thank you. Sir one more question regarding the new orders which we have got in Europe Sir are these orders are through replacement of the existing programs or these orders are new programs which will lead to our market share gain ?

Ander Arenaza : Most of the products that we are getting in Europe are for electric vehicles that will replace the current internal combustion engines okay so we can expect that the electric vehicles will replace the internal combustion the current programs so this is a clear substitution okay. The good point or the good news for us in regarding this new pro

grams that we are allocated now is that approximately exactly 74% of the total new orders are for electric vehicles okay so that means that in the future we will see more and more electric vehicles in Europe and we will have a growth important growth in that segment so that is the message
CIE Automotive India
October 18, 2023

Page 18 of 21 but coming to your question yes I think that there will be a substitution from the electric vehicle substituting the internal combustion engines .

Vishal Shrivastav: Just last question if I can squeeze in Sir as our mix towards these execution of these electric vehicle programs improves I think is this understanding right that in that case our probability of margin improvement will be more as our value addition becomes higher in those kind of platforms ?

Ander Arenaza : Okay it depends on the product but if the value added that we are getting is improving of course we will have the opportunity to improve our margins. In the case of Metalcastello for example when we are talking about these electric vehicle components that are much more complex component yes we expect to improve our margins as the added value and the complexity of the product is growing . Also I can tell you that in India we are doing also the same process. We are increasing the added value of our components and growing in the complexity that means that we will be able to continue growing. Perhaps I missed this point in my previous answer when we were talking about the improvement on internal efficiencies but also the change on the portfolio and the increase of the complexity of the products will give us room for this margin improvement. Of course we need to take the risk of making more complex product and that is also additional effort from our engineers and from our production people but that is the trend and that is exactly what we are doing in Europe and also in India. In both regions we are with the same path .

Vishal Shrivastav : Fantastic Sir. Sir thank you for taking my question Sir. Thanks and all the best team.

Moderator: Thank you . The next question is from the line of Bharat Sheth from Quest Investment Advisors . Please go ahead.

Bharat Sheth: Thanks for the opportunity. The question is for Ander. Ander Vikas has given some color on this aluminum forging so whereas we have aluminum forging in Europe and aluminum casting in the India side so how are we seeing and when do we expect that really aluminum forging can really emerge for a big business like aluminum casting in India and what are the challenges difference between these two processes and if you can give little more color as well as the end user ?

Ander Arenaza : We will see the aluminum forging coming to India soon for small applications probably in two wheeler sector we already have certain aluminum forging components and for the four wheelers forged aluminum is let us say premium car component okay . That is why the volumes that we can expect in India for aluminum forging are lower than other technologies mainly because of these premium cars that they use this kind of aluminum forgings. In Europe we are getting these new programs this aluminum chassis component for premium
CIE Automotive India
October 18, 2023

Page 19 of 21 cars. We are talking about premium cars like Jaguar, Land Rover or Mercedes or BMW . Those are the companies that they use this chassis component in made in aluminum very expensive components and that our bet for our European business and if this trend is coming to India and there is these premium cars being produced in India in the future we will be ready to do that okay so my view in this moment is that this aluminum chassis component will be produced in Europe at the first stage and for the two wheeler in certain small components will be also producing in India okay that is the answer to your question .
Bhar

at Sheth: Fair and second question Vikas when we are saying this two wheeler is down we understand is largely export whereas in domestic how are we seeing because in our presentation we have said that CRISIL is anticipating 7% of a growth in two wheeler post FY2024 and then going so how do we really read this and what is on ground things are happening ?

Vikas Sinha: Who is saying 7% growth in two wheeler market in 24 ?

Bharat Sheth: CRISIL statement which we have published in CRISIL research .

Vikas Sinha: CRISIL research okay.

Bharat Sheth: 9% to 10 % to 11% in FY2024?

Vikas Sinha: CRISIL publishes sales data we are talking about production data so when you are looking at those sales numbers they are domestic sales so domestic sales is recovering in India as we talked about. Export sales have yet not recovered . I think the latest data suggests that exports in India on YTD basis I have said this earlier in this call itself was 20% down so you have to look at both but yes the good news is the domestic market for two wheelers in India seems to be recovering but it is recovering slowly . It is not as if there is a huge

recovery so I think that trend will continue .

Bharat Sheth: Second ly on the tractor how do we see really see on the ground there was a concern on the monsoon and Septe mber was a good rain so how are we seeing ?

Vikas Sin ha: So on tractors ?

Bharat Sheth: Yes.

Vikas Sin ha: Now tractors I do not think at least for the next few quarters we think it will be stable on a sequential basis. T hat is our expectati on of the tractor market so you are right so the monsoons unfortunately in India was like a sinusoidal curve so June was very bad, July was

CIE Automotive India

October 18, 2023

Page 20 of 21 extremely good, August was extremely bad if you remember the driest August in 25 years and September was decent so now that ha s its own impact. An agricultural expert will tell us that that has its own impact the water bodies , etc., and all that so we do not expect tractors to grow too much in the coming months. O f course there is a festive season that will have some im pact but t ractors are expected to remain stable . If you look at the tractor numbers I think Q3 numbers was negative year-on-year but we do think it will remain stable at the se quential level. That is our reading if we are proven wrong we will be happy abou t that .

Bharat Sheth: Last question to Ander see in Europe also we have seen some decline in Q3 and Q4 also will remain softer whereas in India also our volume ramp up has not been in line with our expectation so how much operating leverage do we have to a gain apart from our internal efficiency to improve the EBITDA margin?

Ander Arenaza : As I mentioned before we are continuously working on the internal efficiency improvement okay. We are following our internal metrics on productivity on let us say cycle time reduc tion, cost reduction on the maintenance cost reduction, all these kind of things we are doing in order to improve our margins . I can tell you that most of our verticals are well prepared to continue improving so we all have certain room for impro vement all verticals and let us say that we have strong action plan in each one in order to continue improving. That means that if we can be also more competitive in certain comp onents and gain more market so overall our approach is to be really efficient in order t o be in the market with the proper margins. A lso I mentioned before that the new products that we are launching are much more complex products than the products that we were producing before so with this new products we have a higher investment a nd of cour se higher added value and this requires higher margins in order to get the return on investment okay so everything is linked but the company' s evolution in the last yea rs has been really good. Y ou can see

that our

EBITDA margin g rew from some 201 6 we were at 10% and now we are hitting this 17% with the important growth and we expect to continue growing and matching CIE margins our parent group margins that were the ultim ate target that we have okay so overall the room for improvement is still ther e. It is true that if the market helps us and there is an additional jump in the market we will have easier job to improve the margins . If the market continues let us say has a l ittle bit decelerated as it is now we will be struggling but we will be workin g in order to get this half a point more or 1% more to our P&L so the room and the actions are clear. E verything is identified . All the verticals has the opportunity to improve s o in that sense I am optimistic and that my main job at this moment because th e new orde rs are also being acquired at a very good pace so we need to launch and to wait that our customers succeed with the launch of this product .

CIE Automotive India

October 18, 2023

Page 21 of 21 Bharat Sheth: Fair and thank you and all the best team .

Moderator: Thank you . We will take that as our las t question . I would now like to hand the conference over to the management for closing comments .

Ander Arenaza : As always I would like to thank you all the participants for their well directed and clever questions they made. T hank you for supporting and trusting o ur company and also I would like to say thank you to all the CIE India team for their hard job and th e good results they are getting. T hanks to this effort and in these d ifficult times . Thank you very much everybody .

Moderator: Thank you . On behalf of ICICI Securities that concludes this conference. T hank you for joining us. Y ou may now disconnect your line s.

Note: This statement has been edited to ensure quality

Call: Feb 2024

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SEC/2024/43
22nd February, 2024

Sub: Transcript of CIE Automotive India Limited Q4 CY2023 Post Result Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 12th February, 2024 in respect of advance intimation in relation to Q4CY23 Results Conference Call, please find enclosed herewith transcripts of the said call held on 20th February, 2024.

The same is being uploaded on the website of the Company i.e. <https://www.cie-india.com>.

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj V. Goyal
Company Secretary and Compliance Officer
Membership No.: A 29614
Encl: as above BSE Limited
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NSE Scrip Code: CIEINDIA

Page 1 of 19

“CIE Automotive India Limited Q4 CY-23 Results
Conference Call”

February 20, 2024

MANAGEMENT : MR. ANDER ALVAREZ – CEO , CIE AUTOMOTIVE
INDIA LIMITED

MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER ,
CIE AUTOMOTIVE INDIA LIMITED
MR. VIKAS SINHA – SENIOR VP (STRATEGY) , CIE
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MR. SWAPNIL SOUDAGAR – DGM STRATEGY , CIE
AUTOMOTIVE INDIA LIMITED
MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

CIE Automotive India Limited
February 20, 2024

Page 2 of 19

Moderator : Ladies and gentlemen good day and welcome to CIE Automotive India Limited 4Q CY23 Results Conference Call hosted by ICICI Securities . As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Basudeb Banerjee from ICICI Securities. Thank you and over to you sir.

Basudeb Banerjee : Hi thanks. Good morning , good afternoon as per locations to all the participants thanks to CIE India Auto Limited Management for giving us the opportunity to host the Call.

We have here in the call the senior management represented by Mr. Ander Alvarez – CEO , Mr. K. Jayaprakash – Chief Financial Officer , Mr. Vikas Sin ha – Senior VP Strategy , Mr. Oroitz Lafuente – Business Controller and Mr. Swapnil S oudagar – DGM Strategy . So over to the senior management to take over.

Vikas Sinha : Thanks , Basude b. Good morning , all. I welcome all of you on this call , as also Mr. Ander Arenaza, our CEO. We will present CIE India results for Q4 CY23 and full year CY23 . I'll refer you to the presentation that we have uploaded.

Let me begin with an "Overview" of the Company and if you refer to Page # 5 of that Presentation , it shows the legal structure of the Company:

In CY23 the name was changed to CIE Automotive India. Sale of the subsidiaries of CI Forgings Germany namely , our truck forgings business in Europe was completed in October 2023 but was effective from 1st July 2023. All the German forgings operations assets and liabilities were categorized assets and liabilities held for sale and classified as discontinued operation.

Pages #6 and #7 of the same Presentation provide a bird's eye view of our Company :

CIE Automotive India is a large, diversified auto components group with presence across many processes , product lines , locations and customers.

We now start with Results of the India Operations for Q4 CY23 on Page # 10:

The quarter was a mixed bag from the market point of view. Tractors suffered a double digit drop versus the same quarter last year. Trucks were negative and light vehicles showed modest growth. The bright spot was the two wheelers which after struggling for the last few quarters showed robust growth. Sales at INR 13.9 billion were 4% higher year -on-year, largely in line with weighted average market growth. The India operations achieved an EBITDA margin of 16.5% in Q4 CY23 versus a recurrent EBITDA margin of 15.7% in Q4 CY22 and an EBITDA

CIE Automotive India Limited

February 20, 2024

Page 3 of 19

margin of 16.7 in Q3 CY23 . Please note that the recurrent EBITDA margin of 15.7% in Q4 CY22 is calculated after deducting a one-time profit of INR 378 million on land sale in that quarter. The Indian operations continue to retain EBITDA margins in spite of uneven market growth.

On Page # 11, we have the Q4 CY23 Results for our European operations :

Sales of INR 7.3 billion in Q4 CY23 are same year -on-year versus Q4 CY22 and slightly higher than Q3 CY23 sequentially. While European production grew 7% in the quarter , this was largely due to Eastern Europe , production in western Europe grew merely by 3%. As explained in earlier calls Metalcastello is experiencing a decline since last 2 quarters due to drop in the US market. Both these factors have led to stagnation in sales figures in Europe in this quarter on a year -on-year basis . EBITDA margin in Q4 CY23 was 16.9% versus 14.5% in Q4 CY22 and 17.2% in Q3 CY23 . As energy costs stabilize d, EBITDA margins hav e consolidated around 17% and EBIT margin is around 13%. On Page # 12, we

see the consolidated CIE India Q4 CY23 results.

Consolidated sales were INR 21.3 billion, which was 3% higher year -on-year, EBITDA INR

3.54 billion and EBIT INR 2.76 billion , both of which were roughly same year -on-year and EBT of INR 2.45 billion which was slightly lower. Please note that EBITDA , EBIT and EBT numbers of Q4 CY22 include an amount of INR 378 million on the one-time profit on land sale , so the last year numbers are higher because of this land sale.

The full year CY23 Results for our Indian Operations are on Page # 14:

Sales increased by 5% versus CY22 to INR 55.3 billion. Automotive market growth in India in CY23 was uneven across segments quarters and customers. Light vehicles grew reasonably but two wheelers and tractors were underwhelming. The first quarter was good followed by a muted second quarter but the festive season was encouraging. The performance of our key customers was also mixed with some suffering negative or flat demand growth. We had reported last year that all the business verticals were expanding capacity. There was a delay in ramp up of some of these orders especially at CIE Hosur and aluminum verticals and this impacted our sales growth. We have positive expectations from these orders in C '24. The EBITDA margin of 16.7% , EBIT margin of 12.8% and EBT margin of 12.2% are all higher than CY22 . EBITDA and EBIT were higher year -on-year by 10% and 12% respectively. Going ahead we expect to regain growth momentum in India while incrementally improving margins.

On Page # 15, we have the Full Year Results of CY23 for our European operations with sales of INR 32.8 billion. There has been a 10% growth vis-à-vis the whole year C '22, largely in line with underlying market growth . Q1 CY23 sales growth was strong but the rest of the quarters were very weak. Positive exchange rate impact was offset by steel price increases. EBITDA margin in CY23 was 17.8% versus 14.5% in CY22 , EBIT margin 14.5% versus 11.4 % and EBT margin 12.2% versus 10.9 % . EBITDA and EBIT were higher year-on-year by 35% and 40% respectively in absolute terms . While the market forecasts in Europe are muted we are quite

CIE Automotive India Limited

February 20, 2024

Page 4 of 19

optimistic about our European business which has high margins , high returns and very good cash generation.

On Page # 16, we have the CY23 Consolidated Results of CIE India :

Sales were INR 88.1 billion which is a growth of 7% versus CY22 . The EBITDA margin was 17.1% versus 15.4% in CY22 , EBIT 13.4% versus 11.8 and EBT 12.2 versus 11.6. As explained earlier the EBITDA EBIT and EBT margins and numbers for CY22 include that one time profit from land sale which I've repeated quite a few times. The consolidated PAT in CY23 is INR 11.25 billion versus negative INR 1.36 billion in CY22 . The CY23 PAT includes profit from discontinued CFG operations that I had explained earlier of INR 3 .275 billion. Adjusting for this the recurrent consolidated PAT in CY23 was INR 7.976 billion at 9.1% of consolidated sales. Likewise , the adjusted consolidated PAT for CY22 was INR 6.75 billion after adjusting the loss of INR 8.4 75 billion from discontinued operations and the gain of INR 378 million from land sale in India. Thus, recurrent PAT in CY23 grew by 18.4%. As we said the recurrent consolidated PAT in CY23 is INR 7.976 billion. The recurrent PAT in CY22 was 6.735 billion and this is the growth of 18.4% and this has been achieved when the sales have grown only by 7%. So even in a year of uneven sales growth across geographies , market segments and customers CIE India has delivered an impressive bottom -line growth.

On Page # 18, you will see our abridged Consolidated Balance Sheet which shows the healthy state of CIE India. Return on net assets is 21.3%. The first time we have crossed the 20% mark. Return on equity is 18.8 and ROE of continued operations is 13.3

. Net financial debt is negative

INR 8.2 billion , so net financial debt is negative.

The cash flows are shown on Page # 19. The Company generated operating cash flows to the extent of 60% of consolidated EBITDA . Growth CAPEX was INR 2.9 billion , 80% of which was spent on projects in India. Overall CAPEX was INR 4.57 billion, which is 5.2% of consolidated sales, which is in line with our norms. Overall cash flow generation was INR 9.7 billion, but this includes cash received from the CFG sales process of INR 3.76 billion.

The Board of the Company recommended a dividend payment of Rs. 5 per share giving approval in the AGM scheduled later in the year. This is double the payout made in the last 2 years.

Section 3 of our presentation outlines our strategy.

A combination of the following principle sets us apart from others namely :

- Make operations world class , diversify customer base plant locations and technologies , invest in a disciplined manner , continuously improve stability , decentralize plant management and focus on ESG.
- Diversification is key to our aspirations. In India we are present in seven technologies , four market segments and more than 50 customers out of which (+20) of those

CIE Automotive India Limited

February 20, 2024

customers are with annual sales of more than INR 500 million or 50 crores. This not only enables us to manage the volatility in sales at some of our anchor customers, but the portfolio approach helps us in protecting margins.

- Our disciplined approach to capital expenditure is encapsulated in a few key guidelines and that is outlined in the presentation. We focus on improving productivity levels at our plants through a variety of projects namely , optimizing plant layouts , automating machines and material handling , improving cycle times , eliminating unnecessary operations and manning and digitizing data capture.

- Teams from C I E Automotive global help with know -how transfer , the success of our strategy can be gauged by the consistent improvement in performance over the years.

- Our EBITDA margins , PAT, free cash flows and return ratios are quite close to C I E automotive's global benchmarks. The key thing is consistency is what we aim for.

The next section analyzes some long-term trends in the automotive industry and how we gain:

As climate change takes center stage electric vehicles or EVs are gaining traction. The pace of this transition to EVs is varying widely across regions and segments and we are in that stage of uncertainty right now. We have developed a comprehensive strategy for EVs and a selection of products that we pursue in the EV space under four categories has been shown in the presentations. Companies are increasingly expected to mine their carbon footprints and thus there is a push for localization. Near -shoring also helps minimize supply chain bottlenecks. As developed nations seek to meet stringent CO2 reduction targets , some polluting processes like steel and aluminum castings are migrating to emerging ones. Lightweighting and safety are two key themes in the industry. The former will lead to a push towards materials like aluminum forgings and castings and composites , all three of which are focus areas for us. The transition to EVs, lightweighting and safety all require components with higher precision , closer tolerances and better quality. And this is where we think we can score. We think all these issues could lead to more opportunities especially in India.

The next few pages of the presentation ; present market statistics and forecasts from relevant sources followed by the Results submitted to S EBI in the prescribed format.

The C I E India team is confident that it can utilize future opportunities and face future challenges with agility in order to meet the shareholders expectation of sustainable growth and profitability.

Thank you very much. I've taken a bi

t more time than usual so thank you for that and now we proceed to Q &A.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of J inesh Gandhi from Ambit Capital.

CIE Automotive India Limited

February 20, 2024

Jinesh Gandhi: A couple of questions from my side. One is on the EU business. Given that outlook for industry is expected to be muted for next few years , how should we build in for EU business revenues given the changes which are happening in the industry particularly towards hybrids and EVs, would there be content increase led growth or we will be largely mimicking underlying industry growth in EU ?

Vikas Sinha: So, for Ander 's benefit J inesh, I'm just summarizing so what he's asking is that the market in EU, the industrial market and also the automotive market is expected to remain not grow going forward. And then there are also changes like move towards hybrids and EVs. So , in that context how do we look at growth in Europe? Are we talking about stagnation or are we talking about increase in content per vehicle etc .?

Ander Alvarez: Yes, you are right. This is Ander speaking. The evolution of the European market for the next 4-5 years will be flat. It will be stagnant market in the automotive sector , mainly they expect 2%-3% drop for 2024. And the remaining years , the absolute volume of car production will be around 17 million cars per year. That is the expectation. On top of that in 2023 we had the 12% of electric vehicles and this percentage of electric vehicles will go growing , probably a little bit slower than expected because there was a huge expectation of an exponential growth in the next years. This seems that it's not going to happen. Probably the electrification will go slower than expected after at least 2-3 years of delay. That is what we all expect. And regarding C I E Forgings what we had this year , regarding the growth of our business in Europe you saw that we had this 10% growth . The forging sector grew 16% and the gear sector , Metalcastello business had a drop of 6%. And this was mainly due to the export of off highway components that we are producing from Italy to US. So, the US market in the off-highway business is now in the bottom side of the cycle. So , the average is 10%. But you see that the performance of the different technologies or the sectors is different . For the future what we are now seeing is that our new order book is really interesting. We are getting important businesses , both in the forgings and in

Metalcastello with a huge weight of the electric vehicles in this year for example , in the forgings 73% of our new orders were electric vehicles and in Metalcastello 51% of the new orders were electric vehicles. So , what we will see in the next years will be a transition from internal combustion engine components to electrified components for different customers. So , what we expect is in that flat scenario or flat volume flat evolution business , with the increase of the electric vehicles we expect to maintain our business. So, we see our future stable. And I think we are doing our job properly and we are accomplishing the transition in an organized and solid manner. So , we expect to keep this business in the near future in a stable way according to the market evolution.

Jinesh Gandhi: Just to clarify , are we indicating that we are not expecting any material increase in content as EV share in our business increase? Is that the right understanding?

Ander Alvarez: Our EV share will increase for sure. As I told you that the new orders are coming majority from the EV sector. But what we can expect at the same time is that the internal combustion engines

CIE Automotive India Limited

February 20, 2024

Page 7 of 19

will start the decline. So , I think our aim is to balance both reduction and increase and maintain

or even increase a little bit our business in the future. But the expectation is that we will be able to make this transition smoothly.

Jinesh Gandhi: And secondly does this include any further ramp up in aluminum forging in Europe or that will be over and above what we are talking about stable revenues?

Ander Alvarez: You know that we already got certain aluminum forging projects that we are now launching with different customers. We also got a very important steel forge component but for the battery pack for one important commercial vehicle customer. So , that all these projects are being developed and both aluminum forging plus steel forging for the commercial vehicle battery packs we will see good growth in that sector in the future.

Jinesh Gandhi: And one last question is on the cash of Rs. 8.2 billion. So how much of this would be in India and how much of this would be in Europe? As a follow up question on that in case if we acquire something in India, can we access cash which is lying in Europe or given the taxation policies it might be difficult to access that ?

K. Jayaprakash: So Jinesh the euro pe cash is all in that loan amount which is about 45 million is the Galfor . And I don't know if you saw the stock exchange, we are getting rid of the debt in Mexico by Galfor investing in debt. So that cash will knock off the debt in Mexico of about 50 million European dollars . About moving money , we'll be left with very little cash in Europe in the immediate , of course the businesses are cash generating. So , we will have to find a solution around how to get the money for acquisitions in India. We are working on that . As of now Jinesh, we don't have a solution which is tax efficient. India has as you can see from the balance sheet the standalone balance sheet something like 7 billion in cash in India. So , we are adequately cashed in India if we need to go for an acquisition. So , I don't see an immediate challenge there. But you're right we still need to figure out how to get tax efficiently money from Galfor. Immediately we have found a solution for the immediate but for the long term yes , we still don't have a solution. It is tax efficient.

Moderator: Next question is from the line of Mahesh Bendre from LIC Mutual Fund .

Mahesh Bendre: Earlier we used to guide that based on the market growth we'll grow 5% higher than the market. So, whatever the blended growth of the market we will be 5% higher than that. So , what is the current quarter , the performance as far as this guidance is concerned and going forward what is the outlook for this?

Ander Alvarez: Let's say that our business this year this last quarter grew about 5%. And the weighted market grew 3.9 something like that. So , we were slightly higher than the market growth this quarter.

But you are right that we are below this 5 % higher sales that were expecting. There are several reasons for this , the limited growth that we had in this quarter mainly. And I would say that the

CIE Automotive India Limited

February 20, 2024

Page 8 of 19

main reason is that the delay of some of our main big projects that we were launching in our different plants , especially in Bill Forge , that we had these electric vehicle businesses for Europe that has been delayed as you all know and also in the aluminum business where we get nominated for several electric vehicle components and those projects have been delayed. So , we are not concerned at all because of these delays. I mean it's just normal delays because of the new technology entering and there are certain challenges for the customers to launch these projects. Sometimes it's related to the market but sometimes it's related to the supply chain that is not well organized yet. But we are receiving feedback from the customers that this growth will come in the next quarters. So that is one of the reasons especially in India and rega

rding Europe , the drop

is coming from the Metalcastello business that I explained in the last two quarters we had a drop because of the cyclicity of this business for US and also as you know in US, we have the elections at the end of this year and all the big infrastructure investments are stopped until the new president is elected. So that we are now in a transition period and waiting for this. But as the order book during all this year has been really good and we are now launching also additional projects , we will see the growth and the recovery coming soon. So , in my opinion it's just a transitory situation because of different reasons. But I think the market is solid. The evolution , the new projects are also coming. The interest from the customers is also very high. So , we will see this growth trend to recovery again.

Vikas Sinha: And Mahesh just to add to what Ander just said , there are two other factors which of course that's a part of our business context in which we operate. One is of course the steel price decrease this year was pretty much affecting the revenues a big amount. Also , the transition from old Scorpio and Bolero to new Scorpio and Bolero where we have a very large stampings business with M &M. And that was the difference which both of these you will not see much of that in CY '24. So of course , as I said that's a normal part of the business context in which we operate. But these two factors unfortunately have added to the various delays that Ander talked about in CY23 .

Ander Alvarez: And it's also important to highlight that in 2022 , we had a growth of 28%. So , we went much higher than let's say the market. This year we have this 7% growth that is more or less aligned with the market with the comments that Vikas made about the raw material decrease and also the certain important projects that are now changing. So overall I think that this is just a transition moment that we are now accomplishing. And in the near future we will see again growth coming back to our business.

Mahesh Bendre: Delay at ramp up at Bill Forge and aluminum business , was that because of the client or is it because of our limitations that we could not scale?

Ander Alvarez: No, it's just the delay from the customer point of view. I mean we are waiting we are ready. We have all the investments and all the machinery ready to start and there is a delay from the customers. They have their bottlenecks , not in our Company it's in other bottlenecks. And we
CIE Automotive India Limited

February 20, 2024

Page 9 of 19

are waiting for them to solve these bottlenecks and to start the delivery. They promise us that we will start soon delivering at a big level.

Mahesh Bendre: So, this is for export order?

Ander Alvarez: Yes, it's export order. Export order for electric vehicles.

Vikas Sinha: So, it's a mix. Export orders for electric vehicles is what Ander said. We have also talked about in aluminum is EV orders for domestic. So , some of these EV projects is what we are observing. As you see in the initial remarks , we were talking about how some of these EV projections are less rosy compared to what it was only six months back. And we are seeing that effect in delays in some of the ramp -up of some of the EV projects. That's just an observation. As I said that's really part and parcel of the business context that we operate in and we expect those to start going up again this year.

Mahesh Bendre: Is it possible to share for CY23 what was the export from India?

Vikas Sinha: Exact number , we'll have to check .

Ander Alvarez: 13% or something like that. No , we will give it to you now , we are calculating but it's between 11% to 13%.

Mahesh Bendre: Once these orders get sorted out do you think this will go up significantly , maybe 20% maybe over next 2-3 years?

Ander Alvarez: Yes. What we see is in certain technologies we will see this export

rate go up. Clearly in the

casting division the gears are also growing and probably the forgings will grow also. We see a lot of demand from the customers to export the components. But you know that with all these geopolitical difficulties with the logistic bottlenecks that we have had in the Red Sea and so on there is a mixed view on the customers. And probably you know that our preferred route is the local to local where we can deliver in each region the products that we produce in each region.

Mahesh Bendre: Last question from my end. So , for this year is it fair to assume that domestic business will grow 5% higher than our blended market?

Ander Alvarez: I would say I am optimistic with that.

Vikas Sinha: We don't make forward looking statements Mahesh but that's a guideline that we follow . Over the long term that's a guideline in India that we have always said that we follow. As I said CIE is very simple , we have very simple rules. Like we said for investment , CAPEX is 5% to 6% of sales. So , for India growth this is the kind of heuristic that we have developed for ourselves (+5%) higher than the weighted average market. So , it is something that we try and deliver all the time. But to say definitely we will avoid definitive statements.

CIE Automotive India Limited

February 20, 2024

Page 10 of 19

Mahesh Bendre: I'm just checking the guideline only. Just I'm holding last two -three quarters we have not been able to come out with this kind ofSo I'm just asking whether we are holding up this long term guidance going 5% above the weighted average of the market. So , are we still holding it up or there will be change for the next year?

Ander Alvarez: No, we are holding it. We hold it perhaps with a delay of one quarter or two, but I think in the midterm we will go for that for sure. We are quite optimistic on that. Also, we check that now the amount of export we had last year was 14% of our turnover. It's a little bit higher than last year.

Moderator: Next question is from the line of Bharat Sheth from Quest Invest.

Bharat Sheth: In our presentation on Indian slide, we have shown that we have approximately (+50%) clients and out of which around 20 are more than 5 crores or 50 million. So , there is a long tail end of (+30) customers which is not meaningfully contributing to the whole our sales. So , what are our plans to ramp up those products and generate what we are talking of growing higher than the industry rate?

Vikas Sinha: Basically , the answer is in the question itself. So yes , we have opportunity to grow a lot of those customers and we are looking at growth. And that's why we said this portfolio approach works. Some of those customers will definitely become big and that is why we are confident that in the long-term market for us growth will be there.

Bharat Sheth: But is there I mean this (+50) customer s, how was the same number and (+20) more than 50 million last year and how it has changed and exactly when do we think that we will be able to really grow the whole (+50) plus customer to more than 50 million run rate ?

Vikas Sinha: Over 50 million is a huge target in a B2B kind of business that is a very high base. All that we are trying to say that is we have a very robust portfolio approach. So , we have very good anchor customers. So , if you look at the customer pie also that we have presented later on , you will see we have very good anchor customers who are very large , and we also have a large set of other businesses who are emerging with us who we are trying to grow. So , between a mix of these anchor customers and this set of emerging customers , we are able to ensure both growth and profitability. That' s the point. It's simply a portfolio approach that we are following here .

Bharat Sheth: Meaningfully when do we expect those really to and where we may be having a different auto or two-wheeler tractor or M

HCV? So, if you can say some color in which segment , they are sitting large by where still there a headroom is to grow.

Vikas Sinha: There are lots of new customers that we have added in the last few years. We have talked about it in the past whether it is Hyundai , Kia, whether it is John Deere , whether it is Royal Enfield.

There are whole set of such customers that we have added post Covid. If you look at our track

CIE Automotive India Limited

February 20, 2024

Page 11 of 19

record from 2020 onwards , you will see that this kind of customer addition has accelerated during that period. Lot of export customers have been added also as Ander was talking about. So, to that extent who will ramp up , how much will they ramp up? That's exactly a question we can't answer. As I said some will ramp up. Of course , internally we keep looking at it. But the point that we are trying to make is this approach gives us stability both on growth and profitability. That's what we are trying to present.

Bharat Sheth: And can you throw more export opportunity? Of course , we are always near shore kind of a thing but still we are around 11 %-13% in '23. So next 2-3 years where do we like to see kind of our export of the total export from India ?

Vikas Sinha: So, it is 14% is what Ander clarified. Because both the domestic and export opportunities are growing. So as Ander explained , there are two sets of contending principles that are happening. You also have the localization principle that is working. And of course , as we explained even in our talk because of environmental norms , there is of course a movement from the developing to the emerging world in certain technologies , castings , aluminum . Over and above that we have forgings and gears where we have other export opportunities. So that was what Ander also talked about , these four businesses where we are targeting export growth and where we do see a lot of export opportunities coming our way in the next 3 to 4 years. So , it is basically steel and aluminum castings , gears and forgings in that order.

Bharat Sheth: And would you like to give some kind of margin side? How do we like to see in '24, India as well as Europe?

Vikas Sinha: Europe margins are consolidating around 17% EBITDA and in India also it is around the same number. As we say we will keep on incrementally improving it. You know the CIE Global benchmarks are a little higher than that. So , our job is to keep moving towards those numbers as much as possible. But that's what we intend to do going forward. But exact as I said 2024 , we

will not give a sort of forward -looking statement on what the margins are going to be.

Moderator: Next question is from the line of Nitish Rege from Chr ysCapital .

Nitish Rege: Just wanted a clarification , so could you please elaborate on these exports? So , is this new business or are we just moving CI E manufacturing from EU to India? And also , is this CI E India factory in EU or is this the CI E parent factory in EU?

Vikas Sinha: No, these are new opportunities largely . As I said it is in steel castings. Steel castings , we don't have any CIE factories in Europe in any case. So , we have forgings and gears . Some opportunity coming where we have a aligned supply chain between our gears business in India and Italy and we work together to supplying some of the customers. But that's a small part of the export's opportunity. Please realize that CIE in Europe does very well on margins , so it's not as if are they are wanting on that aspect. So largely it will be new business.

CIE Automotive India Limited

February 20, 2024

Page 12 of 19

Nitish Rege: And just with steel price deflation which you mentioned , shouldn't margins optically in fact increase ?

Vikas Sinha: Some impact optically will obviously be there. As there is an impact on revenues , there is an impact on margins also. Ye s, there will be

some impact.

Nitish Rege: And calculating EBITDA margin in the normal way when we're not considering other income and revenue and considering other operating income , our EBITDA margin comes at 15.3 for CY23. So , what is the outlook on that? Because earlier were expecting an expansion in this EBITDA margin.

Vikas Sinha: We calculate it on sales and that is the way we present it all the time. When we talk about the EBITDA margin of 17% that's on sales. That's the way we present the data, and you'll have to look at it from a sales perspective only , EBITDA by sales. And we have said that the CI E benchmarks are higher, and we would like to meet those benchmarks in the medium term. Again , a very simple rule that CI E follows. That's the rule that we are following as far as the margins are concerned.

Nitish Rege: So, then you say the medium term that is what 2 to 3 years?

Vikas Sinha: Yes.

Moderator: Next question is from the line of Priya Ranjan from HDFC AMC.

Priya Ranjan: Just a couple of questions from Ander , since I think around 70% of the business is broadly now coming from India. So how much time do you spend in India? Because I think the Indian management or Indian team has when the Mahindra was declining you were saying Mahindra was declining that's why I am declining when Mahindra is growing you are saying p robably, we are little bit moving ahead of Mahindra. So , what is happening with the Company ? Either the consistency of the local management is not there, or their focus is not there or whether are you giving enough time to the local management or are you not taking cognizance of what is their underperformance in last 10 years?

Ander Alvarez: I would say that the local management is doing fantastically well. We can say that we have a very solid , very professional , very well aligned local management and I rely 100% on their capabilities and their knowledge. So , we are a fantastic team working together and I'm spending approximately , I come to India every two months now. Next trip I will come in mid of April.

So, we review operationally and otherwise we do it every month. We check any of the verticals of the Company here in India. W e review with the management through teams in detailed manner. I think the management system is working. Everything is well structured. I think that the team is also well aligned and the ideas , the strategies and the alignment of the team is very clear. I'm really comfortable with that. Then the reality of the market. And sometimes some of

CIE Automotive India Limited

February 20, 2024

Page 13 of 19

our customers did better than the others and some sectors are still depressed. For example , this year the tractor sector was a little bit depressed and also the two-wheeler except the last quarter was also affecting us. But the long term or the mid-term view is positive. On top of that we are getting new orders, and we are getting new projects. And the collaboration between the European and American CIE teams with the local teams is also improving. So overall I think that the integration of the Indian busin ess in CIE is complete. I would say that we are now in better shape than we have ever been. So , I can only be very optimistic about the future of our Indian activity. It's true that we would like to have some more sales and more turnover. That is probably the only thing that we need this year. But as the projects are there and the customers are confirming and they are pushing and they are saying us that they will come for sure the growth will come. So, let's say that we are a very solid Company with a good management with all the customers also supporting us because they see a very reliable Company . That's the message that I was

trying to give during all this year working together with the local teams we need to be a solid , reliable , good quality , good delivery Company . And in that s

ense , I think we are an outstanding

Company in India. So , the customers will come, and the customers will appreciate this and they are already appreciating this in the market. So , I think that the management and the evolution of the Company will be positive. And in CIE we strongly believe that the growth in the near future will be mainly in India, probably the best country to develop the business will be India , in Mexico also because of the situation of the US is also another growth focus. But India and Mexico will be the winners in the next years.

Vikas Sinha: Priya Ranjan , so just to add to that of course , Ander has talked about local management. I'll not refer to that . Now you talked about Mahindra. Please be assured that we are not neglecting any of our anchor customers. So , when we say that we are diversifying we are not diversifying at the cost of our strategic customers. Not at all. Whether it is Mahindra or Bajaj or Maruti or Tata Motors , we are extremely focused on supporting them in their growth process and we are actually growing with them. All the other effort that you see is not at their cost. That is something I need to clarify since you did mention that now we are trying to move away from Mahindra , we are not. We are just adding more customers as our capabilities grow. I will again refer you back to what Ander sometimes said just before COVID in 2019 , as our capabilities grow. And he was asked that question about growth in 2019 and he said at that time that the more capabilities we have , the more we'll be able to grow and that is what is happening. So , the more capabilities we are generating we are able to attract more customers. But please be assured that we will never neglect any of our key anchor customers. We are extremely proud to work with them. All the names that I took and we'll continue to support them in their growth journey. As far as Mahindra growth this year is concerned , I did explain because of the old Scorpio and Bolero transition to new Scorpio -Bolero. And we know that since the old Scorpio - Bolero were old models , we had some outside stampings , external stampings which are all made in house now. That is causing a drop along with the RM drop which is significant. So that is causing a bit on the revenue side. But rest assured , we are very strong with our anchor customers, and we will continue to be strong with them and we'll continue to support them with whatever they ask us.

CIE Automotive India Limited

February 20, 2024

Page 14 of 19

Moderator: Next follow up question is from the line of J inesh Gandhi from Ambit Capital.

Jinesh Gandhi: So, one is clarification on the margin , when we are referring to global benchmark , we are referring to 18% to 20% EBITDA margin ?

Vikas Sinha: Yes, of course. CIE is roughly around 18% overall margin and publicly stated they want to go ahead of 18%. So , that's the global CEO of CIE is on record talking about (+18) margin.

Jinesh Gandhi: And second question pertains to the India business. So , when we are talking of EV related orders coming in , can you talk about how CY23 shaped up in that context? What percentage of our orders came from EVs, both for two wheelers and passenger vehicles ?

Vikas Sinha: As Ander mentioned , so in Europe , the forgings business of Europe was 73% , in gears business of Europe it was 50% and in India it was roughly around 15%. So , as you know lot of our orders in India are actually not ramped up as much. So that's , overall, the portfolio we are very comfortable because we already have a very significant and large portfolio in India already and which a lot of those we are actually waiting to ramp up.

Jinesh Gandhi: And of the total order book say cumulative last 3 years , would it be fair to say EVs would be 10%-12% of that order book as well ?

Vikas Sinha: in India?

Jinesh Gandhi: Yes.

Vikas Sinha: Yes, and more in Europ

e.

Jinesh Gandhi: And the second question pertains to Mahindra. Now given that share of Mahindra has come down to 31% , just how should we look at M &M given that the new product side , we have talked about having lower content because of insourcing on stamping side. Going forward as we get more orders particularly on the born electric vehicle side , how would you compare content in born EVs versus the newer products which we had got for example Scorpio and X UV700 v ersus the older models like Thar and B olero that way? So , can you talk about qualitatively ?

Vikas Sinha: Thar is new model , Bolero and Scorpio of course they're in a different league. We'll be slightly lower than Bolero and Scorpio but slightly higher than the other XUV500 and so on. So , we are very strong with M &M on their new releases both in auto and tractors. So , as I said we will support M &M, of course the content will not match what was there on the old Bolero and Scorpio but all that is being compensated by the number of models that M &M is releasing anyway. So that is not a problem because the list of M &M platforms is now very large, and we are there almost everywhere. So that is not an issue.

Page 15 of 19

Ander Alvarez: In fact, we are launching a new press line in May-June for Mahindra to increase our deliveries to them. So, in 4 or 5 months we will have additional capacity to cope with the additional demand coming from them. I think there will be growth also in Mahindra in the stamping division.

Vikas Sinha: As I said last year there were a few things that worked against us, the transition. Now that almost two thirds is the new Bolero, new Scorpio, so that will not impact the growth and the RM is stabilizing. So as Ander said from a volume perspective, we are really not bothered too much, concerned. Let me not use the word bothered. We are very bothered. We are not concerned that we'll not be able to meet the growth requirements that we have in mind. So, CY23 was a bit of an aberration that way and we think we'll be back on track from a growth perspective. But having said that and this is in continuation to what Priya Ranjan had also asked, yes, on growth we may have underwhelmed a little bit this year. On profits we have grown as I said 18.4%, that we pointed out. If you look at recurrent PAT in CY23 versus recurrent PAT in CY22 on a consolidated basis, the growth is 18%. So, on every other parameter except growth, I think we have done extremely well. Whether you talk about our RON and the way we calculate, I'm sure some of you calculate it slightly differently. But we have crossed in our estimation the way 20% RON consolidated figure this year. So, you look at our cash flow generations, look at our debt. So, if you look at it in a holistic way yes, we do accept, we have underwhelmed on growth but on every other parameter we have done extremely well. And even on growth as I said there were some factors that worked against us in CY23 and I think those will be corrected in CY24, be it RM, be it the transition to the new models or be it the ramp up delays. So, you will see some changes let's say in the growth story. But let me emphasize other than that in CY23, we have done extremely well on every other parameter.

Jinesh Gandhi: Just to clarify on this, you indicated that the content in Born EV models of Mahindra which are launching from next year, we will be having more content than the Scorpio and XUV700 but lower than the older models?

Vikas Sinha: Let us not get fine. I'm just saying there are three classes. One is of course the newer models. XUV700 is in the newer models. Then there are extremely old models like Bolero and Scorpio. And then there are the intermediate models which are like the XUV500 and the rest which were namely 3-4-5 years back. So that

is the difference. So, among the newer models, we have lower than the extremely old models but little higher than the intermediate models that we were talking about.

Jinesh Gandhi: But any indication on the Born EV side, how it will be there given that those will be totally new platforms and new power trains?

Vikas Sinha: Right now, not all of those RFQs have been fully settled. So let them get settled and then we'll have more of indication on what is happening.

Moderator: Next question is from the line of Pratik Kothari from Unique PMS.

CIE Automotive India Limited
February 20, 2024

Page 16 of 19

Pratik Kothari: One on Metalcast, if you can highlight, last year I think we did €80 million. Where are we this year? How is the trend panning out? Are we seeing bottoming out of what we used to suffer in the US?

Ander Alvarez: Metalcast, last year as I mentioned, we started it with the first two quarters with a very strong demand and sales. But in the third and the fourth quarter we saw an important drop because of the let's say cyclical nature of this sector in US, especially our main customer Caterpillar. We expect to be at the weak volumes during the next couple of quarters until the revamp is coming in the second half of the year and especially after the elections in the USA. So, we think that is the evolution of our Metalcast business in the next months. Also, we have to say that we had certain new projects with other customers, especially in the electrification field that are also delayed and the expected ramp up of these projects is delayed. So, we are waiting for that. So we are optimistic because these electric vehicle components that we are going to supply to the US are coming for sure, a little bit later than expected but we are waiting for the ramp up from the customers. So together with the growth again in the sector plus the new projects that we had, I think we will come back to normal the peak business when we were hitting the €80 million turnover in Metalcast. So that's the recovery that we expect right now. We can be at a pace of around 60 million. So, we will see this recovery in the next quarters. So willing to get to that situation. And in the mean time, we are quite working internally to improve our efficiencies and to set up the factory and prepare the factory for the growth again.

Vikas Sinha: So, Pratik because last year was not as bad for Metalcast. So, it was a 6% drop compared to CY22, not more. So, if you look at earlier during the call Ander had mentioned, that in Europe

overall this year we have grown 10%. The forgings business, which is roughly three fourth grew 16% and Metalcastello grew or declined by 6%. That's the number. Because the first quarter in Metalcastello was quite good. And this year the run rate is say €5 to €6 million. But it was doing about 80 million or €7 million in 2022.

Pratik Kothari: Then second question to Vikas. So, 12 months back our heuristic used to be for India business. India (+10) was where we were very comfortable and confident about. Obviously, those were estimates and guidance and future forecast and things didn't deliver this year. But it seems that our heuristic also has shifted from (+10) to (+5). So, anything to read into this? How to think about this?

Vikas Sinha: No, 5 to 10 is what we used to say even then. Of course, it's good that you remember the higher range. But it is 5 to 10 is what we used to say. That's correct. Right now, given what we have done we are saying 5% at least to start off with. That's all. But we had always said 5% to 10% as far as the Indian market is concerned. Look again I'm reiterating, there are some factors that went against us. The raw material decline has been a very big factor this year. In fact, in Europe, it is higher than even in India. So that factor normally if it is 1% or 2% it's okay. It's a bi

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number than that. As we told you about the shift in M & M where we have almost 1,000 crores of stampings business with M & M, 800 to 1,000 crores. And on that transition is happening from CIE Automotive India Limited
February 20, 2024

Page 17 of 19

the old to the new models. And therefore, growth is restricted there. So, if M&M auto sector grew 30% in CY23, we were not able to utilize that entire 30% of the growth and Priya Ranjan also asked that are we moving away from M & M? That's not the case. We were not able to match that 30% simply because of this transition from old to new. And our stampings business, which is a very large part of the M & M business. We are probably among the top stamping suppliers to M&M. So, these two effects if you take into account and of course, as I keep saying that's part of the business context. So, there is no point in fretting about it. But if I adjust for these factors, we have still met that 5% to 10%. But as I said that doesn't count because these factors are part of our business context. So, if you keep these in mind you will see that our volume performance is not as bad. We are not losing market share. We are not withdrawing from any customer or market, nothing of that kind. It's just that as I said as Ander said some of the orders didn't ramp up. There was this RM effect and there was this old to new effect in our largest customer and that's what has given that underwhelming nature to sales. As Ander said it's temporary, it will come back. Plus, as I said also, please look at the other parameters that we have done very well on as I said an 18% growth in P AT. For the first time in our history, we have crossed a RONA of 20% on a consolidated basis. Those are other things that we have done very well in CY23.

Pratik Kothari: Just two clarifications, one we said we have 20 customers in India which contribute more than 5 crores of business or 50 crores of business? We said total of 50 and okay 20 is 5 crores.

Vikas Sinha: Yes, 5 crores is a substantial number to start off with. So, when you start with a new customer that's a good number to start with. Over a period of time as Bharat bhai was asking, he also asked that same question, when it is going to ramp up? Some of them will ramp up to much bigger numbers but not all.

Pratik Kothari: And second, we said exports formed 14% of a business and it was 10% last year. So, it's a good 40%-45% growth in exports that we observed this year. So, one are these numbers correct and what is driving this because this is a substantial change?

Vikas Sinha: No, I think it won't be 10. I think it would have been 11-12 last year. We'll check the numbers.

Yes, exports we do expect to increase but in select areas that Ander emphasized. Definitely in steel castings where you see this trend of castings moving away from Europe to other parts of the world. Therefore, you see a bit of that in aluminum castings. And of course, forgings and gears have always been strong in exports. When I say forgings that's largely built forge always been strong. So that will continue. So yes, there is optimism around exports but you also have to understand that there are other countervailing factors, the supply chain bottlenecks. So, there is a move towards near shoring, like vocal for local etc. So, as I said these are things that we keep observing. But yes, we are very expectant on exports in castings, gears, forgings and aluminum. Yes, it is 11% to 14%. That's the number. We are confirming that.

Pratik Kothari: That's a substantial jump too.

CIE Automotive India Limited
February 20, 2024

Page 18 of 19

Moderator: Next question is from the line of Nitish Rege from Chr ysCapital.

Nitish Rege: Could you please elaborate on your inorganic opportunities now that we have close to 800 crores of cash? Also are we focusing on any particu

lar segment capability which we want to get through

this acquisition and which ones you're currently assessing? And what would be the optimal size of this acquisition?

Vikas Sinha: No, optimal size that's the easiest to answer. We don't want it to be very big or we don't want it to be very small that it doesn't move our P & L. So, we do look at the two acquisitions that we have done were in the range of 600 to 1,000 crores of sales. So that we think is the optimal kind. But then it depends on availability. To your other questions where are we looking at, of course wherever there are gaps, we have always mentioned that, we would be looking at for example in areas which are getting more prominent with lightweighting. We mentioned in our talk about how lightweighting etc. are driving it. So, wherever that would be happening whether it is aluminum, whether it is plastics or even in some customer-wise if we can get access to newer customers. So, we will be looking at it. M & A, the way we look at inorganic is as a sort of complement to our organic strategy. It is not for growth purposes that we are attempting to do inorganic. We are attempting to improve our portfolio of capabilities within the Company. So that would be the idea. Of course, right now we are not at a stage where we can talk about. As I said inorganic is as much part of our day-to-day activities. But at this stage there's nothing specific that can be mentioned. We'll of course report it to the concerned parties when any such thing happens. But as I said we'll also be careful about the prospects of value generation. So, the pricing is also important. It is pricing plus the kind of capabilities that you know that the opportunity brings to us that would decide what we would do with inorganic.

Nitish Rege: And just wanted to understand, what's the strategy with adding sunroofs to our portfolio? We've seen recently that peers like Gabriel have started doing sunroofs and we've been a late entrant to the India market. And CIE Europe already has this, so just wanted to understand the strategy there.

Ander Alvarez: We have analyzed this sunroof business that you know that it's a global business that came from an acquisition that CIE did in 2019. This business is a centralized business. It's a Tier I and product driven business. So, what we saw is that all the development, all the R & D is done in a centralized engineering center. It is in Germany. And this business is a completely separate business inside CIE. It's not like part of our technological organization. It's just a specific roof system business and is managed commercially technically R & D as one unit. So, in this moment we don't see any reason to split this unit, from now on we will decide this unit will be independent in CIE. The name of this business is Golde. This is the new name that we are using for this Company and it is managed independently inside CIE. From now on will not be integrated in CIE India despite they have one production plant in India that is in the Pune area.

Nitish Rege: We will not be looking at introducing sunroofs in the India business.

CIE Automotive India Limited

February 20, 2024

Page 19 of 19

Ander Alvarez: Not at all. Not in this moment.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments.

Ander Alvarez: As usual thank you very much to all the participants for their questions, well directed questions and very clever questions. We hope that we answered properly, and we hope that you will continue to have faith and trust on our Company and the evolution of this Company. I would also like to thank all our team here as they are fully committed to delivering fantastic results. In the near future we will see this growth and these good results

happening again. Thank you very much to all of them.

Moderator: Thank you. On behalf of ICI CIE Securities that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Note: This statement has been edited to ensure quality

Call: May 2024

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SEC/2024/71
07th May, 2024

Dear Sir / Madam,
Sub: Transcript of CIE Automotive India Limited Q1 CY2024 Post Result Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 02nd May, 2024 respect of advance intimation in relation to Q1CY24 Results Conference Call, please find enclosed herewith transcripts of the said call held on 03rd May, 2024.

The same is being uploaded on the website of the Company i.e. www.cie-india.com .
Kindly acknowledge the receipt and take the same on the records.

Thanking you
Yours faithfully,
For CIE Automotive India Limited

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NSE Scrip Code: CIEINDIA

Page 1 of 17

"CIE Automotive India Limited
Q1 CY '24 Earnings Conference Call"
May 03, 2024

MANAGEMENT : MR. ANDER ALVAREZ – CHIEF EXECUTIVE OFFICER –
CIE AUTOMOTIVE INDIA LIMITED

MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER –
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MR. OROITZ LAFUENTE – BUSINESS CONTROLLER –
CIE AUTOMOTIVE INDIA LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

CIE Automotive India Limited

May 03, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to CIE Automotive India Limited Q1 CY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the call over to Mr. Basudeb Banerjee. Thank you, and over to you, sir.

Basudeb Banerjee: Thanks, Steve. Good afternoon, good morning to the participants as per their locations. And thanks to management of CIE Automotive India Limited for giving us the opportunity to host the call. We have with us Mr. Ander Alvarez, CEO; Mr. K. Jayaprakash, CFO; Mr. Vikas Sinha, VP Strategy; and Mr. Oroitz Lafuente, Business Controller, representing the CIE management. Without wasting any time over to the management for their initial comments.

Vikas Sinha: Yes. Thanks, Basudeb. I hope I am audible.

Basudeb Banerjee: Yes, sir.

Vikas Sinha: Good day, friends. I welcome all of you on this call as also Ander Alvarez, our CEO. We're going to talk about CIE India results for Q1 C '24 we follow the calendar year so the first quarter of calendar year 2024. At the outset, we would like to mention that Bill Forge Mexico, that is BF Mexico, is now a subsidiary of CIE Galfor post the equity infusion in the BF Mexico done by CIE Galfor. Please note this slight change in the legal structure.

Now we start with the business results of the India operations of CIE India for Q1 C '24, which are on page seven of the uploaded presentation. Sales grew by 6% to 14,388 million versus Q1 C '23. In this quarter, the EBITDA of the Indian operations was INR2,684 million, EBIT INR2,126 million and EBT INR2,053 million. While sales grew by 6% year-on-year, EBITDA grew by 18%, EBIT, 24% and EBT 25% in the India operations year-on-year versus Q1 C '23. EBITDA margin in Q1 C '24 was at 18.7%, but this includes a one-off subsidy benefit in our aluminum business, without that subsidy, the recurrent EBITDA margin in the India business for Q1 C '24 is 17.2%, which is higher both year-on-year and sequentially versus 16.7% in Q1 C '23 and 16.5% in Q4 C '23.

The market scenario in India in Q1 C '24 was mixed. The light vehicles and two-wheeler production have grown, but the tractor and MHCV markets have shrunk in this quarter. The two-wheeler market has shown good growth on the back of recovering rural and suburban demand, and we expect this trend to continue. Light vehicles are expected to continue growing at a steady rate. We also expect the tractor market to recover slightly in the second half of the year.

In our earlier calls, we had talked about some of our new orders, especially in the EV space being delayed. We expect these to start ramping up in the second half of CY '24. The results of the European operation of CIE India for Q1 C '24 are on page eight. We recorded sales of 8,941 million, which represents a drop of 7% year-on-year. It is pertinent to note that Q1 C '23 was an exceptional quarter in terms of sales with pent-up demand driving up sales in the European light vehicle market, the higher base of Q1 C '23 has contributed to the sales drop year-on-year.

CIE Automotive India Limited

May 03, 2024

Page 3 of 17

If one looks at sequential growth, sales in Q1 C '24 grew by 22% versus Q4 C '23. In Q1 C '24, the EBITDA margin in our European operations was -- EBITDA was INR1,435 million; EBIT, INR1,130 million; and 986 million, which meant an EBITDA margin of 16%, EBIT of 12.6% and EBT of 11%. The EBITDA margin in the European operations in Q1 C '24 was adversely affected by lower sales and also because

of stock reduction. This stock reduction took place

because of Easter holidays falling in the first quarter of this year, while last year, it was in the second quarter. So that effect on margin is there.

The European light vehicle market has degrown by 3% in Q1 C '24 after a period of high growth

of 13% in 2023. These trends are expected to continue with IHS forecasting European light vehicle production in 2024 to be 2% lower than in 2023. The slowdown in the U S construction equipment market continues and is expected to start picking up towards the end of the year. Sales at Metalcastello will thus be adversely affected in this calendar year.

And now if we go to page nine, we will see the consolidated results. In Q1 C '24 , CIE India on a consolidated basis achieved sales of INR23,329 million; EBITDA of INR4,119 million at a margin of 17.7%; EBIT of 3,255 million at 14%; and EBT of INR3,039 million at 13%. The margins have increased on both a year -on-year and sequential basis. These are the highest quarterly margins that CIE India has achieved on a consolidated basis. And these margins are now aligning quite well with CIE ratios globally.

In closing, we would like to state that we continue to focus on growth and growing with our customers so that we can take advantage of all opportunities that come our way.

And now we can proceed to Q&A.

Moderator: Thank you very much. We will now begin the question and answer session . The first question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: Accounted in the India financial. That's correct understanding, right?

Vikas Sinha: Jinesh, I think you just got cut off in the initial part. Can you repeat your question, please?

Jinesh Gandhi: The Mexico business still continues to be reported in the India business, India financial, right? It's not in the reflected in the report?

Vikas Sinha: Yes.

Jinesh Gandhi: Okay. And secondly, INR22 crores of grant for the prior period for Aurangabad Electric, that is accounted in other income or is part of other operating income?

Vikas Sinha: Other income, Jinesh.

CIE Automotive India Limited

May 03, 2 024

Page 4 of 17

Jinesh Gandhi: Got it. And coming to the European business. So how was the decline on a Euro basis, I mean, on Rupee basis obviously there is 7%, would be Euro basis be close to 11% or so?

Vikas Sinha: Ander, the question is, what is the decline in Europe on a euro basis without taking into account forex in this quarter?

Ander Alvarez: It is about 2% drop. The forex impact has been -- the forex impact has been 2% of positive impact. So we need to reduce 2%. The forex impact is plus 2%. That is the impact that we had, but on the other hand, we also had the negative impact of the raw material price decrease, okay? The steel price decrease and the impact of this decrease is approximately also 2%. So both effects are compensated. So we are balance. So we can say that the figures that you see are in line with the rupee's value.

Jinesh Gandhi: Got it. And for Metalcastello , now what's the run rate of revenues we are doing? I mean this effectively would be the third quarter of decline. So are we now well below EUR60 million? Or we are holding into that run rate?

Ander Alvarez: Okay. In Metalcastello, we had -- since, let's say, the second half of the last year, we saw an important decline on the sales, especially because of the American US market of off road vehicles drop. This is -- as you know, this is a cyclical business, and we are now in the bottom side of the cycle, especially because of the elections that are happening in the US at the end of this year, okay?

During this period, all the investments, big investments in the -- in earth moving activities and mining and so on are, let's say, a slowdown and reduced, and we expect this to at the end of this year or beginning next year . During this quarter, what we have done is w

e have reduced our

expenses. We have reduced the, let's say, the contract labors, and we have aligned the company to the new sales scenario.

And we will -- we are selling now at approximately EUR5 million per month. This is about between EUR 50 million and EUR60 million this year , instead of the EUR75 million, EUR80 million we were at the beginning of last year.

Jinesh Gandhi: So one more question before I fall back in queue. So the European EV business is clearly witnessing relatively slower pace of electrification. So are we seeing increase in other ordering for the ICE business and also wouldn't this in turn also result in lower capex for the new EV orders which you are getting? How does it in turn in our Europe business?

Ander Alvarez: Okay. The EV business in Europe is slowing down slightly during this beginning of the year, the calendar year '24, mainly because of the, let's say, elimination of subsidies in certain countries like Germany . I see business is more or less stable. We keep the same let's say, sales on the internal combustion engine components. This business remains stable, but the electrification components are a little bit delayed.

All the programs are being delayed and all the carmakers are now OEMs are suffering because of this lower -than-expected electric vehicle sales. Considering this, however, we see that this

CIE Automotive India Limited

electrification will come, and we will see these electric vehicles growth in the future, in the near future, but probably lower than we expected 1 or 2 years ago.

Regarding the new orders that we are getting in Europe approximately 40% of the new orders that we got are for electric vehicles. So the evolution and the, let's say, the transition from the internal combustion engine to the electric vehicle components will happen smoothly as we are - our, let's say, new order portfolio are aligned with this transition, and we are increasing our electric vehicle component business.

For example, one explanation of the delay of the electrification is happening in Metalcastello too, where we got a very, very important business for the electric vehicle components, gears, especially for the US market. And these programs are not coming yet. The sales are very, very low. We are far below our expected sales on these components.

But we all -- let's say, the market and all our customers are informing us and saying us that this transition and this growth of the electric vehicle component will come in the next quarters. So we are ready to start producing in these components. But unfortunately, the market is not helping us.

Moderator: Next question is from the line of Nitish Rege from ChrysCapital.

Nitish Rege: So I just wanted to know whether we are able to grow our business from our non-anchor customers, customers ex -Mahindra, Bajaj, Tata. And if you could just share how much are revenue from non-anchor customers has increased in CY '23 in this quarter?

Vikas Sinha: No. Nitish, let me answer this question. We have talked about this in the past about our portfolio approach to our customers, which helps us derisk, which helps us maintain our margin. And we have talked about that our anchor customers, which are four, and we are dividing Mahindra into two, auto sector and tractors, auto sector and farm equipment sector as Mahindra calls them, Maruti and Bajaj, which together would be in the range of roughly 50% to 55%.

And after that, we have a whole range of customers who are in the range of 3% to 5% of sales, including Tata Motors, Ashok Leyland, Hyundai, Kia, Bosch. There are many. There are many, maybe about 10 or 11 customers. And what -- and then there is a tail and there is a long tail. We have close to about 50 customers in India over INR1 crores. So of course, the anchor customers are also growing. And then the focus is on -- I told you those 10, 11 customers. And then

they

are -- and then they will grow.

If you remember, we have always mentioned that we have made significant investments beginning from '21 -- from calendar year '21 just after COVID and those investments are backed by orders. It's just that some of the orders, the ramp-up has been delayed, which we have explained in some of our earlier calls, especially the orders that we have got for our new plant at CIE Hosur.

Some of the orders for the EV business at aluminum and at Bill Forge. So those are delayed. And those are a mix of both anchor and these customers that we are growing. And in fact, we do expect in the second half of this year for some of the orders to ramp back. So to answer your CIE Automotive India Limited

question, I don't have a specific number to report as to how much they have grown. But yes, they are -- both the anchor customers and that 10, 11 customers that you're talking about are -- that we are talking about are very important for our long-term growth strategy as well as margin strategy.

Nitish Rege: Okay. And the next question is for Ander. I just wanted to understand, are you happy with the India growth? Do you think we could do something better to improve our growth?

Ander Alvarez: Okay. Let's say that we are satisfied how the business and the evolution of the management is doing in our all Indian verticals. The growth that we are expecting is higher than the growth that we have shown in the last quarters, but mainly because of the delay that Vikas explained before.

I mean, we have certain big projects with important delays in our customers. It is not our, let's say, mistake or lack of management. It's due to the delay in the launch of the new projects from our customers. And these launches are happening, and we are already ramping up those projects. So as Vikas said, we expect to show to the market higher growth in the next quarters. Probably by the third and the fourth quarter let's say, by the end of the year, we will see this jump happening finally. Most of these programs are for export programs. And this -- you know that this -- sometimes there are certain delays on these launches, especially when we are talking about new technologies like electric vehicles or new products that we are -- our customers are launching also in India.

So my view is that we expect to have better growth in the next future. Right now, we are a little bit above the market, the weighted average market in this moment. The market grew in this

quarter approximately 4%. You need to consider that the both commercial vehicles and tractor business dropped approximately 15% this quarter.

And that means that the average growth of the market is -- according to our portfolio is approximately 4%. And our growth is around 6%. So we are a little bit above the market. But you are right that we expect to have better growth and higher growth in the next quarters.

Vikas Sinha: Nitish, can I add something to that, if you allow me a bit on digression?

Nitish Rege: Yes, yes, sir.

Vikas Sinha: Now when Ander talks about what is ramping back, like, of course, we are seeing a very good response to the XUV 3X0 where we have substantial business for stamping s and gears. Mahindra is also launching their Urban -- those small commercial vehicles, 0.8 to 1.5 tons. We are also very hopeful about that. Of course, Mahindra's pure BEV vehicles, but those are for later, maybe not in this year. Then at Bajaj, we are again, Triumph is doing well.

So there we are -- the CNG bike for Bajaj is again something that we are very looking forward to. There are a lot of export orders that Ander talked about in electric vehicles. We have talked about the orders for shafts from Bill Forge. We have orders at our aluminum business also. Maruti is launching new SUVs. So for our crankshaft business, that's something that we are, again, looking forward to.

Tractors, I think in Mahindra, the K2 Series, it is something that, again, is -- we think it will do well.

CIE Automotive India Limited

May 03, 2024

Page 7 of 17

And of course, there are a lot of resourcing projects from our existing customers. So that's the reason why there has been a delay because to answer your question, have we been able to grow both in our anchor customers or beyond? The answer is yes, both in our anchor customers and 10, 11 customers, and that's the reason why I have taken the liberty to talk about some of the models that we are eagerly waiting for.

So that will hopefully give you a kind of preview as to why we think we are confident. And it is, as Ander said, it is more a market phenomena that the growth has slowed down, and I will talk about that and that's why I took the permission for a little bit of digression now. So if you look at the 3-year period from C '21 to C '23, three calendar years. Overall, our growth is quite good. On an organic basis, we have grown 40% in these 3 years because that's what I've said. We have been investing a lot. Unfortunately, the growth has been bunched up. And in the last 2, 3 quarters, the growth has been less than expected.

But overall, this 40% growth on an organic basis compares very well with what everybody else has done in the market, and we have done a check on at least 12 to 15 of the players who are in our peer group, and it compares well with that. But over and above that, with this growth of 40% between these 3 years, we have shown perhaps one of the profit growth on the higher side compared to -- if you do a peer benchmarking.

So it's not that we have neglected growth or we are not growing or losing share, nothing of that kind, it is just that some of our growth is bunched up. So if you look at this 3-year period, just to buttress the point on the bunching up, I also looked at the India growth performance for the last 6 quarters, starting from Q4 C '22, looked at our growth in India and the weighted average growth of the market. Now again, on this weighted average growth, I understand some of the numbers, at least in this quarter, there is some discrepancy between SIAM and IHS numbers. But be that as it may, like the trend, I will tell you is how it has bunched up.

So if you look at Q4 C '22, that is six quarters ago, the weighted average growth in India was roughly about 16%. We grew 26% at a recurrent EBITDA margin of 15.5%, in that particular quarter, there were certain one-off. If you look at Q1 C '23, the weighted average growth in India was close to minus 3%. We grew 13%. Our EBITDA margin was 16.7% in India. If you look at Q2 C '23, the weighted average growth in the market was roughly about 0.3% and India operations grew by roughly about 5%.

Our margins were 16.8% EBITDA margin. Q3 C '23, if you look at it, our weighted average growth in the market was roughly 2%. We grew at 1% lower than that, the first time we went below the weighted average market growth. Our margins were 16.7%. Q4 C '23, the weighted average growth 3.8%. We grew at 4%, so roughly in line with the market. In Q4 C '23, our margins were 16.5%.

Now if you look at Q1 C '24, like we are talking about 4.8%. I know there is some discrepancy in data, but anywhere between 4.5% to 5.5% is the weighted EBITDA market growth, and we have grown at 6%. So if you clearly look at it, we outperformed the market in Q4 to C '22 and Q1 C '23, handsomely. When Q2 C '23 was somewhat close to the market, Q3 C '23 when we

CIE Automotive India Limited

May 03, 2024

Page 8 of 17

went down below, Q4 and Q1 are more or less in line with the market. Q1 is slightly better than Q4.

So clearly, you see the trajectory is again going back. So this is the point that I'm trying to demonstrate, it is rather more toward -- more because of the bunching up and ramping up of orders. And in fact, as I said, more or

less, we are very confident that both growth and margins, we'll be able to deliver on a longer-term basis.

And this data I'm trying to show you the bunching up data between C '21 to C '23 and this last six quarters, just to show you that on a longer-term basis, we have done well, both on growth as well as margins, and I think this performance will continue. Sorry for this digression. Nitish I hope that's okay.

Moderator: The next question is from the line of Sunil Gupta from HSBC Mutual Funds.

Sunil Gupta: So just wanted to understand, one, is there sort of reclassification on the other operating income in India? Because I mean, last year, we were doing INR90 crores plus every quarter. This quarter, it's dropped. So is there something of a reclassification into other income?

K. Jayaprakash: No, no. Vikas, if I can take that?

Vikas Sinha: Yes, only you can take that, JP.

K. Jayaprakash: No. So that's because we have started using the scrap generated by stamping within our foundry. So there has been no outside sale and use within the company.

Sunil Gupta: Okay. And the other income partly like you mentioned, there's a INR22 crores one-off subsidy, but otherwise, also, it's slightly on the higher side. So that's interest income, etcetera. Is that a way to look at it?

K. Jayaprakash: Yes.

Sunil Gupta: Okay. And just -- I mean, like I know you've had a lot of discussion already on the growth aspect. But I mean, just coming at it from a sequential standpoint, right, like all other things being equal, sequentially, we've seen good growth across categories, EVs, even MHCV, tractors also. So I'm just wondering the sort of 3% Q-o-Q growth that we're seeing for you seems to be, again, significantly below market.

Only two-wheeler were sort of flattish on a production basis Q-o-Q. So I'm just trying to understand like how do we -- is that because of certain product-specific reasons again? Or something of that sort? Or what else is explaining this?

Vikas Sinha: Sunil, if you look at sequentially, you are right about that. The difference would be 3% or 6% given what those numbers that you are citing. But within that, like, for example, in tractors, the difference, say, between our portfolio of tractors and the rest is a little worse off in that case. So if you look at it sequentially, say, between the Mahindra brand tractors and the Swaraj brand tractors.

CIE Automotive India Limited

May 03, 2024

Page 9 of 17

Similarly, on the two-wheeler side, for example, Bajaj, because of exports was a little lesser than what you are seeing in terms of the flattish growth sequentially that you're talking about. So it is largely a mix of the specific customers that we are dealing with on a sequential basis. On year-on-year basis it has worked differently, on a sequential basis it has worked differently, because of the base effect. I think this -- all these things would just even out once you look at it on a full year basis.

Again, the point being, Sunil, I think it is really the delay in ramp-up of orders, which we do think will start happening in the second half of this year, especially -- in some cases, like stampings, XUV 3XO already doing well. I think 6,000 roughly that 5,000 vehicles, and we expect it to go higher as we go along. So like that sequential thing versus year-on-year thing, it's basically because of that specific customer base that we are targeting.

Sunil Gupta: Got it. And just on the 3XO, I mean, like would the content be very different from the 3OO?

Vikas Sinha: No. It is the reworked version. If you look at our -- the stampings bit is the biggest part of our Mahindra business. So overall, if you look at Mahindra would be in the range of roughly about, that's in that related party transaction. The number is there, about roughly INR1,600 crores, INR1,700 crores. About 60% of that is coming through stampings. And stampings and gears

are

the biggest beneficiaries of XUV 3XO.

Sunil Gupta: No, where I'm asking this question is like in the case of the Scorpio changeover, we lost content. So in the case of 3OO to 3XO changeover, we are gaining content or we were not there in 3OO earlier, and we are now getting...?

Vikas Sinha: No, we were there in 3OO, both in stampings as well as gears, and we are there in 3XO. The Bolero Scorpio thing is more of -- like the old Bolero and old Scorpio are very old models. I think the manufacturing philosophy was different almost 20 years ago when they were -- when they hit the market. In 3OO and 3XO there is no such change.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Sir, I have two questions. First is on the XUV 3XO side. So if you can explain like how big is the order? And second, on the consolidated basis, if we see Europe, that is still a degrowth. So when we can expect a good recovery or you can say on a profit side. So as you were talking about second half, so is there any certainty on that side, if you can explain?

Vikas Sinha: First, I'll answer about your XUV 3XO, yes, as we told you, stampings and gears. Those are our main, which I guess was also there on XUV 3OO. It's a much better version of 3OO. So it is basically stampings and gears. And since it is stampings, as I told you, we have good orders on that.

As far as on your consolidated growth question is concerned, I think, yes, in India, we have grown 6%. And in Europe, we have dropped by 7%. So overall, we are looking at roughly about 1% growth. As soon as the India growth picks up and as we also told you, Q1 in Europe looks CIE Automotive India Limited

May 03, 2024

Page 10 of 17

bad because of the very high base effect in Q1 of last year. So that base effect will also wear off. So you will not have such drastic year-on-year numbers going forward in Europe.

But the main thing is the India growth we expect to recover in the second half of the year, and that should drive growth. So on a consolidated basis, you will see an improvement to answer your question. And just to bolster, I'll request Ander to talk about the prospects of the European market -- we have talked a lot about India growth in the second half. I'll request Ander to talk about the prospects in the European market for the coming months.

Ander Alvarez: Yes. In Europe, we see, let's say, a flattish market in the next quarters, okay? The expectation of the -- for the car sales in Europe is about -- the total figure is about 17 million cars will be produced in this calendar year. So this is a drop of 2%, 3% compared to the previous year. So we think that we will have a flat year. But as Vikas said, let's say that the comparison in Q1 '23 was very high, because that was the last strong quarter in Europe then we saw a certain decline during the next quarter. So the base will be different in the next quarter. So we will not be affected so much.

But I would like also to reinforce certain message on India, okay? Because the reality is that we are not concerned about our growth. The new order book last year was really good, and we fulfilled our targets. Additionally, in this first quarter, we already got additional new orders of -- in India of about INR3 billion per year more for the next year.

And what we are doing now is we are adding capacity, and we are expanding our plants in most of the verticals, okay? In the composites, in the stampings and forgings, we are adding capacity, and we are, let's say, expanding our plants to be ready for the growth as they come in. So in my opinion, this is just a temporary situation that we are having because of the main project that we launched in the last year, especially in the Hosur plant in Bill Forge, this is a little bit below our expectations.

Once the customers come, we will see an

important jump and we will see that we are at the same

level or even better than our peers, okay? So that's the view that we have on the market and, of course, we continue working in, let's say, in a very strong way to continue our growth story in India.

Jyoti Singh: Okay. Thank you so much, sir. And sir, last, if you can guide us on the capex side for the CY'24?

Ander Alvarez: The capex in our, let's say, you know that our guide is to have approximately 5% turnover, the sales -- 5% is the figure that we consider reasonable and very sound. In the first quarter, we had -- our capex, we spent was almost INR1 billion. This is a little bit less than 5%. We are at 4.2%, 4.3% over sales.

But in the next quarters, we will recover because some additional capex is coming. So we can say that 5% is the average where we are comfortable. And if we, let's say, make the split between Europe and India, all the growth capex is concentrated in -- mainly in India, okay? So the growth -- the capex is higher in India rather than in Europe.

CIE Automotive India Limited

May 03, 2024

Page 11 of 17

Moderator: The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Sir, on the capex again, I mean, can you highlight what are -- I mean are these new orders that you have won that we have to put this capex for -- how are we positioning this capex?

Vikas Sinha: So, Ander, the question is, where is the capex in India going? In which businesses?

Ander Alvarez: No. I think in all the verticals, we are growing. So we are adding capacity in all the verticals. So if we, let's say, make a deeper analysis on that, our composite business is growing importantly.

So this year, we are growing around between 20% and 30% of growth in the composite business.

So we are expanding -- we are building a new plant and the new shed and new machinery. So that is part of our capex.

Also in the stampings plant, we are adding one new press line that will be ready for start of production by July approximately, that's why we expect also a jump in the second half in the stampings division. In the forgings plant, we are also expanding our plant to add a new crankshaft machine line. So this is an additional investment that we are doing.

So in the gears division, we are also -- we have finalized a new office building in order to, let's say, have additional free space in the production plant to continue our growth history, and we are also planning to invest in more capacity, especially in the higher value technologies like gear grinding and this kind of technologies. So those are some of the examples of the different projects that we are now investing for, and we expect to be ready during the second half of the year. So on top of that, the new programs that we are getting from the customers will require additional CapEx. So we are -- let's say, the business continues growing and continues the normal evolution.

Pratik Kothari: Okay. And sir, in India, we have a large tail of customers where -- I mean, the contribution from them is not much. And even our wallet share there is not higher. One, I mean, what -- I mean, what is our focus in terms of this long tail that we have? And what kind of conversations are we having with them? And what does it take to ramp this up to a respectable or a larger number?

Vikas Sinha: No. As I said, it is not about the long tail. It's about those 10, 11 customers in between that I talked to you about in the initial part of the conversation, like we are talking about Tata Motors, Ashok Leyland, Hyundai, Kia, John Deere, those kind of people. Those -- we are trying to grow. What it takes, it takes some time before you grow with them because once they are convinced about your abilities, they start growing with you.

And the rest, as and when we have a foot in the door, Beyond that, we have a foot in the door and whenever they want

to grow with us, we are happy. Because the kind of customer base that we have in India is very varied and diverse. I don't think there are a lot of examples of this kind. So what does it take? Of course, it takes working with them over a long period of time to get that going.

Pratik Kothari: And -- I mean talking about acquiring this plastic business inorganically for a while, but I mean, obviously, the valuations don't match. Any possibility that we can try and think and do this internally, build it out organically?

CIE Automotive India Limited

May 03, 2024

Page 12 of 17

Basudeb Banerjee: No organic -- that question is, are we -- do we have the capabilities? Does CIE have the capabilities to have -- to build a greenfield plastic plant? The answer is yes. Very clearly, yes. They have plants across the world. So CIE can help us put it there. But it's not about putting a plant. In our B2B business, specifically of the kind that we are manufacturing B2B business, I think having good anchor customers is very important for that business, and that's the reason why we thought that inorganic is the best way to go. Of course, as you rightly pointed out, inorganic is a 0/1 situation.

So it is not always not in our hands, whether we can do that or not do that. But the issue is getting an anchor customer. I'll give you an example. When we wanted to get into aluminum. We got our aluminum business at that time called Aurangabad Electrical, and then we got a strategic customer in Bajaj. So -- and if we had tried to build that over a period of time, it would have taken a much longer time than what it would take through the inorganic route.

So there are advantages, disadvantages. But yes, for plastics, given that in India, we don't have any plastics business, I think -- we think -- we still think M&A is the best way to proceed. But of course, as you rightly pointed out, M&A has its conditions and let's see about that.

Pratik Kothari: And sir, my last question on margins. I believe, currently, there would be some costs that would be fitting given the lack of delay in ramp-up, be it India or even Europe. Is it something substantial? And also if you can talk about this? I mean, the end target is this 19% which we intend to do and gear. We've been doing 17% for a while now. So this journey from 17% to 19% also. Some comment is appreciated.

Vikas Sinha: No. As I was demonstrating when I was talking about the quarterly numbers, so if you look at, again, the India quarterly EBITDA margins, I'll repeat that. So in Q4, C'22, we were 15.5%.

And then we have been -- and in this quarter, we are ending at 17.2%. These are all recurrent numbers without any one-off that we are talking about. So we have gone from 15.5% to 17.2%. So that's an increase of 1.7 percentage on a very high base, given we are a diversified portfolio. It is not just machining, where you get higher EBITDA. 1.7% in a matter of 6 quarters. So that steady improvement will continue. Of course, in Europe, this time, you are seeing a lower margin because of the stock correction lower than -- it probably would have been lower because of lower sales, but you're also seeing that because of stock correction.

So overall, like Europe has been a little depressed in this quarter. But India has crossed 17%

EBITDA margin for the first time, the way we calculate. I understand some of the colleagues on the call. They do it differently. But I'm saying from our -- from whatever we present, for the first time, we have crossed 17% in India in a very, very diversified portfolio, including things like Stampings and iron castings and aluminum casting. So this performance, which we think is very creditable will continue, but it will be slow and steady improvement. You're not going to see step jumps in profitability improvement.

To your other question, because there have been some delays in ramp -up. Some costs will be sit

ting. The answer is we understand this is the nature of our business. So we'll have to learn to tide over some of those things, and that is what we are trying to do. That's some extra costs sit during periods when capacity is less utilized. The answer is yes. But then that is the nature of CIE Automotive India Limited

May 03, 2024

Page 13 of 17

our business. It's a B2B business. Some models work, some models don't, some models are delayed, some models are not. So that is something we have to find a way to deal with it. So that's what we are doing. Hopefully, that answers the question.

Moderator: Sir, the line for the current participant has been disconnected. We will move on to the next participant. The next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: So Vikas, just want coming to first question is on the margin in the Europe, as you rightly said that because of the price correction. How do we see for rest of the year, I mean, Europe margin and for the full year, again, bouncing back to same last year level?

Vikas Sinha: Ander, can I request you to take this? What is the prospect on European margins?

Ander Alvarez: What we see is that in the next quarters, we will see, let's say, a flat market. And as you explained in the script Vikas, the drop of this margin in the first quarter was mainly because of the Easter holiday that happened at the end of the March. So we reduced our production. So we had a certain decline in the production in this quarter because of this holiday week.

Then we think that in the next quarters, despite the market will not be fantastic, and there will be no big growth, but we will recover, and we are in line to recover the margins that we had last year, okay? So we don't see any reason to lose that. I mean if everything goes as it goes now with energy prices under control and raw material prices under control. We think that our margins will be at the same level than last year. So we don't see any reason to reduce the margins.

Unfortunately, we don't see either growth or ramp up on the sales mainly because of the also Metalcastello market is negatively affected by the American U.S. market position during the year, and we expect this recovery to happen in the -- during next calendar year or at the end of this year.

Bharat Sheth: And now with the, say, infusion of the capital into this -- Bill Forge Mexico entity. So do we have any plan to ramp up for additional if you can give some color on the performance of that performance of that Bill Forge Mexican entity?

Ander Alvarez: Yes, that entity is also growing. We are now producing, let's say, at a higher pace than the previous quarters. And you know that we are producing CV -Joints components for different customers and the expectations are good for the near future. The company, let's say, we had big projects for the electric vehicles also in Bill Forge de Mexico and those projects have been a little bit delayed in the U.S. market also.

So that's the reason our growth was lower than expected. But right now, the company is performing well and is growing. So you will see in the next quarters how this company continues this trend. We are above \$3 million of sales per month in the company. So we are at the level that we were expecting when we launched the plant. So we will be close to \$40 million in the calendar year '24.

Bharat Sheth: And going -- and EBITDA side margin perspective, EBITDA margin perspective?

CIE Automotive India Limited

May 03, 2024

Page 14 of 17

Ander Alvarez: So EBITDA margin in this business, we have been affected because of the huge raw material price increase that we had in the last year. And also because of the American market, the USMCA market is protected from the raw material point of view. The steel prices are really, really high, okay? That means or the effect of this is that the, unfortunately, the ma

rgins are --

will grow, but the margins are lower. So we can be between 10% to 15% of EBITDA margins on those businesses.

Bharat Sheth: And last question on India entity. We have done some restructuring on the management level. We have elevated to division CEO, so how do we read that? And what is the purpose of that?

Ander Alvarez: Okay. The purpose of that is to structure properly the company, to prepare the organization for

the growth in the next years, okay? The -- what we did is that we reinforced our main -- the best managers and the best executives that we have. We -- the CEO position for the different verticals so we assured also our succession plan for the future, and we also motivate them to continue growing as they did until now, okay? So the strategy is to reinforce the growth to reinforce the team and to prepare the organization for the future and to have a proper succession plan in place.

Moderator: The next question is from the line of Shriram, an Individual Investor.

Shriram : Can you share the revenue breakup in terms of power source? Like how much would be ICE, EV and power source neutral. Also, how much of your business depends on ICE? I mean like when the transition happens from ICE to EV, what would be the impact in terms of revenue?

Vikas Sinha: Let me take that. In India, of course, overall, we'll be 20% or thereabout or even lesser than that. In Europe, of course, we have two major businesses. I think if you look at it roughly, we are EUR350 million, out of which say about EUR65 million, EUR70 million is Metalcastello and the rest is forgings. So in that Forging business, crankshafts are a substantial part because we are one of the most important manufacturers of crankshafts in Europe.

So in Europe, that dependence is higher, but then we are among the main players of crankshaft. So the way to look at it, Shriram, is like this. depending on the transition. So for example, in India, if you are talking about 20%, we were about INR5,500 crores in C '23 . And if you look at 20%, you are talking about somewhere INR1,100 crores dependence on ICE. Out of which, say, 60% will be four -wheelers and 20% -- 40% will be two -wheeler.

So the pace of transition will be very different between four -wheelers and two -wheelers as you look at it. And therefore -- and even if you look at the value -add risk that we are talking about, we might be expecting not, say, roughly, say, 25%, 30% penetration in the next 5 years for two -wheelers and maybe 7% to 10% for four -wheelers going forward. So if you do value very at risk, it is not very high. you're talking about less than INR500 crores value -add risk, maybe 3, 4 years down the line.

And that is something that any way we replace every year, as you might be aware, almost 10% to 15% of our business gets replaced, obsolete -- whatever is. So that's -- so really, there is not much risk in India, and that's the reason why we keep talking about this being more of an opportunity rather than a risk. In Europe, as Ander has pointed out repeatedly, I think because we are main players in crankshafts, when the EV transition happens, of course, there will be

CIE Automotive India Limited

May 03, 2024

Page 15 of 17

some effect in Europe, and that's the reason why we are preparing. He talked about how 60% of the new order book in Europe is EVs.

We have got very important orders at Metalcastello for EV transmission parts, for aluminum forgings for steel forgings, for batteries, et cetera. So we have enough orders to cover any transition in the European market. So -- but there again, you might be aware that the European EV penetration is also slowing down. In fact, on a YTD to YTD basis, Jan to March, I think EVs have lost -- battery electric vehicles have lost 1 percentage point in terms of penetration. In fact, hybrids have gone up by 5%. EVs have come down by 1%, and petrol and diesel, both have come down

by 2% each. If you look at the ACEA data, and they have a very good database.

So the question is the like penetration in Europe is also slowing down. And in India, it is very specific to some segments. So I don't think there is much of a risk in India. It is more of an opportunity as we get newer and newer orders. As we told you in India, for example, we have orders for shafts in our forgings business. We have orders for -- in the aluminum space. We have large orders in the composite space for 3 -wheeler EVs. So we have a whole set of orders, which once it starts ramping up, we are very well prepared in India to take advantage of that opportunity.

In Europe, I think it will be more of transitioning from ICE to EV as and when it happens. But - - so I think we have -- we think we have a good strategy in place as far as EV is concerned, and we'll manage. And we'll -- we see that as an opportunity, actually.

Shriram : Okay so thanks for that elaborate answer. But how would the price shrink? I mean in terms of content per vehicle, how would that change?

Vikas Sinha: Look, it's as simple as that. You are looking at it at a macro level. I am looking at it from my company's perspective. So like if -- as I said, if I have -- my value -add risk is INR500 crores. So I have to cover that INR500 crores and have to grow beyond that. Yes, when it comes to shrinking or whatever that much as and when EVs become more mainstream, we'll have more data. But roughly 65% of EVs are agnostic to, like, for example, our Stampings business, our composites business our gear business, they won't be affected by this transition.

In fact, they will have more opportunities. They fall in that 65% space. But you have a 35% engine cost, which obviously will change. The nature of that will change. Right now, in an ICE engine, we use a lot of forgings. We use a lot of castings and machine parts. But when you go to battery, it will be something else.

For example, a lot of aluminum will be used, and that is what we have orders in our aluminum business in India. Those are for -- as Tata indigenize their power -- their battery -- the batteries in India. I think we are getting orders in that system. But in aluminum, which right now will be in forging, being a diversified maker, especially in India, we don't have that much of a problem from the question that you are asking.

Moderator: The next question is from the line of Jeetendra Khatri from Tata Mutual Funds.

CIE Automotive India Limited

May 03, 2 024

Page 16 of 17

Jeetendra Khatri: Yes. Sir, my question is, what's your thought on this new concept called gigacasting. We hear of it everywhere. Tesla were already trying it.

Vikas Sinha: No, that's for OEMs to worry about. We are part makers like -- so look, gigacasting is a way of making the bodies of the vehicles. And as and when it becomes more mainstream, we'll see because we are not involved in that process. We -- even in our Stamping s business, we make the B class and C class stampings, which go, say, for in the door assembly or something like that. You will still require all of that. So yes, it's an interesting concept. But as of now, we don't see how it is going to affect our kind of parts. But to understand more, I'll refer to Ander, if he has something more to add on this technology.

Ander Alvarez: You answered properly, Vikas. These technologies are more orientated to the OEMs, okay?

They produce -- the OEMs, the big like OEMs like Tesla was the initial -- the first OEM to introduce this concept of gigacasting, but they invest and they produce the components internally because those components are so big that cannot be transferred or transported from a supplier to the OEMs. So you need to be close to the factory. This is the first concept. So we don't see suppliers developing this because the -- this not -- possibility of transporting these components requires that the product

ion is done in their own facilities.

Also, we think that the investment on these technologies is huge. I mean it's a very, very important investment. And for us, it would be big risk to accomplish that. So we are not considering the gigacasting. We think that this is a business for other kinds of producers, mainly OEMs.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: You are talking of developing aluminum forging. So any update on that?

Vikas Sinha: Ander, the aluminum forging Europe. Any update?

Ander Alvarez: No. We continue with our strategy of developing this technology. We are we have already invested and we are producing certain components, and we continue developing the business with our customers. There's no news, no different news than additional news from our last quarter comments that we did. So we continue -- and the ramp -up is there and that's the strategy to continue expanding this technology in the future that we expect to grow further.

And also, we are working in different steel forging components for the -- mainly for the battery pack, okay? So we are working on that. We are launching a big project with one of our main customers in Europe. So we continue diversifying the product entering into different components and preparing the transition to new era that is coming from in the future.

Bharat Sheth: So when do we expect -- I mean, to start, I mean, a kind of a noticeable or a good part of the revenue from this business?

Ander Alvarez: We think that we were expecting certain growth during these years in the next 2, 3 calendar years. But as explained before, the electrification process is slowing down in Europe in this

CIE Automotive India Limited

May 03, 2 024

Page 17 of 17

moment. The new Euro VII norms that will be applied by the European Commission will -- or has been delayed until mid of 2027.

That means that the internal combustion engines and the standard cars will continue being produced in this period, and we will see a delay on the electrification process. That's our expectation. So we think that it will take some years to come. Probably 4, 5 years to see certain growth on these new components because the trend in Europe in this moment is that the -- let's say, the current situation, the electrification will slow down a little bit from the previous growth that we had in the last years.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Ander Alvarez: Okay. So thank you, everybody, for your good questions and well directed questions and your interest in our company. I hope we answered properly, and you had a good impression of our evolution as a company. So thank you, everybody, and thank you to all CIE India members because of the great job that they are doing in the company. So thank you, and see you next time.

Moderator: On behalf of ICIC I Securities, that concludes this conference. Thank you for joining us, and you

may now disconnect your lines. Thank you.

Note: This statement has been edited to ensure quality

Call: Jul 2024

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SEC/2024/112
23rd July, 2024

Dear Sir / Madam,
Sub: Transcript of CIE Automotive India Limited Q2 & H1CY24 Post Result
Conference Call
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the
Securities and Exchange Board of India (Listing Obligations and Disclosure
Requirements) Regulations, 2015 and our letter dated 10th July, 2024 respect of advance
intimation in relation to Q2 & H1CY24 Results Conference Call, please find enclosed
herewith transcripts of the said call held on 19th July, 2024.
The same is being uploaded on the website of the Company i.e. www.cie-india.com .
Kindly acknowledge the receipt and take the same on the records.
Thanking you
Yours faithfully,
For CIE Automotive India Limited

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Company Secretary, Chief Compliance Officer,
and Head- Legal
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NSE Scrip Code: CIEINDIA

Page 1 of 14

“CIE Automotive India Limited Q2 & H1C Y24 Results
Conference Call ”

July 19, 2024

MANAGEMENT : MR. ANDER ALVAREZ – CHIEF EXECUTIVE OFFICER ,
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AUTOMOTIVE INDIA LIMITED
MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

CIE Automotive India Limited
July 19, 2024

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to CIE Automotive India Limited Q2 and H1 CY24 Results Conference Call hosted by ICICI Securities.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference over to Mr. Basudeb Banerjee. Thank you and over to you, sir.

Basudeb Banerjee : Thank you. Good evening, good afternoon, ladies and gentlemen as per your location. Thanks to CIE Auto India management for giving us the opportunity to host the post Q2 CY24 Result Call.

We have with us the management represented by Mr. Ander Alvarez – CEO ; Mr. K. Jayaprakash – CFO ; Mr. Vikas Sinha - Senior VP Strategy ; Mr. Oroitz Lafuente - Business Controller and Mr. Swapnil Soudagar - DGM Strategy. So, over to you, Vikas.

Vikas Sinha : Thanks, Basudeb. I welcome all of you on this call as also Ander and Oroitz, both of them have just experienced the effect of the global IT outage. Their connecting flight was delayed and they barely made it on time. So, we sincerely thank them for making this special effort to be on the call. I will present CIE India Results for Q2 CY24 and also for H1 CY24.

Let us start with Q2 CY24 results for the India operations on page 7. Sales in the India business were Rs. 14,463 million which has grown 8% year-on-year versus Q2 CY23 and is also marginally higher on a sequential basis. This growth is also slightly higher than the weighted average market growth. If you recall, we had said that our growth in the past quarters have been hampered by slow ramp up of certain orders. These orders have started ramping back as seen in the improving growth figures over the last few quarters in the India business.

So, if you look at the quarterly year-on-year growth in our India business, it was 1% in Q3 CY23, 4% in Q4 CY23, 6% in Q1 CY24 and 8% in Q2 CY24. While sales in India grew by 8%, EBITDA grew by 16%, EBIT by 21% and EBT by 20%. EBITDA margin in India without any onetime impact has crossed 18% for the first time and it was 18.1% in Q2 CY24. While we had reported an EBITDA margin of 18.7% in India and Q1 CY24 that included a onetime government grant at our aluminum business without which the EBITDA margin was approximately 17.2%. So, even on a sequential basis, there is significant improvement in EBITDA margin. EBIT margin in Q2 CY24 for the India business was 14.4% versus 12.8% in Q2 CY23 and EBT margin was 13.8% versus 12.3% in the same quarter last year. The margins are thus a result of improved profitability of the Indian operations. Overall, Indian operations continue their journey to match the global standards of the CIE Group.

CIE Automotive India Limited
July 19, 2024

Page 3 of 14

On page 8, we have the results for the European operations of CIE India for the quarter, Q2 CY24. The slowdown in the European light vehicles market as well as the slowdown at Metalcast, something that we have spoken about in the past calls has significantly impacted the results. Sales were at INR 7,604 million, which are down year-on-year by 11% and if you compare with the light vehicles market data, which is ex of Russia, if you look at what is happening in Europe without taking consideration of Russia, it is down by 7%, the market. Just a note here, from now on, we will present the European market data without Russia, because as we know, the commercial contract between Europe and Russia is not there and is not expected to be there for the next many quarters. EBITDA margin for the European operations in Q2 CY24 was 17% versus 19.

2% in Q2 C Y23 and 16% in Q1 CY24. EBIT in Q1 CY24 was 13.1% versus 12.6% in Q1 CY 24 and EBT 11.4% versus 11%. We have taken note of the sales drop in the European operations and corrective actions have already started to adjust the operations to the lower sales volume.

On page 9, we see the consolidated CIE India Q2 CY24 results , consolidated sales for INR 22 billion similar to Q2 CY23, EBITDA INR 3.9 billion at a margin of 17.7% . EBIT INR 3.1 billion at a margin of 13.9% and EBT INR 2.8 million at a margin of 13%. The first half H1 CY24 results for our Indian operations are on page 11. Sales increased by 7% versus H1 CY23 to INR 27 billion . All segments showed growth except tractors, which is down 7% year-on-year. The EBITDA margin was 18.4% , EBIT 14.6 % , EBT margin 14 % and PAT margin 10.4% all of which are much higher than H1 CY23 . In fact, this is the first half year when India PAT margin has gone beyond the 10% mark. It must be mentioned that the EBITDA includes 0.7% of onetime extra subsidy on our aluminum business.

The market in India is largely positive going forward . Light vehicles ha ve grown in single digits, albeit from a high base. Two -wheeler demand seems to have recovered in the last couple of quarters and the half yearly growth is 20% plus. Tractors are also showing signs of recovery. We expect H2 to be better than H1 in India.

On page 12, we have the H1 CY24 results for our European operations. The impact of slowing light vehicle sales and slowdown in Metalcasallo's customer segment has contributed to 9% drop in sales. The EV orders that we were executing have also seen some slowdown from the customer side. The H1 CY24 sales are INR 16.5 million. EBITDA margin was 16.5% in H1 CY24 , EBIT margin 12.8 , EBT margin 11.2% and PAT margin 9.9%. While making year-on-year comparisons, please note that H1 CY23 PAT included profit from disc ontinued operations of CFG.

On page 13, we have the H1 CY24 consolidated results of CI E India, sales were INR 45.4 billion, which is a nominal growth over H1 CY23. The EBITDA margin was 17.7% versus 17.4% in H1 CY23 , EBIT 13.9% versus 13.7 % , EBT 13% versus 12.7% and PAT 9.9% versus 12.8% and this drop in PAT margin was because of the onetime profit from discontinued operations last year. Overall, the good performance in India has been offset by the declining market in Europe.

CIE Automotive India Limited

July 19, 2024

Page 4 of 14

On page 15, you will see our abridged consolidated balance sheet which shows the healthy state of CI E India. Return ratios have continued to be healthy. Return on net assets has been maintained about 20% and return on equity is at 14.4% and almost reaching the 15% mark . The cash flows are shown on page 16. The company generated operating cash flows to the extent of 76% of consolidated EBITDA . Growth CAPEX for the first half of the year was INR 1.05 billion, largely focused on projects in India. Cash outflow due to dividends was INR 1 ,897 million due to the doubling of dividend to Rs. 5 per share.

If you move to page 18 where we have shown other details, there the other operating revenue in the India operations in Q2 CY24 is significantly lower than Q2 CY23 . And this is because we have started to reuse a large chunk of scrap that is generated and we are using it in -house. So, the other operating income for India in Q2 CY24 is significantly lower than in Q2 CY23 because we are reusing the scrap in -house. We are confident that we can utilize opportunities that arise and face challenges that we confront . All of this w e will do with agility and with that we proceed to Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session . The first question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Siddhant Dand : My first question was regarding our working capital cycle and cash

flow from operations that

seems to have gone down and our receivables seems to have shot up , so what really happened there in H1?

K Jayaprakash : Sorry , I didn't get the name, but the working capital especially on the receivables is because we did facto ring and built and discounting on 31st December 23, which we have stopped doing on 30th June, therefore the number has gone up.

Siddhant Dand : So, our factoring and discounting has stopped , any particular r eason for that?

K Jayaprakash : No, right now we are having enough cash. So, right now we are not doing it.

Siddhant Dand : And what kind of margin benefit do you think we can get from this?

K Jayaprakash : No, this was finance cost, so n ot so much.

Siddhant Dand : Finance cost benefit that we can get from this ?

K Jayaprakash : So, that was only done in December, s o that was about 20 million, if I am not wrong , INR.

Siddhant Dand : So, now this would be , H1 would be a good working cycle guidance that will be similar to this and going forward?

K Jayaprakash : Yes.

CIE Automotive India Limited

July 19, 2024

Siddhant Dand : My second question was, H2 was supposed to be when we will get the growth in this year. So, are we on path for that?

Vikas Sinha : Yes, we are on track . That is why I did talk about the improvement in growth trajectory from the last few quarters. So, if you look at the last three quarters at 4% growth in India, 6% growth in Europe, and 8% growth in India. So, in India, very clearly you see that . Now coming back to Europe, of course, in Europe, H2 is traditionally weaker than H1. That is the seasonality effect , you have August holidays of three weeks and you will also have one week holiday in December. So, sequentially H2 is always weaker than H1 , but we do see weakness in Europe. Very clearly the markets are down both for the off -road market as well as the light vehicles market. The off-road market is down by much larger numbers , but even the light vehicle market is down and you can see that in our presentation. So, in India, definitely what we have said H2 greater than H1 , we still think that is going to happen . In Europe, H2 traditionally is worse off than H1 .

Siddhant Dand : So, year-on-year, H2 is not looking good because of the weakness , is that correct?

Vikas Sinha : At this stage, I don't want to make any definitive, like the forecast keep changing in Europe , but yes, the markets in Europe are weak at this point of time.

Siddhant Dand : And anything on getting some of our European customers like the Volkswagen Group and others into our foray in India or is it just too small or something?

Vikas Sinha : Volkswagen is small in India. We have a very large customer base in India including European OEMs in India. So, it is not that we don't have , but European OEMs in India are smaller. Our biggest customers are of course Mahindra in India, Bajaj , Maruti , these are the three biggest customers, Tata Motors, the four -wheeler customers , you have Hyundai, Kia, John Deere. So, we have many customers in India as if you go back to our annual report or the investor presentation that we made at the end of the year of CY23, you will see that there are at least 20 customers in India with very significant revenue base. So, we are a very well diversified company when it comes to customer base in India.

Moderator : Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi : Given that we were also preparing for electrification in Europe and now we are seeing EVs being seen slower adoption, do we need to make any changes in our business now or remain status quo for us?

Vikas Sinha : No, of course Ander will answer more, but yes, because of this whole slowdown on the EV penetration side there is lot of uncertainty in the minds of the European customer also. So, you are clearly seeing the effect

on the entire market. So, it is not just the EV orders that are delayed

CIE Automotive India Limited

July 19, 2024

because of the EV orders are delayed because the customers are also a bit in wait and watch mode , but I will request Ander to elaborate more on that.

Ander Alvarez : Yes, Vikas you are right, the reality in the European market is that now all this electrification process has been a slowdown mainly because of the elimination of the certain subsidies that certain countries were giving to the electric vehicles . And this is generating certain uncertainty and volatility in the market, so what we think is that all this electrification process will continue . The growth will continue in the future, but at a slower pace. So, we see a delay in this process and we can expect 2-3 years, just cross figures because nobody knows what will happen, but we expect 2 -3 years of delay in all this electrification process. So, in the meanwhile, we continue working as usual, so the internal combustion engine components will continue being supplied to the market so that is a good thing for us and we continue working and let us say we are getting new orders from the customers in the electrification side . So, the reality is that all this delay will give us the time, the enough time to prepare ourselves in this transition, so the transition will be softer than expected and I think that is positive for the European companies.

Jinesh Gandhi : And the second question pertains to the M&A part of it. So, one is obviously in India we have been looking for acquisitions to strengthen our presence in plastics and maybe with some other customers as well , but in Europe, do we also now look at acquisitions given that some of our competitors would be seeing some stress because of higher interest rates and leverage on balance sheet , are we open to acquisitions in Europe as well?

Ander Alvarez : Not really. Let us say that it is not our preferred route right now to invest in Europe in different countries, let us say , stressed assets is not the strategy. We prefer to focus our resource on the Indian market where we think there will be development in the future . Perhaps , we can find any company that can be consolidated with our capacities and could make sense , but in this moment, let us say that the focus continues to be in India.

Jinesh Gandhi : And lastly , in terms of CAPEX , our guidance would remain same 5%-6% of revenues or we are increasing any of these investments in India?

Ander Alvarez : Let us say that the average in the first half has been about 4% of our total turnover, so slightly less than the 5% that we have as a standard. But we think that in the second -half of the year, we will recuperate because there are a lot of programs and investments ongoing and by the end of the year, we will be around 5.5% of the total turnover. And mainly main amount of this CAPEX will be focused on India of course.

Moderator : Thank you, sir. The next question is from the line of Nitish from CHRYSLER Capital. Please go ahead.

Nitish : My question is for Ander . So, I just wanted to ask what is the plan on the Roof Systems? Why has it been kept outside CIE India? We have heard like 3 reasons in the last three years. In 2022 it used to be, due to the Mahindra name , in 23 it was because of Chinese ownership , in 24 it was CIE Automotive India Limited
July 19, 2024

Page 7 of 14

Tier-2 versus Tier-1, these kind of change in reasons somewhat I am not able to follow and frankly not expected from a group like CIE. It seems the parent is trying to keep the Roof Systems business out of the listed CIE entity , CIE India. So, going forward, will the parent also enter plastics, castings, forgings on its own in India?

Vikas Sinha : You talked about different reasons. They are not different reasons. If you allow me , of course , number one, we have

to say that this business is CIE Spain's business, not our business. So, it is not our decision, it is their decision. But I will explain the rationale , what this business is about and what the thinking process is . Of course, people will have different views , but first let me say that they are not different reasons. Roof Systems business is a Tier-1 business. Now what is a Tier-1 as you would be aware, the component industry has two kinds of companies largely , you have Tier-1 companies, you have Tier-2 companies. Tier-2 companies largely of our kind, we supply parts , maybe complex parts , subsystems, but mostly this is based on the drawings provided to us, either by the OEM or Tier-1 company. So, for example , crankshaft, crankshaft goes into an engine, the engine supplier or the OEM will give me the drawing of the crankshaft and I make it . So, I compete on operational excellence as I keep saying investment, discipline, and diversification. And then you have a set of companies like Tier-1, like engine manufacturers, driveline manufacturers, steering system manufacturers, seating system manufacturers , they compete on customized R&D. And they work with a fewer set of customers, but their basic competitive driver is R&D and it is they generate the drawing and then either they make it in -house or they can take the help of Tier-2 suppliers to make it . Roof Systems is a Tier-1 business. All the other businesses are Tier-2 businesses. And therefore when you say will CIE also look at plastics or forgings or this separately, the answer is no, because CIE India since the last 10 years has focused on Tier-2 business. Tier-1 business would require a lot of investment in R&D . Right now , for the Roof System business , the R&D is centralized. In fact, this is a fairly large business within CIE and India is an extremely minuscule part of that business. In fact, wherever these businesses operate in CIE worldwide , in any other geography, they operate independently. So, for example, even if in any country there is forging or aluminium of CIE or machining of CIE and Roof Systems , they are managed separately . So, it is an independent business managed separately within CIE itself, and the main reason is Tier-1 R&D . Now coming back to your question that in 2021 , we talked about Mahindra and there in Tier-1 businesses there is greater sensitivity because there is R&D sharing between OEM and the Tier-1 supplier. That is why any such name, any association with anyone particular OEM creates anxiety with other OEMs , which is much lesser in the case of Tier-2 or non-existent in the case of Tier-2 companies. So, if you see whatever reason we are talking about, all of them pertain to this particular difference. So, to answer your question, will something else also not happen? Roof Systems is the only Tier-1 business within CIE. Everything else is Tier-2 and that is the reason why we have always maintained that the one difference in portfolio between CIE Global and CIE India is plastics . So, they do plastics , we don't do plastics in India, we do composites in India, but not plastics. So, that is the reason why this distinction was there and the reasons are fairly consistent. I hope I have answered your question.

CIE Automotive India Limited
July 19, 2024

Page 8 of 14

Nitish : Where I was coming from is CIE Spain , both the Tier-1 and Tier-2 are in the same entity right now and CIE India has always been a flagship entity. So, what kind of message does it send that just the Roof Systems is outside of your flagship entity in India because effectively it is the same 15-20 customers, which we will be sharing with the Roof Systems also with CIE India has and now that there is no Mahindra name, it is more of a reason to integrate both the companies ?

Vikas Sinha : Again, this decision is not in our purview. But again, let me attempt th

e reasoning behind it. No,

it is true that customers are similar, but it won't be, the number of customers at Tier-1 company services will be much lesser, like for example, we proudly tell you that I just told the other questioner that we have 20 customers in India with substantial revenue base. A Tier-1 company will probably not have that because they have customized R&D and they can deal with very few OEM's, therefore the OEM sensitivity that we are talking about. But coming back to your question even within CIE, that is what I was trying to explain, they are handled independently of the Tier-2 business and it is centralized R&D. Yes, India is, they have business in India, but it is a very small part of the global business and two, let me also suggest this that let me also say this that this was a business that has come to CIE via acquisitions made in 2009 and 2018 or 19, exact date, I will have to check and they have been doing business in India predating CIE India. CIE India was founded in the year 2013 and they have been predating that, they have been doing that business separately, maybe out of China or whatever though, therefore China was also mentioned in answer to your question, but it is largely a global business run out of like the centralized R&D's in Europe. So, China is just one geography that is serviced by CIE Gold as this business is called, so that is why this decision has been taken. As I said, people can have different opinions. I am just trying to give you the business logic that has been used by the CIE Group. Again, let me reiterate, it is not my business logic. It is frankly the decision is not in the perimeter of CIE India. It is the decision which has been taken by CIE Spain, because it is a business owned by CIE Spain.

Moderator : Thank you. The next question is from the line of Jyoti Singh from Arifant Capital Market Limited. Please go ahead.

Jyoti Singh : Just my question is on the order book side, if you can give us some visibility like earlier the new order book consist 40% of EV, so now things is not pretty that good as earlier. So, just wanted the visibility on the order book side and EV versus the ICE?

Ander Alvarez : In India, we have had in the first half of the year, a total new order book of about Rs. 5 billion per year of, let us say, new projects. Out of them 30% approximately are for electric vehicles, so that means that in the near future our share of electric vehicles components will continue growing. So, this is 30% in India and in Europe where we have a slightly lower amount of new businesses or new orders nominations, we had about Rs. 2.2 billion of new orders, and we have 55% of them are pure electric vehicles. That means that the electrification pace, speed of the electrification in Europe as we all know is much faster than in India. So, the trend is consistent with our strategy where we will be slowly changing and making the transition from internal CIE Automotive India Limited
July 19, 2024

Page 9 of 14

combustion to electrification. So, we can say that this 55% of electric vehicles new orders in Europe and 30% of electric vehicles new orders in India are in line or aligned with our strategy for the electrification in the future.

Moderator : Thank you. The next question is from the line of Nemish Shah from Emkay Investment Managers Limited. Please go ahead.

Nemish Shah : So, I had a few questions on our Europe business, also if you could just highlight on the passenger vehicle segment of the European business or what would have been the decline there or would that be in line with the market decline, or will it be lower, higher some sense on that?

Vikas Sinha : Nemish, you are saying our PV segment revenues, are they in line with the market drop?

Nemish Shah : Yes, for the Europe business?

Vikas Sinha : So, if you look at, we have said the European market

has dropped by about 7% and there is of course a larger Metalcastello drop. So, if you put those together, you will be able to explain the revenue drop in Europe.

Ander Alvarez : Yes, Vikas, just to clarify our passenger forging business in the Q2 dropped 6% compared to the 7% of the drop of the market, but due to the end customer demand in Metalcastello, 30% drop approximately gives us this -11% that we drop in the Q2 in Europe. That is the explanation, 6% in passenger cars, 30% in Metalcastello average. The mean of these two figures is -11%.

Nemish Shah : And what would be the monthly run rate for us in Metalcastello now, I believe last quarter it was around Rs. 5 billion or some?

Ander Alvarez : Yes, I can tell you in Europe, we are now monthly selling about €4.5 million that is, yes, about Rs. 5 million, yes.

Nemish Shah : So, now do you expect this to stabilize, or do you see some more pain for Metalcastello and probably stabilize by the year end, some sense on Metalcastello?

Ander Alvarez : We can say that Metalcastello evolution will be similar in the next quarters. That is what we see in the forecast for our customers. So, we see this is a stable turnover level till the end of the year more or less. There is no further drop, but that is also the positive news to say that we are already in the bottom of the cycle. Now, we think that we need to wait until the US elections and after that probably in Q1 CY25 we will see the revamp of the market again, okay that is our expectation.

Nemish Shah : And just one last question , sir you mentioned in your opening remarks that you are now taking some corrective actions for the European operations based on the revised demand outlook. So,
CIE Automotive India Limited
July 19, 2024

Page 10 of 14

if you could just give some more color on that, do we anticipate on margins to inch back to those long-term averages , just some color on that ?

Ander Alvarez : No, the actions are mainly cost cutting actions , in order to align the general cost of the factory of the companies to the reality of our turnover . You can imagine we are eliminating all the temporary workers. We are eliminating all the extra hours that we sometimes have in our factories , let us say , extra seats and all these kind of things have been fully eliminated. Also, we are also reviewing our general structure cost in order to keep them at the minimum level and then we are also , let us say, advancing certain holidays. So, we can balance our order book with the demand and the availability of the people. So, the idea is to try to minimize our cost level and wait until the market comes back again. So, there is not any special other action.

Moderator : Thank you. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth : My question is for Metalcastello, we have seen several years, flip-flops kind of a thing that once the customer comes and order book grows and they start picking up , so it throws a good amount of money for us , what are our strategy going forward to derisking the other relying on one customer largely ?

Ander Alvarez : You are right. We have had high dependence on one of customer s, one American customer in Metalcastello. It is also true that this market where Metalcastello is now involved, it is a cyclical market, so we have good times and bad times depending on the cycle of this kind of off-road vehicles , but as you suggested, we are already working on the diversification, we have included a new customer and also we explained in the last calls that we got in big business from new American transmission manufacturer for the electric vehicles , especially for the electric commercial vehicles and light commercial vehicles . Those programs , unfortunately because of the situation of the electrification are delayed , so that is why on one hand, we have the Ca

terpillar

business in the bottom side of the cycle and the new progress that you have been offset this drop are delayed. So, let us say that we are now in the middle of this bad situation, but for the future, we will see that the diversification coming with more customers and on top of that with certain electrified components that will balance our portfolio much better for the future . So, even though we are in a, let us say , weak situation from the turnover point of view in Metalcastello, the margins are positive and we are still in a positive situation. We are not making any negative margins in Metalcastello, thanks to all the actions that we have taken and the good management that we have had in the last years.

Bharat Sheth : And we had undertaken certain lightweighting because of say aluminium forging in Europe, so any color on that, what stage that business is?

Ander Alvarez : This aluminum forging activity that we are pursuing continuously from our factories in Europe, let us say , is performing. We have got some businesses, but as I said unfortunately let us say all

CIE Automotive India Limited

July 19, 2024

Page 11 of 14

the programs have been delayed and the volumes are very low in this moment . So, there is no special activity. So, let us say that we will need at least couple of years , 2-3 years in order to see this business giving us relevant chunk of business in our companies. So, till now there is no news to say , let us say that the market is quite depressed in the electrification and also in the internal combustion engine also. So, let us say it is a weak period in Europe for the automotive industry.

Bharat Sheth : Any export opportunity because currently I understand you are at 10% and you wanted to make it 15% ?

Vikas Sinha : No, last year , we were higher than 10% from India. From India, we were closer to , I think 13%. So, export opportunities in India are there. As I said the biggest opportunities are there in castings, iron castings . They are also there in gears and aluminum castings . So, yes, we do think exports will keep on increasing , but the point to be noted is that export businesses have a longer lead time before they fructify . That is the only difference from domestic orders.

Moderator : Thank you. The next question is from the line of Aniket Mhatre. Please go ahead.

Aniket Mhatre : One quick question on Metalcastello or clarification sir, just slowdown that you are seeing in Metalcastello or should we look at this as a near term slowdown related to upcoming elections and it should recover in CY25, asking this question because we are hearing slowly, even US is sort of entering into us as sort of a slowdown. So, how should we look at Metalcastello growth for the next year fiscal year 25 ?

Ander Alvarez : What we have done in the last year, we have analyzed the evolution of the orders in Metalcastello

in the off-road, let us say this is big machinery for especially big works, civil works in the US, and what we consistently see that is every 4 years before the elections, then there is a slowdown of all the investment activity because everybody is waiting for the new government let us say to launch the new strategies for investments and depending on the winner of the elections, the result is different. So, we are now exactly in that moment where everybody is waiting for the elections and what we all expect is that after the elections, there will be a revamp, depending who wins the election and depending also the strategy that this new President sets in the country, we will see bigger or lower growth, but what we expect is that for sure we will see a certain recovery and we will see better 2025 than this 2024. That is let us say we are in the bottom of the cycle. That is what I can tell you about that. We are all willing that next year will be a good year, but we need to wait until the elections and also

to see the strategies of the elected new President.

Aniket Mhatre : And on Europe specifically, any outlook you can share for CY25 again, since we are already in seven months of this year, how do you look at Europe for next year or should we expect any growth or it will remain flat as you have guided last quarter?

Ander Alvarez : What we were expecting for Europe this year was a drop of about 2%-3%. That was what IHS was saying and for next year more or less the expectation was the same, so let us say we were
CIE Automotive India Limited
July 19, 2024

Page 12 of 14

expecting the flat market. The reality is that at least after the second quarter, third quarter, what we see is that the drop is a little bit bigger than what the IHS forecasted, so we can expect that this flat or slightly better market in 2025. It is very difficult to make predictions in Europe now because of all the things that are happening with the electrifications, with the economy, with let us say all kind of elections we have had and the political uncertainty in Europe plus the introduction of the Chinese cars that are entering into our market. So, there are a lot of distortion factors that makes everything difficult to predict, but overall, we can say that there is an uncertainty we expect that the market will be flat or slightly better and that is my view and it is aligned with the IHS forecast.

Vikas Sinha : Aniket, just to add to what Ander is saying, if you go to page 23 of the presentation that we have put out, you will get some details on the market, what is the expected forecasted growth in this year is about -5.8%. As Ander was pointing out, this was lower roughly in the range of -2 or 3 and the growth for next few years, next year is between 1% and 2%. But having said this, as Ander reiterated, there is a lot of uncertainty in Europe. So, things can change pretty much quickly there.

Aniket Mhatre : Sir, and just quickly on the results right in Europe business specifically, despite the weakness in the revenues, we have still seen a decent margin improvement, so what has driven that margin improvement on a sequential basis?

Ander Alvarez : It is a difficult question because what we are now trying is to adapt our businesses, our companies to the new reality. So, when the volumes are going down, usually the margins are negatively affected. We try to minimize this negative effect. So, as our businesses are well managed and are very solid with the minimal structure, I think even in this bad market situation, we will be able to give reasonable margins. That is the strategy you can see that in this quarter we also get reasonable margin in Europe despite the situation. So, in the future, we will try to continue with the same trend.

Aniket Mhatre : Is it fair to say that there is no one-off in this quarter, right?

Ander Alvarez : No, there is no one-off in this quarter.

Aniket Mhatre : And just finally, sir, are there any debt repayment plans for this year incrementally. We have reduced debt that we can see, but incrementally would we think of further pairing down debt?

K Jayaprakash : We expect another billion INR to go down by the end of the year.

Moderator : Thank you. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

CIE Automotive India Limited
July 19, 2024

Page 13 of 14

Bharat Sheth : I understand that our Metalcastello business started growing down last year from Q3 onwards and so second-half Metalcastello was very weak. So, from that perspective, do we expect that Y-o-Y H2 will be better than say second-half of 23 vis-à-vis 24?

Ander Alvarez : There will be certain recovery in the next quarters, but we will still be in the negative side. The rundown started, as you said at the end of the Q2 last year, then Q3 and Q4, we slightly went further down and it is true that in this first half of the year

ear we are in the bottom. For the next

quarter, we will see that the relative drop will be a little bit less than this 30% that we are

suffering now , but we will still be in the negative side because the current sales level is lower than the sales level that we had in the second -half of the last year.

Moderator : Thank you . The next question is from the line Khush Chaudhari from Vallum Capital . Please go ahead.

Khush Chaudhari : I just have one question. It was on Indian business. So, as we know our major customers are Mahindra and Mahindra, Bajaj and Maruti , so are we there in any new upcoming models which are there? And if we are, then what kind of content that would be going in if you could just share some light on that it would be really helpful ?

Vikas Sinha : No, as we have been pointing out, these are our anchor customers and we are normally there in most of the new platforms that they put out , so in terms of content that depends on particular platforms. As they say, they are our anchor customers and we are also very important for them from a supply chain perspective. So, it is very hard to talk about content per vehicle because there are various divisions and various kind s of products involved. Suffice to say that we have the major presence on most of the platforms of these anchor customers.

Khush Chaudhari : So, we are not in new upcoming models , is it that w hat should I understand from this?

Vikas Sinha : You have to understand just the opposite. We will most likely be all their new models is what I am trying to tell you that because we are very important suppliers to them and they are also extremely important for us . Normally , we are there on all their major platforms, both existing as well as upcoming .

Khush Chaudhari : And just if you can share which business division would be more beneficial? Is it any specified you can answer?

Vikas Sinha : All business divisions, all technologies deal with M&M . Bajaj, as you know, our aluminum business is the one that has the maximum amount of business with Bajaj and when it comes to Maruti, our forging business both out of Chakan and Bill Forge , they are major suppliers to Maruti, both directly and indirectly.

CIE Automotive India Limited

July 19, 2024

Page 14 of 14

Moderator : Thank you, sir. As there are no further questions , I would now like to hand the conference over to management for closing comments .

Ander Alvarez : Thank you. Just as always, I would like to thank all the participants for the well directed questions and their interest in our company. We hope that we answered properly all the questions and with most honesty and transparency that we could. Also, I would like to say that the company even in with certain regions in, let us say , weaker situation or weaker market situations , we have a very solid and robust company and we are sure that we will be stronger in the future. So, thank you very much for the participation and Vikas, over to you.

Vikas Sinha : Thank you everybody for your time. So, Basude b, back to you.

Basudeb Banerjee : Yes, thanks. We can conclude the call.

Moderator : Thank you. On behalf of ICICI Securities, that con cludes this conference . Thank you for joining us and you may now disconnect your line s.

Note: This statement has been edited to ensure quality

Call: Oct 2024

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SEC/2024/168
28th October 2024

Dear Sir / Madam,
Sub: Transcript of CIE Automotive India Limited Q3 & 9M CY24 Post Result Conference Call
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 16th October, 2024 respect of advance intimation in relation to Q3 & 9M CY24 Results Conference Call, please find enclosed herewith transcripts of the said call held on 25th October, 2024.
The same is being uploaded on the website of the Company at the weblink: <https://www.cie-india.com/periodic-public-information8.html#Quarterly-Result-Calls-and-Transcripts> .
Kindly acknowledge the receipt and take the same on the records.
Thanking you
Yours faithfully,
For CIE Automotive India Limited

Pankaj V. Goyal
Company Secretary, Chief Compliance Officer,
and Head- Legal
Membership No.: F13037

Encl: as above
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NSE Scrip Code: CIEINDIA
Page 1 of 15

"CIE Automotive India Limited
Q3 & 9M CY '24 Conference Call"
October 25, 2024

MANAGEMENT : MR. ANDER ALVAREZ – CHIEF EXECUTIVE OFFICER –
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MANAGER , STRATEGY -- CIE AUTOMOTIVE INDIA
LIMITED

MODERATOR : MR. VISHAKHA MALIWAL – ICICI SECURITIES

CIE Automotive India Limited
October 25 , 2024
Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to CIE India Q3 and 9M CY '24 Conference Call hosted by ICICI Securities. As a reminder, all participant line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation conclude. Should you need assistance during the conference call , please signal an operator by pressing star then zero on touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Vishakha from ICICI Securities. Thank you, and over to you, ma'am.

Vishakha Maliwal: Thanks, Niveditha. Good afternoon, everyone. Thanks to CIE India Auto Limited management for giving us the opportunity to host the call. We have here in the call the senior management, represented by Mr. Ander Álvarez , CEO; Mr. K. Jayaprakash, CFO; Mr. Vikas Sinha, Senior VP, Strategy; Mr. Oroitz Lafuente, Business Controller; and Mr. Swapnil Soudagar, DGM, Strategy.

Over to the management to take this ahead. Thank you.

Vikas Sinha: Yes. Thanks, Vishakha. This is Vikas. I welcome all of you on this call and also Ander, our CEO. We'll go through the Q3 C '24 results of CIE Automotive India Limited. First up, on Page 5, we have an overview of the simplified holding structure of CIE India and its subsidiaries. Please do have a look. We now start with results of the India operations for Q3 C '24 on Page 7. Sales were INR14,707 million; EBITDA, INR2,606 million; EBIT, INR2,032 million; and EBT, INR1,997 million. The sales grew 2.2% year -on-year, EBITDA 8%, EBIT 9% and EBT 14%. EBITDA margin in Q3 C '24 is at 17.7% compared to 16.7% in Q3 C '23 and 18.1% in Q2 C '24. The year -on-year sales growth of 2.2% was same as the weighted average market growth across the market segments we operate in.

There are some mitigating factors to consider. The light vehicle market has shown a decline in this quarter, a very slight decline in this quarter as compared to the same period last year. Tractor market remained largely flat at a 3% growth over last year. The 2 -wheeler market has grown well on the back of festive demand. The delay in the ramp -up of some of our orders has unfortunately continued, and this has impacted sales growth, but that should be corrected in the coming quarters. We have postponed that a little bit.

Nevertheless, we are happy to note that EBT grew by a healthy 14% in spite of the anemic growth this quarter. We will continue to focus on operational improvement, which is shown by the margin trends despite the weak market environment. Overall, we have positive expectations on growth and margins from all our verticals in India.

The market situation in India is -- we are cautiously optimistic about it with mix growth trajectories in the different segments. The trend of growth in the 2 -wheeler segment should continue, and the festive season is expected to give a boost to this segment. Tractors will continue to be steady on a high base, with rural income showing recovery. The light vehicle market though will see a steady growth of around 5%, unlike the heavy growth seen over the last few quarters.

CIE Automotive India Limited
October 25 , 2024
Page 3 of 15

Now we move to the results of our European operations for Q3 C '24 on Page 8. Sales fell to INR5,899 million from INR7,262 million in Q3 C '23 and is a combination of the drop in the European light vehicle market and the extended slowdown in the U.S. off -highway market affecting Metalcastello that we have been talking about since the last few quarters. The drop in sales sequentially between Q3 C '24 and Q2 C '24 was 22%, which is similar to the drop in the light vehicle market, which fell by 19% and added to by the US off -highway market drop. The Q3 C '24 EBITDA in Europe was INR942 million; EBIT, INR719 million; and EBT, INR602 milli

on. EBITDA margin in Q3 C '24 was 16.0% compared to 17.2% in Q3 C '23 and 17.0% in Q2 C '24 , which shows that despite the sales drop, the corrective measures that we had started taking in the previous quarter has helped us protect our margin somewhat. The market

situation in the coming quarters remains uncertain with the uncertainty in the light vehicle market continuing.

The EV penetration in the European auto sales has also been stagnating around 12% to 14% and will continue to be at the same level given the uncertainty around the evolution of the technology. Our attempt will be to be in step with the market, while maintaining our margins.

And now if you go to Page 9, we'll see the consolidated results for Q3 C '24 . Sales were INR20,606 million; EBITDA, INR3,548 million; EBIT, INR2,750 million; and EBT, INR2,600 million. Despite the European sales drop, the consolidated EBITDA margin for the quarter was 17.2% versus 16.9% in Q3 C '23 . While sales dropped by 5%, EBITDA dropped by 3%, EBIT by 4%. However, EBT grew by 2%.

The YTD September 9 -month results for the India operations are on Page 11. Sales were INR43,558 million; EBITDA, INR7,905 million; EBIT, 6,234 million; EBT, 6,049 million; and PAT, INR4,503 million. This translates into a sales growth of 5% compared to the corresponding period in C '23 , higher than the YTD weighted average market growth. While sales grew by 5%, PAT grew by 22% year -on-year, and this was achieved by improving efficiencies, product mix and strong focus on costs. The YTD 9 -month results for Europe are on Page 12. Sales were INR22,445 million, a 12% decrease over the corresponding period last year.

EBITDA was INR3,669 million; EBIT, INR2,842 million; EBT, INR2,455 million; and PAT, INR1,923 million. To be noted here is that last year's PAT includes INR3,356 million of profit from discontinued operations, as mentioned previously, despite the sales drop, EBITDA margin came in at around 16.3%.

The consolidated YTD 9 months results are on Page 13. Sales were INR66,003 million, a slight decrease over last year. EBITDA was INR11,574 million; EBIT, INR9,076 million; EBT, INR8,504 million; and PAT, INR6,425 million. As explained, that is about INR642 crores.

As explained in the previous section, that includes INR3,356 million of profits . That was from the previous year. Excluding the consolidated PAT for 9 months YTD September '23, it was INR6,206 million. So last year, the PAT -- YTD PAT included the INR3,356 million of profits from CFG. Excluding that, last year's YTD September '23 PAT was INR6,206 million. And therefore, if you compare with the YTD September '24 PAT of INR6,425 million, we have CIE Automotive India Limited

October 25 , 2024

Page 4 of 15

achieved a PAT growth of 3.5% this year. It is to be noted that despite YTD consolidated sales being minus 1%, the PAT without discontinued operations has grown by 3.5%.

So with that, we can proceed to Q&A. Thanks.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Siddhant from Goodwill. Please go ahead.

Siddhant : Ander, I wanted to ask you about what do you feel about the health of European OEMs? Because I was just going through Stellantis VW and the headlines and the commentary doesn't seem too great ?

Ander Alvarez : Good morning, everybody. No, our view is that the European OEMs are now suffering a lot because of the uncertainty that we see in the market. There is -- there are several things that are going on in the European market in the automotive world, and one of them is the electrification.

As you know, electrification in Europe has slowed down. The growth of electrification has slowed down. We were expecting to end this year at about 20% of market share with pure electric vehicles. And the reality is that they will be around 12% to 13%. So, this is much lower than expected.

On top of that, next year, from January next year, there will be penalties to the OEMs if they pass these levels of CO2 emissions in their average fleets. So, if they are not getting the required electrified vehicles, they will have to pay a huge amount of money in penalties to the European Commission. So, this is also creating a big stress in the market and in the OEMs.

And also, that additionally, with this uncertainty in the technology, the market is going down. We saw the first quarter was not bad. The second quarter was weaker. The third quarter has been quite weak, with a drop of around 7% in the market, and probably we will see this trend to continue in the next quarters.

So yes, all the carmakers are even, let's say, they have issued profit warnings as the situation is quite unstable and uncertain. So that's the environment we need to work for and we need to manage. And that's one of the reasons of the drop that we have in the European -- in our European business.

On top of that, you know that we have another business working for off -highway trucks in -- for US, mainly in our Metalcastello g ears business that is still depressed. This market is still depressed till -- we expect that, let's say, that this market will revamp during mid of next year after the U.S. elections are over and then the new, let's say, the new government starts with their new policies. So, we will expect that the market will go up in the second half of the year, okay. So that's the real tough environmental. Our customers are having difficulties. Uncertainty is

there. The electrification is kind of blocked or the part of the growth is not happening. And on top of that, we have the -- in Europe -- at least in Europe, additional stress factor is the entrance of the Chinese vehicles that are getting, let's say, bigger and bigger market share.

CIE Automotive India Limited

October 25, 2024

Page 5 of 15

Now with the duties that has been imposed, probably there will be a certain slowdown of the Chinese introduction, but the commercial war is also not helping to the global economy. So, this is the environment that we are trying to navigate through. And okay, this is the situation.

Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi : And just to clarify, did you indicate that Metalcastello business and the end market in U.S. for off-highway will recover from second of CY '25? Or we expect that to happen from first half itself given new government would be in place?

Ander Alvarez : We expect that this market to recover by Q2, Q3 2025, okay. We will expect that in the next couple of quarters, we will keep the current situation, let's say, the current depressed situation, not -- we will not drop further.

I mean we will -- we are now in the bottom side of the cycle. Then we expect to start recovering slowly and slowly. That's what our customers are informing us. And also, as you know, we got in Metalcastello an important business for electric transmission manufacturer in US. And these programs has been also delayed in the US . So once these programs start ramping up, we will see also our sales in Metalcastello going up.

So yes, we need to wait. We are now managing the situation with our cost -cutting activities, and we are keeping the margins rationally. I think that we have done a good job there. And once we get, again, the market and we get again the sales in the next quarters, I mean, hopefully, the sooner the better, but we can expect that it will happen in the Q2, Q3 next year, then we will see our figures again revamping up.

Jinesh Gandhi : Okay. And what would be the current run rate for Metalcastello in terms of quarterly run rate of revenues in 3Q? How it was at peak and how it was in the second quarter? If you can throw some light on that?

Ander Alvarez : I didn't catch it.

Vikas Sinha: Current run rate

. What is the monthly rate right now? And what it used to be earlier?

Ander Alvarez : So just monthly figures. I can give you monthly figures. We were talking about EUR 6 million per month. That was the average, between EUR 6 million to EUR 6.5 million. And now we are at between EUR 4 million and EUR 4.5 million. So this is a drop of 30% approximately that we see for the next -- we see in the last quarters. And probably, we will keep this rate in the next couple of quarters. And then we will go up slowly. And what we are predicting is that at least in the Q3, Q4, we will hit at least EUR 5 million, EUR 5.5 million in 2025.

Jinesh Gandhi : Got it. Got it. And secondly, you have -- on the margin side in the European businesses, we have done exceptionally good job to maintain margin. Can you talk about what areas have we focused on cost -cutting to maintain margins? Does it come at the expense of scaling up business when tide turns for the European operations? How do you think from that perspective?

CIE Automotive India Limited

October 25, 2024

Page 6 of 15

Ander Alvarez : Okay. Yes, that is one of the key things that now we are trying to manage because the market is what it is, and it's difficult to get additional turnover, at least in the short term. So what we are now doing is we are trying to keep our costs as low as possible. We are stopping the factories and applying certain regulations and policies to stop the factories 1 day per week. These kind of things eliminating all the extra time eliminating all the contract workers, temporary workers, and trying to produce at minimum the cost level. This is something that we have done, and we have done successfully.

So we are -- we have been able to keep our margins -- okay. Of course, we will lose some margin because we cannot offset all the drop, this is not possible. But we only lost 1%, 2%, And this is what we are trying to do. Our companies, even in this situation, are generating cash. So we are a cash -generating unit even in this condition. So we are quite relaxed in that sense. So there is no panic, no fear at all. So the viability of the business is there. And we will, for sure, be stronger once this crisis is over, okay.

You know that in this situation, the weaker competitors will suffer. So there will be a consolidation. We are already perceiving certain difficulties in some of our competitors in the region. So we expect to be the -- one of the winners when we consolidate the business coming from those stressed companies.

So that's the situation. It's a sad situation. It's not the best of the scenarios, but this is something that we need to manage. We did it in the past, and we will do now in the -- currently.

Jinesh Gandhi : Got it, got it. And last question is on the India business. So you talked about having delay in some of the orders, which impacted growth. So can you elaborate on how big these orders were? How much is it delayed? By when do you expect commercialization of those orders? Any flavor on that will be very helpful.

Vikas Sinha : Delay in the India order book?

Ander Alvarez : Okay. Okay. Yes. In India, we -- let's say that we have this performance on sales that is approximately 2% growth only in this quarter. We were expecting the market to behave better than this. It's true. We saw that the, let's say, 4-wheeler market, had just a negative performance in this quarter in India. We think that this is mainly coming from the inventory issues and also certain, let's say, market perception that -- but we are optimistic for the future. We think this will be overcome, and we will see, again, 5% to 6% growth in the next quarter.

So I think the Indian market reduction will -- it's just a temporary issue. We don't see any risk there. So on top of that, we have been hit by the delay of the certain projects that we have, especially the export projects. And this is directly related to the s

tatus of the European

automotive market, okay, with this slowdown and especially with the delay of all the electrification programs that the customers are postponing because of the situation that they are facing, okay.

So there is a general delay on all the electrification programs and we are just waiting for them.

So we will probably see in India, the new programs that we got, especially in our Hosur plant. I mean, our brand new plant in Hosur. We, already see certain ramp-ups happening. And in the CIE Automotive India Limited

October 25 , 2024

Page 7 of 15

next quarters, we will see this growth and because these projects are ramping up, especially these are programs for Stellantis in Europe. Okay.

So yes, the delay in the programs, plus the weak market, gave us just a small growth in this quarter. But okay, we are quite sure that we will continue growing properly in the next quarter.

So, we are still optimistic.

We were expecting more for this quarter. Unfortunately, the market did not perform, but I think the basics and the, let's say, the background of the Indian market I think is very, very positive. 2-wheeler is doing well. I think tractors and commercial vehicles are weak, and those should recover also in the future.

Moderator: The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: So one on India. I mean despite the investments that we've made over the last few years and that's being -- not being ramped up, our margins are -- I mean, very good. So this is -- I mean we have completely controlled our cost, and this is what we are seeing or this is despite waiting for ramp-up to come and maybe we should see something more?

Ander Alvarez : You're right. I mean we have controlled our costs perfectly in all this period. You know that we have been pushing a lot in efficiency and in the internal improvements. And these actions are paying results. So in that sense, we are quite satisfied. Our margins are just close to this 18% that we were looking for, and we are quite sure that we will get those figures.

And this -- if we had this additional growth that we were expecting, probably we would have improved our margins, too, okay. So yes, I think in India, we are doing well. The potential to improve even more. Of course, it will be supported by the growth of the -- of our turnover, and that's what we expect to do in the next quarters.

Pratik Kothari: Correct. And sir, this would be, I believe, a function of the productivity gains that we have been trying to implement and see for the longest of things?

Vikas Sinha : This improvement in India margins is due to productivity improvements that we have been doing for -- and these are the past projects and productivity improvement.

Ander Alvarez : Yes. That is true. But not only that, I mean, we have -- during this week, we have been working here with all the operational teams and we are -- we have identified several improvement plans in all the verticals, and we continue this path.

So we can expect even further improvements and, let's say, better performance in the next year, thanks to this action plan that we have already prepared. And of course, if these action plans are supported by higher sales, the situation will be much better.

So I would say that all the verticals are doing quite well in India. We have had better growth in aluminum. I mean aluminum is outperforming the rest of the businesses in terms of growth.

Also, our composite business is growing well. Our gear business is also doing well. Then the businesses, depending more on commercial vehicles and tractors, has been suffering more like CIE Automotive India Limited

October 25 , 2024

Page 8 of 15

our castings or our forging divisions. But overall, you saw the results and the margins. We were

able to keep this close to 18%, a little bit less than 18%. So that's the target that we h

ave in the
short term.

Pratik Kothari: Got it. And sir, one comment on exports from India. I mean we were at 12%, 13% of sales. Where are we? Any outlook? Any developments there?

Ander Alvarez : The exports in this quarter were reduced a little bit because of the market situation outside. I mean the demand has slowed down in Europe and US. So, the export will be around 10% because it's actually -- it's around 10% this quarter.

Yes, between 10% and 11%. That is the reality. And we are already working to increase this export rate. You know that as a global company, we have a policy to be local to local -- to supply our customers local to local. That was the CIE Global policy because we are present in all the automotive regions in the world.

So, avoiding transport costs, big inventories, geopolitical risks, foreign -- the exchange rate risk, that is the global strategy. But of course, in certain technologies where we are very competitive in India, we will take the advantage of exporting as much as we can.

So, this is also one of the areas that we need to improve. Compared to our competitors, we are below, mainly because of this CIE strategy as we are a global company. But we expect to continue growing in the near future. So at least this -- reaching the 15% of our export rate should be quite easy in the next years.

Pratik Kothari: Right. And sir, last question on Europe and then in EV market specifically. I mean the government there are trying to put this antidumping or trade barriers, etcetera, for the Chinese onslaught. But for us, as companies, I mean, do we go out and get these Chinese OEMs to be our customers? Because -- I mean if they still go through -- I mean the cars might be sold in Europe, but it wouldn't be through our customers. So how do we think about that?

Ander Alvarez : I think the Chinese carmakers, of course, they are producing in China and exporting to Europe are now thinking, because of this import duties, that they have been imposed, they are pushing or they are now preparing their production in Europe, okay. They want to localize their production of the cars in Europe. So they have already announced as BYD or, let's say, SAIC MG, that they are planning to produce cars in Europe.

And of course, we will try to be their suppliers. Once they are in Europe, they will need European suppliers. So, we will, for sure, try to work for them, Okay. This is one of the targets. We know that it will be not easy because of their current supply base and costs are different in China, but they will necessarily need to adapt to the cost system that are in Europe.

So, I'm sure that we will be able to work with them. Okay. We are working for almost all the carmakers in the world, and I can say that. So, we have a very, very, let's say, a huge panel of customers completely balanced. And, no one is more than 10% in our total turnover. So that's a good point that we have a diversified portfolio, and we want to continue like that. And if Chinese are coming to Europe, we will supply them happily from Europe.

CIE Automotive India Limited

October 25 , 2024

Page 9 of 15

Moderator: The next question is from the line of V. Rangan from an Analyst . Please go ahead.

Swapnil Souda gar: Moderator, I think we can't hear anything from...

Moderator: Sir, we can't hear you. We're taking the next question from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Sir, in initial -- your remark on the European market, you say that certain duty is related to levy on account of this emission norm. Sir if you can give a little more color and that -- because the impact will remain only up to this Q4, I mean, say, last quarter calendar year? Or next year, how do we see for the Europe markets? About Metacastello, you have already given some color. So remaining part of the business, how do we see?

Ander Alvarez : Okay. What we were explaining is that in Euro

pe in this Q3, we saw a drop of about 7% in the market. And what we can expect is that in the next quarters, this trend -- this level will continue, okay.

In this minus 7%, minus 10% those -- in that range, the market will remain in that situation. No one is expecting a revamp in the short term, okay, unless there is any, let's say, political action that we are not aware of, okay.

Regarding the -- because we are always talking about production, okay, production in Europe. Part of the sales in Europe are coming from the imports that the Chinese car makers are doing. Approximately 1 million Chinese cars are sold in Europe in this moment.

These cars are mainly electric vehicles where they can offer maybe cheap and very competitive cars that are, let's say, affecting to the electric cars produced in Europe because most of -- the price gap is important. They are getting this market share.

And in order to avoid this situation, the European Commission set up certain import duties to

the Chinese electric cars, okay. Mainly there is a variation between -- they have a basic duty of 10%. And on top of that 10%, some of the carmakers has a duty of even 38 additional percent, okay. So we expect that this will slow down the import of the Chinese cars. We will see it because we don't have any data yet.

But what we see also, and what we think is that these import duties will encourage Chinese carmakers to implement and to launch factories in Europe -- to produce in Europe to avoid this import duty. So we will see certain changes in the market for sure due to this situation. That's our view.

And coming back to the Metalcastello evolution. Metalcastello is in a very, let's say, weak situation because we are now selling this in the range of EUR 4 million to EUR 4.5 million per month, mainly because of the drop in the export market to the U.S. and the off-highway market in the U.S. is very low and we expect this to recover in the second half of the next year. So during the next quarters, we will maintain the current situation.

CIE Automotive India Limited

October 25, 2024

Page 10 of 15

Despite this drop, we have done our job in terms of cost reduction. So the profitability is nice -- we maintain a nice EBITDA margin there, and we are generating cash. So let's say, that we are waiting for the market to revamp and we will be ready to catch up when this happens. So in this moment, the situation is that we are not nervous. The situation is full under control, and we will wait for the better moments to come.

Bharat Sheth: So this -- because of import duty on this Chinese manufacturer, so can we expect that from calendar -- in calendar '25 in Q1 or Q2, we see some kind of a positive trend in the Europe market?

Ander Alvarez: We think that in the electric vehicle market, we should see this improvement, yes. That's what we can expect. But okay, we -- this is something that we need to wait and see, but that is the expectation. And in fact, that is the reason of the duty imposed by the European Commission, okay.

So the explanation of this duty is because these low prices that Chinese cars are getting -- are offering in Europe is mainly because of the subsidies that they are receiving in China. So they are -- they wanted to offset and to have, let's say, the same level for all of us.

Bharat Sheth: Sir, here there are 2 questions, as you rightly said that, say, some Chinese car will start looking to manufacture in Europe. But with that duty also coming, so there will be an equal playing field for even European player. So first, we will see, I mean, improvement in the European car manufacturer or we'll see that Chinese will start procuring some component from the -- within Europe?

Ander Alvarez: I think with the Chinese carmakers producing in Europe, they will avoid these duties as they will produce in Europe. So that duty will not happen. And of course, producing

in Europe, they will

have higher costs, but -- and we also expect that they will source their components from European suppliers, and we expect to be there to source them, okay. That's the basic. So we think that we will have additional customers to work with.

Also the point is that from the technological point that Chinese electric vehicles are, let's say, now in the top of the technology, and they are getting, let's say, they are in a very good position from a technological point. So we will see how the European carmakers react and how this, let's say, commercial battle ends, okay.

But from our point of view, let's say, that we are customer-agnostic and technology-agnostic, so we would be happy to work with Chinese and even to continue working with our European customers, where we have excellent relationships.

And we are also supporting them in the electric vehicles as we have a lot of projects in the pipeline that are delayed with Volkswagen, with Ford, with Daimler. We are working with all of them with Stellantis, with Renault. So we are working with all of them. So we expect that if this growth of the electric vehicles happen, we will also get this business in CIE and in CIE India, too.

CIE Automotive India Limited

October 25, 2024

Page 11 of 15

Bharat Sheth: And sir, is it also -- just to understand a little more on affecting their new development program also European car manufacturing?

Vikas Sinha: There's uncertainty around EVs affecting new model development in -- for European OEM manufacturers, new platforms. So, they are unable to decide what to develop.

Ander Alvarez: Okay. There is a big uncertainty there, yes. I didn't catch the question, sorry. No, the uncertainty is there. And certain carmakers, they are now pushing for the production of the internal combustion engines because the demand of the electric vehicles has gone down. So there is a

change in their minds and the change in their policy.

In the short term, I'm not thinking in the long term, but in the short term, just to adapt to the market requirements. That is happening for sure. We are, for example, seeing that diesel cars are growing. We are producing certain components for diesel and suddenly, they are going up, mainly because of the, let's say, short term demand that is more inclined to go to diesel and gasoline rather than the electric. But in the midterm, we see that the electrification will win, okay. That is -- it seems that it's a very clear picture.

And we were checking the IHS forecast for 2030 when 6 months ago, they were saying that 60% of the cars will be pure electric in 2030. That is in 5 to 6 years' time. Now they say that the -- in 2030, only 50% of the cars will be pure electric.

And all the interactions that we have with our customers and they have their own, let's say, studies and forecast. And most of them, they are showing that they expect the electric vehicles to be between 30% to 40% in that period. So there is a big uncertainty there.

I mean depending on the policies from the European Commission, it can be 50%, it can be 30%.

I mean depending on the policy, it will change. But what we see now for sure is that there is a slowdown because of the, let's say, the users, they don't rely 100% on the electric vehicle because the infrastructure is not still there. And there are certain reasons that are the transients and all these kinds of things that are not fully solved yet.

Vikas Sinha : Yes, Bharat bhai, is that okay. Or do you want more explanation?

Moderator: The participant line got disconnected. The next question is from the line of Nemish Shah from Emkay Investment Managers Limited.

Nemish Shah: Sir, I had a few questions on our India business. Sir, you mentioned that the delay in ramp -up of certain export projects. So are these orders for global customers? Or are these orders for domestic customers for their exports? If you can

just give some clarity on that.

Ander Alvarez : No. They are for global customers. They are from global customers, like Stellantis. And these are the -- our main customers to -- for these programs of exports.

Nemish Shah: Got it. And so in the India business, our medium to long -term aspiration has been to grow 400 to 500 bps faster than the blended average industry growth. So do you feel -- so is it linked to

CIE Automotive India Limited

October 25 , 2024

Page 12 of 15

these projects, which are getting delayed? Or there is something else as well that -- so we need to add some more customers or gain some more market share for that growth to pick up?

Ander Alvarez : No, you're right. I mean we take this target to grow this 5% above the market. Unfortunately, we didn't get these figures, mainly because of the delay on these programs. I mean that is -- that has been a reality. But in the future, we will continue pursuing for that.

And we are -- our order book that we follow every month is also in a very healthy situation. So we are getting new businesses. So we expect to this -- once these programs start ramping up, and the new products that we are getting are ramping up, we will -- we hope that we will be able to match this target, yes.

Moderator: The next question is from the line of Shivam, an Individual Investor.

Shivam : Sir, as you said, that the European pressure will be till next half of the next financial year. So will there be pressure on the revenues still there?

Vikas Sinha : Shivam, can you repeat it? Are you asking whether there will be revenue pressure in Europe for us in the next calendar year? Is that the question?

Shivam : Yes, yes, yes.

Vikas Sinha : Yes. The answer is, yes. As pointed out, in Europe, we expect the off -road highway market to start coming back from Q2 or Q3 of next year. And as far as the light vehicle market is concerned, Ander has explained that for the next few quarters, we do expect it to remain declining on a year -on-year basis for the next few quarters, largely because of the uncertainty around the various factors that Ander explained, the emission tax, the uncertainty around the EV market, etcetera.

So that -- so for the next few quarters, till this thing clears out a little bit more, even the light vehicle market will remain depressed. And we expect it to -- like in this quarter, the European light vehicle market degrew by 7%. So in that kind of range is what we expect for the next few quarters.

Shivam : So, you're planning for a negative next year on a consolidated basis?

Vikas Sinha : Let's not talk about our revenues, we are talking about the market in Europe.

Shivam : And now my follow -up is about your revenue. Like -- next calendar year you're giving?

Vikas Sinha : Let's not talk about some forward -looking statements here. But as far as we do expect the Indian market to recover. As we pointed out, we expect the light vehicle market was negative this quarter. It will not remain negative. I think the tractor markets are picking up. The 2 -wheeler market remains quite good, close to 8% to 10% growth, definitely.

So to that extent, the Indian market will recover and the European market will be negative as

well, at least from -- for the next 2 quarters, 2 or 3 quarters. So that's it. As far as what happens to our consolidated revenue, we'll come to it.

CIE Automotive India Limited

October 25 , 2024

Page 13 of 15

As we said, it is not only about the markets, it's also about some of our order book coming back like being ramped up, which have been delayed, especially the Stellantis order in India, which is a very large order that we are talking about. So what happens to our consolidated revenue? We'll see. Let's -- we'll perhaps see the trends in the first 2 quarters next year, and then we can take a call on that. But what we are talking about is the market situation in India and Europe.
Shiv

am : So you're saying that the Indian business will compensate for the growth that will lag in the European business. That's what...

Vikas Sinha : As I said, let us not talk -- go there in terms of what happens to -- we are not forecasting our revenue here. And as I said, let's look at what happens in Q4, Q1, and then we can make some estimates.

Shivam : Is there any plan like internal plan to get some growth out of Europe in this weak market? Or there won't be any growth that you would be expecting?

Vikas Sinha : Next 2, 3 quarters, definitely not. We are looking at a negative market situation. As I said, once it stabilizes -- let's go back to what is happening in the European light vehicle market. There are 2 factors. The EV demand is not ramping up as fast as what people thought it would be under explained how IHS has reduced forecast all OEMs are reducing forecasts. Over and above that, there is the cost of this emission penalty, which will be levied if you do not produce enough EVs.

So because of these two contradictory factors, there is a lot of uncertainty in the light vehicle market in Europe. Once that uncertainty clears off, then, of course, the production trends would be clearer. Over and above that, there is also the third factor that Ander talked about is the imports from China, which is almost amounting to 1 million this year. Normally, European sales and production are fairly equal to each other. This year, there has been some difference. On a YTD basis, almost 1 million difference is there.

So this is the third factor. So once all of these three factors clear off to an extent, then we will know what the real production trends of the European market is. Till then there is uncertainty. In that uncertainty, we do think that the drop in market that we see in this quarter, a similar kind of trend will go on for at least 2 or 3 quarters. Once it clears off, things will become clearer. We don't know what would be the -- will it start growing back again? Perhaps, but we don't know for sure at this point of time. So right now, we are focused on this market environment and working within this market environment.

Shivam : And any feedback that you're getting from your customers? Like are they stopping orders? Or they are building up inventory? Or they are not giving the fresh orders? Like any feedback like outlook from when you are getting?

Vikas Sinha : Our European OEMs you're talking about?

Shivam : Yes, your European customers.

Vikas Sinha : So, whatever we talked about is based on the feedback from them only.

CIE Automotive India Limited

October 25 , 2024

Page 14 of 15

Moderator: The next question is from the line of Nitish from ChrysCapital . Please go ahead.

Nitish : Just one question. How has the growth been for us from our non-anchor accounts, Toyota, Hyundai, Kia, Royal Enfield? Could you spell that out, please?

Vikas Sinha : So, growth outside M&M, Maruti and Bajaj, how is it?

Nitish : Outside our anchor accounts over the last 1 to 2 years?

Ander Alvarez : The customers are behaving according to the market. I mean this is the evolution. We are now trying to grow with Hyundai. You know that in the last quarters, the evolution was not as good as expected, but the trend and the expectations are positive.

We are developing our, let's say, customer pie, and we are trying to grow with them, and we have several projects with them in the negotiations and in the pipeline. So my view of this is that we are trying to, let's say, open our customer portfolio and to grow, especially with Toyota, with Hyundai, with, let's say, even Volkswagen. We are growing with all of them.

With Tata, we have several projects also in the pipeline. So I think we are -- as I said, we started -- our main customer was Mahindra -- Mahindra and Bajaj are the 2 main pillars from our customer pie. But in the future, we want to open this pie and get this red

istributed share or

distributed weight of all the carmakers in India. So we are working with all of them, and the

expectations are positive with all of them.

Vikas Sinha : So if you look at the growth number, which is 2% for us, M&M Auto is obviously much higher than that. M&M tractors around about at that figure, so is Maruti. And Bajaj is also much higher.

So between M&M and Bajaj -- M&M Auto and Bajaj, we have done well. Maruti and Mahindra Tractors are okay, okay.

And exports have not done as well. As Ander pointed out, frankly, exports YTD this year has been lower than last year, and therefore, the proportion has come down, as Ander has pointed out. So that is where we are -- but for the other non -anchor customers, they have done reasonably well.

So if you look at it in this fashion, then you can -- it is the export part of the business that has not done as well. But the other non -anchor customers in India are doing reasonably well.

Nitish : And how large of our revenue mix would be our non -anchor customers?

Vikas Sinha : Our anchor customers, if you look at M&M, Maruti and Bajaj, is roughly around 55% of our business in India. Exports currently are roughly about -- or last year, if you like, those are the numbers that we have put out in the public domain, was roughly about 14% last year. So the others were the domestic non -anchor customers.

Nitish : Okay. So the domestic non -anchor customers have seen a good growth on a small base?

Vikas Sinha : They are reasonable. They are reasonable. Where this year we have not done well is on the export side, especially because some of our orders, and Ander has specifically pointed out about CIE Automotive India Limited

October 25 , 2024

Page 15 of 15

Stellantis, which is a global order that we had, has not done -- it will do well. I think Stellantis is making a comeback. And once it ramps up, it will be a good addition to our top line.

Moderator: The next question is from the line of Siddhant from Goodwill.

Siddhant : Yes. Just -- and the Chinese OEMs may set up manufacturing in Europe. Has Chinese auto ancillaries also started acquiring European assets or setting up manufacturing there, especially in the states that we are catering to?

Vikas Sinha : Chinese component companies entering Europe and setting up plants in Europe?

Ander Alvarez : Not yet. We have seen couple of examples of Chinese component makers entering Europe, but not -- I can tell you that until now there is no -- not relevant move, just -- a small company, so a small amount of companies that are entering Europe. I would say that this move has not happened yet.

Siddhant : Okay. And there are -- like you said, there's some antidumping duties and anti -subsidy duties that have been put on cars. Are these duties also applicable on components of cars?

Ander Alvarez : No, no. This isn't -- it's only applicable to the cars or vehicles.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Sorry, I -- my line was disconnected and I was dropped out. Just one -- remaining question and answer, I already got it and wish you, all, I mean, the festive season greetings.

Ander Alvarez : Thank you very much. Wish you same for you.

Vikas Sinha : Thank you, Bharat bhai.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.

Ander Alvarez : So thank you very much to all the participants for your questions and for your interest in our company. We hope that we answered the questions properly, and you have now better understanding of where we are as a company.

We thank you for your trust on us, and we expect to continue growing and doing a good job.

And as always, I will say thank you to all the team that is working in CIE India that is doing a fantastic job, and my -- let's say, my recognition to all of them.

And finally, I wish you a very happy festive season and a very Happy Diwali. Goodbye.

Vikas Sinha : Thanks. Happy Diwali to all.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This statement has been edited to ensure quality

Call: Feb 2025

CIE Automotive India Limited

(Formerly known as Mahindra CIE Automotive Limited)

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SEC/2025/24

25th February, 2025

Sub: Transcript of CIE Automotive India Limited Q4 & Full Year CY2024 Post Result Conference Call Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 12th February, 2025 in respect of advance intimation in relation to Q4 & Full Year CY2024 Results Conference Call, please find enclosed herewith transcripts of the said call held on 21st February, 2025.

The same is being uploaded on the website of the Company at the following weblink:

[https://www.cie-india.com/periodic-public-information8.html#Quarterly-Result-Calls-and-](https://www.cie-india.com/periodic-public-information8.html#Quarterly-Result-Calls-and-Transcripts)

Transcripts .

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj V. Goyal

Company Secretary, Chief Compliance Officer,
and Head- Legal

Membership No. F 13037

Encl: as above

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Page 1 of 15

"CIE Automotive India Limited Q4 and Full Year CY
'24 Results Conference Call "

February 21, 2025

MANAGEMENT : MR. ANDER ARENAZA – CHIEF EXECUTIVE OFFICER ,
CIE AUTOMOTIVE INDIA LIMITED
MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER ,
CIE AUTOMOTIVE INDIA LIMITED
MR. VIKAS SINHA – SENIOR VICE PRESIDENT
(STRATEGY) , CIE AUTOMOTIVE INDIA LIMITED
MR. OROITZ LAFUENTE – BUSINESS CONTROLLER ,
CIE AUTOMOTIVE INDIA LIMITED
MR. SWAPNIL SOUDAGAR – DEPUTY GENERAL
MANAGER (STRATEGY) , CIE AUTOMOTIVE INDIA
LIMITED
MODERATOR : MS. VISHAKHA MALIWAL – ICICI SECURITIES

CIE Automotive India Limited
February 21, 2025

Page 2 of 15

Moderator : Ladies and gentlemen, good afternoon, and welcome to the CIE India's Q4 and Full Year CY '24 Results Conference Call , hosted by ICICI Securities.

As a reminder , all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference call is being recorded.

I now hand the conference over to M s. Vishakha Maliwal from ICICI Securities. Thank you, and over to you.

Vishakha Maliwal : Thanks, Yashashree. Good afternoon, everyone. Thanks to CIE Automotive India Limited Management for giving us the opportunity to host the call.

We have here in the call The Senior Management, represented by Mr. Ander Arenaza – CEO ; Mr. K. Jayaprakash – CFO; Mr. Vikas Sinha – Senior VP (Strategy) ; Mr. Oroitz Lafuente – Business Controller; and Mr. Swapnil Soudagar – DGM (Strategy).

Over to the Management to take this ahead. Thank you.

Vikas Sinha : Yes. Thanks Vishakha. This is Vikas. I welcome all of you on this call, as also Ander – our CEO. I will present CIE India's Results for the Q4 C '24 Quarter and full -year C '24. And I am referring to the investor presentation that we have uploaded.

Let me begin with a section that provides an overview of the Company:

Page #5 shows the legal structure of the Company . Please note that the Mexican plant is now a subsidiary of CIE Galfor Europe, which holds 99.81% of its equity. This follows the conversion of Bill Forge Mexico's debt into equity, using the cash generated in Europe, which included partly the proceeds fro m the divestment of CIE Forge Germany.

For historical reasons, the finances of Mexico are clubbed under India in this investor presentation. The Mexican business is small with sales approximately of INR 3 billion at an EBITDA margin of 12% to 13%.

Pages #6 and #7 provide details of CIE India's geographic, technological and market -wise segments. Plants in India accounted for 68% of CIE India's sales with 32% coming from Europe. This 68% includes that INR 3 billion from Mexico, please note.

You will recall that this ratio was roughly the reverse at the time of inception of CIE India in 2015. So, India has been gradually growing. As you can also see, our India business is very diversified in terms of technologies and segments. In contrast, our European business is more focused on forgings, and there are 3 segments; Light Vehicles , Off-Highway and Trucks .

CIE Automotive India Limited

February 21, 2025

Page 3 of 15

The Light Vehicle segment includes EVs also. Here, I think we owe you an explanation because normally, we have been speaking, as far as our European business is concerned, only about Light Vehicles and Off-Highway .

If you recall our investor presentation from last year, that is CY '23 full year investor presentation that we made in February of last year, we had presented exact details of our segments in Europe. Roughly about 20% came from Trucks , 20% from Off-highway and about 60% from Light Vehicles . We don't have exact numbers for this year, but roughly that ratio remains the same. Now the Trucks business was a legacy business of largely shafts and spindles. We had expected this legacy business to keep coming down as our other segments grew, and therefore , this was not really a focus business for us. It's just a legacy business that we were continuing. So, we did not talk too much about it.

Unfortunately, what has happened is in the last few quarters, the Truck business in Europe has taken a beating, and therefore, we will have to include it in the explanations. I think in Q3 and Q4, more than 25% drop; I think, in Q3, 28% drop in Truck business in Europe and Q4, 35%

drop. So,

that's affected our business somewhat. So, that's the explanation we thought that we should provide to you, because we owe that to you.

But nevertheless, if you look at all our segments, you will realize that CIE Automotive India is unique as a large diversified auto components groups with presence across many processes, product lines, location and customers. This diversification across geographies, technologies and markets, market segments is probably not available elsewhere.

Let me now proceed to the section on Q4 C '24 Results :

The results of the India operations for Q4 C '24 is on Page #9:

The Light Vehicle segment, which is our largest, slowed to a growth of 3.2% in this quarter, while Trucks were massively negative in terms of growth, Tractors and 2-wheelers grew 12% and 8%, respectively.

Sales at INR 14.5 billion were 4% higher year-on-year, in line with the weighted average market growth. The India operations achieved an EBITDA margin of 17% in Q4 C '24 versus 16.5% in Q4 C '23 and 17.7% in Q3 C '24. The stock reduction effect at year-end was a contributor to the slight sequential reduction in EBITDA margin. In Q4 C '24, EBITDA grew 7% year-on-year compared to sales growth of 4%, EBIT 5% and EBT 8%, all higher than the sales growth of 4%, as I referred.

On #Page 10, we have the Q4 C '24 results for our European operations. As we have discussed earlier, our key markets, the European Light Vehicle, the U.S. Off-highway and European

CIE Automotive India Limited

February 21, 2025

Page 4 of 15

MHCV markets are experiencing significant decline. Sales of INR 5.8 billion in Q4 C '24 are 21% lower year-on-year versus Q4 C '23 and even 2% lower than Q3 C '24 sequentially. In spite of such a large drop in sales, we have managed an EBITDA margin of 15% in Q4 C '24 versus 16.9% in Q4 C '23 and 16% in Q3 C '24.

On Page #11, we have the consolidated CIE India Q4 C '24 Results. Consolidated sales were INR 20.3 billion, which was 5% lower year-on-year; EBITDA was INR 3.3 billion; EBT INR 2.75 billion and EBIT INR 2.3 billion, lower by 6%, 9% and 4%, respectively, more or less in line with the decline in sales.

Let's move on to the section on Full Year C '24 Results :

The full year C '24 results for our Indian operations are on Page #13. Sales increased by 5% versus C '23 to INR 58.1 billion, which is marginally higher than the weighted average market growth. Light Vehicles, which account for 52% of our sales, grew by 3.8% only. 2-wheelers, which account for 21%, grew excellently at 16%. These are market growths. But the other 2 segments of Tractors, which is 18% of sales; and Trucks, 9% of sales, declined. So, this gives you why we are talking about a slower growth rate.

The EBITDA margin of 17.9% was significantly higher than the 16.7% achieved in C '23, though it includes a 0.7% of nonrecurrent EBITDA on account of the subsidy received by our aluminium business in Q1 C '24. While sales grew by 5% in C '24, EBITDA grew 12%, EBIT 14%, EBT 17% and PAT by 20%, which is significant.

On Page #14, we have the Full Year Results of C '24 for our European operations :

As explained earlier, our major markets, European Light Vehicles, U.S. Off-highway and European MHCVs declined in C '24, especially the latter 2 suffering big declines. This is reflected in a large decline in our sales of 14% in C '24 to INR 28.2 billion. This had a cascading effect with EBITDA declining 22%; EBIT, 27%; and EBT by 26%.

Our European business showed its resilience by recording an EBITDA margin of 16.1%, despite the large drop in sales and a positive PAT of INR 2.4 billion. Please note that the PAT of C '23 includes INR 3.3 billion of profit from discontinued operations, pertaining to our erstwhile Forgings business in Germany. So, PAT of C '23 is not directly comparable to PAT of C '24 in our European operations.

On Page #15, we have the C '24 Consolidated Results of CIE India

:

Sales were INR 86.3 billion, which is a slight decline of 2% versus C '23. This is largely due to the decline in our European business. The EBITDA margin was 17.3% versus 17.1% in C '23. EBIT 13.4% versus 13.4%, it is same, and EBT 12.6% versus 12.2%.

CIE Automotive India Limited

February 21, 2025

Page 5 of 15

The consolidated PAT in C '24 is INR 8.3 billion versus INR 11.3 billion in C '23. The C '23 PAT, of course, includes profits from discontinued CFG operations of INR 3.3 billion. Adjusting for this, PAT in C '24 grew by 3.7%, and this highlights the resilience in CIE's business model,

despite a decline of 2% in sales.

Next up is the section on balance sheet and cash flows :

On Page #17, you will see our abridged consolidated balance sheet, which shows the healthy state of CIE India. Return on net assets is 19.8%, roughly around the 20% mark that we aspire to. Return on equity is 12.6%, and ROE of continued operations is 12.5%, largely due to the cash on our balance sheet. Net financial debt has further improved and is negative INR 12 billion versus negative INR 8.2 billion last year.

The cash flows are shown on Page #18. The Company generated operating cash flows to the extent of 66% of consolidated EBITDA. Growth CAPEX was INR 2.1 billion, concentrated mainly in India. Overall CAPEX was INR 3.9 billion, which is less than 5% of sales and represents our endeavour to control CAPEX till market starts picking up, which is in line with our norms.

Given the strong cash generation, the Board of the Company has recommended an enhanced dividend payout of INR 7 per share versus INR 5 per share made last year. Now this INR 5 per share last year was itself double the payout made in the previous 2 years. This, of course, is pending approval in the AGM scheduled later in the year. This part is not in the presentation, but since the approvals came yesterday, we are presenting it separately. We move on to the section on strategy.

The global automotive industry is throwing up risks and opportunities in ample measures as exemplified by the contrasting market trajectories of our 2 main markets, Europe and India. In Europe, our strategy is to optimize and protect our margins as much as possible, adapting our factories to the new volume scenario in the medium term and look for additional business as supply chain consolidates.

On the other hand, we continue to be optimistic about the medium - and long -term growth in the Indian automotive market, and we will continue to invest in expanding capacity in India. We are focused on improving the efficiency of our Indian plants to bring them as close as possible to the benchmarks of CIE Automotive worldwide.

After an initial spurt in the last few years, the European light vehicle market witnessed a stagnation in EV penetration in 2024 at 13%. Current forecast suggests that this ratio will move up to 43% in 2029, which is down from earlier estimates of 56%, and that's what we are referring to as a slowdown on EV penetration in Europe.

CIE Automotive India Limited

February 21, 2025

Page 6 of 15

Our plan is to manage this transition, and that is by substituting production of crankshafts by aluminium forge parts and steel parts that will not be affected by transition to electric vehicles. In addition, Metalcastello has a healthy order book in electric vehicle transmission parts. Some of these orders have been delayed as the pace of growth of EVs in Europe and U.S. slows down. In India, the transition to electric mobility is expected to increase gradually. Many exciting new EV models were launched both in 4 -wheeler and 2 -wheeler segments in 2024, and this should spur EV penetration in India. The exposure of our India business to internal combustion engine parts is low, and the transition to EVs is more of an opportunity than a risk in India. Our EV order book in India is spread across aluminium and steel c

astings, steel forgings, gears, stampings and composite parts for e -2-wheeler, e -3-wheeler and e -4-wheeler segment. So, again, this is very diversified, our EV effort, in India.

The next few pages present market statistics and forecasts from relevant sources, followed by the results submitted to SEBI in the prescribed format.

To Summarize :

The automotive industry is faced with significant uncertainty, both in the immediate and long term. Markets are volatile. The transition to EVs is not happening as smoothly as predicted. Automotive customers are looking for more premium features and for better safety and comfort. The supply chain is being transformed by digitization and Industry 4.0. We strive to be future - ready as many new opportunities and risks emerge in this changing environment. Our approach has been to optimally balance growth, investments and returns to actively manage the uncertainties surrounding these changes.

Thank you, and now we can proceed to Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and “1” on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press “*” and “2” . Participants are requested to use handsets while asking a question.

Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We will take our first question from the line of Amit Agicha from HG Hawa & Co. Please go ahead.

Amit Agicha : Thank you for the opportunity and good afternoon to everybody. My question was connected to

the current order book position, like what is the current order book position and how does it compare year-on-year?

CIE Automotive India Limited

February 21, 2025

Page 7 of 15

Vikas Sinha: Order book, where, in India or Europe?

Amit Agicha : Sir, both.

Vikas Sinha: No. Normally, as I said, every year, we generate orders anywhere between 15% to 20% of our sales, so that is like a thumb rule as far as CIE is concerned, and that order book is generated every year. So, we are very comfortable on order book as far as both India and Europe are concerned. Even on EV orders, they are a substantial or a significant portion, not substantial, significant portion of our order book.

Right now, the issue is the conversion of order book into sales, which is taking more time than what we thought because of the slowness in market, especially in Europe , and particularly in EVs in Europe. Other than that, we are very comfortable on the order book position. You can easily take about 15% of sales as order generated every year.

Ander, anything you want to add now?

Ander Arenaza : No. It's a perfect answer. In fact, in India, we had about INR 10,000 billion of new orders. And out of this INR 10,000 billion, approximately 25% are for EVs, okay . So, we see that the EV orders are growing even in India. So , I think our portfolio is balanced slowly towards the electrification. So , we are quite satisfied with this evolution. So, regarding the new order allocation, this year has been positive, and we hope that these new orders , let's say, will transform into firm orders in the next years.

Amit Agicha : Thank you, sir. My second question was connected to the capacity utilization of the plants across India and Europe. Are you facing any bottlenecks or idle capacities, like you are planning to include more CAPEX and increase the expansion?

Ander Arenaza : Okay. It depends on the different verticals, okay? In certain verticals, we have free capacity. Approximately, we can say that we can have around 20% of average free capacity, but in certain verticals like aluminium , we are fully booked. In this moment, we are working even Saturdays, Sundays. So, we are adding a new machinery.

We have a very strong CAPEX plan. This year, we used our CAPEX to reinforce our position in certain, let's say,

verticals. But for 2025, we will, for sure, have to spend much more money in CAPEX , because of the new order books are required in this additional CAPEX . So, we talk more or less about 5% to 6% of our turnover in CAPEX every year.

Amit Agicha : Thank you . So, that was helpful, and all the best.

Ander Arenaza : Thank you .

Vikas Sinha: Thanks, Amit.

CIE Automotive India Limited

February 21, 2025

Page 8 of 15

Moderator: Thank you. Ladies and gentlemen, to ask a question please press “*” and “1” on your phone .

Participants who wish to ask a question are requested to press “*” and “1” on their phone.

We will take our next question from the line of Devang Shah from Asit C Mehta Investment Intermediates Private Limited. Please go ahead.

Devang Shah : Hi, good afternoon , sir. Sir, I just want to get an idea the way we are seeing some slowdown in Europe, especially in Auto segment. Sir, what growth trajectory as far as revenue growth is concerned you are looking in the next 2 years' perspective? Because you are somewhere able to manage your margin somewhere close to 15%. But you are having, because of the European operations, some negativity, although based on the industrial standard, you are trying to make some outperformance. But any green shoot visibility is there or you can compensate that with India, in particular, the way we are seeing some growth over there? So, can you throw some more light as far as growth is concerned for the next 2 years?

Ander Arenaza : Okay. You are right that this year, unfortunately, the growth in India was not able to offset the drop that we had in Europe. The reality is that the drop in Europe was higher than expected, especially you know that the automotive sector is going down. The re is quite a slowdown in this sector, in the 4 -wheelers. But also, at the same time, this year, we had a huge drop on the commercial vehicles and the Off-highway vehicles.

The year , let's say, during the year from first quarter to the end of the year, we saw the commercial vehicles and the Off-highway business declining more and more, okay? We started with minus 10% in the first quarter, minus 21% in the second, minus 28% in the third, and finally, the last quarter was minus 35%. So, that is the drop of the Commercial Vehicles marketing in Europe, and that affected us in terms of our sales.

What we see in Europe in the next 2 or 3 quarters, what we see is that the market is still very

uncertain, the Commercial Vehicles are weak. They continue at this low level. The Passenger Car business also, it seems that will remain at the current levels. So, we are not very optimistic in at least in the next 2 or 3 quarters, regarding the European market evolution.

Then we will probably see a revamp on the commercial vehicles that this market is very cyclical. So, we should start looking at let's say, the revamping, the change in the trend in the commercial vehicles, and also what we expect is, especially in the Off-highway business, we expect in the second half of the year a certain revamp, thanks to the different policies that are being taken by the U.S. government, reinforcing all the oil and gas production and infrastructure plan and so on, okay? That's the expectation. So, we can expect first half of the year, a weak scenario and second half of the year, we all hope that there will be a certain growth or certain revamp.

Devang Shah : But sir, just adding, we are making some offset by Indian operation, and we are seeing the government policy over is supportive the way recently, we have seen the Tesla has also been

CIE Automotive India Limited

February 21, 2025

Page 9 of 15

coming into in India. So, auto ancillary player like you in which they are also giving some emphasis to promote through PLI and giving the localization. And the way the demand environment is there, the budget has been so far announced by the government, do you feel

it

will compensate your overall revenue growth and you may come out into some single-digit or mid-single-digit revenue growth for FY '26 or '27, that can possibly be, sir?

Ander Arenaza : Yes. That is exactly our plan, okay. Now we are, in fact, during all these weeks, we are having different meetings internally in India because as expected and as explained, the European market, at least in the next quarters, will not give us good news or at least will be very, very flat evolution.

We will concentrate our growth strategy in India. And we have already taken certain actions, and we are speeding up let's say, the new order allocation and the ramp-up of the new programs.

So, we hope that, yes, in the next years, we will be able to offset the drop of Europe with the growth in India, okay? That's exactly the strategy and that's where we are now making all our efforts. So, we will reinforce the speed in India, because I think we are now ready for that.

You know that sometimes growing and having new projects and starting new projects is not an easy task, because you need good people, you need to be trained, you need the technology and you need all the Management to be well aligned. In this moment, I think our Company is very, very solid. You saw in the evolution in the last years, you saw also in the margins that we are able to sustain and to improve every year. Year by year, we are improving.

We still have a lot of room for improvement in internal efficiencies. We are working on that. So, I think that we are very optimistic regarding our Indian business. And CIE's bet is to grow in India, considering that other regions will not grow or will grow less than expected, so we need to make our best efforts here in India, and that's the target. So, the answer is, yes, that's our expectation, too, to offset the drop in Europe with the growth in India.

Devang Shah : And comment on the numbers side, sir? What growth in a percentile can you say, in some mid-single digit and something as far as revenue is concerned for next 2 years?

Ander Arenaza : We don't give guidance, because...

Vikas Sinha: No, these are forward-looking statements. But like what you are asking for is something that is reasonable. Let's leave it at that.

Devang Shah : Understood. Understood. And sir, one more thing, margin wise, we are going to maintain some range that's what's prevailing right now?

Vikas Sinha: Yes, that's the endeavor. In India, hopefully, we can increase a little bit. Of course, we are trying to ramp up growth in India. We are trying to ramp up growth with our anchor customers.

CIE Automotive India Limited

February 21, 2025

Page 10 of 15

So, like plus and minuses, but as Ander pointed out, there is some scope for improvement in India. So, the rate of improvement in India will not be the same as before. We have rapidly improved margins. It's not going to be as fast improvement, but we do hope to improve something in India.

In Europe, it all depends on the sales. Like if the sales decline is arrested, like we had big drops in both the quarters, last quarters. So, in spite of that, we are still at around 15% and overall, for the year around 16%. So, yes, that is the range bound we want to keep, unless and until, of course, the bottom collapses from the sales, then it is a different issue, but we don't think that is going to happen.

We do expect, as Ander pointed out, 2 or 3 quarters down the line, we do expect some improvements in Trucks, improvements in Off-highway, and we expect the cars to stabilize at this level. So, I think, yes, what you are talking about that range of 15%, hopefully, we can get

better than that, but around that, yes.

Devang Shah : Yes. Thank you so much. And wishing you all the best.

Moderator: Thank you . Before we take the next question, would like to remind participants to press "*" and "1" to ask a question. Next question is from the line

of Apurv a from BugleRock. Please go ahead.

Apurva Sharma : This is Apurva from BugleRock. Appreciate the robust performance despite what's happening in Europe. Just I had 2 questions. One is just on the OEM side, any meaningful conversations apart from our anchor clients, top 3, 4 clients, on the passenger vehicle side, any meaningful conversations on new business opportunity if during the quarter or...

Vikas Sinha: No, of course. Our customer list in India is much longer than just the anchor customers. As we have pointed out in earlier conversations, I think we have at least 12 to 15 strong clients in India, and we regularly interact with them. We had talked about order delays at so me of the other clients, that's the reason why we have increased our focus on anchor customers, but all our customers are equally important to us, and we are in conversation with all our customers. So, yes, there are opportunities beyond anchor customers also, and there are good opportunities in anchor customers. You know Mahindra, Bajaj, they have launched some very good models, so we're looking forward to that. But there are other customers also.

In terms of order book, in terms of customers in India, I think we are placed very comfortably.

It's just that some of the order book has been delayed. That's the only reason. We are quite happy with the situation. Otherwise, there are always competitive pressures. Now if the question is, are there competitive pressures? The answer is yes. And we are happy dealing with competition. It's a competitive market. That's the reason why we put so much stress on reliability, efficiency so that we remain the first choice for all our customers.

CIE Automotive India Limited

February 21, 2025

Page 11 of 15

Apurva Sharma : Yes. So , one is the order delay, and other, where I was coming from is below the anchor customers, any wallet share gains that we are looking for in the next 1 or 2 years? I understand this is a platform business, it takes time. So, that's...

Vikas Sinha: Yes, yes. Like I don't want to be enumerating that, but beyond the anchor customers, in fact, if you go back to the strategy that we talk about with anchor customers, we grow along with the market and our new customers give us that market -plus growth, as simple. If you look at the portfolio approach, this is what we do. This is how we maintain our margins also. So, that approach remains. It is just that for the last few quarters we have hovered around the market , because some of the new orders have delayed, some of the anchor customers in every quarter, one has done well, the other has not done well, something like that has happened. So, that's the reason why. But we are very comfortable as far as all our customers are concerned.

Apurva Sharma : Okay. And my next question was on the inorganic front that we were targeting a segment where we don't have that much presence, and we would like a customer -driven inorganic acquisition.

So, anything on that, that we are looking at? I think it was a composites business.

Vikas Sinha: No, no, no. Plastics, we had talked about plastics. Composites is already a small business we have. We wanted to do plastics. There are other areas that we are actively looking at. We will continue to look at that. Of course, we are not going to do acquisitions just for growth , we will only do it when some of our strategic gaps are addressed. So, that's what it is. We keep looking at it. Yes, we have not done an acquisition since 2019, but we keep actively engaged on that part.

Apurva Sharma : Sure. I was more coming from that only, there were strategic gaps in terms of customers. So, yes...

Vikas Sinha: Yes. We have identified that, we keep looking at it.

Apurva Sharma : Sure. Thanks for the opportunity and all the best.

Vikas Sinha: Thanks, Apurva.

Ander Arenaza : Thank you very much.

Moderator: Thank you. We will take our next question

from the line of Pratik Kothari from Unique PMS.

Please go ahead.

Pratik Kothari : Good afternoon. Sir, just a continuation to your last comment, Vikas, on these delays, et cetera, across various customers. Because in the last 2 years also, I believe we had done some material CAPEX for them and that was not getting ramped up. So ; one, are these issues behind us or not yet?

CIE Automotive India Limited

February 21, 2025

Page 12 of 15

Vikas Sinha: No, Pratik, they are ongoing. But largely, if you remember, and to be frank, we had expected things to be changing from Q3 of C '24, right? We had said that. That did not materialize the way we had spoken about. But yes, we do expect this year will be better. I think we have, let's say, more confidence at this time when we are telling you this.

Pratik Kothari : Correct. And this betterment, I believe, is, 1, the delay which happened over the last year or 2 and also the new orders that you are winning.

Vikas Sinha: Yes. The delay was with CIE Hosur customers. The delay was with some of our EV customers at aluminium . So, there were certain specific orders that were delayed.

Pratik Kothari : My question is that is getting resolved.

Vikas Sinha: Yes, that is getting resolved. Yes.

Pratik Kothari : Correct. And then also order booking or inflow this year has been strong, and hence, we are saying that we need to do much more CAPEX next year also for Indian operations.

Vikas Sinha: Yes. Yes, that's right. That's right.

Pratik Kothari : Correct. Correct. And Vikas, just one clarification, this EV growth that we report, the market growth of minus 22%, how do we reconcile this? Because nowhere else do we see that Indian markets , MHCV is down 20%. What does this include, and it doesn't?

Vikas Sinha: You're looking at Europe or...

Pratik Kothari: No, no India. India.

Vikas Sinha: Q4 number or yearly number?

Pratik Kothari: Q4.

Vikas Sinha: Q4. Yes, (-20). No, that (-22.2%) that you are looking at is year -on-year drop for Trucks . Yes.

Pratik Kothari: Correct. But if you look at , I know this is IHS. But if you look at SIAM, Fada, things are between (-2) to (+2%), because we benchmark ourselves to these numbers which we report , when we say the industry growth and how we are...

Vikas Sinha: We can talk about that. I think like LCVs, how they are treated, it depends on that. Because if you include LCVs in the Truck data, then it becomes different , because LCVs are included in the 6 -ton data in the way we present it. Okay? So, that will account for the difference.

CIE Automotive India Limited

February 21, 2025

Page 13 of 15

Pratik Kothari: Correct. Okay. Sir, and then on Europe, so Metalcastello, has it gotten worse? I think last quarter, we were at EUR 4 million a month. So, where are we there?

Ander Arenaza : Yes. We are still at about EUR 4 million per month, okay that's the current level. We don't expect to go down that level, and we expect to recover and to increase this figure by the second half of this calendar year, okay? We think that, as you know, we are producing mainly gears for the Off-highway vehicles, used mainly for big infrastructure oil and gas applications. And we all expect that these businesses will revamp in the U.S. in the next month. So , let's say that we are still very low at this EUR 4 million per month. That is a very low figure for us, and we expect to recover in the second half of the year.

Pratik Kothari: Correct. Great. Thank you and all the best, sir.

Ander Arenaza : Thank you.

Vikas Sinha: Thanks, Pratik.

Moderator: Thank you. We will take our next question from the line of Amit Agicha from HG Hawa & Co. Please go ahead.

Amit Agicha : Thank you for the follow -up, sir. Yes, sir, what is the total number of employees across India and Europe? And are there any other hiring or workforce restructuring plan?

Vikas Sinha: Europe and India

are completely different actually, yes. So, on India, you are saying hiring plan in India or whatever? What are you talking?

Amit Agicha : Yes.

Vikas Sinha: No, no, no. We are focused on efficiency, Amit. So, to that extent , whatever is required for doing that, we do that. As far as Europe is concerned, we told you we are trying to adjust our cost to the lower volumes. You have to understand that the average size of light vehicle production in Europe used to be around 20 million. Now the average size is anywhere between 16 million to 17 million. And it is expected that these 16 million to 17 million productions will be for the next 2, 3 years. So , the market itself has shrunk, roughly average 20 million to 17 million. So, we have to adjust ourselves to this reality, which is what we are doing.

Exact numbers, I think we will have to check and provide. But in Europe, we are trying to adjust the cost. In India, we are focused on efficiency. That includes automation, that includes routine, that includes layouts, so a whole lot of things. So, it's not that we're required to do some special hiring or anything like that.

CIE Automotive India Limited

February 21, 2025

Page 14 of 15

Ander Arenaza : Yes. Just for your understanding, in India, we are about 12,600 employees, that is the total amount of Indian employees, and we don't expect to grow this figure as we expect to grow the business with increasing our internal efficiency.

And in Europe, we are a little bit more than 900 people, okay . That's the amount of people that we have in Forgings plus Metalcastello. We have reduced all these figures from the previous year, adapting to the new condition of the market, and that's what we are now fighting. We need to adapt the Company , the manpower to the reality of the business.

Amit Agicha : And sir, one last question was connected to the material price fluctuations, like be in steel, aluminium and all the input costs. Are they affecting the margins, and if, by how much?

Oroitz Lafuente : No, there has not been almost any relevant change, less than 1% of impact on the sales, so very minimal impact.

Vikas Sinha: Not this quarter, not too much in Q3 either. Frankly, they are largely stable, actually trending down, but largely stable the commodity prices. So, pass through the overall EBITDA is not impacted, but since you talked margins .

K Jayaprakash : So, margins don't get impacted .

Amit Agicha : Okay, sir. That was helpful, and that's it from my side.

Ander Arenaza : Thanks Amit.

Moderator: Ladies and gentlemen, to ask a question , please press “*” and “1” on your phone . We will take our next question from the line of Nishant Chowhan from Geojit. Please go ahead.

Nishant Chowhan : Sir, just one question with reference to your Slide #14, wherein we're talking about the European full-year performance. So, sir, over there, we mentioned the MHCV decline to be around 25.9%.

But if I reconcile with some other industry body data such as ACEA or something like that, they report something around 5% to 6% decline. So, could you just help me understand are these the production figures? Or what could be the possible difference between the data?

Vikas Sinha: So, these are production data, number 1. And it does not include Russia, so there are 2 caveats here, you have to check. 1, this is production data. I think ACEA data is more sales data. So, that...

Nishant Chowhan : Yes, it's a registration data, right, sir?

Vikas Sinha: Yes, that is registration data. So, IHS provides both, I think. Will you please check IHS sales data, what's the drop? Because we present production data and Russia. So, we can reconcile it
CIE Automotive India Limited

February 21, 2025

Page 15 of 15

for you, Nishant, no problem. You can contact us separately, and I will get it reconciled. No problem.

Nishant Chowhan : Okay. And sir, any inventory issues? Any comments on that? Ar

e they sitting on higher levels

of inventory in Europe? Or is it like normalized in this point, especially in MHCV?

Ander Arenaza : No, you're talking of domestic inventories?

Vikas Sinha: MHCV's inventory in the European supply chain. We will get it checked, Nishant, no worries. Let us examine ACEA data, IHS data, and I will get back to you. You can contact me. You have my contact details. You can contact me. We will get this resolved.

Nishant Chowhan : Sure sir. No problem. Okay, sir. Thank you.

Moderator: Ladies and gentlemen, to ask a question, please press “*” and “1” on your phone. As there are no further questions, I now hand the conference over to Management for closing comments.

Over to you, sir.

Ander Arenaza : Okay. So, I would like to thank you, everybody, for participating in this call. Thank you for your comments and your trust on our Company . As you can see, our Company continues performing solidly despite, let's say, tough situation in regions like Europe, but we think that we are doing our job properly, and in the future, we will continue showing good results and a very solid financial performance. So , I would like, as always, thank you to all my team , because of the great job they have done in all these tough times. And I hope that we will see you in the future with better figures and better results.

Thank you very much, everybody.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Note: This statement has been edited to ensure quality

Call: May 2025

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SEC/2025/52
5th May, 2025

Sub: Transcript of CIE Automotive India Limited Q1 CY2025 Post Result Conference Call
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 23rd April, 2025 in respect of advance intimation in relation to Q1CY2025 Results Conference Call, please find enclosed herewith transcripts of the said call held on 30th April, 2025.
The same is being uploaded on the website of the Company at the following weblink:
<https://www.cie-india.com/periodic-public-information8.html#Quarterly-Result-Calls-and-Transcripts> .

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj V. Goyal
Company Secretary, Chief Compliance Officer,
and Head- Legal
Membership No. F 13037
Encl: as above
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NSE Scrip Code: CIEINDIA

Page 1 of 18

"CIE Automotive India Limited 's Q1 CY'25 Results
Conference Call "

April 30, 2025

MANAGEMENT : MR. ANDER ARENAZA - CEO, CIE AUTOMOTIVE INDIA LIMITED
MR. K. JAYAPRAKASH - CFO, CIE AUTOMOTIVE INDIA LIMITED
MR. VIKAS SINHA - SENIOR VP (STRATEGY), CIE AUTOMOTIVE INDIA LIMITED
MR. OROITZ LAFUENTE - BUSINESS CONTROLLER, CIE AUTOMOTIVE INDIA LIMITED
MR. SWAPNIL SOUDAGAR - DGM (STRATEGY), CIE AUTOMOTIVE INDIA LIMITED
MODERATOR : MS. VISHAKA MALIWAL - ICICI SECURITIES

CIE Automotive India Limited
April 30, 2025

Page 2 of 18

Moderator : Ladies and gentlemen, good day and welcome to CIE India's Q1 CY'25 Results Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Vishaka Maliwal from ICICI Securities. Thank you and over to you, ma'am.

Vishaka Maliwal: Thanks, Shruti. Good afternoon, everyone. Thanks to CIE Automotive India Limited Management for giving us the opportunity to host the call.

We have here in the call the senior management represented by Mr. Ander Arenaza – CEO; Mr. K. Jayaprakash – CFO; Mr. Vikas Sinha – Senior VP (Strategy); Mr. Oroitz Lafuente – Business Controller and Mr. Swapnil Soudagar – DGM (Strategy).

Over to the management to take this ahead. Thank you.

Vikas Sinha: Thanks, Vishaka. Good afternoon, everyone, and good morning to those who are joining from Europe. I welcome all of you on this call, as also Ander, our CEO. We are going to talk about CIE India results for Q1 C'25.

At the outset, let me highlight a change in reporting we have made. On Page 4, we show the legal structure of CIE India. As can be seen, the Mexican business is now a subsidiary of CIE Galfor Europe. Thus, from this quarter, we are reporting the Mexican business numbers as part of European operations and not as part of Indian operations as was the case earlier. All comparable numbers from earlier quarters have been restated.

We now start with Q1 C'25 results for the Indian operations on page 6. Sales grew by 3% to Rs.14,113 million as compared to Q1 C'24 in line with the weighted average market growth. Please note that steel prices have gone down reducing 3% of our turnover. This quarter there is a large discrepancy in market growth numbers reported for the light vehicle and truck segments as reported by IHS and SIAM. While we have traditionally used IHS in our reporting, we have presented both sets of numbers in the presentation. Nevertheless, we understand that the growth in the India business needs to be higher and we are taking actions to address this.

In Q1 C'25, the EBITDA of the Indian operations was Rs. 2,628 million, EBIT Rs. 2,090 million and EBT Rs. 2,085 million. Thus, while sales grew by 3% year-on-year EBITDA, EBIT and EBT were largely flat. The one thing that we would like to highlight is the steady improvement in India margins in spite of the sluggish growth. The reported EBITDA margin in Q1 C'25 was

CIE Automotive India Limited
April 30, 2025

Page 3 of 18

at 18.6 which includes a one-off mega subsidy benefit at the Zaheerabad plant of our stampings business. Without this one-off benefit the EBITDA margin would be 18%. This is higher than the operating EBITDA margin of 17.7% in Q1 C'24 and 17.1% in Q4 C'24. So both year-on-year and sequentially. Please note that the reported EBITDA margin for India operations in Q1C'24 included a one-off subsidy at our aluminum castings business and this 17.7% that I have given you now is without that subsidy.

We now move to CIE India Europe business results for Q1 C'25 on page 7. Sales were Rs. 7,849 million, which represents a drop of 19% year-on-year compared to Q1C'24. This sales drop in Europe business is largely due to the slowdown in all segments we cater to. In this quarter, European light vehicle demand is down by 7%, MHCV by 19% and there is a continuing slowdown in the US off-highway market that Metal castello caters to. Also, Q1 C'24 was a good quarter for sales in Europe and the Q1 C'25 numbers look much lower in comparison due to the

base effect. The extent of the continuing sales drop in Europe can be seen by the sales number in the last few quarters.

Sales in our European operations were Rs. 9,689 million in Q1 C'24, Rs. 8,375 million in Q2 C'24, Rs. 6,650 million in Q3 C'24, Rs. 6,489 million in Q4 C'24 and Rs. 7,849 million in this quarter as we have reported. Of course, the Q3 -Q4 sales numbers are normally lower. So sequentially there is an increase, but we have to remember that Q3 and Q4 due to the seasonal effects are normally lower.

In Q1 C'25, the EBITDA in our European operations was Rs. 1,088 million, EBIT Rs. 761 million and EBT Rs. 646 million. That is an EBITDA margin of 14%, EBIT of 10 % and EBT of 8%. We are continuing to focus our efforts on maintaining our margins by adjusting our operations to the lower level of activity. The EBITDA margin in our European operations this quarter is 13.9%, the 14 % that we said versus 15.5 % in Q1 C '24 and 14.9 % in Q4 C '24. This slight drop both year -on-year and sequentially is due to the decrease in sales as well as some costs incurred due to restructuring that we are doing . The pain in Europe is expected to continue for at least a couple of quarters more .

And now if we go to page 8, we will see the consolidated results, which are a combination of the results in India and Europe. In Q1 C'25, CIE India achieved sales of Rs. 21,961 million, EBITDA of Rs. 3,716 million, EBIT of Rs. 2,852 million, and EBT of Rs. 2,730 million or Rs. 273 crores, while sales declined by 6 % year-on-year, EBITDA declined 10%, EBIT 12 % and EBT 10 %. Consolidated numbers are depressed by the performance of our European operations, but we have continued to deliver on margins in spite of the drop in sales. If we eliminate the one-off effects, the consolidated EBITDA margin in Q1 C '25 is 16.7 %, which is the same as in Q1 C '24.

In closing, we would like to state that we are cognizant of the challenges in our business and are renewing our focus on growth in India business at the same time improving operational

CIE Automotive India Limited

April 30, 2025

Page 4 of 18

excellence and cost structures to maintain our margins. We will continue to focus on growing with our customers to take advantage of all the opportunities that come our way.

And with that, we can proceed to Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Vikas, just a continuation to your statement on the India business, saying that we are cognizant of the numbers which came in and we are taking actions. If you can elaborate more on that, what is it that we are planning to do and how are we solving for this?

Vikas Sinha: No, you are talking about growth in India or like?

Pratik Kothari: Yes, growth in India, yes.

Vikas Sinha: As far as the margins are concerned, of course, we are quite proud of what we have done on the margin front in India and in spite of that it is improving . So we have really , we are quite happy with the situation there. As far as the growth is concerned , yes, we are more or less in line with the market . We need to grow faster than the market . You know that is the question. As we have always highlighted , we are waiting for some of our orders to kick in . You know there have been some uncertainty all around. But in terms of specific what we are focusing on and of course it takes a bit of time to kick in. We are making sure that with our anchor customers we get more and more chances. The other orders we already have , as we have already said every year we have an order book , every calendar year we generate an order book anywhere close to between 800 crores to 1000 crores. So the order book is there. It has always

been in how that order book

converts into sales. What we have observed is that this conversion is always better with anchor customers and therefore we have, along with the order book that is already there, we are focusing our attention on our anchor customers. So this is really how we are trying to rectify or bolster our situation as far as growth is concerned.

Ander Arenaza: Yes, if you allow me because just one comment from my side, this is Ander speaking. This is regarding also the organization of our company. So we have reinforced the business development teams and we have had now a business development head for all the verticals. And we are using the synergies that we have in different verticals with all the customers. So we are now working on that. We see that we are already having certain success on this new commercial activity that we are deploying and one good sign of this new organization, and let's say the outcome of this new organization, is that in the first quarter of this year, in this Q1 25, our new orders allocation has been higher than our internal budget and our internal target. So we are

CIE Automotive India Limited

April 30, 2025

Page 5 of 18

talking about Rs. 3.5 billion of new orders that we have already allocated. So this is another view of this growth strategy that we are now launching in our company.

Pratik Kothari: Correct . So sir, last call you made a statement that we have put up capacity, but lot of orders were getting delayed, be it CIE Hosur or aluminum casting, etc . Any signs of pickup there or that delay continues?

Ander Arenaza: No, mainly the delay is coming from specific projects that we are having from electric vehicles. And as you are aware, the growth of the electric vehicles is not yet arrived as it's still a little bit behind the expectations and that's why those projects are not yet picking up. We expect that slowly and that's what all the indicators say that they will go ramping up in the next quarters . So that's our expectation but right now there are still certain delays and we have also some internal combustion engine projects from some customers that they are having difficulties launching their program, their internal programs. But they are telling us that we should be prepared because they are expecting to ramp up in a very short period of time. So overall, we say that we think that the new projects will come. The electric vehicles will come a little bit later. The rest of the projects that we are working on they will pick up, we hope that they will pick up soon. So we are quite optimistic on that front. We think that in India we should grow faster as Vikas said in his speech. And that's the expectation that we have.

Pratik Kothari: Correct. Just one out of curiosity. I mean, so usually in Indian OEMs we will have a couple of suppliers for any product that we supply. So for any of our division, I mean, you can take casting, stamping, forging. Would our pricing be in line with the peer who would be the second source or the third or we might be the second source? Is our pricing in line with what others do? And then this 18 %-19% margin that we make is all a function of internal efficiencies?

Vikas Sinha: Yes, pricing would be in line , Pratik . We need to be competitive with our customers. In our business, there is no scope of charging a premium. So we are competitive. So most of our margins come from operating efficiencies. Ander, I will hand it to you because I'm sure you have much to say on this.

Ander Arenaza: Yes. No, no, I fully agree. That was the answer I was going to give. I mean, the prices that we are offering to the market that we are getting from our customers are exactly the same than our peers. mean, of course, there are small variations in certain moments and in certain products we can be a little bit more competitive. So in certain products our competitors

can beat us in pricing.

But overall, the prices that we are offering to the market that we are getting are exactly the same than our competitors. Of course, our task is to be competitive and our source of competitiveness is our internal efficiency and let's say the best production processes that we are now trying to implement in our Indian plants. In all the verticals we are working with our European colleagues, we have people working with us and making the technology transfer and this is our main task. You have listened to me several times to talk about the efficiency because that's my main view of how we should work in India because generally speaking what I see yet is that our efficiencies

CIE Automotive India Limited

April 30, 2025

Page 6 of 18

in our Indian companies are below our efficiencies in Europe or in Mexico for example. I think we have room for improvement and we are working on that. that's the task. Of course, now what we want to do is we want to get more efficiencies and offer these efficiencies to the customers to be more competitive and to gain more market share.

Vikas Sinha: Yes, Pratik , anything further?

Moderator: The line for the current participant has dropped off. So we can go ahead with the next question. The next question is from the line of Nitish Rege from Chrys Capital . Please go ahead.

Nitish Rege: Hi. Thank you for the opportunity. My question is for Ander and for the India business, pertaining to India business . We have underperformed our peers over the past 6 quarters and what corrective actions are we planning to take specifically on getting the growth back? While there are negative surprises such as order delays, the part and parcel of our business, which can impact some business vertical, but overall growth has been impacted and why weren't other, let's say, stampings, forgings, growth in the other parts also impacted from this?

Vikas Sinha: Nitish, Ander just answered Pratik , but I will summarize. There are two main things we are trying to do. One is of course, we have pointed out that we have no dearth of order. Our order book is very good. Last year also we did close to 1 ,000 crores in new order generation. This quarter has been exceptionally well as Ander pointed out, Rs. 3.5 billion. So there is no issues around order book. The issue has always been conversion of order book into actual sales where many projects are delayed, especially the ones that we had for exports to EVs that Ander has pointed out. Some of them are coming back slowly. There are some ICE projects also delayed. What we have noticed is that the order book to sales conversion is best for anchor customers. So our first plan of action has been to refocus on them and try and see if we can exploit all kinds of synergies with customers who are big with us. That's the first. And how are we doing it? Ander explained that we have just made a change in our organization as far as how business

development is done. We have a new business development head, Kunal. And the focus is to get synergies with our existing customers, the bigger ones, as much as possible. And that's how we plan to go ahead. The last thing, Ander did mention that our source of competitive advantage is our operating efficiencies. And we will continue to focus on that because our firm belief is once your operating efficiencies are in place, you are competitive vis-à-vis your competitors and the growth will eventually return as long as you are competitive. So that's what we have been doing and that's what going forward is we are going to do. But the key thing is we are trying to refocus our attention on how business development is done and get as much synergy as possible in the organization.

Nitish Rege: Yes. Okay. And secondly, any progress on M&A now that you are sitting on Rs. 1,300 crores to Rs. 1,400 crores of cash?

CIE A

Automotive India Limited
April 30, 2025

Page 7 of 18

Vikas Sinha: Nitish, you know that we keep working on M&A. At any given point of time, we are always looking at opportunities. But M&A we will publicly announce whenever we are at a stage where there is something to announce. But as I said M&A is an integral part of our strategy and we keep looking for M&A opportunities. Yes, we are aware that there is cash on our balance sheet and it's a good thing. The reason why we keep some cash is because we are a foreign owned, foreign operated company and therefore we cannot take debt for doing M&A activities in India and some question of cash is there for that purpose. Yes?

Nitish Rege: Okay. Thank you. I will fall back in the queue if I have any more questions.

Vikas Sinha: Yes. Thank you so much.

Ander Arenaza: Thank you.

Moderator: Thank you. The next question is from the line of Devang Shah from Asit C Mehta Investment. Please go ahead.

Devang Shah: Yes, hi. Good afternoon, Sir, you addressed right now for our last participant about growth related aspect. So, sir, I just want to understand first thing, the root cause that is the order book is not transmission into revenue, the execution delay or decision making delay? That's one thing.

Sir, then I will go to my next question. Just make me understand about this thing, sir, first.

Vikas Sinha: Yes, sure. Look, most of it is program delays. It is not an execution problem from our side. Most of it is, for example, there have been some EV orders that we have for exports. Some of those EV orders, the project itself has been pushed back because, as you know, there has been a little bit of loss of momentum as far as the EVs are concerned across the world, not just in India, across the world. You are seeing that in Europe where the EV penetration is stagnating around 12%-13% in the US also. is stagnating a little bit. Plus, even on normal orders, there have been a lot of uncertainties. Also, you see in India, the passenger car market, which was doing exceptionally well, has come down to in the range of 4 %-5% growth, which it was going. Of course, some companies are growing much faster, including Mahindra, which is good for us. But most of this order book delay is due to program delays, not from our side.

Devang Shah: If my understanding is correct, it's some kind of deferment by your client. So that's why it is being delayed, although you have been given an order book, but they're deferring because of some kind of their demand or some kind of thing is delayed. That's why sir. My understanding is correct sir?

Vikas Sinha: Absolutely, your understanding is correct.

Devang Shah: Sir, so then, what you perceive to be as far as demand environment as you already highlighted in the last quarter that we may see some kind of pick up in a second half in Euro and what as far

CIE Automotive India Limited
April 30, 2025

Page 8 of 18

as India is concerned, so we may see some kind of growth trajectory is concerned because last year there was no negative we have seen. So what do you perceive sir? Any thing you can see?

Vikas Sinha: In India, we are seeing good traction in the tractor market. Two wheelers continue to do reasonably well. the base is now higher so the growth is... But it is a reasonable growth that is available. Passenger cars have fallen behind a little bit but still there is growth. So in India there are growth opportunities. It will keep coming back. It will come back. But as I said, our key thrust area is if you the order book is not turning into sales, can we get more orders, especially from our existing customers? And that is the reason why, so the strategy is simple. If my order book is not turning into sales the way I want it to be, let me go and get some more orders. And that you will get quickly only from customers that you know well.

That's why, Ander did

mention that the business development head has been tasked with exploiting these synergies. So

that's about India. Now Europe is a very different story and Europe, the pain will continue for some time. So on Europe, I will ask Ander to give a more detailed answer. But before he gets into Europe, I will request Ander to talk about, why these orders have been delayed and it is more on the programs and not on our execution to assure everybody that it's not our execution that is the issue here. Ander?

Ander Arenaza: Yes, absolutely. Absolutely, Vikas. Because I mean, reason of the delay of these programs is not on CIE. These delays are coming from two main reasons. One, the main reason is that most of these programs that we were expecting to launch were electric vehicles programs that have been delayed. Some of them we were expected to export to US and also now in the US, let say there is slowdown of the electrification is let's say stronger than in other regions. In Europe, the electrification is stagnant and the electric vehicles share is approximately 15%. So it is growing but just 1%-2%-3%, no more than that. It was expected to grow up to 25 % a year and this will not happen. So this delay in the electrification is affecting us. This is one reason. Second reason, as Vikas explained, certain projects from big projects that we were awarded and we invested to start the SOP in beginning 2024 were delayed and they are now ramping up. We were expecting to sell, for example, for a particular engine, we were expecting to sell 20,000 sets per month and we are now still at Rs. 7,000 -Rs. 8,000 sets per month. this is the situation. The customers are saying that in the next 2-3 months, they will ramp up to double the current output to 15,000 and then they will jump to 20,000 per month. So these are the kind of things that are happening. I would say that this is just a temporary slowdown that we have had. And in the meantime, we are working in new programs. We are working in the market to improve our market share or to add new programs to our portfolio. And that's the activity we are having. So in India, we are quite optimistic for the future. And I think that the company, generally speaking, is doing well. I know that this weaker sales than expected is creating certain concern but I think in the mid to long run, I think the company will succeed and we will continue growing and of course as in the previous question someone asked about the M&A activity, we are also working on the M&A activity. So our strategy is to grow in India, both organically and also inorganically. So the debt of CIE India is, let's say, I would say probably our main debt in all the companies. So in that sense, our shareholders can be sure that we will continue trying to grow and to develop the business in CIE Automotive India Limited

April 30, 2025

Page 9 of 18

India. Then coming back to Europe, in Europe the situation much more difficult. You know that the European market is stagnant. With this year we will see a drop of approximately in the light vehicle market we will see a drop of approximately 5%, 5 to even to 7%. That is the expectations that we have. On top of that we have this tariff war that is now on the table and could affect with additional drop and probably this will have a negative effect in the total amount of car production in Europe. So even the situation was weak and probably will be a little bit weaker in the next quarters. So that's the expectation. So we still expect to have a weak market in Europe. And what we are now trying to do is to adapt our companies to this scenario to maintain and to protect our margins as much as we can and be ready when the ramp up comes that we expect that probably we will see certain recovery by the end of the year and also for the next year. We see that in Europe the beh

avior of the market is a little bit different than in India. We see that there will be a consolidation of the market and several suppliers are struggling. So we will see that we can win also from the consolidation of the market. So that's our view on Europe and also in India. Devang Shah: Thank you. Very satisfactory explanation you have given. So on that explanation, I have one question. So by considering these facts, we are now just Q1 of current year, know, CY25. How we have to evaluate the growth trajectory? Every quarter, it would be better to get an idea as far as demand environment, and then we can get a certainty as far as growth of this particular calendar year or you have anything that's been forecasted by you as far as either consolidated overall revenue growth for the calendar year 25, or if you have segregation of Indian -related growth, how it would continue to unfold at a single digit and what would be the European growth. If you have been forecasted anything for this calendar year or it would be every quarter we have to evaluate and then conclude?

Vikas Sinha: Devang, we don't make forward looking statements so that is a policy that we strictly follow. So we have not made any forecasts or any statements as far as our overall C25 numbers are concerned. We can talk about the markets as Ander pointed out, the markets in Europe. Let's talk about Europe because from a market standpoint, Europe is in a difficult situation. I think in Europe, you are going to continue to see this pain in the market for the next two quarters at least. Let's be prepared for that. That's why Ander has clearly stated that our strategy in Europe is to restructure our operations, so that we maintain our margins. We have to match our costs to the prevailing volumes. So that is what we are doing. So in Europe, we do expect pain for the next two quarters. As far as India is concerned, now India, we know that, for example, in Q1, the car market as per SIAM grew about 5 % as per IHS about 1%. The two -wheeler market about 6 % to

7% that know the tractor and trucks have done reasonably well. They are double digit but I guess they will moderate. So if we are looking at a number anywhere between 5 % to 7% growth in India from a volume perspective on an overall basis , that is something that we are working towards. Of course this quarter we had a little bit hit on the steel price but that's how you have to look at the market in India. Say for example anywhere between 4% to 7% would be the growth. It is lower than what we have been experiencing in the last few years. But that's the scenario in India. India you still have growth. It's lower growth than earlier. And our job is to be

CIE Automotive India Limited

April 30, 2025

Page 10 of 18

ahead of this growth. And all that we are talking about is to be ahead of this growth. That's how I would say, but we don't make any forward -looking statements.

Devang Shah: Yes, that sounds satisfactory. And last question, before concluding remark, any kind of tariff related that can affect your US -related, export -related aspects? So any kind of headwinds over there?

Ander Arenaza: I can take it, Vikas, because the impact of the tariffs in our business is very, very low. I would say that this is negligible. Just to give you some figures on that, only 3 % of our sales in India goes to US. That's the approximately in the first quarter, are talking about Rs. 400 million or something like that. In all the cases, small customer, in all the cases, the impact of these tariffs in our account is zero because our sale condition is either S-work or is FCA. So the tariffs are charge d to the customers. the customer should pay those tariffs. So the impact on our accounts is zero in India. Regarding Europe, in Europe also both in Metal castello and Bill Forge Mexico that as Vikas explain ed now, is included in Europe, in our Europ

ean region. All the sales that

we are doing to the US that in Metal castello is approximately 40 % of the sales and in BuildForce Mexico it's also about 40%. The impact in our accounts is zero . In all these cases also, all the tariffs, because of the conditions of our sale conditions, the duties are charged directly to the customers. It's not our responsibility. And finally, in CIE Forgings , we have one particular customer that is with approximately 10 million euros per yea r sales. I mean, just it's a minor impact of approximately 4 % of our total sales in Europe, the forging s in Europe that we are now negotiating with the customer because this is selling directly to them and these are impacting us. But as you know also that there are news today in the paper that the US government will not apply any duty to the car makers that are producing the cars in the US, and this is the case in our case in CIE Forgings . This 10 million euros goes to one customer; a specific customer is Ford and so we expect not to be affected. So globally speaking, the main problem we see with the tariffs in our business is the negative effect that could have these tariffs in the market. The slowdown in the market created by this tariffs uncertainty that is now in the market . So we can say that the impact is negligible or almost zero. And the only potential impact is the slowdown that could create especially in Europe.

Devang Shah: Okay. Thank you so much for giving a very good explanation , sir. Thank you so much.

Vikas Sinha: Devang, one more thing as far as tariffs is concerned that depending on the tariffs, India's competitiveness may go up vis-à-vis other countries. So that also we have to monitor. But as Ander explained, there is so much uncertainty around this tariff policy is that we have to just wait and watch. We don't have any direct impact, but the indirect impact is something we have to worry about. The markets in US, Europe itself may come down and India's competitiveness may actually go up or go down compared to what tariffs are applied to countries like China, Vietnam, Turkey and so on and so forth. So we have to wait and watch.

CIE Automotive India Limited

April 30, 2025

Page 11 of 18

Devang Shah: But sir, just to add that thing, then it will be some kind of opportunity for also to you because you can also serve as you were saying, you have hired some business development head as well.

So you can also look for the other market as well. Sir, will it be possible?

Vikas Sinha: Yes, yes, if India's competitiveness increases , obviously there will be a chance to all good companies. So look, as far as our exports are concerned, if you look at our annual report also, which we have clearly highlighted that there are certain areas like iron castings and gears where we do see our opportunities in exports going up. Exports is a complicated issue. There are many factors. The supply chain risks are involved which companies are very, very wary about all supply chain risks, which have been there in the recent past. So there is a move towards local for local , but at the same time, certain processes will have to be outsourced because of climate policies and so on and so forth. So wherever our competitiveness goes up, we'll have an opportunity. We have identified iron castings and gears where we think we'll have more opportunities. And i f this tariff policy helps improve our competitiveness in these areas, we'll definitely benefit out of it.

Devang Shah: Yes. sir. Thank you so much.

Ander Arenaza: Just one comment from my side because there is also an additional trend that we are now perceiving in the market, especially due to these geopolitical tensions that we can see in the market is that some of our American customers they are trying to move or they are analyzing to move the production they have in China to other countries like

India or Korea. So this trend is

also there. So this can be also an opportunity for us to increase our business. So we are analyzing that and some of the customers that are already studying and requesting the quotations for this movement too.

Devang Shah: Yes, sir. That's quite satisfactory. Thank you so much and wishing you all the best.

Vikas Sinha: Thanks, Devang. Thank you very much.

Moderator: Thank you. And the next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.

Jyoti Singh: Thank you for the opportunity. My question is basically on the tractor side, how is the overall industry is doing and what are our outlook overall on the tractor industry side and how we are doing it. So earlier question on the tariffs, so also we are going to benefit on the tractor side because of the tariffs going forward?

Vikas Sinha: As far as tractor forecasts are concerned, they are looking reasonable for this year. Tractors have done very well in Q1 overall and so has Mahindra. And going forward also, we clearly see, you know, not as good as the 11 % number that we have seen in Q1, but we would see a growth, I would still think a growth around 4 %-5% in tractor market going forward on an average for the CIE Automotive India Limited

April 30, 2025

Page 12 of 18

next few quarters. That's on the tractor side on the market what we expect. Do we expect anything on exports on the tractor? I think we do export a few components for tractors, like Turk tractors is a good customer of ours. But we have to see on that, we have not fully evaluated. I think there are but the tractor market is doing reasonably well domestically.

Jyoti Singh: Okay, sir. And sir, are we getting good order book on that side if you can just talk on that?

Vikas Sinha: Order book around?

Jyoti Singh: Around tractor?

Vikas Sinha: As I said, domestically it is a very reasonable situation for tractors for us. Mahindra is our main... We have Mahindra and John Deere in India as our main tractor customers and they are both doing well.

Jyoti Singh: Okay, thank you. As earlier mentioned that we are seeing visibility after two quarter end of this year. So can you guide because I gone through the Volvo call also. So they are seeing the market share increase on the EV side. So any visibility we are seeing, I know a lot of uncertainties there. But still if you can give us little bit highlight on that side?

Vikas Sinha: Highlights on the EV market?

Jyoti Singh: Yes, sir.

Vikas Sinha: No, EV market, as we have explained, I think worldwide there has been a bit of a stagnation. In India, of course, we are seeing the two -wheeler EV penetration going up. In four -wheelers, of course, we have had some very good launches, especially Mahindra, and we are looking forward to the ramp up of those models. I think they will do well. We have very good reports as far as those two EV models from Mahindra are concerned. I think even on two wheelers you have some good launches, Bajaj has done so. So yes, there will be steady improvement. The fact, the point that we are making around EVs is not that it is not going up, penetration is going up, but it is not going up as dramatically as was envisaged maybe two years back. So that's the only situation. But the EV market in India is making steady progress. Very clearly, you are seeing lot more new models. Hyundai has put some new models. So as you also pointed out, there are other companies who are putting it models and they are all reasonably good models. So as long as you have good products in the market, the market will improve. So that's how we look at it. We have enough orders in the EV space also. We'll be happy if the products do well.

Jyoti Singh: Yes, so like you mentioned about this, you're not giving the forward outlook, but at least some visibility as per the CIE point of view, b

ecause last few quarters, nothing on the betterment side.

So if you can guide us a little bit on the margin and topline side?

CIE Automotive India Limited

April 30, 2025

Page 13 of 18

Vikas Sinha: No, margin is easy to guide, Jyoti. Margin, we said that in India, we are close to 18 % now. We will be there and we hopefully will improve. Of course, the improvement will be steady. So on the margin side we can say confidently about that. In Europe as we said, if you see there has

been very big drops starting from Q3, like more than double digit drops in Q3, Q4 and Q1. In spite of that our margin is 14 % this quarter and that's the whole thing and this includes some restructuring costs so we are trying to hold our margin as much as possible in Europe around this number which is what we have said. So margin it is very clear, that we can state. It is not even a forward-looking statement. It's probably as far as we are concerned it's a reality. As far as sales is concerned what we said that probably the weighted average market growth in India this quarter will be in the range of 4 % to 7% and hopefully we can beat that we have not been able to do that in Q1, but we hope to do that in the next few quarters Q2-Q3-Q4 we hope to do, we hope to beat the market a little bit. As far as Europe is concerned on the growth side, we are saying on next two quarters at least the pain will continue as far as the sales is concerned. So this is the best I think we can summarize, Jyoti. Hopefully that should be enough.

Jyoti Singh: Yes, sir. Very much. So thank you so much.

Vikas Sinha: Yes, thanks Jyoti.

Moderator: Thank you. The next question is from the line of Nitish Rege from Chrys Capital. Please go ahead.

Nitish Rege: Thank you for the follow up. My question is again for Ander. So just wanted to get a better understanding of what specifically we are looking at in an M&A asset, given that there have been around 10 to 12 deals in our industry over the past 18 months, most around the 10x EBITDA multiple and we've not been able to crack the M&A puzzle for us?

Ander Arenaza: Okay. No, we cannot disclose the different operations that we are analyzing in this moment. But the idea we would have is to reinforce our presence in the technologies where we are now working. I mean, all the gears, aluminum, castings, composites, I mean, all these businesses where we are present, that's one of our targets. And also second target that we had, and we mentioned several times, is to include some plastic company because this is the only technology that we have missing in India. I mean we have presence in all CIE technologies in India except the plastic, so that is also one of our targets. But we are actively looking for companies that should fit strategically, should fit also in the terms of, let's say, future evolution and synergies with our current businesses. And of course, the pricing is another subject that we need to discuss because in certain cases, what we think is that the multiples are too high. But okay, we will analyze and we continue very active on this field.

Nitish Rege: Okay. Thank you.

Ander Arenaza: Thank you.

CIE Automotive India Limited

April 30, 2025

Page 14 of 18

Moderator: Thank you. The next question is from the line of Amar Kant Gaur from Axis Capital. Please go ahead.

Amar Kant Gaur: Hi. Thanks for taking my question. I had just one question regarding the profitability in the European business, where we have seen sequentially more than 20 % kind of growth, but still the margins have gone down by 100 bps. You talked about certain restructuring activity that is happening there. Could you quantify that a little bit more?

Ander Arenaza: Okay, yes, in the European business, you know that we have had this slowdown in the business. So we are adapting the company, the size of the company, to the

new volume scenario. We have

been doing that with temporary layoffs in the last quarters. Then what we have done is we have put in place now additional activities and we have early retirement programs for people that is about 60 years old and we are trying to get a voluntary agreement with them to pre-retire with these people. And also we are setting up certain voluntary retirement or dismissal schemes for the people who is willing to leave the company, let's say, that is a economical agreement, so with a certain amount of money. So these are the kind of things we are doing smoothly, and all these activities are going on. Especially we have done first steps in Metalcastello plant. Also, we are trying to do it in our forgings, CIE Forgings. Those are the activities that we are now in place and we will see the effect in the next quarters.

Amar Kant Gaur: Okay, thanks. I will get back in the queue.

Ander Arenaza: Thank you.

Moderator: Thank you. Participants, to ask a question, please press * and 1 on their touchtone telephone.

The next question is from Rajkumar Vaidyanath, Individual Investor. Please go ahead.

Rajkumar Vaidyanath: Thanks for the opportunity. Sir, you just mentioned recently that due to the evolving tariff situation in India trade with the US, there seems some opportunities there. So I just want to know whether those opportunities are immediate or will be kind of cleared in the medium term?

Vikas Sinha: Rajkumar, of course, there could be. There could be. You know, it finally depends on what is the kind of trade deal that emerges. What we are saying is, as a country we are competing, auto component exports is almost 20 % of the entire turnover of the auto components business in India and we are competing with other countries, China, Vietnam, Korea, Turkey, Brazil, Mexico of course, which is a very large player. And depending on the tariff, India's competitiveness may

go up because some other countries might have higher tariffs, may or may not have the final deal has to emerge. In that case, there could be some opportunities. What we have already been saying is that there are some specific areas like iron casting and gears where there are already opportunities in exports and if that happens, they might increase. So that was the point we are making. As far as your question, whether they are immediate, any order it takes 18 to 24 months or 18 to 30 months in the case of exports orders because there are a lot more development steps

CIE Automotive India Limited
April 30, 2025

Page 15 of 18

to be done. So that is the kind it would take to hit your P & L. So it's not as if you get an order and it gets into your P & L in the next three months. It takes about 18 to 30 months on the export side. Domestic orders might be 12 to 18, but that's how it is.

Ander Arenaza: Vikas, just one additional comment on that is that due to the uncertainty, the current uncertainty that we have with the tariffs application, I think until this tariff, let's say definitive tariff application is defined and is clarified, I think there will be no decisions from the customers. So we need to first clarify the tariff environment, and then companies will make the decisions. What we see now in the market is that there is a big uncertainty. Everybody is waiting for the definitive solution that is not yet on the table, you know that. I think all the countries are negotiating, and every week we receive different news on that. I think in the next weeks, months, I think we need to wait until we see the definitive solution for the tariffs.

Rajkumar Vaidyanath: Okay, thank you, sir. Thank you for the detailed reply. So just one more question. Just on the margin part, I think you kind of mentioned that due to the 3 % reduction in steel prices, the margin kind of appears to be muted. So is it fair to expect your margins to improv

e by at least 100 bps

to 150 bps from the current level in coming financial year?

Vikas Sinha: JP that 3 % is for domestic not for overall and as far as margins are concerned we know that steel is a pass through. It just affects your quantum of sales. So if the steel prices goes down for the same volume your revenues goes lower by that, but the EBITDA remains the same. So in fact if your sales goes down your margin will go up or as you know it's just arithmetic, you know numerator - denominator So that's about it. So the steel price has nothing to do with efficiency. It is a pass through what we are talking about 18% margin in India, about 14 % margin in Europe and in India we do expect the margins to go up through operating efficiencies and nothing to do with the steel price. Steel price goes up and down, the effect of numerator denominator would be separate. So that was the point we were making. And as far as Europe is concerned, Ander has explained a lot of restructuring is going on. We are trying to hold on to this 14 % in spite of, as was pointed out, very big double digit drops in sales for the 3rd quarter in succession. So that was the discussion. The steel prices, the effect will be separate. It is not an operating efficiency issue. It is just a numerator, denominator issue because steel is a pass-through.

Rajkumar Vaidyanath: Okay, yes, I just got it sir. So my question is, would you expect the margins to go further? That was the question, you know, given that the efficiency programs are in place, you are continuing to work on your efficiency parameters. So is there a scope for improvement in margins, particularly on the domestic?

Vikas Sinha: Yes, in India, there is scope for improvement, but there would not be any dramatic improvements in margins. There would be steady improvement. Just a few minutes, you know, like a little bit back in today's conversation, Ander did mention that Indian operations in the CIE universe, relatively, we are worse off than Europe, Mexico, etc. And that is the reason why we think that our operating efficiencies can further improve. But given where our current margins are, the

CIE Automotive India Limited

April 30, 2025

Page 16 of 18

improvements will be steady. There would not be any dramatic increase of 1%, 1.5 % not like that. There will be steady improvement going forward. That is what we are saying.

Rajkumar Vaidyanath: Okay sir. Thanks a lot sir.

Moderator: Thank you. The next question is from the line of Basudeb Banerjee from CLSA. Please go ahead.

Basudeb Banerjee: Thank you. Hi Vikas. Just wanted to understand. As Ander highlighted, 5 %-6% potential Europe car market decline this calendar year. But out of your European business of crankshaft etc. catering to say, Marino, etc. How much of those cars are exported to US because if the tariff issue remains, so there can be demand elasticity impact and subsequent production reduction other than core Europe market lower car retails.

Vikas Sinha: Ander, will you take this?

Ander Arenaza: Yes. The export that we have from Europe, especially in the crankshaft business is approximately only 10 million euros per year. It is approximately 4 % of our Forgings sales. So the impact is very, very low.

Basudeb Banerjee: Actually trying to understand that what percentage of the crankshaft supplied by you to the end

OEM are actually exported. I am not seeing CIE actually exporting to US, but the end vehicle is getting exported.

Ander Arenaza: It is a minimum amount. In terms of the crankshaft, exported to the US can be approximately what I told you about 4 %, 5%, no more than that.

Basudeb Banerjee: So bulk of the crankshaft supplied by CIE is consumed for cars sold in Europe only, that's what you want ?

Ander Arenaza: That's right. The European cars, so cars produced in Europe, exported to US are only 900,000 cars per year. So it is

not a big amount, mainly higher end cars, Jaguar Land Rover or Porsche, Audi, Mercedes, all these kind of cars that are exported to the US, the luxury cars. In our case, we are selling directly to US this 4 % or 5% of our concept, directly. But as I told before, what we expect is that as we are selling to American car makers, that the cars are produced in US directly. Then what we expected of the impact of the tariffs will be zero in this case, as the US government said yesterday. So that is the view that we have regarding the impact on sales because of the, let's say, drop of this potential exportation from Europe to US. We can say that it is absolutely minimal.

Basudeb Banerjee: Sure. And second thing, Vikas like in good days, annualized revenue for Metal castles used to be what 90-100 million euros. What is the level now?

Vikas Sinha: No, not 100 million. It was 75 million.

CIE Automotive India Limited

April 30, 2025

Page 17 of 18

Basudeb Banerjee: Including the Allison transmission order.

Vikas Sinha: No. That is a separate matter. I am saying what they have done. Maximum was roughly about 75 million euros. Right now, it will be closer to 55 to 60 , 50% of that number , 50 million.

Moderator: Thank you. Ladies and gentlemen, this is the last question from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Thank you again. One of the exports from India, if you can share some numbers, how did it pan out this quarter?

Vikas Sinha: So roughly exports, as far as C '24 number is concerned, we have roughly around from India, 13% to 14 % in that range. This includes both direct and indirect exports. Indirect exports include things that we supply to those production offices in India, which then they export. So roughly about 13 % to 14 % for us. It is between that amount in India.

Pratik Kothari: Okay , correct. And in the annual report just published, there's this auditor remark for CIE Aluminum Casting India Limited saying that it's an, I mean, there could be an incentive or external pressure to meet expectations resulting in revenue being overstated or something. So just one comment, what is this regarding?

Vikas Sinha: Which page is that now? We will try and we have our annual report. Do you have the page number readily available? Which section?

Pratik Kothari: This is the auditors remark on the consolidated . No, the annual report. This is page 224 of your annual report.

Vikas Sinha: So JP is here, we will answer. Just give us 30 seconds.

K. Jayaprakash: This is about the key accounting matter, no?

Pratik Kothari: Yes, key audit matter, yes.

K. Jayaprakash: Mentioned by the auditor is why it is a key audit matter. So they arrive at key audit matter for every year. And for India, they have considered revenue as a key audit matter because they think sales revenue is a key parameter for the people working in the company. And therefore, they emphasize more in checking whether the revenue numbers are correct or not. There is no overstatement or a potential overstatement. It is just that in their audit procedures, they emphasize more to check on this aspect.

Pratik Kothari: Usually, when we read revenue as an audit matter, the statements which are made are different than what has been made here. And hence, the question. Usually, revenue as an audit matter, I

CIE Automotive India Limited

April 30, 2025

Page 18 of 18

think, is across many, many, or almost all companies. But what has made your seem different and hence that question .

K. Jayaprakash: Yes, they have mentioned about there could be an incentive of pressures to meet expectations. But it seems, I mean, the auditors are stating here about the emphasis they have given for checking the revenue numbers.

Pratik Kothari: Okay, sure. Thank you.

Vikas Sinha: Thanks, Pratik.

Moderator: Thank you. Ladies and gentlemen, tha

t was the last question for today. I would now like to hand

the conference over to the management for closing comments. Thank you and over to you, sir.

Ander Arenaza: So as usual, I would like to thank you to all the participants for the interest in our company and also for the trust and the well -directed questions they made, as always. So my gratitude to them for their participation. Also, I would like to thank to all CIE India team for the great work done in all these months and days that we are working hard and I would like to thank all of them because of their commitment to the company and we expect to deliver even better results in the next quarters. Thank you very much.

Moderator: On behalf of ICICI Securities Limited, t hat concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This statement has been edited to ensure quality

Call: Jul 2025

Page 1 of 16

"CIE Automotive India Limited
Q2 & H1 CY '25 Results Conference Call "
July 22, 2025

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MANAGEMENT : MR. ANDER ARENAZA ALVAREZ – CHIEF EXECUTIVE
OFFICER –CIE AUTOMOTIVE INDIA LIMITED
MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER –
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MR. VIKAS SINHA – SENIOR VICE PRESIDENT
STRATEGY – CIE AUTOMOTIVE INDIA LIMITED
MR. OROITZ LAFUENTE – BUSINESS CONTROLLER –
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MR. SWAPNIL SOUDAGAR – DGM STRATEGY – CIE
AUTOMOTIVE INDIA LIMITED

MODERATOR : MS. VISHAKHA MALIWAL – ICICI SECURITIES
LIMITED

CIE Automotive India Limited
July 22, 2025

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the CIE India's Q2 CY '25 Results Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Vishakha Maliwal from ICICI Securities Limited. Thank you, and over to you, ma'am.

Vishakha Maliwal: Thanks, Nidhi. Good afternoon, everyone. Thanks to CIE Automotive India Limited management for giving us the opportunity to host the call. We have here in the call the senior management represented by Mr. Ander Arenaza Alvarez, CEO; Mr. K. Jayaprakash, CFO ; Mr. Vikas Sinha, Senior VP, Strategy; Mr. Oroitz Lafuente, Business Controller; and Mr. Swapnil Soudagar, DGM strategy.

Over to the management to take this ahead. Thank you.

Vikas Sinha: Yes. Thanks, Vishakha. This is Vikas. I welcome all of you on this call, as also Ander, our CEO. I will present CIE India results for Q2 C '25 and H1, the first half, of C '25. We start with the legal structure on Page 4 of our presentation. We would like to mention a change in this, where we have completed the formalities of liquidating Bill Forge Precision, and it has ceased to exist. We now move on to Q2 C '25 results. We start with the India operations, which is on Page 6. In Q2 C '25, India business sales were at INR14.5 billion, which has grown at 7% year -on-year versus Q2 C '24 and marginally higher on a sequential basis. The growth is also higher than the weighted average market growth. Among the various segments, the market growth in Q2 C '25 for light vehicles and 2-wheelers was sluggish. It was below 5%, but tractors and trucks recorded healthy growth.

With the prediction of a good monsoon, market is expected to remain steady, if not better than this, but we'll need to watch out for issues that may have negative impact like the potential tariffs from the US government or the impact of restriction on rare -earth magnets by China. So steady, but of course, with a wait -and-watch attitude, that's how we look at the market going forward. Now the EBITDA margin in India for the quarter was 17.5%, just marginally lower year -on-year and sequentially. This is largely due to product mix issues. We should also note that the

reported EBITDA margin of 18.6% in India in Q1 C '25 included a one-time government grant at our Stampings business, and without that, the India Q1 C '25 EBITDA margin was roughly about 18%.

On Page 7, we have the results for the European operations of CIE India in Q2 C '25. Sales were at INR8.3 billion, which are down year-on-year by 1%, but that includes a positive exchange rate effect of 7%. Without the effect of raw material prices drop also, the real drop in sales

CIE Automotive India Limited

July 22, 2025

Page 3 of 16

volume in Europe was 4% in Q2 C '25. This is an improved performance compared to the double-digit reduction in sales that the European business experienced in the last 3 quarters.

The quarterly sales also improved on a sequential basis. Now, this is because there has been some improvement in the market situation with the Light Vehicles market being down by only 2% in Q2 C '25. The reduced base effect has also played a part in this improvement. But overall, the market situation in Europe continues to be difficult. Now we know that the second half of the year is normally worse than the first half due to seasonal factors. So that is something we'll have to keep in mind.

The EBITDA margin in the European business for Q2 C '25 was 12.5%. Now, this includes a onetime re

structuring cost at Metalcastello without which the margin would have been closer to 15%. We have been taking proactive corrective actions to adjust our operations to the difficult market conditions, and this is a reflection of that.

On Page 8, we see the consolidated CIE India Q2 C '25 results. Consolidated sales were INR23 billion, a 4% growth over Q2 C '24; EBITDA, INR3.6 billion at a margin of 15.7%; EBIT, INR2.7 billion at a margin of 11.9%; and EBT, INR2.7 billion at a margin of 11.8%.

The first half H1 C '25 results for our Indian operations are on Page 10. Sales increased by 5% versus H1 C '24 to INR28.7 billion. The EBITDA margin was 18%; EBIT, 14.3%; EBT, 14.5%; and PAT, 10.8%. Given the prospects of a good monsoon and the upcoming festive season, we expect H2 to be better than H1 in India.

On Page 11, we have the H1 C '25 results for our European operations. The impact of declining vehicle sales and slowdown at Metalcastello has contributed to 11% drop in sales to INR16.2 billion. EBITDA margin in H1 C '25 in Europe was 13.1%; EBIT, 9.1%; EBT, 7.9%; and PAT, 6.2%.

On Page 12, we have the H1 C '25 consolidated results of CIE India. Sales were INR44.9 billion, which is marginally lower by 1% versus H1 C '24. The EBITDA margin was 16.3%; EBIT, 12.4%; EBT, 12.1%; and PAT, 9.1%.

On Page 14, we see the average consolidated balance sheet, which shows a healthy state of CIE India. Return ratios have reduced marginally, mostly on account of lower sales on a consolidated basis and restructuring costs in Europe, but they continue to be healthy.

The cash flows are shown on Page 16. The company generated operating cash flows to the extent of 76% of consolidated EBITDA. Capex is being monitored closely, and growth capex for the first half of the year was INR0.7 billion, largely focused on projects in India. Cash outflow on account of dividend was INR2.6 billion due to the dividend payout of INR7 per share.

Going forward, we are confident that we can utilize future opportunities and face future challenges with agility. We believe that we are well prepared to face any situation going forward.

And now we proceed to Q&A.

CIE Automotive India Limited

July 22, 2025

Page 4 of 16

Moderator: The first question is from the line of Rajas Joshi from ChrysCapital.

Rajas Joshi: So just a bit more, could you elaborate on the growth outlook for the second half, as you mentioned it to be better? Do you -- any segment you see would be growing faster than our underlying industry, specifically for India business? And additionally, has European business stabilized now?

Vikas Sinha: I'll talk about India, and then, I'll request Ander to talk a bit about Europe. In India, of course, you see that 4-wheelers and 2-wheelers are roughly around 3% to 5% growth. Tractors are doing well and probably will continue to do well because of the monsoon situation, both tractors and trucks. That is how we look at it. I think it's not that there is one segment or the other, which is driving this growth. Overall, our -- we had talked about some of our order book was delayed.

I think what we are -- what you are seeing is a gradual coming back of that order book. It has -- whatever delay was there is now getting addressed. That is the main factor rather than the market growth. The market growth is steady. There is nothing dramatic happening around the market

growth. That's on India. On Europe, I'll request Ander to give you a better flavor.

Ander Alvarez: Yes. Good afternoon, everybody. This is Ander speaking. Regarding European market, we can say that the European, let's say, both passenger car and commercial vehicle markets are quite weak. They remain weak. But we think that this value that we have now will not go down further, okay?

So let's say that we are now in the valley of the sales, we can expect that the market will continue in this level during the next 1

or 2 quarters, but our customers are already saying us that they expect a certain recovery by beginning next year. So let's say that -- okay, they were also saying this 6 months ago and this did not happen. So let's say that the market will continue weak and we will continue in this level. That's our expectation for at least in the next 2 quarters.

Rajas Joshi: Okay. And in the last quarter, you had mentioned that the order -- you had received the highest order inflows of around INR350 crores. How has this trend been this quarter?

Ander Alvarez: Regarding the new order book?

Rajas Joshi: Yes.

Ander Alvarez: Yes, the new order book that in the first quarter was quite strong with INR3.5 billion of new orders that we have been -- we allocated. At this moment, we are around INR6 billion in the first half of the year. So we continue this trend. So the order book is quite healthy, and we continue getting new businesses from the customers. So that said, everything is on track.

Rajas Joshi: Just on exports from India. So when do we expect our India plus -- our export business growth to reach double digit? Do we have any large export order in the India business currently in our pipeline which can contribute to growth faster than the market?

Ander Alvarez: Our export rate is not big. It's around 12%, 13%. That is the export rate that we have. In this moment, these export rates, let's say, that are under certain scrutiny because of the tariffs that CIE Automotive India Limited

July 22, 2025

Page 5 of 16

are not yet clear. So in the -- I would say that until this tariff issue is not clarified, we will not see these figures going up.

Then also, there is one important position from CIE, as we are a global multinational and we are located in all the regions, and our global strategy is to be local to local, okay? We try to supply in each region what is consumed in each of the regions. So the export trade and the export products that we now are focusing on mainly are on iron castings or gears where we don't have much more capacity in the rest of the regions, okay? Just we have gears only in Europe, and we have only gears -- sorry, castings in Brazil. So that's the approach. We will continue growing the export, but it's not our main strategy.

Rajas Joshi: Okay. And capex in 1H has been relatively low. Should we expect a lower capex for CY '25 or higher capex in the second half to meet the 5% to 6% of revenue capex guidance?

Ander Alvarez: Yes. We are controlling the capex because of the, let's say, weak situation of the market. But in the second half, we will -- we have a lot of, let's say, new projects, as I mentioned about the new order that we allocated and the capex will revamp. So we will be close to this 5% in the complete year.

Rajas Joshi: Okay. And how do we see the margins evolving in India and Europe?

Ander Alvarez: Okay. The margins, you saw that in Europe, we have been affected negatively because of the first -- because of the drop of the market. We see this drop thing that -- this minus one, that you saw in the second quarter is supported by the 7% of the currency increase. I mean, the depreciation of the rupee that helped us in 7%. Otherwise, the drop was around 8%.

And also, we have had this restructuring activity in Metalcastello. So that's the -- that's why our margin has been negatively affected. We consider that we can be in a recurrent margins in Europe, around 14% to 15%. That's the -- what we see the future.

And regarding -- in India, we expect also to improve slightly the margins in the next quarters, thanks to the growth that we expect because we think that with a good monsoon and the festive season coming, we can expect certain recovery on sales and higher recovery, and that will support our margins, too. So let's say that we are -- we can be optimistic or -- in India and let's say that we will continue suffering in Europe.

Rajas Joshi: Got it. Just one last clarification. So our exports from India will also include castings and magnets -- apart from magnets?

Ander Alvarez: Yes. Yes. We export castings. We export gears. We export magnets, yes. We export -- for certain customers, we export also aluminum castings, a small part. So yes, we are exporting. But as I told you, let's say, on average, we can be around 12%, 13% of our total turnover is exported from India.

Rajas Joshi: Sir, in castings, are we seeing any traction because of the China Plus One, Europe Plus One kind

Ander Alvarez: Not from that. I mean, in the castings, what we are getting benefited is that this is a technology that is not being developed in the rest of the -- let's say, in US or in Europe, as it is not, let's say, really evaluated business. So we are exporting, and we are starting to export for American customers in a good way. So we expect to grow importantly in the casting exports in the next, I would say, from the beginning next year, okay? So in that sense, we will have a good opportunity to grow and to grow our exports mainly to the US

Moderator: The next question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Sir, last quarter, in our India business, we had made this comment that we had appointed new head of business development and also we were kind of refocusing back on anchor customers versus the tail that we kind of were trying to target 2, 3 years back. So some color, some highlights how the same is progressing?

Ander Alvarez: No, we have started this activity. We have the new business development head working properly and also contacting all the customers. We have a scheduled and weekly review with all the COOs -- sorry, CEOs and the, let's say, business development heads. So we are actively working on that. So I can say that we are very positive. We are very optimistic with these activities that we are having, and we will see results soon, okay?

In fact, I'm also personally involved in all these weekly meetings, and also, I'm personally involved visiting the different purchasing directors of our -- all our customers. So I think we are doing this commercial job, and we are trying to be much more active on this commercial role that in the past, we were not so active.

So I think that we will see the results in the next -- okay, you know that this has a period of -- let's say, development period to get the orders, make the -- launch the new lines, make the validations and start the SOP, that it takes around 1 year, 1.5 years, but the activity is there and, let's say, that we are very, very happy with the -- at least with the first fruits that we are getting from the market.

Pratik Kothari: Correct. Fair enough. And just wanted to double check, I think Vikas made a statement at the beginning saying that the order book, which was getting delayed for the last year or 2 is kind of getting sorted out. Just some more comments and if you can expand on that India business?

Vikas Sinha: I mean, we have talked about that. We have talked about that basically CIE Hosur, which is getting in place. There were some specific customers. So they're all getting sorted out, and we are basically on track now. So that is the main area that will help us get back on the trend that we are talking about.

Pratik Kothari: Correct. Right. Correct. So this is the EV part that you are developing in Hosur.

Vikas Sinha: No, no, no. Not EVs. No, these are not EVs alone. So we were talking about 2-wheeler crankshafts at CIE Hosur. We are talking about common rail. We are talking about inner races. So these were all new developments that we had done at CIE Hosur, so these we're completely new product developments that we had done. So -- and this includes both domestic and exports as well as ICE

as well as EVs. So it is not exclusively EVs.

There are certain other EV orders, which are there at other places, but specifically on -- around these areas, there were -- for example, at aluminum, there were some EV orders, but -- for 4-wheelers, but that continued to be muted. You know what is happening on the 4-wheeler EV side in India. So really, the major focus is CIE Hosur getting back on track on the order book. That is where you will see this trend going forward.

Pratik Kothari: Got it. Fair enough. And sir, again, like you mentioned, like Ander mentioned, anecdotally, even we hear that Europe kind of is talking about turnaround weight in CV, the kind of spends they want to do. But from a comment, I just want to make sure that this is all in -- 2026 is when everyone expects, right? This is nothing on ground or in schedule for next 6 months that things are changing.

Vikas Sinha: Of course, there is -- I did mention that in Europe, we are looking at the base effect also. You have to remember that Q1 of C '24 was very good in Europe. So that was also distorting the base a little bit. So you're seeing the base effect. But if you look at it in euro terms, Q1 and Q2 have been fairly similar. That is what it is. But -- so we are not out of the woods as far as Europe is concerned. Your question, what will happen in C '26? Let's see what happens. Like right now, the market situation in Europe continues to be difficult. And, therefore, you are seeing a whole

lot of restructuring activities that we have done, especially at Metalcastello. We have presented that.

So whether the market will turn or not, we are not 100% sure at this point of time. So we continue to assume that the market in Europe will be difficult, and we will continue to focus on restructuring profitability, etcetera. So that's how we are looking at Europe.

Ander, if there's anything more you want to add?

Ander Alvarez: No, you explained perfectly Vikas, that's the situation. Unfortunately, that is the situation. We cannot be very optimistic in Europe. Let's see if there is a certain revamp next year, that we all hope, but not sure yet. I mean, we are not very optimistic on that.

Pratik Kothari: Fair enough. And sir, just last on this Metalcastello restructuring, what did we do? What was it about?

Ander Alvarez: Okay. Yes. In Metalcastello, as you know, the Metalcastello is working mainly for off-highway vehicles and commercial vehicles that are in a very, very, let's say, low market situation in this moment. During these months, we have been applying temporary layoffs.

That means that the workers are out of the company some period, and then, they come back. So we rotate the workers. In that process, the workers, they lose part of their salary, and it's paid by the government. This activity is supported by the government. But it's painful for the workers, it's painful for the management also because it's very difficult to organize the production, okay? So as this, let's say, low volumes or the market continues, and we expect that this low trend will continue, we decided to make voluntary dismissal scheme, so we offer some money to the workers to exit the company voluntarily. And we did it very smoothly, agreed with the unions, and everything was done perfectly. And in June, 30 people left the company, okay?

CIE Automotive India Limited

July 22, 2025

Page 8 of 16

Now, the total amount of workers in this moment are about 170. We were 200, now 170. So the temporary layoffs will be reduced importantly, so the company will be better aligned to the new real market conditions. That's what we did, and we expect to recover again the margins that we had before this situation.

Moderator: The next question is from the line of Basudeb Banerjee from CLSA.

Basudeb Banerjee: I joined a bit late. I might

have missed, sorry for repeating maybe. Just going by the P&L, your stand-alone other expense look quite on the higher side. Any one-offs in that or any specific reason?

K. Jayaprakash: No, Basu, there were some reclass of raw material to other expense.

Basudeb Banerjee: Okay. But overall, also margin got impacted slightly on a sequential basis.

K. Jayaprakash: In the standalone -- yes, yes, in India, it is. As Vikas explained, it is more to do with the mix. We have more of growth in Stampings. So that's the only reason there. And I think -- I mean, we should be back at our normal margins.

Basudeb Banerjee: Second thing, sir, if I look at the presentation, in the consolidated cash flow statement, working capital variation showing INR590 crores of cash outflow, which is consuming more than the operating cash flow. So any specific reason or this will reverse back, how to look at it?

K. Jayaprakash: Yes, yes. Yes. Basudeb, we did in December discounting with Mahindra, the big customer. We did not do in June, and that's the impact there. It will reverse if we do it again in December '25.

That's the only reason.

Basudeb Banerjee: Yes. Because from INR1,200 crores net cash, it has come down and normal capex management is pretty fine. So that's why this is the main reason behind that?

K. Jayaprakash: Yes. Yes.

Basudeb Banerjee: And last but not the least, like if I look, obviously, it is beyond your control to some extent, but last time when India business saw -- our stand-alone business saw double-digit growth was some 19 quarters back. So with the launch pipeline, your discussion points with various manufacturers, any outlook on the growth revival for stand-alone core India business, if you look at?

Vikas Sinha: Vikas here. Of course, you are seeing a steady improvement in growth performance in India.

Last 2 quarters, we were mostly around the 3% to 5% mark. This time, we are roughly around 6.5% to 7% mark. It will keep on increasing. To your question around double-digit growth, look, if the market situation improves a little bit, there was a question around the market. So the base market right now, 2-wheeler and 4-wheeler, which accounts for roughly about 70% to 75% of our business, they are at roughly about 3% to 5% or maybe 3% to 6% growth that we are looking at.

If there is a bit of improvement there, which is very much possible, given the festival season is also bunched up this year largely around October. So yes, you will see improvement. Double

CIE Automotive India Limited

July 22, 2025

digit is hard to make a conjecture given the base itself is a little not that strong. I'm not complaining about the market in India. It is doing okay, steady, but it is not doing fantastic. So that is the situation. If that improves, then we can -- we could be at the double digit that you're talking about. Right now, let's see if we can keep on steadily improving upon this. I think that is what we are focusing on.

Basudeb Banerjee: Sure, sir. And last question, like with the regulatory changes, premiumization happening and cash on book, so any new specific area product you are looking at, like, for example, ABS to become compulsory for all 2-wheelers so that will open up a huge window for other manufacturers to target. So any such specific product you are looking to add to the revenue and scale it up with balance sheet being pretty much clean?

Vikas Sinha: Basudeb, again, to answer your question, specific area, we are not saying just because there is an ABS, we will do this product. But in each of our areas, we are definitely looking at -- and that is the reason why in response to Pratik's question, I had talked about what we have done specifically at CIE Hosur, which was lagging for some time because if you look there, the product categories there are completely new.

We are talking about 2-wheeler crankshaft, which

is a very complex crankshaft for Royal

Enfield. We are talking about common rail, which we have developed from scratch. We are talking about a very complex inner race that we have developed for a large OEM.

So these kind of activities will continue. As mentioned, a very big export order to the US in iron casting area. That is also -- so these are all new product development that we are doing, so -- and in response to more stringent technology or manufacturing technology requirements. So we are looking at that. But it's not that we choose an area like ABS and now we'll do ABS parts, not like that. But in every area, we are definitely looking at upgrading our product offering.

In gears, we have always talked about, for EVs, a very specific profile grinding requirement is there. We are investing a lot there. So in every area, we are definitely looking at these kind of products, and -- because not only growth, one -- you are right, one aspect, the growth will come there. But more importantly, it will help retain our competitive advantage. Like for existing parts, the competition keeps on increasing. It never decreases. So there is always a risk of more pricing competition in existing areas. So this is something we keep looking at it.

As mentioned, you want to add something to this, like...

As mentioned, Alvarez: No. You covered it perfectly, Vikas. It's okay.

Basudeb Banerjee: And surely to the last point of the US export order hope, all these tariff issues are resolved in the pricing and it won't be any margin - dilutive supply as such?

Vikas Sinha: For this particular order, yes, it has been done. Of course, going forward, there's always an uncertainty. But as far as this order is concerned, everything is settled.

Moderator: The next question is from the line of Priya Ranjan from HDFC AMC.

CIE Automotive India Limited

July 22, 2025

Priya Ranjan: Just a couple of questions. One is just to extension of what Basu was talking about the new product development. So we always -- I mean, whenever we talk about the new product development itself, so as in the crankshaft we have been doing since ages, this is may be complex, but we have been doing since ages.

So what are the new products area where you want to enter or you have the capability to enter or we will be just improvising on the existing product line or the new segment on that product line? I mean, until and unless we move into the really new segment of the product lines, I mean, within the metallurgical forms.

I mean, some -- so maybe, like, say, camshaft, maybe -- I mean, there are multiple parts within the engine also. I mean we have never heard that we want to enter that, I mean, so how also we look at, I mean, the product development approach of the company?

Vikas Sinha: Priya Ranjan, it's a good question that you are asking. So it has to be a mix of both. The things that I've talked about, the 2-wheeler crankshaft that I'm referring to, is very different. The moment you see it, maybe in the next -- like annual presentation, we'll put the photograph of that particular crankshaft. You will see it is completely different from what you would expect a crankshaft to look at.

So it is something we are quite proud of. So you will have those kind of -- if you look at gears, for example, the EV gears are completely different from ICE gears. So yes, they are gears, but they are different. So they are completely -- the precision requirements are completely different. Even the size, etcetera, is different. In fact, we make very good money on EV gears.

So to your question, yes, they are an improvisation, as you said, on existing gear, but a very strong improvisation. New areas, yes, we are also evaluating, especially in Aluminum Casting,

Stampings. If you remember in Stampings, we had done value add in terms of welding that we started to do, welding plus stamped, which was a major t

hing that we attempted. And some of

the product categories that you talked about in forgings, we will also look at that.

So it's not that we are not looking at completely new product categories. We are looking at that. But certainly, of course, as I told you, it is not just about new product categories, we also want to secure our competitive advantage in our areas. So it is very important for us to keep on improving our offerings, even in our existing areas. So to your question, yes, right now, we have more to offer in our existing categories, but you will hear more about the others also going forward.

Ander Alvarez: Yes. And also, Vikas, allow me just to make a comment because most of all, all these new product activities are confidential, okay? We cannot show our technology and our ideas to the rest of the competitors. So -- and of course, we signed the nondisclosure agreement with our customers, so we cannot disclose them. So allow us to keep them internally because this is mainly our know-how and we need to protect it against our -- the rest of the world and the rest of the competitors.

CIE Automotive India Limited

July 22, 2025

Page 11 of 16

Priya Ranjan: Yes, I agree. I agree. I mean, with this is confidential part, but I've been, say, last 4, 5 years -- I mean, how much is the new product development contribution in your top line?

Vikas Sinha: When you say new product development, you are not including things like what we just spoke about. You are just looking at completely new areas, like, for example, completely new categories. Right now, that's not readily available, Priya Ranjan, but let me go back and check internally, and I'll revert to you.

Priya Ranjan: Sure. Sure. And in terms of -- what is this ramp-up you are expecting from the casting order, which you talked about the Europe and -- sorry, the US casting orders? And how do you see the ramp-up, etcetera?

And secondly, in Europe, are we looking at getting more business because the market is shrinking? So at least retention of the top line should also be one of the areas, right, to at least protect your top line and margin. So any thoughts on that?

Ander Alvarez: Yes. So regarding the casting program, we expect the ramp-up to start in the first quarter on 2026. That means -- so -- and we expect to be at probably full rate at the end of 2026, okay?

That's the ramp-up we are expecting. And regarding European market, you are right. I mean, we are now in the protection mode because there is huge capacity installed in Europe for all the components.

So there is a kind of fight on for the existing volumes. But I think there is also -- a very, very important fact is that a lot of companies in Europe are in a very, very bad financial shape, okay? The amount of bankruptcies that we are seeing is quite -- it's terrible. I mean, the companies are suffering a lot in this moment. So the customers are approaching us in order to consolidate the market and to be sure that they have the sound and solid suppliers.

So we see there an opportunity. So let's say that it is that the risk is the lot of capacity that there are in the market. Let's say, the positive side of this is that there will be a consolidation. So we expect to be the winners in this consolidation. So this is already happening in the market, and we will see this to happen in the next quarters. So that's how we see the European market. So we think that we will maintain our current situation for sure in the next years.

Priya Ranjan: And for Metalcastello, I think the -- so your thought process of some of the orders, which -- on which we have established or we have expanded the capacity or the capability, etcetera, is not happening? Is it what your base case assumption now?

Ander Alvarez: No. In Metalcastello, we made a big bet for electrification. So we entered into this very big electric vehicle program. And unfortunately

, this electric vehicle program is idled. I mean, it's

delayed. And we expect that in the next 2, 3 years, nothing will happen on that. So that was our main, let's say, problem in Metalcastello because our growth was based on that program, and this is not happening.

Then, after Trump winning the elections, also the electrification in the US will probably slow down, that's what we expect, so these programs will come. That's our view it will come, but it will come later. So now we need to navigate in this weak market situation, and that's what we

CIE Automotive India Limited

July 22, 2025

Page 12 of 16

are now trying to solve, entering into other customers and offering our capacities to the different customers in -- both in Europe and in the US

Priya Ranjan: Sure. Great. Sir, just one last question is on the -- I mean the magnet side, what is your usage of Rare Earth, etcetera? And how do you see this panning out that division?

Vikas Sinha: We don't do Rare Earth Magnets. We don't have access to any raw materials. Of course, for doing Rare Earth, you'll have to make some process changes, like heat treatment, etcetera, which we can evaluate, but we have no access to Rare Earth raw material. So all our magnets are non - Rare Earth. But even there, we are facing a lot of competition from China in that area. So it is one area which is our focus on improving our business the re in terms of profitability, etcetera, to become more competiti ve in that area. So we have to really pull up our socks in the area of magnets.

One, we don't have access to Rare Earth raw material, and two, even in our existing areas, we are facing a very strong competition globally. So that is something that we are focusing on in this year. And in fact, we have made a lot of changes in those area s beyond, of course, in Q2, the margin drop that you are seeing a little bit, a very small portion has also come from whatever we are trying to do at magnets. But going forward, we should be much better off competitively in that area.

Priya Ranjan: Sure. And just last question from the -- Ander, there is a lot of talk about the defense expenditure increase in Europe. I think then -- I mean, the armored vehicle and the other segment of the defense will also -- I mean, the land base system, etcetera, w ill also -- or even the airway system will also come into picture. So are we thinking in that line also that we can be a defense supplier in Europe? I mean, are we actively pursuing that opportunity?

Ander Alvarez: Yes. We are in contact with the Spanish government on this in Spain. You know that all these defense activities are driven by the governments. So we have had several meetings with the Spanish government on this subject and offering our capabilities, and we have been talking to them. We have had certain programs. We are going to produce certain components for the defense, but it's not a big business.

It's -- let's say that the -- as the volumes on the series on the defense are very, very low and a small series, those products does not fit perfectly to our long series production lines, okay? So we are going to do some small things in defense, but it will not be, let's say, important and will not be significant in our portfolio. We're expecting something more, but it's not -- it will not be the business that we will dev elop strongly in Europe, just some products, some small products, where we can have ce rtain capacities, but not more.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh: So sir, basically, I wanted to understand what is current capacity utilization we are having. And also, like we talked about on the new product side. So if we can give a little bit deeper knowledge on the content per vehicle, if there is a much increase fr om the existing product. So that will help us to understand better for the f

uture recovery. And also, like you mentioned, H2 will be better

CIE Automotive India Limited

July 22, 202 5

Page 13 of 16

than H1 led by the industry growth. So apart from the industry, what are all products and what are all OEMs that we are expecting good demand that will lead to better growth because also we wanted to understand more on a growth perspective?

Vikas Sinha: Yes. Thanks, Jyoti. I'll try and answer the last of your questions first. Capacity utilization, I'll refer you back to Ander. On new -- first, where are we expecting, again, to reiterate, it is some of our own order book that is going to get us a boost. Th e market -- the reason why we are saying H2 market will be better than H1 market is purely because of the festive season. That is normally what you expect. The market itself is at a more middling kind of situation in India. But of course, we are looking at our order book ramp -up.

New product development, we talked about that in the previous with Basudeb, with Pratik, and specifically with Priya Ranjan, we had a specific discussion around what kind of new products that we have done. So these are the ones that are ramping up. It is -- and a lot of it is something that we have developed specifically. We talked about 2 -wheeler crankshafts for a particular OEM. We are talking about shafts. We are talking about inner races, very complicated inner races, common rail, also some products in aluminum and iron casting, gears, the new gears for EVs that we have developed.

So these are the specific areas that we have developed, and they are going to go up, but it is based on the order book that already exists. So there is -- the new order book situation, Ander explained, we are close to INR6 billion this year itself. So normally about INR1,000 crores of new order booking we do every year. So it's -- the growth really depends on how those order book ramps up. So that is really around new product development, new orders and so on, and why we think we'll do better than the mark et going forward. That is number one, in the reverse

order.

Then you talked about wallet share. Now that's very, very difficult to specify because we are in many areas. Let's put it this way, if you look at our forgings business, for example, from Chakan, we do crankshafts largely for light vehicles and tractors. That is that area that Priya Ranjan was also referring to that we have been leaders in that area for long. So we have very high share of business, more than -- like more than 50% -- a lot more than 50% in that area.

So that -- and that is why whenever new models come, we are the first choice for most customers in that area. More than wallet share, what is happening is we are looking at making a more complicated products in these areas so that we retain our competitive advantage. So that really is, say, for example, our Forgings business in Chakan.

If you look at Bill Forge, again, we are into 4-wheelers, where we make driveline parts. Again, we are very -- our share of business is very strong. So here, we are looking at adding newer customers, be it in the 2-wheeler space, where, again, we have a very large share of business. So at Bill Forge, for example, we never used to do 2-wheeler crankshaft. So we are good at crankshaft, but we never made 2-wheeler crankshafts. We were doing races and retainers for 2-wheelers. So we have developed this 2-wheeler crankshafts, which has helped us diversify a little bit. In fact, now that will become one of our major product offerings at Bill Forge.

CIE Automotive India Limited

July 22, 2025

Page 14 of 16

So what I'm trying to say is, we have a twin challenge not only have to -- have we to retain our strong share of businesses in some of the areas where we have been market leaders for long, and we are doing that by doing -- by improving our offerings in terms of precision and so on and so forth.

And the other is, as Priya Ranjan was pointing out, maybe we can do that a little better is to get into newer customers, like, for example, 2-wheeler crankshaft. Here, we have added a new customer as well as a new product offering in our area. So that is what we have done in Bill Forge.

Say, for example, you go back to aluminum castings. Again, there, Bajaj is our anchor customer, and we try and participate in whatever activity they do. We don't lose orders with Bajaj. We try and make sure that we don't lose orders with Bajaj, but steadily, we have increased. At the time of acquisition, Bajaj used to be 75% to 80% of our aluminum business. Today, it is down to 60% to 65%, not because we have neglected Bajaj, we have developed other players, Nidec GPM and so on. So there are other players that we have developed.

So this is the focus that we do, defend wherever we are in a market-leading situation by becoming -- by offering more precise parts and try and see if we can keep on adding at least new customers if not completely new product offerings. And this is what Priya Ranjan was referring to, can you do the latter part more? Yes, we'll focus on more. And hopefully, going forward, we'll give you better news around that also, but we are doing that. Like, for example, the 2-wheeler crankshaft was a completely new part. We never did 2-wheeler crankshaft before, we are doing now.

So that is on your second question on wallet share. What I'm trying to say is wallet share, I cannot give you a direct answer, but we are cognizant of what we are trying to do, defend our share of business and try and see if we can add new customers first in our existing product categories and even newer product categories. That is number 3 or number 2 category -- number 2 question.

And your first question was around capacity utilization. I'll ask Ander to talk a bit about capacity utilization, both in India and Europe.

Ander Alvarez: Yes, capacity utilization is different in each of the verticals, okay? Unfortunately, in Europe, we have a lot of capacity -- free capacity. We can say that we could have, I don't know, 40% or 50% of capacity free in this moment. But in India, as an average, we can say that we are around 75%, 80% of capacity, okay? So we could produce 20% more with the same facilities that we have. Then, in certain specific machinery or technologies, we need to invest. That's what we are doing now. So we will adapt our capacity to the demand than the customers require, okay? So that's the way we manage the capacities.

Moderator: The next question is from the line of Devang Shah from Asit C Mehta.

Devang Shah: So by listening the way you are saying about new product development and innovation and that is going to have some kind of growth in our future. So I would like to have one question that, can we expect that downside from here on will be -- we can say that -- it is a bottoming-out phase? Because as Ander mentioned that we are going to have some kind of stable possibility of

CIE Automotive India Limited

July 22, 2025

Page 15 of 16

H2 in a European business. And we have somewhere growth, yes, H2 would be better for India. So as far as your performance is concerned, we may see -- it's been bottoming out as far as worse is concerned. And secondly that we may see somewhere close to and some kind of better show as far as close to high single -digit kind of growth as far as revenue is concerned in this particular calendar year.

Vikas Sinha: Like let's not talk about what exact number will emerge at the end of the year. Yes, we expect H2 to be better than H1 in India because, one, the market itself normally is better because of seasonal reasons, some of our order book is ramping back and you are clearly seeing that -- an improving growth performance over the last few quarters. So that's going to happen. . Europe, H2 in Europe is normally worse off

than H1. You have to remember that August, you have 3 weeks, and in December, almost 10 days. So normally, H2 is lower by 15% from a market perspective itself compared to H1. So you have to keep that in mind. That is the reason why on Europe, we have to -- we cannot lower our guard as far as the European results are concerned. H2 will -- by seasonality, H2 is normally worse off than H1. So we have to take that in mind. So to answer your question, what the overall year will look like, yes, because of high double -digit drops in Europe, we have seen an impact over the last 2, 3 quarters on a consolidated result. That impact will certainly be lower, largely because of the base effect. The H2 last year was also particularly bad. So you will have less impact on that. But overall, what the number comes like, let's not speculate on that. Yes, in India, it will be better. And hopefully, in Europe, it will be more stable kind of situation is what we think it could be. But let's see, let's not speculate on an actual number.

Ander, you would want to add anything towards H2?

Ander Alvarez: You explained it perfectly, Vikas. Thank you.

Vikas Sinha: Yes.

Devang Shah: Okay. And second question, the way we impacted marginally because of our European operation as far as EBITDA is concerned. Moving forward, sir, you expect that on a consolidated basis we will be -- we will have a normalcy as far as our EBITDA margin is concerned, somewhere close to 15% kind of on a consol level?

Vikas Sinha: India is still at 17.5% in spite of the product mix issue. And I think JP did mention that we expect India to be around that 17.5% to 18% kind of margin that we are talking about. In Europe, this time, we were at 12.5%. But if you take away the one -time expense around Metalcastello for -- and Ander explained that we have been reducing people on a large scale, almost 30 out of 200 people have been reduced at Metalcastello. If you take that out, that particular expense out, we're already close to 14.5% to 15% when it comes to Europe.

And that, we think unless and until there is a drastic reduction further even though the market is very low in Europe at this point of time, we don't see a big impact -- negative impact on our margins on either India or Europe. In India, we hope to improve a little bit. In Europe, I think

CIE Automotive India Limited

July 22, 2025

Page 16 of 16

the recurrent EBITDA in Europe will be closer to 14.5% to 15%, even in these market conditions.

Ander, anything specific you want to add there?

Ander Alvarez: No. It's okay, Vikas. It's perfectly explained.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Ander Alvarez: Okay. So thank you very much to all the participants for the good questions and for the interest in our company. We hope that we answered properly and you have now a better knowledge of how our company is deploying. And we expect to continue having the confidence and the trust in our company in the next quarters and next years. And I also thank to all our CIE India team, thanks for their commitment and the good job that they have done in all this period, and I expect to continue showing good results in the near future. Thank you very much, everybody.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Vikas Sinha: Yes. Thanks, guys. Have a good day. Bye.

Note: This statement has been edited to ensure quality

Call: Oct 2025

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Sub: Transcript of CIE Automotive India Limited Q3 & 9M CY2025 Post Result Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 7th October, 2025 in respect of advance intimation in relation to Q3 & 9M CY2025 Results Conference Call, please find enclosed herewith transcripts of the said call held on 17th October, 2025.

The same is being uploaded on the website of the Company at the following weblink:

<https://www.cie-india.com/periodic-public-information8.html#Quarterly-Result-Calls-and-Transcripts>

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj V. Goyal

Company Secretary, Chief Compliance Officer,

and Head- Legal

Membership No. F 13037

Encl: as above

Page 1 of 15

"CIE Automotive India Limited's Q3 CY '25 Results
Conference Call "

October 17, 2025

MANAGEMENT : MR. ANDER ARENAZA ALVAREZ – CHIEF EXECUTIVE
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MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER ,
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MR. VIKAS SINHA - SENIOR VICE PRESIDENT
(STRATEGY) , CIE AUTOMOTIVE INDIA LIMITED
MR. OROITZ LAFUENTE - BUSINESS CONTROLLER ,
CIE AUTOMOTIVE INDIA LIMITED
MODERATOR : MS. VISHAKA MALIWAL - ICICI SECURITIES

CIE Automotive India Limited
October 17, 2025

Page 2 of 15

Moderator : Ladies and gentlemen, good day and welcome to CIE India's Q3 CY'25 Results Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Vishaka Maliwal from ICICI Securities. Over to you ma'am.

Vishaka Maliwal: Thanks , Swarnali. Good evening everyone. Thanks to CIE Automotive India Limited Management for giving us the opportunity to host the call.

We have here in the call the Senior Management represented by Mr. Ander Arenaza Alvarez – CEO ; Mr. K. Jayaprakash – CFO ; Mr. Vikas Sinha – Senior VP (Strategy) and Mr. Oroitz Lafuente – Business Controller. Over to the Management to take this ahead. Thank you.

Vikas Sinha : Apologies for the delay in starting the call . Ander & Oroitz are in Spain and we were trying to connect them but couldn't. Then we used a very sophisticated technology, it is called off and on and that's how we got into it, but sorry for the delay. So we welcome Ander, our CEO. I will present CIE India results for Q3 C '25 and 9 -month C '25. We start with the Q3 C '25 results of the India operations on page six.

In Q3 C '25, India business sales were at INR 15,232 million, which marks the highest ever quarterly sales reported. The Indian operations have grown at 9% year -on-year versus Q3 C '24 and on a sequential basis they're roughly about 4.5% higher. The quarterly growth is higher than the weighted average market growth and significantly better than what we have seen in the recent past. If you would recall, we were about 3% growth in Q1 C '25, 7% in Q2 C '25 and 9% this quarter. So you can see the improvement trajectory. As discussed earlier, some of the new orders that were delayed and we have talked about them in the past are coming back on stream. The market growth, while not spectacular this quarter, has also been generally good and supportive. The light vehicle market grew by 5.6% in Q3 C '25, two -wheeler by 10 %-10.5% and tractors by about 14% in production terms.

The EBITDA margin in India for the quarter was 17.3%, lower both year -on-year and sequentially, mainly due to the energy tariff increase in Maharashtra, where many of our plants are located. We are working on improving our profitability to offset part of this cost increase in the next few quarters. So the impact is in the range of 0 % to 0.5% , which we will try and offset. Going forward, the market situation in India is expected to become more attractive as the effects of the optimization in GST structure, which will lead to lower taxes and hence lower prices for

CIE Automotive India Limited

October 17, 2025

Page 3 of 15

the retail buyer. As vehicles become affordable, most estimates suggest that the three -year growth CAGR could improve by 2.5 % to 3%. For example, the passenger vehicle market, which was expected to grow at a 3-year CAGR of 2% to 3%, which was the earlier forecast, now this could increase to 5% to 6%. And similarly, the earlier predicted 3-year CAGR of two -wheeler market could also increase by similar 2% to 3% points. Now, if these predictions translate into reality, they will represent a significant growth cumulatively over the next three years. The real impact of the GST reform can be gauged only after the festival season is over, because right

now, both the effects are overlapping and we'll keep an eye on the same.

Where there is a silver lining, of course, there are always headwinds. While the Indian market seems to be on an upward trend, the impact of enhanced tariffs on India

from the United States

is a dampener. While the situation continues to be fluid, currently, the US tariffs on the components for light vehicles are roughly about 25%, while parts meant for trucks, tractors, and off-highway vehicles carry a 50% tariff. So roughly, that is the basic classification. Light vehicles, passenger vehicles at 25%, trucks, tractors, and off-highway at 50%.

Now, compared to other countries like China and Vietnam, who are major exporters of auto parts and compete with India, the 25% tariff does not impose that much of a relative disadvantage. They are also within striking distance. But those parts which are subjected to 50% tariffs can be adversely affected if the status quo remains. There is an expectation that the tariff situation will settle down in the next few months. The impact on CIE India due to US tariffs is not very significant. Roughly about 1% of the revenue of Indian operations are in the high-risk category from US tariffs.

On page 7, we have the results for the European operations of CIE India in Q3 C '25. Sales at INR 7,866 million represent a growth of 18% over Q3 C '24. Now, this includes a positive exchange rate effect of 11%. On a sequential basis, the drop between Q2 C '25 and Q3 C '25 is around 5% to 6%. This is much better than what we have observed in previous years, though exchange rate has also played a part. So, there is a slight improvement. Q3 C '25 sales in Europe are normally lower than Q2 C '25 due to the three-week holiday in August. So, this is an improved performance compared to the last few quarters. There is some improvement in the market situation with the light vehicle production in Europe, except of Russia. That is, without Russia showing a nominal growth of 0.3% in Q3 C '25. The heavy truck production in Europe is estimated to have grown by roughly 18% in Q3 C '25. While the numbers are heartening, the situation in the European market continues to be sobering. The very low base from H2 of C '24 has played a significant part in this improvement that you are seeing. Overall, the market situation continues to be complex with stagnating EV penetration, variance on the part of OEMs to produce ICE vehicles due to environmental-related penalties and the increasing threat of Chinese imports. Now, these three factors we have discussed in past calls and these factors remain. So, the basic reality of the European auto market is similar. It is just that the base is making the numbers look better in this half of the year. The EBITDA margin in the European business for Q3 C '25 was 14.1%, which is lower on a year-on-year basis, but higher sequentially.

CIE Automotive India Limited

October 17, 2025

Page 4 of 15

If we adjust for the one-time restructuring cost that we incurred in Q2 C '25, the EBITDA margins are roughly similar on a sequential basis.

Given the uncertain market situation in Europe, our key priority is to defend these margins. We have been taking proactive corrective actions to adjust our operations to the changing market conditions. On page 8, we see the consolidated CIE India Q3 C '25 results. Consolidated sales for INR 23.1 billion at 12% growth over Q3 C '24. EBITDA INR 3.75 billion at a margin of 16.2%. EBIT INR 2.86 billion at a margin of 12.4%. And EBT INR 2.8 billion at a margin of 12.2%.

The 9-month C '25 results for our Indian operations are on page 10. Sales increased by 6% versus 9-month C '24 to INR 43.9 billion. The EBITDA margin was 17.8%. EBIT margin 14.1%. EBT 14.3%. And PAT margin 10.7%.

On page 11, we have the 9-month C '25 results for our European operations. The impact of a poor H1 C '25 has contributed to a 3% drop in sales to INR 24 billion. EBITDA margin in this period was 13.4%. EBIT 9.3%. EBT 8.2% and PAT 6.4%. On page 12, we have the 9-month C '25 consolidated results of CIE India. Sales were INR 68 billion, which is higher by 3% versus a 9-month C '24. The E

BITDA margin was 16.3%. EBIT 12.4%. EBT 12.2%. And PAT 9.2%.

So with that, let us proceed to Q&A, please.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Siddhant Dand: Hi. Just a clarification about our Mahindra sales. Just content for vehicle in M&M ICE versus EV. If you could repeat it again, what is it as of now and in the future model of M&M considering the good response?

Vikas Sinha: No, what do you want to know about that? I couldn't get that.

Siddhant Dand: Content for vehicle.

Vikas Sinha: Fairly similar, except for Scorpio and Bolero, our rupees per vehicle for other M&M models are fairly similar.

Siddhant Dand: And upcoming, any new technology that we are trying to get in over there or across OEM in electric?

Vikas Sinha: In EVs we are in aluminum , gears, forgings & stampings for four wheelers. So, these are the four areas where we are into EV for four wheelers. Bill Forge also includes a lot of exports of 4W EV parts . We are there with the gears, of course, very significant business. We are there with stampings with M&M, that's very, very significant business. And we are now moving into aluminum. As far as two wheelers are concerned, we have Bill Forge , you know that we supply races. We are the major players in races business. Races is common to both ICE as well as EVs.
CIE Automotive India Limited
October 17, 2025

Page 5 of 15

So, we are there. Of course, our aluminum business, which is has a big stake in the two wheeler business and composites for three wheelers and others. So, that's our basic EV spread, so to say, as far as segments are concerned. So, in terms of the parts that we supply, I think, if you remember last year's annual report, I think in that we had given the photographs, you can also look at it, but we have been developing newer parts also this year for EVs, especially in aluminum. So, in EVs, we have a fairly good spread in India and in terms of the customers also, we are fairly comfortable. We are there with the market leaders in all the three segments that I talked about, in two wheelers, three wheelers, as well as four wheelers.
Siddhant Dand: Okay. Talking about aluminum, what kind of margins are we expecting that business to have going forward? And right now, considering a lot of guys are struggling, competitors are struggling in aluminum, despite the growth ?
Vikas Sinha: Two things I would point out here. And the first, at CIE, and this is a philosophy that CIE follows worldwide, it does not matter whether it is EV or ICE, we work towards the same margins. There is, in fact, whether it is EV, ICE, or whichever segment that we operate in, or whether we operate from this geography or that geography, there is a base level EBITDA margin that we work towards. So, we don't believe that one segment should be at a lower margin forever compared to other segment. Coming back to aluminum, this business is not easy. Even for us, we have identified aluminum as an area where we have to improve. We have talked about it in the past. If you look at our aluminum business, it remains a step down subsidiary. So, you have the subsidiary annual reports to look at for the last 2-3 years, you can see the steady improvement we are making. But yes, we need to improve more. So, for us, I would not say that our EV margins are way off. On that count, EV aluminum parts are not very different from any other aluminum parts. We don't distinguish like that. Aluminum versus ferrous , we don't distinguish. For us, it does not mean that ferrous casting can be at 15% and aluminum casting can be at 5% . We don't follow that. That's the point we make, whether it is for EV or ICE. And if you want to just buttress this point, please.
Ander Arenaza Alvarez: Yes, I just wanted to r

reinforce that our margins in aluminum are improving in the last years.
However, we are still below our expectations and we are improving and working in the technology transfer from Europe to India. We have some engineers that are deployed in our plant here in India where they are training and showing how to work with more efficiency and reducing costs. So, that is our job. That's what we do around the world in all our plants in the different continents. I would say that the aluminum, when we entered, when we bought the company in 2019, was about 10% EBITDA. Now, it can be around 15%. But, okay, we continue working on the efficiencies. We continue working with the acquisition of higher added value components with higher tonnage machines and higher machining and assembly activities to be incorporated to the products, so that's the trend that we are following in the aluminum division. And we think that we will continue improving in the next quarters. The situation is stable, but we are pushing to continue improving in the next quarters, and we expect to grow this business in both ICE and also electric vehicles.
CIE Automotive India Limited
October 17, 2025

Page 6 of 15

Siddhant Dand: Wonderful. Second question, do we have any exposure to KTM in Europe and is there any chance to increase it because today itself Bajaj announced that they will try and get more parts from India to Europe for the KTM manufacturing?
Vikas Sinha: Siddhant , this is a specific point. I'll have to check this and get back to you.
Siddhant Dand: No issues. And, I think that's largely it. And something around, is there an export opportunity in casting that we spoke about? Is it still online or has it been hampered because of the duties?
Vikas Sinha: No, it's online. No problem on that.
Siddhant Dand: Perfect. Thank you so much.
Moderator: Thank you. The next question is from the line of Abhishek Kumar Jain from AlfAccurate. Please go ahead.
Abhishek Kumar Jain: Thanks for the opportunity and congrats for the same set of numbers. My first question on the Indian business. In 9 months CY'25 numbers , how much contribution of the Mahindra &

Mahindra? And how much YOY growth on the revenue ?

Vikas Sinha: What is contribution of?

Abhishek Kumar Jain: How much contribution from Mahindra in India business? And how much Y-on-Y growth ?

Vikas Sinha: Mahindra, exactly. I'll have to check that for us how much did Mahindra grow , but it would be in line with whatever they have been growing in the market. The last that we have compiled the data, Mahindra is close to about a third of our business in India.

Abhishek Kumar Jain: Okay. 1/3rd of business.

Vikas Sinha: Exactly.

Abhishek Kumar Jain: And how much is the tractor versus auto from the Mahindra business?

Vikas Sinha: We have not compiled it latest. So this is a little dated, maybe six months. As I said, Mahindra is 1/3rd of India. Two thirds is on light vehicles, which includes the LCV business. And 1/3rd is on tractors, roughly, these are just rough numbers.

Abhishek Kumar Jain: Okay. And in India business, how is the revenue mix in the passenger vehicle, two wheelers, CV and tractor?

Vikas Sinha: Again, right now this is a little dated from the same time period around February when we had compiled for the annual report. Light vehicles is roughly about 52%, two wheelers 21%, tractors

CIE Automotive India Limited

October 17, 2025

Page 7 of 15

18% and trucks and off roads and others are about 9%. So that's roughly again these numbers might change here and there based on the growth in this year, but roughly you can say close to half i.e. 45% to 50% comes from light vehicles, which includes LCVs , close to 1/5th to 1/4th comes from two wheelers and roughly about 15 %-20% from tractors , depending on how the market is behaving in a year . So thi s is roughly what you would see. Of course, we'll again compile

these numbers sometime later, maybe a couple of months later, and then we'll get the exact numbers. But by and large this is how it looks like.

Abhishek Kumar Jain: Okay. In India business, we have seen a very decent growth of the 9% to outperform the industry growth. So just wanted to understand, how is the outlook ahead , when it is expected that car sales will be strong annual 50% more than 50% comes from the car sales. So if you can throw some more light over there?

Vikas Sinha: In fact, yes. I t is expected to be better. But as I'm sure you're aware, the light vehicle market has not done that well this year. For example, if you look at the nine month number for the less than six ton light vehicle market, which is essentially passenger vehicles, including UVs and LCVs, that has grown only by about 4.6%. So that has been a little weak. In fact, growth this year has come from tractors, nine month growth of tractors was 13%, the market growth, and the nine month growth for two wheelers was 5.8%, which was also higher light vehicles . So yes, when things on light vehicles improve, we'll also improve with that. So you're absolutely right there. We expect to improve going forward.

Abhishek Kumar Jain: Absolutely. And my last question on the European business, basically, we see that excluding the exchange rate, growth is around 7% to 8%. We just wanted to understand how would be the European business growth, especially in the coming quarter? And how would be the current situation in the truck and off -road segment?

Vikas Sinha: As I explained in my opening remarks, I think the European market is similar to earlier quarters .

The light vehicle market in Europe , as I said, grew by 0.3% this quarter. And on a nine month basis, the light vehicle market in Europe has actually de -grown by about 2%. The light vehicle market is expected to remain like this. Even for the MH CV market, for which we have the latest it is about minus 2.6. The nine month MH CV growth rate in Europe without Russia is about minus 2.6. H1 was way worse and Q3 is a little better. But again, as I was mentioning, Q3 looks quite good because the base of last year was very bad. So the situation in Europe is not qualitatively different from what it was last quarter, or even two quarters back, the same issues remain, the market is stagnant at this point of time. And we expect it to continue like that. So optically, yes, you will ge t get some traction because of the base last year. But other than that, if you look at it, I don't think much has changed in the Eur opean market.

Moderator: Thank you. The next participant is from the line of Sridhar Kalani from Antique Stock Broking Limited. Please go ahead.

CIE Automotive India Limited

October 17, 2025

Page 8 of 15

Sridhar Kalani: Thank you for the opportunity, sir. Congratulations on the decent set of numbers. Firstly, on the Europeans, you have already explained us in very brief detail about the European business. Just wanted to understand, since we have included the Mexico operations under the European arm, if we set aside the Mexico business, is it fair to assume that the European business has grown in low to mid-single digit?

Vikas Sinha: Ander, would you like to take that? Basically, our European business minus Mexico.

Ander Arenaza Alvarez: Yes, the Mexican business margins are similar to the European ones. So, in terms of margins, there is no effect on that, okay? The turnover on Mexico is around 3 million euros -3.5 million euros per month. This is stable. In Mexico, we were expecting to grow further, mainly because we had a very important program awarded by American OEM, and it was a battery electric vehicle program. But unfortunately, because of the, let's say, subsidy elimination to the battery electric vehicles in US, we see that this program will probably continue, let's say, a little bit below expected during the next

2 to 3 years, okay? So, what we see is that in a stable business in Mexico, and this business is not affected. It's more or less similar to the European business margins, okay? So, no impact on that.

Sridhar Kalani: And what about the growth, like excluding Mexico, the growth in revenue terms in European operations, is it fair to assume it's in low single digit because the market, as earlier stated by Vikasji, that it's in, like, flat to slightly decline? Is it fair to assume our business has grown in low single digit in Europe?

Ander Arenaza Alvarez: Yes. This quarter, we have had this growth of 7%, mainly because of the, let's say, low base that we had last year. But the general trend of the European market, as Vikas explained, is negative. I mean, last year, in the calendar year 2024, the market dropped around 4% -5% globally. This year will continue dropping around 3% -4%. And for the next years, we expect to have a flat evolution, okay? So, all the forecast says that the amount of cars produced in Europe will remain stable around 16 million cars during the next 4-5 years. That means that we expect to have a flat or a slightly negative trend in Europe in the next years.

Sridhar Kalani: And how is the Metalcastel operations with respect to US supply?

Ander Arenaza Alvarez: Yes. In Metalcastel, you know that in Q2, we had this all the restructuring job as, let's say, the volumes compared to the previous years dropped importantly. Now, we are at about 45 million euros turnover per year. That is the range where we are. And we think that this will be a stable figure. We are exporting to the US, to our main customer, Caterpillar, in a, let's say, smooth ways. Market in US is still low, but, okay, we have a fantastic relationship with Caterpillar, and we continue developing the relationship. So, we expect we will maintain this situation in the next quarters. And in the midterm, we expect that all off-highway vehicle business will continue or will recuperate and will revamp. So, we will be able to recuperate part of the business. So, I would say that now we are in the lower side, in the valley of the business, and slowly we expect CIE Automotive India Limited

October 17, 2025

Page 9 of 15

to recuperate. And in the future, we expect to be in a better position. And regarding margins, after all these restructuring activities that we have done, the company is doing well now.

Sridhar Kalani: Okay. And my last question is with regards to, so, we had sold two years back the commercial vehicle business, and the proceeds of the same was with the parents. And we were getting interest income from the same. So, currently, is it the same situation that the proceeds are with the parent company?

Vikas Sinha: JP, would you like to take that?

K. Jayaprakash: No. The parent company, I didn't get that. We received, within the subsidiary, Galf or was holding the German operations. So, money came to Galf only. It was not outside the group.

Sridhar Kalani: So, I mean, it's still in Europe. Like, it has not been repatriated to India.

K. Jayaprakash: No, we have no reason to repatriate it into India. We use that money to fund, to retire the debt in Mexico.

Sridhar Kalani: Okay.

K. Jayaprakash: Part of it.

Sridhar Kalani: Okay. And just one question regarding the sunroof business, which is like, parallelly it has grown significantly from, I think, a Rs. 50 crore in the last 2-3 years to almost Rs. 300 crores. So, is that business, like any chances of that business being included in the Indian arm? Because it's an unlisted company, which is under direct control of CIE Spain and we have CIE Automotive India as a listed entity and the benefits of growth in that vertical is something which the minority shareholders are not enjoying?

Vikas Sinha: Sridhar, we have explained this in the past. I think the basic logic was that this is a tier 1 kind of business

with a lot of design support required, which they get from a centralized team and therefore it is run as a separate global unit within CIE and that's the reason why it has been kept separate. So, that logic holds for now. So, that's the arrangement that we have. Whether it will be reviewed in the future or not, at this point of time, we cannot comment. But as of now, it will remain as it is.

Sridhar Kalani: Okay. Thank you so much for the opportunity. All the best.

Vikas Sinha: Yes. Thanks, Sridhar.

K. Jayaprakash: Thank you, Sridhar.

Moderator: Thank you. The next question is from the line of Ruchi Jain from Asi t C. Mehta. Please go ahead.

CIE Automotive India Limited

October 17, 2025

Page 10 of 15

Ruchi Jain: Hi, sir. Good evening and congratulations for a good set of numbers. My first question t hat the way we are anticipated, some kind of possibility that Europe operation may stabilize and as in your initial remark you commented, we are not in anticipation now any kind of further improvement. Because we were earlier in anticipation that second half will be better. So, your commentary is like it is going to be not improvised. So, Indian operation is doing well. So, by considering all these facts, can we expect that at least we can grow some kind of close to topline somewhere close to higher single digit in this particular calendar year or consequently next year kind of thing?

Vikas Sinha : Let me first say that, of course, in Europe, H2 is always worse than H1. It's a seasonal thing. We know that there is a three -week holiday in August and roughly 1-1.5 week holiday in December. So, roughly about a month of production is less, again, very, very rough. So, H2 is always lower than H1. It's a seasonal thing and you can observe it over the years. In fact, if you look at the H2, the Q3 performance this year, and that is I was commenting and if you compare it with, say, drop from Q2, t he drop is not as much as you see every year. So, in a sense, there has been a little bit of an improvement compared to what H1 was showing. So, normally it is down, as I said, one out of six months is gone. So, that is roughly about 15%. So, it should be rough ly 15% down. It is not lower by 15% in this quarter and hence better . Of course, there is an exchange rate effect that is there. So, H2 is in fact, as per what we have discussed, a little better. But a lot of that little better is also related to the fact that H2 of last year was quite bad. So, optically you see good numbers. So, what we are saying is that the European market structurally at this point of time remains stagnant. You will see (-2), 0, (+2) growth in that range. You are not going to see anything higher than that. In fact, that C '26 forecast by IHS of the light vehicle market in Europe is roughly about (-1.5%) and roughly the same for trucks. So, that is the point. It is almost stagnant, like (-1) can become 0 or it can become (+1). It is a different matter. So, that is the point we are making. It is structurally like that. And that is what in that situation, we then have to control our costs, which is what we are doing. We have already done the re structuring operations in Metalc astello. And as Ander explaine d in a previous question, Metalc astello is now back to reasonable EBITDA margins. And if need be, we can look at costs at other places also in a similar manner. So, that is what we are trying to say. We have not said that there i s going to be an improvement in the market itself. If you remember, even in the earlier calls, we have said that for the next few years, we expect the production of light vehicles in Europe to remain in the range of 16 million to 17 million . That is the forecast. And that is the reality we have to work with. So, that is what it is. Optically, you are seeing a very good number in Q3. That is because of the base. But this yearly production of 16 mi

llion to 17 million units is going to be the reality

in Europe in 2025, in 2026, in 2027. Let us talk only about three years because after that, things can change. There could be more EV penetration. There could be pent -up demand when the CAFÉ norms become clear . So, that is what is being said.

Ruchi Jain: Yes, I agree, sir. But you know what I am trying to say, in the last phone call, you have also mentioned that certain product innovation, new product development, and certain customized requirements for the OEM also you are developing. So, on that front, sir, this development you
CIE Automotive India Limited
October 17, 2025

Page 11 of 15

feel is going to benefit for the Company and that will be sufficient enough because Indian operations are doing well. So, the question is that can we have such kind of development that will make at least what I mentioned that some kind of higher single digit kind of top line. So, it will compensate both as a costing restructuring strategy and here also some development, some demand environment that will compensate and we can have some kind of growth trajectory. That is what something I am trying to ask you t hat higher single digit kind of possibility because I know that your EBITDA margin is going to do it. You are doing very good as far as your margin control is concerned. If your growth comes, then naturally, the thing is that it is going to show in our financial performance as well. Over to you, sir.

Vikas Sinha: So, look, and I will, of course request Ander to talk more about it . In Europe, it is like a treadmill. You are running very fast to remain at the same place because a lot of changes are happening in Europe. It is not that the market is not changing. EVs are coming, they are roughly about 15% but they are a little stagnant at this point of time because people are waiting for the takeoff period when the expectation is a new version of battery will be available which will have significant higher range. S o, there is an expectation that it is going to come in a few years' time an d that

might happen. As far as ICE vehicles are concerned, the environmental norms are getting more and more stringent. So, that requires a lot of innovation. Of course, there is a lot of competition which is coming from Chinese makers and I think they are absorbing the higher tariffs. So, yes, when you say innovation is required, yes, innovation is required in Europe. For example, we are developing aluminum forging. For example, we are developing gears for crossover EVs for the US market. We are developing all of that. We have orders also for the same. But as I am pointing out, the market itself is going through a churn. Are they innovating? Yes. European companies are innovating a lot but it will not translate into growth because of all these factors, not for the next couple of years at least. After that again, as I said, if things change, there will be pent-up demand, there will be many other things. But as of now, this is what it looks like. And, if you want to amend any of the things that I have said.

Ander Arenaza Alvarez: No, you explained perfectly. Because what is really happening in Europe is that since some years ago, we had an expectation and also the forecast that all the EV penetration will grow up very fast. So, we will see the market share of the battery electric vehicles to be about 50% in the next 4-5 years. That was the hypothesis where we all were planning our production. So, in certain products, we are making the innovation on the, let's say, aluminum forging for electric vehicles and we are working a lot. But what is happening, and that's why all the automotive sector in Europe is suffering a lot, is that this battery electric vehicle penetration is much lower than expected. So, there is not reaching, the growth is not there. So, the volumes that we are producing for battery electric vehicles are much lower

than expected previously. And we think that this will also be much lower in the next 4-5 years. Then probably there will be, let's say, finally a quick increase once all the technical problems are solved, all the technology issues are solved, the capacity of batteries and also infrastructure installation in the different countries are completed, then we will probably see this jump. But during, I would say that during the next 3-4-5 years, we will have a transitional period where the battery electric vehicles and the CIE Automotive India Limited
October 17, 2025

Page 12 of 15

combustion engines will survive or they will be in the market together. And probably electric vehicles are growing slowly, but the base of the market will be the internal combustion cars. So, that's how we see the situation. And I can give you several examples of companies that are really in a very bad shape financially because they invested a lot for the battery electric vehicles and the sales are not coming. So, they are suffering a huge debt because of the investment done. So, that's the environment in Europe. I would say the environment in Europe is quite pessimistic due to that. But okay, let's see how this evolves and also let's see how the European politicians, I mean the European Commission, tries to solve or to adapt the laws to the new situation.

Ruchi Jain: Okay, understood, sir. Thank you, sir.

Vikas Sinha: Yes, thanks.

Moderator: Thank you. The next question is from the line of Viraj Raje Sangvi from Ambit Capital. Please go ahead.

Viraj Raje Sangvi : Thank you for the opportunity, sir. So, most of my questions have been answered. I just have one question for Ander. So, in Europe, can you shed some light on as to how has the competitive scenario for you evolved in Europe over the past 12 months to 18 months when the underlying volumes have kind of remained weak because it must have been difficult for the competition as well, right, especially some smaller players. So, have you seen some consolidation in that market and would it allow you to gain some market share over there while the outlook on the underlying volumes remain weak?

Ander Arenaza Alvarez: Yes, you are right. I mean the situation in the market because of the low volumes and excess of capacity are generating certain companies that are having financial difficulties. So, I would say that every week we see companies going to insolvency and the trend of the consolidation we are sure that will happen. It is not happening at least in our area. In certain customers we have got some businesses coming from this kind of consolidation, natural consolidation that is happening in the market, but I think this trend will continue and will increase in the next years. It's true that part of the suppliers in the European market will not survive. This is because of the difficult situation and the consolidation will happen. In certain other technologies, in CIE, this is already happening and we have had a couple of examples on this. So, yes, we expect that we will be one of the consolidators in this difficult market situation. So, you are right and your view is correct in my opinion.

Viraj Raje Sangvi : That was my question. Thank you, sir.

Ander Arenaza Alvarez: Thank you.

Moderator: Thank you. The next question is from the line of Raja kumar Vaidyanathan from RK Investment. Please go ahead.

CIE Automotive India Limited
October 17, 2025

Rajakumar Vaidyanathan: Good evening. Thanks for the opportunity. Sir, I have three questions. So, if you permit me, I will ask one by one. So, the first question is on the GST cut. I just want to know what is the impact of this on the three segments, two -wheeler, passenger car and heavy commercial vehicle? I just want to know, is it a game changer or is it going to just be a one -time kicker?

Vikas Sinha: So, the answer to your question is we will

have to wait and watch. Well, as you know, 22nd

September when GST changes were implemented coincided with the festive season, Navratri. So, we will have to see. Whether it is a game changer or a one -time thing. How long the effect lasts? Look, it makes vehicles more affordable. And we know that the car, two -wheeler and tractor markets, especially the car and two -wheeler markets are a function of affordability. So, to that extent, yes, it is a structural change. It should not be a one -time thing. But as I said, we will have to wait and watch because, for example, in the car market, it is also linked with the idea of the kind of vehicles people, high end feature -rich. So, if you are buying XUV 700, you may want the higher variant rather than the lower variant because of the GST cut. So, with the GST cut, more vehicles may not be sold as people shift to higher -end vehicles. So, we will have to see what happens. But it is a very significant move and it is a welcome move. And it will have an impact. It will not be a one -time impact of just 2 or 3 months. It will have a longer -term impact is what our assessment is at this point of time. But how much? We will have to wait and watch because as of now, there are two things that have happened, which is the reason why I am saying we have to wait and watch. Number one, it is coinciding with the festive season. So, the effect of the festive season as well as GST is mixed up. Number two, I think the inventory corrections in the supply chain also has to be taken into account from a production perspective. So, that also, once the inventory correction happens and it becomes stable inventory at, say, 25 days to 30 days of inventory in the supply chain, then we'll have a better assessment of what is going on. So, let's wait and watch. But we believe it is a structural one and it will have a longer -term impact than just a one -time thing. But the jury is still out. That's how I will leave it at that. Okay?

Rajakumar Vaidyanathan: Yes. Thank you so much. So, you're not seeing any kind of increased offtake from the OEMs because of this?

Vikas Sinha: You have seen the Q3 numbers. They are quite good. So, you have the proof of the pudding is always in the eating. So, you have the Q3 numbers, which include September, at least from 15th September onwards, people were preparing. So, you have seen an up tick. So, it is there. The question, your question was whether it is one time or it will remain for long. The answer to that is, let's wait and watch. But our hunch is it will remain for long. Our assessment is it will remain for a longer period.

Rajakumar Vaidyanathan: Okay, sir. So, the second question is, I see many of the NBFCs who are into this CV financing, they're all reporting higher NPAs of late. So, do you see any systemic issues here and how much it will have an impact on the demand side? Because we have also reported negative growth on the MHCV segment. So, I just want to know what is your take on it?

CIE Automotive India Limited

October 17, 2025

Vikas Sinha: The MHCV segment, you know, the Q3C25 degrowth reported by IHS, that's an interim number. Whatever it is, you know, on the truck market, I think there are a lot of factors that drive it and that's why it makes the truck market the most difficult to assess among all the segments. In trucks, it is not just a game of just affordability or, you know, replacement, because there are many things that are changing in the transportation sector itself. It is becoming much more efficient, newer technologies, AI, everything is coming. So, transportation is becoming more efficient, tools are being rationalized, over and above that, higher tonnage trucks are being used. On the negative side, there is enhanced competition from railways which is, putting up a concerted effort to take a share of business in long -term freight. Over and above

that, you have

financing and you have the GST cuts and so on. So, unlike in the other segments, where the GST cut has a direct influence on buying pattern, here there are many other factors which are at play and therefore it is not easy to assess what the truck market will look like. Going forward, it has always been very difficult. In fact, when we speak to our colleagues who do forecasting and others, what I have observed and, you know, these are very senior people in the financial sector or even in the, from the OEMs, it is, we don't get the forecast for trucks right, because of the various factors as I said. So will lack of financing have an impact on trucks? Yes, it will have an impact. We'll have to get into further details of what is happening on the NBFCs, but will it have an impact? Yes, it will have an impact because it is a financed business, no doubt, I think the large majority of trucks, maybe 3/4th of trucks are financed. So, it will have an impact. But then

there are other factors also at play. So, again, the forecast as far as I see for the truck business, IHS is forecasting roughly about 5% next year. This year, you know, they are forecasting about 2% growth. the YTD number for MHCV growth is roughly about 5%. Only this quarter it was, they are saying negative. So, they are forecasting similar growth to the YTD Sept for next year. So, I think there will be some growth in the truck business. But then there are lots of factors at play. The transportation industry itself is changing. The number of trucks sold is a second order outcome of what happens in the transportation industry. And therefore, again, we'll have to see how much of an impact this NBFC thing has on the numbers. Because as I said, there are many other factors at play here.

Rajakumar Vaidyanathan: Okay. Thank you so much for the detailed answer, sir. So, the last question is in housekeeping one. So, you reported almost Rs. 1,200 crores of trade receivable as of June, which is almost double of regular numbers. So, has that situation improved in September?

Vikas Sinha: No. JP, did you get the question? The trade receivables?

K. Jayaprakash: Yes. The doubling of receivables was because we didn't do discounting in the quarter of June.

So, the receivable situation continues to be similar.

Rajakumar Vaidyanathan: Okay. So, it's back to normal in September. Okay.

K. Jayaprakash: Yes.

CIE Automotive India Limited

October 17, 2025

Page 15 of 15

Rajakumar Vaidyanathan: Got it, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Ander Arenaza Alvarez: Okay. So, I would say thank you to all the participants for the good questions and the interest in our company. I also say thank you to all our team in India that is working in a fantastic way to develop the business and to continue our growth and margin improvement path. And I would like to wish you all a Very Happy Diwali in the next days. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: Transcript edited to improve quality of communication.

Call: Feb 2026

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NSE Symbol : CIEINDIA

Dear Sir / Madam,

Sub: Transcript of CIE Automotive India Limited Q4 & Full Year CY2025 Post Result Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 11th February, 2026 in respect of advance intimation in relation to Q4 & Full Year CY2025 Results Conference Call, please find enclosed herewith transcripts of the said call held on 20th February, 2026.

The same is being uploaded on the website of the Company at the following weblink:

<https://www.cie-india.com/periodic-public-information8.html#Quarterly-Result-Calls-and-Transcripts>

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj V. Goyal

Company Secretary, Chief Compliance Officer,

and Head- Legal

Membership No. F 13037

Encl: as above

Page 1 of 17

"CIE Automotive India Limited

Q4 CY '25 Earnings Conference Call "

February 20, 2026

MANAGEMENT : MR. ANDER ARENAZA ALVAREZ – CHIEF EXECUTIVE
OFFICER –CIE AUTOMOTIVE INDIA LIMITED
MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER –
CIE AUTOMOTIVE INDIA LIMITED

MR. VIKAS SINHA – SENIOR VICE PRESIDENT
STRATEGY – CIE AUTOMOTIVE INDIA LIMITED
MR. OROITZ LAFUENTE – BUSINESS CONTROLLER –
CIE AUTOMOTIVE INDIA LIMITED

MODERATOR : MR. SMIT SHAH – ICICI SECURITIES LIMITED

CIE Automotive India Limited
February 20, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to CIE Automotive India Limited Q4 CY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Smit Shah from ICICI Securities. Thank you, and over to you, Mr. Shah.

Smit Shah : Good afternoon, everyone. On behalf of ICICI Securities, we would like to welcome you all to CIE Automotive's Q4 CY '25 Earnings Conference Call. Today, we have with us from the management team, Mr. Ander Arenaza Alvarez, CEO; Mr. K. Jayaprakash, CFO; Mr. Vikas Sinha, Senior VP, Strategy; and Mr. Oroitz Lafuente, Business Controller. We will start the call with brief opening remarks from the management team about the quarter gone by, and then we'll proceed with the Q&A session. Thank you, and over to the management.

Vikas Sinha : Yes. Thanks, Mr. Shah. I welcome all the participants as also our CEO, Ander. We will present CIE India results for Q4 CY '25 as well as full year CY '25. We refer to the investor presentation that we had uploaded last evening. Let me begin with the section that provides an overview of the company. Page 5 shows the legal structure of the company, where there has been a small change in CY '25. BF Precision Private Limited, which used to be a direct subsidiary of CIE India, stands dissolved by the Hon'ble National Company Law Tribunal, Chennai with effect from 5th June 2025.

Pages 6 and 7 provide details of CIE India's geographic, technological and market -wise segments. Plants in India accounted for 65% of the company's sales and the rest of that 35% came from Europe and Mexico.

There has been a revision in the way we report sales in these two geographies. For historical reasons, the Mexican forging plant was clubbed under India. But after the capital increase subscribed by Galfor, Mexican activity became a subsidiary of Galfor, CIE Galfor that is in Europe. So it is reported under Europe now from CY '25 onwards. So consequently, all the CY'24 numbers that you see for India and Europe in the presentation have been restated accordingly. So roughly, the breakup of sales is 65% for India, which is now completely India and 35% coming from Europe and Mexico. The Mexican operations is very small, roughly about INR3 billion.

Our India business is very diversified in terms of technologies and segments. In India, we supply to a variety of segments with the segment -wise dependence of our India sales in CY '25 is as follows: light vehicles, 53%; 2 - and 3 -wheelers, 23%; tractors, 13 %; and heavy trucks, 11%. In contrast, our European business is more focused on forgings, which is 80% of European sales and light vehicles, which is more than 50% of European sales.

Page 8 provides a snapshot of our key product categories in different market segments, including the emerging portfolio for electric vehicles.

CIE Automotive India Limited
February 20, 2026

Page 3 of 17

What you can see from the above discussion is that CIE Automotive India is unique as a large diversified auto components group with presence across many processes, product lines, locations and customers.

Let me now proceed to the section on Q4 CY '25. The results of the India operations for Q4 CY'25 are on Page 10. Sales of INR15.4 billion, which were 12% higher year -on-year. The sales growth was slightly lower than the corresponding market growth, but we would request you to

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look at the larger picture rather than just the growth snapshot in this quarter. There has been a steady improvement in the growth performance in the India operations over the last few quarters. The growth was 2% in Q3 C '24; 4% in Q4 C '24; 3% in Q1 C '25. And after that, a steady

improvement, 7% in Q2 C '25; 9% in Q3 C '25; and 12% in this quarter. In fact, this was the highest quarterly sales that we have achieved in India. As discussed earlier, some of the new orders that have been delayed are coming back on stream. We expect this improving trend to continue into the next few months. And when we discuss our annual results, we'll also talk about some specific reasons, which attenuated our growth rate to an extent on an annual basis. The India operations achieved an EBITDA margin of 16.8% in Q4 C '25 versus 17.1% in Q4 C'24 and 17.3% in Q3 C '25. The drop in margin is due to 2 reasons, energy tariff increase in Maharashtra state, which reduced margins by 0.3% and the new labor code impact on gratuity, which has a negative -- and one -off impact, it's a negative. One -off impact of around 0.8%. If we adjust for these 2 factors, the EBITDA margin for Q4 C '25 in India would be 17.9%. In Q4 C '25, EBITDA grew 9% year -on-year, EBIT 9% and EBT 12% in the Indian operations. On Page 11, we have the Q4 C '25 results for our European operations. Sales of INR7.8 billion in Q4 C '25 are 21% higher year -on-year versus Q4 C '24, but there was an exchange rate translation impact of 17% and the real growth in sales in euro terms was 4%. And this is very much reflective of what is going on in the market. The EBITDA margin in our European operations in Q4 C'25 was 12.7% versus 14.9% in Q4 C'24 and 14.1% in Q3 C'25. Margin reduction was largely due to the one -off restructuring cost at CIE Legazpi of EUR 2 million, which amounted to approximately 2.5% of sales. Adjusted EBITDA margin for Q4 C '25 would thus be above 15%. In Q4 C '25, EBITDA grew 3% year -on-year, while EBIT shrunk by 9% and EBT by 1%.

On Page 12, we have the consolidated CIE India Q4 C '25 results. Consolidated sales were INR23.3 billion, 15% higher versus Q4 '24 and fractionally higher sequentially. EBITDA was INR3.6 billion, EBIT INR2.6 billion and EBT INR2.6 billion, higher year -on-year by 8%, 4% and 9%, respectively.

Let's move on to the section on full year CY '25 results.

The full year CY '25 results for our Indian operations are on Page 14. Sales increased by 8% versus CY '24 to INR15.4 billion and this growth was actually double digit during the second half of the year. On a yearly basis, the growth was close to the weighted average market growth, but it could have been higher.

CIE Automotive India Limited
February 20, 2026

Page 4 of 17

We would like to highlight a few reasons that reduced our sales growth. First, the restructuring of our business portfolio that we are carrying out at our aluminum and magnetics verticals. Second, the way we recognize sales for a few categories at our aluminum vertical, wherein only the value add is being recognized Q4 onwards. Third, in a couple of large customers, some of the new platforms where we have a high share of business did not grow as expected. For example, in the CNG bike, which did very well in Q4 C '24, but the corresponding sales in Q4 C'25 were much lesser, maybe roughly about 10% of what was in the corresponding quarter last year.

In the next few quarters, we have some good projects, both domestic and exports, lined up for start of production, and this should help our growth performance. The outlook for the Indian automotive industry is positive. The reduction in GST levied on th

e Indian automotive industry

in September of last year led to an immediate jump in automotive sales across segments, and we expect this positive momentum to continue in the current year.

The EBITDA margin of our Indian operations in CY '25 was 17.5% versus 18.2% in CY '24. The gratuity implication of the new labor code had a negative impact -- negative onetime impact of INR132 million. That is about INR13 crores in CY '25. Please also note that CY '24 margins were boosted by 0.4% due to the extra subsidy of INR220 million received by the aluminum vertical in Q1 C '24. On a like -to-like basis, CY '25 EBITDA margins in India were same as that in CY '24. While sales grew 8% in CY '25, EBITDA grew 4%, EBIT 3%, EBT 6% and PAT by 6%.

On Page 15, we have the full year CY '25 results for our European operations. Sales increased by 2% versus CY '24 to INR31.9 billion. In euro terms, sales declined by 6%. As can be seen on the table to the right, there was a small drop in production in both light vehicles and MHCV segments. The European forgings market, our largest vertical in Europe, continues to be weak on account of competition from China as well as India and also transition to EVs. This had a cascading effect with EBITDA declining 14%, EBIT 22%, EBT by 16% and PAT by 13%. Our European business showed its resilience by recording an EBITDA margin of 13.3% versus 15.7% in CY '24. The CY '25 EBITDA margin was lower by 1.5% due to onetime restructuring costs at the Metalcastello and Legazpi plants. So if you add that 1.5% to 13.3%, we are more or less close to the 15% mark that we are targeting. PAT continued to be healthy at INR2.1 billion in CY '25 in spite of a second successive year of decline in net profits.

On Page 16, we have the CY '25 consolidated results of CIE India. Sales were INR91.2 billion, which is 6% higher than CY '24. Growth trend accelerated in the second half of the year, supported by Indian markets positive sentiment. The EBITDA margin was 16% versus 17.3% in CY '24, EBIT 12.1% versus 13.4% and EBT 11.9% versus 12.6%. Of course, there are exceptional costs that we have talked about earlier. The consolidated PAT in CY '25 is INR8.3 billion, almost same as last year. But if we exclude the exceptional costs on gratuity in India and restructuring in Europe, consolidated PAT would have grown by roughly 3% to 4%. Next up is the section on balance sheet and cash flows. On Page 18, you will see our abridged consolidated balance sheet, which shows the healthy state of CIE India. Return on net assets is 18.4%, a tad lower than last year. A part of this is explained by forex translation inflating our euro assets, especially the goodwill on our balance sheet. Return on equity is 11.1%, largely due to CIE Automotive India Limited
February 20, 2026

Page 5 of 17

to the cash on our balance sheet. Net financial debt has further improved and is negative INR18.8 billion versus negative INR12 billion last year. We are actively evaluating organic and inorganic growth opportunities to utilize the cash on our balance sheet. The cash flows are shown on Page 19. The company generated operating cash flows to the extent of 71% of consolidated EBITDA. Growth capex was INR2.3 billion, concentrated mainly in India. Overall capex was INR3.8 billion, which is within our norms of 5% of sales. As PAT has remained almost similar to that in CY '24, the Board of the company has recommended dividend payout of INR7 per share, which is same as last year. This, of course, is pending approval in the AGM scheduled later in the year. We move on to the summary of our strategy on Page 22. The market trends in the two primary geographies that we operate in, India and Europe are slightly different. The strategy adopted in these two geographies reflects these trends.

We are confident in the short - and long -term potential of the Indian automotive market. India is one of the priority global markets identified by our parent CIE Automotive. We'll continue to invest in expanding our production capacity within India to cater to both domestic and export customers. The focus in India is on strengthening our customer portfolio, prioritizing high - volume value -added parts and developing a product portfolio for EVs. We have identified product categories that will drive growth in each of our business verticals. At our Bengaluru forgings operations, for example, we are developing low -pressure fabricated fuel rails for petrol and CNG vehicles as well as large fully finished precision forgings for vehicle drivelines. The aluminum business is developing competencies for different housings that will be used by electric 2 -wheelers and electric 4 -wheelers. The aluminum vertical is also planning to develop capabilities in high -tonnage machined castings. The iron castings business is focused on increasing the proportion of machining in its portfolio and is adding capacity and technology for the same. The stampings business is focusing on high -tonnage press panels, which may require investment in new press lines. The gears and composite verticals are upgrading process technologies to cater to EV requirements, among other projects. So there is a whole slew of growth projects, which are planned.

On the other hand, the European automotive industry is dealing with uncertainty around transition to EVs and competition from cheaper Chinese cars. Light vehicle production in Europe is expected to remain stagnant in the next 2 to 3 years. In Europe, we are focused on optimizing margins and protecting profitability and are adapting our manufacturing facilities to evolving volume requirements. We also seek additional business opportunities as the supply chain consolidates. While the pace of EV adaptation in Europe is slower than anticipated, the company is developing products for the EV platforms being launched.

The next few pages after that present market statistics and forecasts from relevant sources, followed by the results submitted to SEBI in the prescribed format. CIE India's approach has been to attain an optimal balance across growth investments and returns. The company expects that its mix of organic and inorganic growth strategy will help it meet the aspirations of its stakeholders. Sorry for a slightly longish opening remark, but now we can proceed to Q&A.

Thank you.

CIE Automotive India Limited
February 20, 2026

Page 6 of 17

Moderator: First question is from the line of Nishit Jalan from Axis Capital Limited.

Nishit Jalan : Congrats on a good set of numbers in India. Two questions from my side. First is around India, can you talk about a little bit about the new order wins, which you have talked about that some

of it got deferred and are panning out now. Even if you can't name the clients, I would understand. Maybe just give us some colour around how big those orders were, what led to the delays? And how should we assume this to ramp up over the next few quarters? Just trying to understand how meaningful these orders are. And how much can it lead to a stronger growth in our business over and above the industry growth. So some details on what got deferred and anything on new order wins that you can talk about.

My second question is in Europe. I think in the last few quarters, we saw a restructuring around Metalcastello and now we have seen in one of the PV names. So just wanted to understand how are we looking at this business? And are there more cost that we will need to incur over the next 1 to 2 years to restructure the European business to kind of align to lower volumes because your commentary or IHS commentar

y around European PV industry is negative for the next 2 to 3 years as well, right? So these are the 2 questions I have.

Vikas Sinha: So new order wins I'll talk about. In the opening remarks, when I talked about some of the projects that we are highlighting in our strategy section, I think those are the ones that are coming on board, some of which will require newer capacity also. But from earlier orders, the main one which was delayed to an extent, was CIE Hosur, which we have talked about. It's a very excellent plant that we have and -- but we took a little bit more time to fill that up. So now it should be reaching full capacity in the coming quarters. And that's a pretty significant large number plant that we are talking about. The other start of production, which is not delayed, we have large export orders in our iron castings business that we should start around the middle of this calendar year.

In terms of the new order wins, some of the things that we talked about are low-pressure fabricated fuel rails, inner races at our Bengaluru forgings. We're increasing our share of business in the races where we already have very high share of business there. Aluminum is developing a whole set of portfolio. We talked about the portfolio restructuring that we are doing and we are definitely looking at a lot of new parts in our aluminum HPDC business, some of it still under discussion. that may not rectify this year. The others that we have talked about for this year, gears and composites, of course, they are growing quite well, stampings is growing quite well. We have got a lot of press panels that we would require. It may also require a bit capacity or maybe debottlenecking for capacity addition.

So as I said, if you see how much it can add, of course, we don't make forward-looking statement, but I would certainly say, if you look at the trend that I highlighted, quarterly growth trend.

Hopefully, it will continue in that direction. We are talking about the numbers precisely in the last 3 quarters -- our growth numbers were in the last 3 quarters, 7 %, 9% and 12 %. Hopefully, that arithmetic progression can continue. So that is what I would say on India. On Europe and any other thing that Ander wants to add, I'll request Ander to join.

CIE Automotive India Limited

February 20, 2026

Page 7 of 17

Ander Arenaza Alvarez: Just to be specific on the new project allocation last year in calendar year '25, we got new businesses for a value of INR8.7 billion per year, in India and around INR2.1 billion per year in Europe. In India, approximately 10% of these new businesses are for EVs, 90% are for internal combustion engine. That's the share that we got last year. And what I think it's important to say that in this moment, we are opening and we are expanding our plants in most of the verticals. We are planning to expand our composite business, we are expanding also stamping business, we are expanding the aluminum business. So let's say that there is a huge ramp-ups coming up, iron foundry is also, as Vikas explained, we will start ramping up the new project for an export program to U.S. in mid of the year. Approximately, the SOP will be in June. So the expectations are really, really good. Probably it's the best time, and I think that everybody knows that the automotive industry in India now is having a boom, especially after solving the tariff issue with U.S., I think in a proper way with this 18% tariff that was negotiated between Mr. Trump and Mr. Modi. So I think that is -- we have eliminated one uncertain point that we had in -- for exports. Also the free-trade agreement between Europe and India will boost the demand of Indian components, especially in certain technologies like forging and iron casting. So I think that is also a very good move. And on top of that, the GST reduction that the Indian government accomplished last year -- last

September, is now paying its fruits and is coming -- the demand and the boom -- of the demand is coming.

So we are very optimistic on the future. We see that the trend is positive and most of the businesses are recovering. And in fact, we are adding capacity in very fast mode in order to cope with the demand that is -- our customers are claiming. So that would be my message on the future. You know that I'm usually very conservative. In this case, I can say that India is in a

very good path. And the company is doing well and automotive sector in India will be one of the winners in 2026 for sure.

And coming back to the European question. Yes, this 2025, we had 2 restructuring activities in Europe. One was done in Metalcastello during, I think, it was Q2 2025. After this restructuring, the restructuring is finished. I mean, the company and the manpower capacity is adapted to the new demand scenario. We are waiting for the growth on the next year. But okay. Right now, we are perfectly aligned with the current capacity. So there is no any additional restructuring expected in Metalcastello in the next quarter -- in the next few years. So that's for us is sold and the profitability of Metalcastello is now again in the profitability that we had before the downsizing of the business. So Metalcastello, we can say that it's closed. Regarding the Legazpi plant, we made this first restructuring activity. And now we are waiting for the market behavior. In Legazpi, we made a big bet on electric vehicle components. You know that, unfortunately, the electric vehicle, let's say, share is not going up or it's going up but slower than expected. So we are waiting for this, let's say, growth -- electric vehicle growth to come in Europe. So if the volumes come and we, let's say, we are able to produce for these different carmakers, these components, we will probably in a good shape. If the electric vehicle delays more, perhaps we will need to do some additional activity. So it will depend on the market evolution, especially on the electric vehicle.

CIE Automotive India Limited

February 20, 2026

Page 8 of 17

Nishit Jalan : Thank you so much for detailed answer and positivity on India business. Just one last follow-up on India's aluminum casting business, right? We -- obviously, since we have acquired this company in the last 3, 4 years, it's been all flattish or low single-digit growth, right?

We acquired it for one big customer. So just wanted to get a sense, aluminum casting as an industry seems to be doing well. Have you been successful in adding more newer customers or getting more orders? So should we expect growth to revive in this vertical as well because this is something which is -- which the expectation is that this segment as a whole is going to become big over the next few years? That would be my last question.

Ander Arenaza Alvarez: Yes, we expect to grow in this vertical. Also, we are already adding additional customers. We have, in fact, added new customers. And we are entering into a bigger tonnage components, I mean, higher added value components that we are launching. I mean, we are now in the investment phase, and we expect to start production during calendar year '26. I mean, I would say in the Q3, Q4 of calendar year '26. So that is a fact. Also, we are working with other customers to add new products to our portfolio, and we will probably launch a new factory for these products. So yes, we expect that the aluminum business will go up. You know that till now, our performance was not very good because in terms of sales because we were -- we are mainly dependent on Bajaj 2-wheelers. And also with the CNG programs that did not succeed, and we were caught on that CNG drop. But in the near future, we are expanding our portfolio. We are expanding our customer base, and we expect to have a great aluminum division in India with further factories.

Vikas Sinha: And in aluminum, as I pointed out, there was a little bit on the sales recognition side also. So cumulatively between CNG and that issue, there was a significant drop on the growth side because of that. So otherwise, as Ander pointed out, we are very optimistic about aluminum and looking at a lot of additions. Of course, we are considering a lot more than Ander has talked about, but we'll come back at the right moment on what further we are doing there.

Moderator: Next question is from the line of Apurva Desai from Kotak Securities.

Apurva Desai: So I just had one quick question to ask you. So in your balance sheet, you -- it was -- I noticed that there was the net loans driven due in the quarter to the tune of INR2.3 billion. Could you add a bit more light on that? And that is the only question that I have.

Vikas Sinha: Apurva, can you just repeat. JP, he didn't catch it fully. So on the balance sheet, what is the issue?

Apurva Desai : Sir, you have a line item regarding net loans, which were given during the quarter. It was during -- so I'll just tell you the numbers. So it was INR 2.3 billion during the quarter?

K. Jayaprakash: Yes, yes. So we have good cash generation in Europe. And our loans -- and we invested within the group at a good market rate. So we had a good cash flow in Europe, where we reduced our debt as well as we were able to deploy the surplus in loans within the group.

Apurva Desai : Okay. So was this related to just the Europe entity? Is that so?

CIE Automotive India Limited

February 20, 2026

Page 9 of 17

K. Jayaprakash: Yes, it is entirely in Europe.

Moderator: Next question is from the line of Ganeshram from Unifi Capital.

Ganeshram: I just want to drill a little bit more into what Nishit was saying. If you could just give us a quantitative sense of the new orders that have been slow that you expect to ramp up because the divergence between industry growth and CIE growth in India has been material.

So that would help. And also, what was the extent of the impact because of the change in aluminum reporting -- if reporting was not changed, what would have been the growth in the India business?

Vikas Sinha : you are saying that the difference between our growth and market in India , at least in Q4 was quite material. Otherwise, over the entire CY '25, the difference between the market growth and us would not be that much. In Q4, it was, as I said, a large part of that explanation is due to just 2 factors. One is the impact of sales on the CNG bike as well as this change in reporting. That would account for, I would say, a large part of the discrepancy between the market growth and us in India. Let's not get into assigning actual numbers around that because that's a part and parcel of business. But the point we are trying to say is it's not that there is a certain loss of business or anything like that. That's as far as your explanation with market growth is concerned. On your second thing around new orders, I think to be very simple -- Ander talked about the order book addition and generation in CY '25, normally, that is the rate at which we add orders in India every year , anywhere between INR 8 billion to INR 10 billion of new orders we almost add every year. So there has been no slackness in addition of new order book . It has been in this range. If you refer back to our commentary at the same time last year, you will hear the same thing. The numbers were pretty much, I think, around the same number. Maybe this is -- this year is slightly higher. But that's the case. We add about INR800 crores to INR 1,000 crores every year. So that addition is there, in which areas we have just talked about, both in the opening commentary and the question that Nishit had asked.

And Ander has specified almost all verticals. If you look at this, he mentioned

almost all verticals

where we are growing except maybe magnetics, where we may be requiring some like either enhancement in capability or enhancement in capacity that may be required. And it includes -- we are considering a whole slew of options, including debottlenecking, brownfield, greenfield. Of course, our preference would be to do it as quickly as possible, so between the first and the second options, but we are considering all options. So I would say that, yes, order book is not an issue.

Now coming back to your question, can we be -- how much with relation to the market growth rate in CY '26. Again, I would say, let me not directly answer that question. But again, to Nishit, I tried to point out that if you look at our growth trajectory every quarter, we have been improving, and I think we'll keep on improving. If you can allow me to end my answer there that would be that. We would be improving.

CIE Automotive India Limited

February 20, 2026

Page 10 of 17

Ganeshram: That's very clear. And just one last question is incrementally, are there any areas where you're seeing a degrowth or weakness? Or is it your view that most of the weakness is already in the business? And how do you sort of mitigate the foreign exchange volatility do you have any ongoing headwinds?

Vikas Sinha: On where the weakness is there, in our opening remarks, I said that we are going through restructuring in our aluminum and magnetics business. I think magnetics business, obviously, it's a very small business. And I think when our annual report comes out, you will see the sales number there. It's a very small business, less than INR200 crores. But yes, it faces a lot of competition from Chinese suppliers as well as a lot of technology changes that are happening there. So we have to up our game as far as magnetics is concerned, to be more competitive, in fact, on a global basis, we must do that.

Also Aluminum, Ander has talked about how we are looking at product portfolio changes, how to meet the requirements of our anchor customer better there. So we have worked a lot. And I think you could have heard from the optimism in his voice about that business because the team has worked really hard for the last 2 or 3 years. And as I think you or the previous questioner had pointed out the aluminum business was a little stagnant for a couple of years, and I think that was the time spent in restructuring some of the operations. Is it fully done ? Answer is no. It is always an ongoing process. And -- but we are at that stage where we can feel confident about placing a lot of bets on capex in that area, which we will do in aluminum now because as you have pointed out, aluminum business will certainly -- have certainly a good future in India, given electrification, given light-weighting and everything else. So not just 2-wheelers, I think 4-wheelers will also be a good area for that business, and that is certainly what we are looking at.

Moderator: Next question is from the line of Pratik Kothari from Unique PMS. The line for the participants

dropped.

The next question is from the line of Khush Nahar from Electrum PMS.

Khush Nahar : So, my question first if you could tell us how much is your manufacturing capacity that we have in Europe versus India? And then a follow -up on that, as a strategy, do we see some capacities being shifted to India since like you mentioned, we are seeing a very strong domestic growth over here. So we are faster to market in that way and also exports because of the trade deals that has already happened with EU and U.S. compared to having a manufacturing setup in Europe where costs are comparatively higher?

Vikas Sinha: As I said in my opening remarks, Europe is largely forgings and gears for us. Almost 80% of Europe is forging and 20% is gears. And in India, we are looking at capacity addi

tion in every

area, iron castings, aluminum, magnetics, stampings. So those have -- like -- the one area where there is an overlap is forgings. In gears, Ander, pointed out, the business is doing quite well in Europe after the restructuring. We are back to the pre -restructuring margins also, which is pretty much high double digits. So that -- so the question is around forgings, we do think -- Ander did mention in his earlier remarks that forgings and iron castings are two areas where you do see a lot of churn happening from Europe to other emerging nations.

CIE Automotive India Limited

February 20, 2026

Page 11 of 17

It is not necessarily India. It can be other places also. These are those two areas, and we will consider what can happen in forgings. A lot of it depends on what the OEM wants, but I will ask Ander to opine on that.

Ander Arenaza Alvarez: And just to give you some more details . We are moving -- we are planning to move certain capacity from our European sites to India. We are executing this plan. I mean, probably by April, we will start moving some presses, fully automatized presses, also some gear production cells that we will transfer from our units over, let's say, overseas to India. So we are doing this activity. And we are -- on top of that, we are increasing our capacities in India. I told at the beginning that we are expanding our factories, and we -- last -- during this week in the different operational reviews that I had with each of the verticals.

We approved certain factory expansions in composites, in stampings, in aluminum. I mean, we see a lot of activity here, and we are preparing ourselves to increase our capacities to, let's say, to take the advantage of the growth that is coming. We have already the orders from the customers. We -- I think we are preparing everything.

And my message would be that we could have done this before that could be one of the questions from the investors. And the answer is yes, but we decided to do it in the same way with -- in a conservative way, I would say, with the proper teams in place with the capacities, with the technology, so we can -- we will not fail to our customers in all these ramp -ups that are coming. So we are quite confident that we are a very solid company, very reliable company, and that's what we have been trying to do. And we will see this growth coming steadily, and we will see also improvement in our margins in the company. So we are quite satisfied. I mean, the Board - - our Board yesterday was also satisfied with the evolution and with the security that we are giving to them. So that's the approach that we have. And coming back to your question, yes, we are transferring certain capacities that makes sense to India to increase our potential capacity here to cope with the demand.

Khush Nahar : Right, sir. So just one follow -up on that. So just want some clarification since this EU India FTA has happened. So since you already have a presence in Europe in a certain way, so once we shifted, do we see that our wallet share with our existing customers and onboarding new customers have become easier because since we already have a presence and then we have a cost arbitrage also to offer to the customers?

Ander Arenaza Alvarez : Yes. What we are doing is as we have the customers in Europe and the customers are approaching us in India, we are negotiating with them the proper way to get the advantage of Indian cost and also get the advantage of our reliability being close to them in Europe. So yes, we are working with them on that. Some -- during some period, they were reluctant to work in that way, I mean, making this mixed solution. Now looking at the geopolitics, looking at the risks that they are having, especially with all what's going on with tariffs, with wars -- war in Ukraine, the different logistic issue, difficulties that are happening in the world

, they are very,

very keen to work in the way that we were proposing. So we think that our proposal is a win - win proposal where we use our capacity and our lower costs in India, but we give them the safety and the assurance of the proper delivery and lower risk in the deliveries and of course, in the

CIE Automotive India Limited

February 20, 2026

quality because we can react immediately from Europe. So I think our position is probably the best in the market, and we will take advantage of that.

Moderator: Next question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari : Because this aluminum recognition change, this happened in Q4 for alone or was it for the full year?

Vikas Sinha : Largely in Q4, but the impact is for the full year, of course.

Pratik Kothari : Correct. Because if we look at the tractor contribution, I mean, well tractor industry has grown at 15%, 20%, we see a 20% degrowth. INR1,000 -odd crores has gone to INR800 crores. What explains that? What happened there?

Vikas Sinha : Where are you seeing tractor degrowth?

Pratik Kothari : So last year, tractor was about 18% of our revenue mix, it is 13% right now.

Vikas Sinha : I don't think Tractor has degrown. Possibly, we can check the number. It's about how -- those are approximate breakups. I think tractor as a proportion has come down a little bit, but I think there, there might be some more revenue recognition. I don't think tractors has come down. In fact, in Q4, the tractor growth -- market growth rate in production was higher than the 20%. And in fact, it was closer to 30%, and our growth rate was even higher than that. So that is -- tractor is not a problem for us. In fact, tractor was a savior for us in Q4.

Pratik Kothari : No, I meant for the full year. But -- and you stand by this comment that had this aluminum recognition and CNG not been there, we would have seen industry -- our weighted average industry growth which is about 20% ?

Vikas Sinha : I don't want to get into very definitive statements. It would have been much higher.

Pratik Kothari : Reason to ask is because the underperformance for now seems very, very material. I mean 21% weighted in the average industry versus 12% for us. So -- and this is at times when we were expecting the older orders to start and hence, we should have done even much better than industry. And so it's a very negative surprise, honestly, and hence this question.

Vikas Sinha : Of course, like the gap that we are talking about, I think, largely has come from that area, but it will definitely not explain the full thing. That's more for our relevant weighted average, it will be closer to 17%, 18% for us, and that gap would have been closed to a very large extent because of these two reasons, they were very material. Let me put it this way, let's not get into definitive numbers but it was very, very material. Let's put it this way. I don't want to make any excuses saying this is the reason why that growth has happened. We do recognize that we need to do more growth. There is no question about that and that is the reason why we would rather emphasize on what are the new projects and new capacities that we are looking at rather than just trying to explain this and that.

CIE Automotive India Limited

February 20, 2026

Yes, it did make a difference, but that's part and parcel of the business. So yes, it explains the reason why we are giving that explanation is only to give an assurance that we are not doing something wrong. There is not anything drastic that is going on, which might occur to some people. Everything is all right. In fact, our new order book, capacity additions, the condition of our plants, all of them have improved significantly our ability to serve the customer. Everything is way better. As I said, some of the new plants that we are inaugurating are r

eally world -class.

So that is -- that is the only reason why that explanation is given, but I'd rather emphasize that new orders are there, new orders are picking up . We are considering new capacity, some are being added, some are being considered, and some will be considered. We will also look at inorganic growth opportunities, whatever we can . But as Ander said, could some of these projects have been done a little earlier? Maybe that question will always remain -- that is a criticism we'll happily take. But I would rather focus on this and rather than trying to explain this or that there. Yes, it's very material, the number for Q4.

Pratik Kothari : Correct. And lastly, on Europe, I mean why we say that we have betted heavily on EV. So -- but if you just look at data EV for the first time in December crossed gasoline vehicle sales in Europe, I think there was a 50% growth back then. So is it the Chinese EV, which is being sold, which we don't cater to and hence, we are not seeing any growth because EV is doing well in Europe in general?

Vikas Sinha : It is doing relatively less well, on a small base, obviously, you will see growth, but the EV penetration in Europe, if you look at it between CY '24 and CY '25 is 13% to 16%. So there has been an increase. So there is no denying the fact that there has been an increase, but that increase is much lesser compared to what we -- what would have happened in the number of platforms, etcetera, that have been launched. In fact, one of the reasons why the European auto industry is

struggling is because of the large investments that a lot of these OEMs have made in the new EV platforms and the new norms on the ICE engine side, on emission and so on. And a lot of investment are yielding no result. In fact, the market numbers -- production numbers as far as IHS is giving us is really stagnant between INR16 million to INR 17 million for the next maybe till CY30. IHS is reputed to be conservative. So hopefully, some pent-up demand will come at some point of time. But nevertheless, that's why the auto industry in Europe is struggling. Now to your question on whether EV growth is fully translating to demand for us in Europe . yes, you are right, it isn't, as the Chinese have their own supply chain, and everybody is struggling because of that. If the Chinese become bigger in the European market, then obviously, we'll have to make double the effort of entering their supply chain because they are OEMs we don't know . Neither CIE at the parent level nor we in India, know them . It will be a new OEM that we'll have to access. And Chinese OEMs will also have to be open to the idea of developing their supply chain in Europe and so on. So that's a long drawn process. So Chinese presence will obviously make life a little more difficult for everybody in the European supply chain . There is no doubt about that.

And therefore, we are considering what Ander just talked about , greater synergies between Europe and India subject to what the OEMs feel because at this point of time, even European
CIE Automotive India Limited
February 20, 202 6

Page 14 of 17

OEMs are willing to consider out-of-the-box solutions, which they were not willing to consider even 5 years back.

So the situation is a little different from India. And it will be managed differently. So to your question, yes, Chinese are making an impact. We don't have a presence with the Chinese OEMs. And yes, their growth does pose a risk to us. There is no doubt about it.

Moderator: Next question is from the line of Viraj from SIMPL.

Viraj : A couple of questions. First is on the European operations. So if one is to understand, say, the cost base for us and competition in Europe. So if we are at 100 and the kind of margins where they be at? And in relation to that, how is the consolidation played out so far? So in terms of new wins we got, is it from c

ompetition? Or any color you can give on that? And then the related

second part of the question is, if one has to understand the similar cost base to a facility from India or China, how does the dynamic work between the 2?

Vikas Sinha: Three big questions . what is our cost base compared to competitors in Europe. CIE is one of the most efficient producers in Europe, not just what is part of CIE India. But in general, our parent CIE Europe is , I cannot produce any study to prove my point, but perhaps the most efficient producer because if you look at the margins and the numbers that CIE generates in Europe. I don't think there's any other competitor, which is as efficient as the them, that's 1 point.

Now your next question was cost vis-a-vis India and Europe. Now that's a really complicated question because yes, India, there are some costs, which are low, some costs, which are high. For example, if you look at power costs, now power costs are not very low in India. There are states where the power cost is low, but there are states where it is extremely high. So it depends. yes, labour cost is low. Other costs are also low in India. But then you have to add logistics and so on and so forth. So frankly, difference will be there, but that difference will depend whether we are efficient in India or not. That is a point that Ander has been making for the last 7, 8 years now. But yes, if India has to -- or Indian manufacturing has to take advantage of any of these labour cost advantages, efficiency is most important. If the Indian plants are not efficient , it is not going to happen. Some of the best exporters from India are actually efficient. They don't export on the basis of just cost difference. They are actually efficient plants. So that was the second part to your question. And the third part, what was that? I think you're talking about shift. How do OEMs view the shift.

Viraj: Yes. Just to understand the consolidation. How has that played out? So is that reflected in our new wins?

Vikas Sinha: We do expect consolidation to happen, but consolidation takes a little bit of time. Consolidation will certainly happen. The average production of automotive cars in Europe, light vehicles in Europe used to be in the range of 19 million to 22 million per annum. Including Russia. Normally, we report without Russia, but I remember the numbers with Russia. So those are 19 million to 22 million post -- until about 2019. But after COVID, everything changed. I think after that, they have been hovering in the range of 15 to 17 million units -- 15 to 16 -- not 17 million -- mostly 15, 16 million.

CIE Automotive India Limited
February 20, 202 6

Page 15 of 17

So now if you see such a 20 to 25% reduction in production, obviously, there will be stress in the supply chain, and there will be consolidation. But consolidation takes time because the consolidation actually happens when the production goes out of the supply chain -- it is completely scrapped. That will take some time before that happens. And to your point, when it happens, we will definitely gain, as I said, CIE is one of the most competitive plants. We have some of the most competitive plants in Europe. So we'll gain -- will certainly gain as long as it remains in Europe. Of course, as I said, some of in forgings and iron castings, there will be a shift out of Europe also.

So as I said, yes, it will happen. Some of it will come to our plants in Europe and some of them will shift out to other emerging markets depending on which is the most efficient country for that to produce.

Let me say it is very uncertain. And that is the reason why there is so much stress Ander is putting on protecting profitability in Europe . If you look at our investor presentation also, that is a point that we are stressing because of this situation, which is uncertain .

So

mebody asked about Chinese competition, you are asking about consolidation. We are talking about change in norms, Euro 7 and all that . We are talking about electric vehicle. So these are very big changes that are happening in Europe. And I think that's the reason why we are stressing so much on protecting profitability before we talk about whether we can get this extra business or that extra business. Extra business will come because we are a good company. But over and above that, there are a lot of other factors. So in Europe, we need to wait and watch. India is much more straightforward, much happier situation. So there's a huge contrast in strategies between the 2 geographies.

Moderator: Next question is from the line of Rajas Joshi from ChrysCapital.

Rajas Joshi : So first question is on capex. Given the demand outlook and where we are currently standing with regards to capacity, what is the capex figure for CY '26 be?

Vikas Sinha: We'll have to wait for that. It is too early for that, but it will be higher than last year for sure.

Rajas Joshi : Understood. Secondly, on margins, our margin expansion journey, it seems to kind of have flattened. Where do we go from here in terms of margins?

Vikas Sinha: Margins were, in India or Europe?

Rajas Joshi : Both, so to speak, India specifically.

Vikas Sinha: Margins in India, Ander said will improve. This year, there were some specific issues that we have talked about, there was power tariff increase. And then there was the impact of gratuity, which was about 130 million -odd. Impact of power tariff was also substantial. So there was some diminution in margins in India because of that. But other than that, in India, Ander, mentioned that we are going to improve. That should not be an issue. In Europe, we are looking at protecting wherever we are at this point.

CIE Automotive India Limited

February 20, 2026

Page 16 of 17

Rajas Joshi : Understood. And lastly, with regards to growth, I just wanted to get some sense on strategy to break into non -anchor customers, be it, for example, like TVS or Honda or Toyota, just our strategy to break into those kind of customers where we have a lower exposure or no exposure, so to say?

And secondly, on opportunities outside auto, right, we've seen our peers, some of them have now begun to get exposure in, let's say, industrial powertrains or defense. So how are we looking at all those opportunities?

Vikas Sinha: As far as the other companies that we are talking about, I'll not get into names. As I said, we have 4 anchor customers, roughly that we talk about M&M is actually 2 customers, auto and tractors. And then we have Bajaj and we have Maruti. So together, they are good account for close to 50% of our business in India. And then there is a set of 10 to 15 customers who are in the range of anywhere between 1% to 5% of our India business . The largest among the lot will be Hyundai, Kia followed by Tata Motors. And then we have many such customers where we are trying to grow. Hyundai, Kia, Tata motors, these are focused for growth. There is Royal Enfield where we are growing, then there are some exports that we are talking about. So our focus is to grow these -- among these 10, 15 customers, at least a few of them, so that they become much larger for us. We are getting a lot of traction there . Our order book is not just with these customers, it is with other people. Among the ones that you named, yes, we are moving ahead with a few of them, not all. So we -- as I said, like on the non -anchor side also, we don't have an issue per se. It is a question of how fast we can grow.

On your question on non -auto -- defense and industrials, we are not considering. It's a very different business as far as we think the way the business model is, it is very, very different. We have some non -auto business, b

ut largely in composites and L&T is a very big customer for our composites business.

Of course, we include tractors in auto and not in non -auto -- including even off -road - customers like JCB and Caterpillar, we consider them as part of auto. So those are -- like Caterpillar is definitely a very big focus customer for us in our gears business, both in India and Europe, and it will be a growing business.

So other than these, I think the non -auto that people talk about defense, etcetera. No, we are not in defense, oil and gas. No, we are not considering that. It's a very different business model as far as we understand. And as I said, we have our hands full in our existing areas where there is ample opportunity to grow at a good margin, and that's why we will rather focus on that.

Rajas Joshi : And last one, sorry. On strategy, right? I mean, in this call, Ander earlier elaborated that we are planning to move some production from Europe to India. And on capex otherwise as well, there seems to be a positive outlook on this call. So just wanted to get a sense on, has there been any change in strategy with regard to either manufacturing for Europe from India now or on capex as well, a bit on that, please?

Vikas Sinha: Manufacturing in India was always a priority. What Ander did mention was we could have done some of the things that we are trying to do now a little earlier. But I don't think there was any CIE Automotive India Limited

February 20, 202 6

Page 17 of 17

lack of priority or lack of capex for India. I think we have enough capex available for India.

That's not the point. The project should be good. So as far as that strategy is concerned, it is not about focus. Focus on India was there. It is still there and will continue to be there. India is, as I said, in a happy spot in a good spot at this point of time, and it will remain a priority for CIE. As far as capex is concerned, it was more about evaluation of projects rather than evaluation of the geography that we are concerned. And now we feel more confident, and therefore, you will see much more capex happening in India.

But again, as I said, we will not -- we will invest it in a very prudent manner. I understand we require new projects, but these projects will be made on a prudent basis. That will continue to do that. So I don't think strategy has changed as far as India is concerned.

Now the other question that you asked is in terms from like coming from Europe to India or India to Europe, et cetera. Of course, those opportunities are opening but the domestic opportunity is also quite large. And those when they open up, we are happy to take those. Look, it is a lot of rethinking is going on among the European OEMs also. And as and when that happens, we're happy to take it. But as of now, there are enough opportunities everywhere, domestic , export everywhere.

Moderator: Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments.

Ander Arenaza Alvarez: So, thank you very much for the interest in our company for the well -directed questions you made, and we hope that we answered properly. I just wanted to say that we are very optimistic on the evolution of the company in the near future. We all know that the automotive sector in India is now in a very good shape and we will be able to demonstrate that in the next quarter.

So from our point, I would like to send the optimistic message to the investors and to the people.

And of course, as always, I would like to thank to our team in India that is doing a fantastic job, and they will be the great executors of this growth that is to come. So thank you very much, and see you next week -- next quarter, sorry.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference.

Thank you for joining us, and you ma

y now disconnect your lines.

Note: Transcript has been edited to improve quality of communi cation alone.

Call: Apr 2026

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Dear Sir/Madam,

Sub: Transcript of CIE Automotive India Limited Q1 CY2026 Post Result Conference Call

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our letter dated 14th April, 2026 in respect of advance intimation in relation to Q1CY2026 Results Conference Call, please find enclosed herewith transcripts of the said call held on 24th April, 2026.

The same is being uploaded on the website of the Company at the following weblink:

<https://www.cie-india.com/periodic-public-information8.html#Quarterly-Result-Calls-and-Transcripts>

Kindly acknowledge the receipt and take the same on the records.

Thanking you

Yours faithfully,

For CIE Automotive India Limited

Pankaj V. Goyal

Company Secretary, Chief Compliance Officer,

and Head- Legal

Membership No. F 13037

Encl: as above

Page 1 of 17

"CIE Automotive India Limited

Q1 CY '26 Results Conference Call"

April 24, 2026

MANAGEMENT : MR. ANDER ARENAZA ALVAREZ – CHIEF EXECUTIVE
OFFICER –CIE AUTOMOTIVE INDIA LIMITED

MR. K. JAYAPRAKASH – CHIEF FINANCIAL OFFICER –
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MR. VIKAS SINHA – SENIOR VICE PRESIDENT ,
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MR. OROITZ LAFUENTE – BUSINESS CONTROLLER –
CIE AUTOMOTIVE INDIA LIMITED

MODERATOR : MR. SMIT SHAH – ICICI SECURITIES

CIE Automotive India Limited
April 24, 2026
Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the CIE India Q1 C Y '26 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference call is being recorded. I now hand the conference call over to Mr. Smit Shah from ICICI Securities. Thank you, and over to you.

Smit Shah: Good afternoon, everyone. On behalf of ICICI Securities, we would like to welcome you all to CIE Automotive's Q1 CY '26 Earnings Conference Call. Today, we have with us from the management team, Mr. Ander Arenaza Alvarez, CEO; Mr. K. Jayaprakash, CFO; Mr. Vikas Sinha, Senior VP, Strategy; and Mr. Oroitz Lafuente, Business Controller. We will start the call with brief opening remarks from the management team about the quarter gone by, and then we'll proceed with the Q&A session. Thank you, and over to the management.

Vikas Sinha: Yes. Thanks, Smit, and I welcome all of you on this call as also Ander, our CEO. I will present CIE results for the quarter Q1 CY '26.

Let me proceed directly to the results. The results of the India operations for Q1 C '26 are on Page 6 of our presentation. Sales at INR16.2 billion were 15% higher year -on-year, largely in line with the market. This is an improvement on the 12% growth in Q4 C '25 and 9% in Q3 C '25. The growth would have been higher -- even higher if the exports in Q1 C '26 had not faltered largely on account of the geopolitical situation. The Indian automotive market remains strong, though there are uncertainties created by the war in West Asia. As discussed in earlier calls, some of the new orders, especially the ones on the export side are coming on stream. And we, therefore, expect positive momentum around growth in the India business to continue into the next few months. The India operations achieved an EBITDA margin of 17.6% in Q1 C '26 versus 18.6% in Q1 C '25 and 16.8% in Q4 C '25. The drop in margin on a year -on-year basis is due to 3 factors: the first, gas and material cost increase due to the Iran geopolitical situation, energy tariff increase in Maharashtra state, and third, if you remember, our Q1 C '25 EBITDA included a positive one -off impact of INR87 million, which amounted to almost 0.6% of sales, and this was on account of the mega subsidy at our Zaheerabad Stampings unit. Even with these issues, the EBITDA margin increased by 0.8% sequentially between Q4 C '25 and Q1 C '26 as we focus on initiatives to reduce the impact of input cost increases.

On Page 7, we have the Q1 C '26 results for our European operations. Sales of INR9.2 billion in Q1 C '26 are 17% higher year -on-year versus Q1 C '25. The entire growth is attributable to favorable exchange rate, but the flat sales in euro terms is as per the market situation. The EBITDA margin in our European operations in Q1 C '26 was 15.7% versus 13.9% in Q1 C '25 and 12.7% in Q4 C '25. Margin recovery is due to the restructuring activities done in CY '25, which we had highlighted in our previous calls. We would also like to highlight that the EBT in Europe, the earnings before tax in Europe for the quarter Q1 C '26 is almost INR1 billion, of course, helped along the way by the favorable exchange rate. Nevertheless, it represents a healthy bottom line in a not very exciting market situation. Now IHS is forecasting that the European light vehicles market will be slightly negative in the next few quarters, somewhere 0%, 2%, 3% negative, while the heavy trucks will grow in low single digits, 3% to 5%, but this growth is on a reduced

base. On Page 8, we have the consolidated CIE India Q1 C '26 results.

CIE Automotive India Limited
April 24, 2026
Page 3 of 17

Consolidated sales were INR25.4 billion, 16% higher versus Q1 C '25 and 9% higher sequentially. This is the second successive quarter of 15% plus growth year -on-year in consolidated sales. EBITDA was INR4.3 billion, EBIT INR3.4 billion and EBT INR3.3 billion, and these are higher year -on-year by 16%, 18% and 20%, respectively. Consolidated EBITDA margin was a robust 16.9% EBIT 13.2% and EBT 12.9%. In fact, we have recorded the highest absolute quarterly consolidated sales and consolidated EBITDA in our history.

And now we proceed to Q&A.

Moderator: Thank you. The first question comes from the line of Rishi Vora with Kotak Securities. Please go ahead.

Rishi Vora: Congratulations on a decent set of numbers. My first question is pertaining to India business. Over the last couple of quarters, our top-line growth has been, let's say, on a blended basis, very similar to how the industry has been doing. And earlier, we had guided that at least there is an intention to outpace the industry growth anywhere between 3 to 5 percentage points. So at least where are we in this journey?

Are there any new orders which you are foreseeing -- which you are expecting, let's say, to grow in the coming quarters, which will help the company at least outpace the industry growth?

Because last 2, 3 quarters also has been supported by the industry tailwind owing to GST cut. But at least what is company doing to make sure that even when the industry growth moderates, we will at least outpace that growth number?

Vikas Sinha: Rishi, I'll take this question first, and then I'll request Ander to add on the new order situation later. Of course, we have talked about the export orders at iron castings. We have talked about the Bill Forge 2-wheeler business, both on the crankshaft and on the races side, where we are seeing a whole lot of growth, especially, we are very excited about the 2-wheeler crankshaft project. Iron castings, there are other projects besides the export order that we are talking about. There is, of course, many new orders in the stampings and composite space related to Mahindra itself. And next year, of course, we are expecting a lot of new orders to come on stream in our forgings crankshaft side.

So that's the reason why we are optimistic. Of course, the base for the last 2 quarters, Q4 C25 and Q1 C26, has been very high. The base growth in the market has been very high, as you rightly pointed out, due to the GST reforms. Of course, there will be some tapering down of the market. But I think as our new order momentum is concerned, I think we are in a good space there. And therefore, that's the reason why I understand that there might be some tapering down of the market, but we are quite confident in our new order situation. Ander, would you like to add anything?

Ander Arenaza Alvarez: Yes, Vikas you explained perfectly the situation and the view that we have about the next quarter's growth and growth expectations, okay. As you explained, because we have several projects in the pipeline now being ramped up. So that is a positive sign. That's why we're optimistic on the near future sales. Regarding the new order allocation in the first quarter also CIE Automotive India Limited

April 24, 2026

Page 4 of 17

was a very good quarter for us. We had almost INR3.5 billion turnover per year new orders and approximately 11% for EV sector.

So let's say that, that area of the company, I mean, the new orders are coming, and we are quite satisfied with the trend. And regarding the capacities and also the way the businesses are growing, mostly all the businesses are doing well. And we are adding capacity in all the verticals in order

to cope with the demand that is coming. So overall, I would say that the growth trend that we show in the last quarters will continue. That's our expectation.

Of course, providing the war and the economy, let's say, geopolitics are not affecting us too much. I mean, in our base scenario, we think that the year -- the calendar year '26 will be a good year. That's our expectations until now at least. And what we expect is to continue this growth trend with all the verticals doing really well, okay. So overall, I would say that we are confident that we will continue the current trend in the next quarters.

Rishi Vora: Understood. And just in your opening remarks, you mentioned that export was impacted because of the geopolitical tensions. At least can you give us some color on what are -- which are our end markets over here? My sense it would be Europe and maybe neighboring countries, right?

Vikas Sinha: No. I mean, we have U.S. -- yes, Ander.

Ander Arenaza Alvarez: No, what you mentioned, I mean, both U.S. market and European market, those are our export markets are not doing well in this first quarter, okay? So that's the reason that the export rate did not grow too much. So also, we -- some of the projects that we have in the pipeline are export projects. And those will -- when those projects start during the end of Q2, we will see this export rate to continue growing. So that's the explanation. Perhaps, Vikas, you want to give some more details.

Vikas Sinha: Ander has indicated that we are, of course, relying on new orders on the export side to pick up the overall export rate. So that is where we are quite comfortable that way. In terms of breakup, of course, we have talked about the breakup exports as roughly around 13%, 14% based on CY '25, out of which the direct exports are roughly 11%. And out of the direct exports, roughly about 3% would be U.S. and the rest is Europe.

Rishi Vora: And there would be not any direct impact Middle East like container liability. It is the end market demand which was the reason

Vikas Sinha: It is end market. We are not so much affected by container shortage and all of that. It is purely schedules.

Rishi Vora: Understood. This aluminum, like the Aurangabad Electrical business now will get merged with stand -alone, right?

Vikas Sinha: JP?

K. Jayaprakash: Yes, that is the intent to merge CACIL into the parent company, yes.

CIE Automotive India Limited

April 24, 2026

Page 5 of 17

Rishi Vora: So understood. So now there will be stand -alone entities and there will be Europe and -- which will also include Bill Forge Mexico, right? So that's how the reporting now would be, right? So there won't be any other subsidiaries beyond Europe?

Vikas Sinha: So in India, we will have CIE Hosur and the stand -alone entity , that's how it would be.

Rishi Vora: Okay. So Hosur will still be outside of the stand -alone?

Vikas Sinha: It will be a subsidiary.

Rishi Vora: Understood. And just last question on the Europe piece. Any outlook on the Metalcastello business? How do you see that business given that last 2, 3 years had been challenging? Any recovery which you are expecting in CY '26 or it gets delayed to CY '27?

Ander Arenaza Alvarez: The situation in Metalcastello after some, let's say, business reduction or a slowdown trend that we had in the last years, now it's in a stable situation. So we see that the business is flat or stable in this moment. Last year, if you recall, we did the restructuring activities. So now the company is perfectly aligned with the turnover level.

So the margins are positive, and we are in a, let's say, very, very nice EBITDA margin status in this moment. So what we see is that -- and we are all expecting is that the American market finally will start growing in the off -highway sector, okay? You know that our main customer is Caterpillar. We expect that in the next quarter, the

market will ramp up again.

Unfortunately, due to the different situations in the market, this market has been very, very low or very, very weak in the last couple of years. And we expect that this is a cyclical business, we expect the recovery to come soon. So -- but in this moment , we are comfortable with the Metalcastello's performance. And let's see if this market comes and we are ready to cope with that growth if it comes.

Rishi Vora: Understood. And just last question on the gross margins. In the stand -alone business, gross margins improved by 20 bps on a sequential basis. So was there any commodity -related inflation which impacted us? Or is this something which will flow through in 1 Q? So how should we look at it, at least the percentage gross margin levels in the subsequent quarters?

Vikas Sinha: So when you say gross margins, Rishi, what are you referring to exactly?

Rishi Vora: The stand -alone business?

Vikas Sinha: Stand -alone. JP? Basically, the idea is what would be the impact of the inflation, right?

Rishi Vora: Yes, the aluminum -- at least aluminum and maybe the steel prices, which will be going up due to the current situation

K. Jayaprakash: Yes. Commodities, there is no issue in terms of pass -through, but there could be some other inflation, which we will take some time to sort of overcome. So there is a challenge for sure in terms of some imports we were doing, which are helping us keep our cost. But basic raw material inflation being limited.

CIE Automotive India Limited

April 24, 2026

Page 6 of 17

Rishi Vora: But even if it's a pass -through, the margin should dilute, right, the gross margin percentage?

K. Jayaprakash: Yes. As a percentage, yes. Yes.

Rishi Vora: So when should we see that impact? I mean 1Q is where we should see some bit of -- maybe top line grows faster, but the percentage gross margins will also shrink, right, or should shrink?

Ander Arenaza Alvarez: Yes. But we will see that in the Q2, mainly because during the Q1, we didn't see it because we have not passed through. I mean the hike of the aluminum prices happened in the last month.

Now we are starting with the pass -through process, I mean, because we have the delay. So yes, you are right that we have a temporary impact because the delay of 1 month, approximately it affects us. But then we will see this impact in margins because of the dilution because the absolute value of the EBITDA will be the same, but the turnover will be higher because of this pass-through. So we will see certain impact, especially in the aluminum business where the increase of the aluminum price has been really, really high. And also, we are facing this also in the rest of the regions in the world, okay, in Europe or in U.S., the aluminum is also going up mainly because of the restrictions coming from the war. I mean, that affected the production of aluminum in the Middle East.

Moderator: The next question comes from the line of Pratik Kothari with Unique PMS.

Pratik Kothari: Vikas, first on India, if you can talk about, anecdotally, we do hear about some lines getting shut here or there because of gas issues, some paint issues. So because of this -- I mean, so one, how serious is this issue? You also called out that India could have done better. I mean not the export, but even locally, it would have done better if not for this war. So just going into April, May, how serious is this issue from...

Vikas Sinha: There is talk of rationing of things like LPG and so on. So far, it has really not affected the schedules or the production. Of course, we are taking precautions. We are trying to look for alternatives like biogas, LDO, wherever we can. But to be fair, there has been really no impact on the schedules because of those issues. I wouldn't say that the domestic market was held back by such issues during this period. I think the domestic market was okay. If a

t all, anything on

production was really the inventory in the retail chain at the distributors end. That was the key issue in March.

It really wasn't these kinds of issues. We are planning. There is curtailment of PNG, LPG, et cetera. But it has yet not had a material impact.

As far as the schedules are concerned, the schedules also for the next, say, a few weeks going ahead, there is absolutely no impact of such issues so far. So I don't think it is right for us to say that the domestic market was held back by such issues. Right now, I don't think there is too much of an impact. But yes, if it stretches, then, of course, these issues will get magnified.

The key issue will be less of this and more of inflation and if the OEMs start passing on the inflationary impact to the market, then the vehicle prices will go up. That is what we have to worry about. Then, of course, Ander did talk about what is happening on the aluminum side, which, in fact, again, to be fair, the increase in aluminum prices was happening even before CIE Automotive India Limited

April 24, 2026

Page 7 of 17

February 28. It was not as if it was not happening before. There was inflation on aluminum cost even before that, but it has, of course, accelerated after the war started in the Gulf. So the inflationary impact is very important. There could be disruption in supply chain too. So we have to worry about it. But at this point of time, it is not making an impact. That is our assessment.

Pratik Kothari: Fair enough. I also -- sorry, go ahead, Ander.

Ander Arenaza Alvarez: No. I just wanted to make a comment on Vikas's statement, okay? The risk that we can have here in this environment is that in certain cases, because of the geopolitical issues and also with the logistic difficulties that are happening -- started happening now in the world, we can have certain -- our customers can have certain supply chain issues. And that could have a certain temporary impact on the demand in the short term. So that's what we can also expect because of the situation. So that's the main risk that we see in the short term. What we are now seeing, as Vikas said, is that all our customers, they expect to continue the same production trend. So the only problem they can have is if the supply chain is disrupted for any reason. That's the thing that we need to monitor closely.

Pratik Kothari: Fair enough. And just to confirm on the export front, you said the growth was muted because of logistical issues or the end demand issues?

Vikas Sinha: End demand, schedules, not really on logistics. Again, there are certain constraints on -- as Rishi also asked containers, et cetera, but that's not the major impact. Again, all of this may get accentuated going forward. We are not discounting any of the risks. The risks are all there, the risk of inflation, the risk of logistics, the supply chain risk.

In fact, there's another bigger risk. Fertilizer -- if the fertilizer supply chain gets disrupted and then there is a bad monsoon, then there will be a double impact on the sowing season in the later half of the year, and that will have its own impact.

The risks are all there, but those risks have not manifested in a very big way so far.

Pratik Kothari: Fair enough. And last on Europe. So last time there was major such supply chain disruptions back in 2022, energy prices, we gained a lot of market share maybe at the expense of weak hands. And then again, anecdotally, we do hear about a lot of either orders shifting out of Europe to some other geographies or within that, some stronger players taking it. So while we understand that the end market is not growing or growth rates there are muted, given the issue back again in Europe 3, 4 years later, do you see we gaining at

the expense of weak hands?

Vikas Sinha: Ander, the question is, is the European auto component industry consolidating? And will we gain in the next 2 to 3 years?

Ander Arenaza Alvarez: Okay. It is difficult to say if we will gain in this moment, but we expect that we will win and the market will continue consolidating, okay? The consolidation is happening already. In Europe, it's clear. I mean, there are a lot of companies, especially in Germany, France, we see a lot of companies struggling and the smaller companies are also struggling. So the trend of the customers right now is consolidating. We have -- every week, every month, we have interactions

So we are working actively on this field. So we expect that we -- at least we will remain solid in our current turnover levels. And hopefully, if this consolidation finally happens, then we will have the chance to grow. So we are optimistic on that. The signals are not yet or let's say, the results of the execution of this consolidation is not yet obtained or fixed from our side, but we expect that this will happen, yes.

Moderator: The next question comes from the line of Vijay Kumar Pandey with Axis Capital.

Vijay Kumar Pandey : Congratulations for a good set of numbers. I have a couple of questions. I wanted to check first on the gas and energy price increase and the material cost. What -- if you can please quantify the impact on the Indian business as well as in the European business from the increase and was it mainly for the 1 month or -- and do we expect to see this to increase over the next coming period like -- because now it would be -- if the war persists, will it continue for 2 months. So if you can help us with this gas and material price increase?

Vikas Sinha: Vijay, I would assume you are asking that whether first, the gas price increases will remain at this level going forward. So that price increase has happened. Is that -- and what is the impact of that on our financials in Q1, right? Are these the 2 questions?

Vijay Kumar Pandey : Yes, yes.

Vikas Sinha: We assume that given the supply chain risks and given the disruption in the supply chain of gas, we do expect this to remain elevated for some time. So it's not really a temporary phenomenon, We are more concerned if the supply remains constant rather some price increases will happen, and we expect the price increases to be there. In terms of the impact, right now, the impact has not been much. We did talk about the drop in our margins from like Q1C25 when our margin was 18.6%. In Q1C26 it is 17.6% . Of the drop of 1%, 0.6% of that is coming from the stamping subsidy. And the rest is divided between the energy tariff increase and the gas increase that you are talking about. If you remember, in our last call also, we had said that there was an increase in power tariffs in Maharashtra, which was having an impact. In our year-end results, we had quantified that impact. So that 0.4% drop is divided between these 2 things. So you can make an assessment like it is somewhere between 0.2%, 0.3%, that kind of impact we are talking about as far as the gas is concerned. Okay.

Vijay Kumar Pandey : Okay. Secondly, sir, the new export order for the U.S. business, so that remains on track. That is not getting impacted from any major market or from the geopolitical...

Vikas Sinha: Zero impact. Of course, right now, the tariff thing, as you know, is still open, but it is now more or less like we know where it is. We have had no impact on our export orders to the U.S. And as Ander pointed out, we'll start in Q2. And of course, the bulk of it will be in the second half of the year.

Vijay Kumar Pandey : And sir, when it comes to the euro, so the guidance -- the IHS guidance is pretty weak for second quarter, third quarter. So we wanted to check is the downward

is there more -- going to be more downward risk from here? How are you seeing the on-ground situation? Because like 5% decline in production numbers for second quarter.

So do you expect it could go further down than this or things can be better from here or like this is the worst-case scenario? Also on our margins, so our margin has been pretty volatile in Europe at least from last 3, 4 quarters. So I just want to get a steady-state number. What is our expectation in the near term and the long run?

Vikas Sinha: I'll make a few comments, and then I'll request Ander to talk about the European market a little more . I think the European market is stable, 16 million units of production. The issue is how much is the Chinese share in that. That's all. It's pretty much stable. We are not looking at minus 5 going to minus 10. Of course, on a quarter-to-quarter basis, IHS is talking about minus 5 and minus 1. But if you look at the year -- the entire year prediction, it is still about minus 1 to minus 2. So that's not much of a difference. And it is expected to remain in this range, 16 million to 16.5 million for the next couple of years as per IHS. It is not moving up and down. The market is steady but at a low level .

The second question around margins that our margins were fluctuating . Our margins were affected as we were doing some restructuring activities. If you add back the restructuring costs , we have been in the range of 14% to 15% or 14% to 16% , in that range. In Europe, we are at a very steady margin. We had restructuring activities going back to Q2 of last year and the European margins that were reported were affected by the restructuring cost. In this quarter there is no restructuring cost. You're seeing the full impact of those restructuring activities. So the

margin has been steady, somewhere around 15% if you take away the restructuring cost. We are steady on both the market on the margin side. But now I'll hand it to Ander. He will explain more the -- what is actually going behind rather than just the numbers.

Ander Arenaza Alvarez: No, you explained it perfectly, Vikas. I mean the situation in the market in Europe is stable. I would say that the behavior or the performance that we expect for the next quarters is that we will see a rather stable market. So not big changes are expected. I mean, perhaps because of the geopolitical tensions, we could see certain slowdown. But overall, I think the impact of the war is not big in Europe.

So also regarding Spain and regarding the gas and energy price increases in Spain, due to the high percentage of renewable energy production, the energy prices has not moved up in this first quarter. And so we expect that the energy prices will remain more or less under control. And also the future of the gas for next year are around EUR 35 per megawatt. So let's say, quite stable. So let's say that our view of the near future in Europe is we will be more or less stable. And regarding the margins, we saw a certain recovery after the restructuring activity that we did last year. And we expect to be in that range. In the near future or during the next quarters, if additional restructuring small activities are needed, we will accomplish them because what we are now looking is always to the long run and just to be ready to keep and to maintain our margins in the long term. So that's the approach that we have. So we have a profitable business, cash - generating unit in Europe despite this low base, and we will continue like this.

Vijay Kumar Pandey : Just wanted to -- more of a broad level question. With the Chinese entering into the European market and setting a factory, do we have a plan or can we get also to -- like to supply products to Chinese companies? Or will that not be feasible or -- if you can just comment on that ?

CIE Automotive

India Limited
April 24, 2026
Page 10 of 17

Ander Arenaza Alvarez: Chinese cars that are sold now in Europe are mainly produced in China. They are now entering the European market, and they will start producing. That's the plan they have to produce in Europe. And if they produce in Europe, for sure, we will be there. We have been quoting and we are working with them. So far, the -- locally, we don't have, let's say, Chinese customers in this moment in Europe, but mainly because there is no production.

Once the production starts, we will probably be there because in the European area, we are quite competitive supplier. Of course, the competition is worldwide. But what we expect that certain local content rules will be there. And there are also another barriers like the carbon adjustment on the border, I mean, the CBAM activities, all these kinds of things will come. So we expect to be supplier for any OEM that will produce cars in Europe.

Moderator: The next question comes from the line of Ganeshram with Unifi Capital.

Ganeshram: Thank you, Vikas and Ander, it has been very clear so far. I just have a couple of questions. The first one is on the India market itself, Vikas, you previously indicated that directionally you've grown 9%, 12%, 15%. And when you look at the forecast from IHS, when we compare how this quarter has been to the next quarter, compared to what we expect in the next few quarters, so about 9% in every category this quarter, but expectations are around 8% to 10% in the remaining few quarters. How do we expect to perform relative to this industry? Do you think there can be an outperformance of 3%, 4% with the new orders that are coming in? What's the quantum of outperformance you expect?

Vikas Sinha: We do expect it to be a little higher than the market. We have done well in the last 2 -3 quarters, but a few quarters before that, we were a little tardy. So yes, we are confident about the growth.

Of course, it also depends on the market. We have many customers. So how different customers behave. For example, Hyundai and Bajaj. Bajaj did well in Q1. Hyundai did not do as well in Q1. And then within those customers, there will be some models which perform better or worse. So depending on that. We are across different customers across many models. We are in a very comfortable situation as far as that is concerned. We do expect it to be a little higher than the market. But given how everything pans out, we will see the quantum. So I'll leave it at that.

I think you are right, the market will taper down a little bit given from the GST highs, but it's still reasonably good, hopefully, the impact of geopolitics, petrol price increases, which everyone is expecting maybe a few weeks later, that does not have a dramatic impact. So I would say that we are comfortable on the growth side, but quantum, let's leave it at that.

Ganeshram: Okay. But do you think you'll be able to sustain at the low teens level? And do you have any production constraints currently? I think last quarter, you mentioned there were some constraints because of the ramp -up. So just to check if that has been alleviated now -- yes?

Vikas Sinha: We are in the process of increasing our capacity. If you look at our growth numbers -- growth capex numbers, this quarter, we do expect growth capex in India to be higher than last year.

Almost 95% of the growth capex is being done in India. So we are adding capacity, and we are adding capacity across the board.

CIE Automotive India Limited

If you look at our annual report, we have clearly mentioned that almost all verticals, except maybe magnets, we are adding capacity, which is as per the new orders. So right now, we are okay with this capacity situation, 8%, 10% growth is fine, but a lot of capacity additions are happening because of the new order

rs. Capacity should not be a constraint going forward. But as I said, next few months or next 1, 1.5 years, I think there is a lot of focus on growth capex in India. So that will continue.

Ganeshram: Understood. And just my last question is on the export impact that you were talking about from India. Would you have an estimate of how much of exports could have been achieved this quarter that has probably been delayed to the coming few quarters?

Vikas Sinha: No, no. No, it was not delayed. The schedules were lower. Now if the Indian market grew in the range, of almost 10% growth for light vehicles and 20% growth for 2 -wheelers and the other segments, the exports was in, say, mid -single digits in this quarter . But Q2 onwards, as Ander mentioned, we are banking on new orders. So that situation will change, no matter what happens on the geopolitics side. I think for us, our export performance will improve in Q2 onwards because of our new orders. That' s what we say.

Ganeshram: So just to clarify, you're saying it wasn't an impact because of logistics, it was an impact because of schedules? Or is it that the schedules are impacted by logistics? Just to be clear.

Vikas Sinha: Hard for me to say. Let's -- from our point of view, it was schedules . It's not that we were not able to send our goods across. So that's why I'm saying less logistics. Well, for them, as whatever is happening on the supply chain for OEMs there, that could have been a factor. But for us, the schedules. That's all.

Moderator: The next question comes from the line of Bharat Sheth with Quest Investment Advisors.

Bharat Sheth: Ander, you stated in that consolidation in Europe is happening. So can you give a little more color for which product, say, particularly crankshaft and Metalcastello also. So if you can give some color, how do we see -- we are with the consolidation, getting market share and may be able to do, I mean, some kind of a growth down the line next 3, 4 quarters?

Ander Arenaza Alvarez: Yes. The reality on the consolidation, if we look at our crankshaft production, for example, in our European units, we have been able to maintain the crankshaft production in the last quarters, okay? And considering that the internal combustion engines volumes are slowly, slowly going down with the EVs growing up and also with the entrance of the Chinese competitors, then we see that we have been already consolidating partially this production of crankshaft .

What is happening in Europe is that our customers now they are concerned that in their supply base, they have suppliers with a very complicated financial situation. And some of them, they are already struggling. If you consider that in the north of Europe, for example, there are also some stresses on the energy prices and also some inflation, the materials and so on, then the situation, the financial situation of these struggling competitors will worsen in the next quarters. So the customers are looking for the solutions to, let's say, assure their supply, and they are coming to us in order to increase the production. So that's what's going on. Some specific

CIE Automotive India Limited

suppliers are being, let's say, eliminated and the strongest suppliers will continue. And in that, let's say, consolidation process, CIE India is very well positioned because we have a very solid financial situation. Our companies are running perfectly smoothly. Our quality levels, delivery performance are exceptional.

So in that environment, I think we will be one of the winners on this consolidation. That's the bet. That's the reality. And now we will continue. Of course, it's not a nice situation because, of course, our growth will come from the, let's say, the bankruptcy or the difficulties in other competitors.

That's not the best way to grow. But of course, that's the market, and we need to adapt and we need to

o survive in this difficult market environment. So that's the basics of our view, and we think that we are very well positioned to continue with our, let's say, production, hopefully, with certain growth and at least with margin -- maintaining the margins and even improving them if possible.

Bharat Sheth: And how about Metalcastello, what's our outlook now? Currently, we are operating at what level? And how do we see, is there any improvement or not?

Ander Arenaza Alvarez: Metalcastello, as I explained before, Metalcastello is doing very well now . It's -- the company is now adapted in all the structure and the manpower; everything is in line with the current production levels and demand levels. So the company is in a very solid situation with good

margins with EBITDA margins around 20% of margin. So it's in a very solid position. Regarding the market, you know that all these off-highway products are, let's say, in a very weak market situation, and we are ready to grow and to recuperate the margins once the market comes back. Our dependence on U.S. market is important. So we are waiting for the U.S. market to rebound and start producing. So my comment would be in Europe, the off-highway production is very low.

The strong production is coming from U.S. and also from Asia. So our position, we look for U.S. market, and we are waiting for that. Also, one important comment on Metalcastello, if you recall in previous quarters when we were talking about the EV programs that we were awarded, correct, those EV programs unfortunately did not come.

And the real production of the EV products will be, I don't know, 10% or just a minor fraction of the expected volumes, okay? And that's the reality. So that's one of the reasons why we are not, let's say, growing or we are not recovering the previous levels. That's the market reality in U.S.

You know that the electrification has gone down and most of the electric products has been canceled by our customers. And that's something that, okay, we need to wait. Probably will come later on in the future. But in the next quarters, we can -- we are not expecting them to come, okay, at least while this administration is in office in U.S.

CIE Automotive India Limited

April 24, 2026

Page 13 of 17

Bharat Sheth: And second question is related, again, now this energy, fossil fuel crisis has erupted in Europe.

So do you think that EV adoption will -- adoption of EV will accelerate than what it was in the past? And how do we think then now about ICE engine market?

Ander Arenaza Alvarez: Yes. What we see is that -- you are right that at least in the last month after the war happened and the petrol prices went up dramatically in Europe, then there has been a reaction from the market and more -- the EV market has seen an acceleration. So we see this trend, I mean, recovering a little bit. The best sold car in March in Europe has been the Tesla Model Y.

Again, I mean, they were very low in the -- on sales and now they recuperated. So this is something that is happening. But what we see is a certain recovery to the previous forecast, there is no big, big jump on that. And we still think that the problems on the EV adoptions are still the lack of infrastructures and the range anxiety that is not yet solved. I mean the ranges of 500 kilometers, 450 kilometers are not enough to convince the massive -- the mass consumers, okay? So we see certain acceleration. We are okay with that because you know that we have been in the last years working on the EV side also. So we are comfortable with that. So we are adapting our production to the demand of the customers. We have look for balance between the 2 technologies.

Bharat Sheth: Okay. And last question on India side because earlier, we had a lot of tail end of customer win, but which we were not -- I mean, for one or other reason, were not able to really ramp up and grow. So how do we

think about despite, I mean, this new deal win, how do we see this real year tail end can start making a bigger, I mean, contribution to our sales?

Vikas Sinha: A lot of these new orders, are for customers beyond the 4 main anchor customers, M&M, AS, FES, Maruti and Bajaj. Ford is becoming a very big customer. Hyundai is very important. Royal Enfield is very important. So a lot of these new orders -- Allison is getting more important. We have been steadily working with John Deere over many, many years, very, very small increases every year, but now very substantial. So that part is happening. As we have pointed out, given that the diversity in our customer base, sometimes when M&M was growing, Bajaj was not growing. Now when Bajaj is growing, Hyundai is not growing as much. So this -- that portfolio balancing will happen. But as I said, we are quite okay with the new order situation.

Few quarters back, we had the issue with our CIE Hosur production, then there were certain electric vehicle orders that had not come about. All of this had got bunched together. But now hopefully, it is being more balanced. So now we are seeing much more balanced growth. So I don't think we have any -- to put it very simply, we don't have issues with either our customer base or even the diversity of products or even new orders. As Ander was pointing out, our new order performance has been pretty good. So even going forward, next 15, 18 months also, we don't have much of an issue around new orders. So we are quite comfortable there.

So you are seeing a much more balanced growth that you are seeing now. Like, for example, in Q1, the exports did not do very well. Exports, they didn't do that well. But the domestic side did well.

CIE Automotive India Limited

April 24, 2026

Page 14 of 17

Hyundai didn't do well. Hyundai grew only 2% or something like that in Q1, which is lower than

what the the light vehicle market grew , almost 10% . It didn't impact us that much because that balancing is happening now. So that's how we are quite comfortable on the new order side, on the diversity of products, diversity of customers. I don't think those are issues. The issue earlier was the bunching of delayed orders , which I think, hopefully, that's behind us now.

Moderator: The next question comes from the line of Priya Ranjan with HDFC AMC.

Priya Ranjan: Just a couple of things. One is on the capex side. Do you see there is acceleration in capex this year? Because last year, we were short of capacities in many of the quarters. And -- I mean, when the demand has picked up? And how do we see this -- do you need to increase the kind of presses, maybe higher tonnage presses, etcetera, is required now? I mean what is the capex and capacity increase?

Vikas Sinha: Priya Ranjan, I'll, of course, leave it to JP and Ander to answer -- give more color on the details.

But the answer to your question is, in India, the growth capex will be much higher this year and probably next year also. And the other part, are we looking at different tonnage of presses in forgings and aluminum casting, et cetera? Yes, we are looking at that also. So with that, Ander, I'll request you to give your perspective.

Ander Arenaza Alvarez: Yes, in India, in this quarter, we have already invested around a little bit more than INR900 million. That is around close to 6% of our sales. So it's in line with our internal, let's say, control targets. But you are right. And the second half of this year, we expect to boost the capex , and we will, let's say, probably surpass this 6%, 7% of the turnover in India that we are, let's say, fixing as a control target .

Regarding the different presses and machineries and everything that we are now looking for, you are right. I mean, we are adding at least 3 new forging lines in o

ur forging business. We are

also adding stamping line -- I mean metal stamping line for our customers because we are also fully booked in this moment. We are also adding iron casting molding line also to the -- to increase our capacities and to cope with the demand that is coming for next year. So as you can see, we are adding machinery and capacity.

All this capacity will be installed in the next quarters. So we expect that our capacity will increase. And of course, our production will increase. So we are aligning the demand with capex , and that's why we control perfectly the situation. I can tell you that we have not been short of production in this period. Yes, we have been tight in certain technologies, but not short.

And in the future, we are adding the capacity to, let's say, to go with our customers to be in line with our customers' requirements in terms of capacity. Some of them, they are expecting big growth. The new projects are also there. And of course, we need to be ready for growth when it's coming. So that's the more or less the -- it would give you a flavor of, let's say, adding capacity in almost all the technologies. I would say that except in magnets, that is a very specific business, the rest of the busi nesses will add new capacities.

Priya Ranjan: So for full year, I mean, how much capex we are planning now, I mean, this year if we...

CIE Automotive India Limited

April 24, 2026

Page 15 of 17

Ander Arenaza Alvarez: You can imagine that we have done INR1 billion in -- or close to INR1 billion in 1 quarter, we can talk about this INR4 billion to INR5 billion, that would be the capex that we can be expecting in India in this calendar year.

Priya Ranjan: And I mean I'm just a little bit puzzled about your Metalcastello performance. I mean, if I look at the Caterpillar global growth, they have been growing very, very strongly. I mean the North America market, et cetera, is growing like 18%, 17% if you look at. So what category of the Caterpillar you are catering to and that's why you are underperforming? I mean, if you look at the Caterpillar numbers, I mean, it doesn't show that, I mean, there is a weakness. I mean, why should we underperform there unless we have certain segments which Caterpillar is also underperforming and why?

Ander Arenaza Alvarez: We are working for Caterpillar in the transmission sector . Our production depends because Caterpillar has its own internal capacities and then they outsource part of the components to, let's say, reliable customers and strategic suppliers like us. And also, they are producing part of the production in Asia, in India and other countries .

So let's say that with Caterpillar, we had this slowdown because of the product mix that unfortunately, we were there. And we expect that this production and at least with the comments coming from Caterpillar is that this will ramp up, mainly as -- when th ere is a situation when the customer is producing and deciding make or buy, then we -- our position is weaker, but we expect to grow and to recuperate our market share in the next quarters. So the point on Caterpillar is we depend on them partially in Ital y.

And with all these probably the tariff issues and geopolitical issues, they decided to integrate or to in -source more than outsourcing the production, that's the balance or the decisions that our customers are doing. They are not always very transparent w ith the suppliers. They make their own decisions depending on the situations. So we are expecting this growth to come, and we are

ready. And the relations and the strategic relation we have with them is fantastic. So no issues there.

Moderator: Ladies and gentlemen, this will be our last question. It's from the line of Viraj Kacharia with SIMPL.

Viraj Kacharia: Just 2 questions. First is, you talked about us benefiting from consolidation starting in the next few quarters. Any color you can

give, how is the conversation -- in your conversation with customers, do we benefit more from the European entity, or you see a further ramp-up in exports from India to Europe?

Vikas Sinha: Raj, let me take this question first, and then Ander can add more details based on his experience. So first question around consolidation in Europe. Yes, as Ander pointed out, consolidation is happening. Some manifestation is we are able to maintain our crank shaft production even in a declining market. But that consolidation takes time. As you know, it does not happen at one go. Yes, consolidation will happen eventually. It is not going to manifest itself in the next quarter or the next 2 quarters or something like that. Eventually, it will happen. And because we have such strong players with strong manufacturing capabilities as well as a very good financial position, CIE Automotive India Limited

April 24, 2026

Page 16 of 17

we expect to benefit in the medium term. It's not going to happen in the next 1 year or so, something like that.

Because when we say consolidation will happen, if you recollect, Europe used to do about 20 million car production, say, pre-COVID or whatever, and that's now down to 16 million plus, there is the threat from Chinese imports or Chinese supply in Europe, which will even make -- that is the reason why consolidation will happen. But these things are stretched over a period of time because what happens is that the capacities don't go out of the business.

Like most of the time, they are either bought by a private equity guy or by somebody who tries to buy all the underperforming assets. And then it takes some time before it leaves the market.

That's really on consolidation. It will happen. It will take time.

The second aspect on whether the European light vehicle industry will start outsourcing more to India. Now that question Ander had answered in the last call, but I'll repeat that. The outsourcing from Europe to India has been more on the truck side and less on the light vehicle side. What is happening is that with the Free Trade Agreement that India and Europe had, I think there has been an interest and a lot of buyers in the light vehicle space are also looking at outsourcing from outside Europe. And they are, of course, considering different geographies.

But the first places where that's going to happen are in iron castings, where we are seeing the impact. We are seeing a lot of RFQs coming in gears and machining, where India has a very big competitive advantage, that's happening, some on the forging side and perhaps at some point of time on aluminum casting. But unfortunately, aluminum casting India is not that competitive at this given point of time.

So yes, that will also happen, but none of -- neither the consolidation nor the exports will happen in a hurry. That's something we'll ask you to keep in mind. So it's not going to happen in this calendar year, for example. There will not be a tangible impact. But over the next 2, 3, 5 years, definitely, both the things will happen. And on both, we will gain. So with that generic remark, I'll request Ander to add details and his perspective.

Ander Arenaza Alvarez: There is a clear situation now and a clear interest from most of our customers here in Europe to localize the production in India. I mean we are in contact with them. They are absolutely really interested in our capacities in India, and we are developing, we are quoting, they are visiting us, they are auditing our facilities in aluminum, in forgings, machining, in the gear castings. I mean, we have a very strong commercial activity in this moment regarding this transfer of the potential exports from India to Europe.

So we are optimistic, very optimistic on that, okay. We are preparing ourselves to be ready to supply properly to Europe in the next years. So that will

be a reality. So I think that India will

be a winning market, winning region on this European supply, especially because of the competitiveness and, let's say, price pressures that European OEMs are having.

So in this sense, we are perfectly located to supply from -- prepared to supply from India to Europe, and we will do that, let's say, according to our customers' demand. So that's why we are adding our capacities, and we are preparing ourselves to be in a very good position in terms of CIE Automotive India Limited

April 24, 2026

Page 17 of 17

quality and delivery because that's the main risk that we -- all the suppliers we can have. I mean

the quality requirements and the delivery requirements on European OEMs are very, very extreme.

So we need to be well prepared not to fail them. So that's the challenge and that's the reality. And so we are optimistic and we are preparing the company to continue growing, both internally, locally in India and also, of course, with additional export that we will see happening in the next quarters.

Viraj Kacharia: Okay. Just one last question. See, you mentioned about INR400 crores to INR500 crores of capex in the Indian entity. That is a step -up. I get that. But even post that, your cash accretion will just further expand, right? I mean the surplus cash which you have. Any color in terms of new products or acquisitions or anything in...

Ander Arenaza Alvarez: Okay. Yes, this is also -- you know that we are in a cash position, as you said, and we have the capability to continue increasing our capex and increasing our capacities, and that will be one reality. The second growth area that could be the inorganic growth, I mean, growing through M&A. We are also active on that field. It's true that it is difficult to close operations in India in this moment.

Also the price and the expectations are very high. So -- but we continue in a very active way to look for potential partnerships where we can grow our business, we can join forces with other players. So this is an activity that we are also active. So unfortunately, in the last years, we did not close any operation, but we continue to be active on this area, and we would like to have one additional operation. So that will boost also our growth.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Ander Arenaza Alvarez: So I would like to thank you all the participants for the questions and the well -directed questions, as always, very interesting. It was a big pleasure to be with you and to answer, and I hope we answered properly and all our team answered properly to your questions. And also, I would like to thank, as always, to all CIE Automotive India's team for the great work done in this quarter, and we expect that we will continue doing well and showing good results in the next quarter. So thank you, everybody, and have a nice day.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: Transcript has been edited to improve quality of communication alone.